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JACOB SCHIFF AND THE ART OF RISK

American Financing of
Japan's War with Russia
(1904-1905)

ADAM GOWER



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PUNCH



Punch, 5 April 1905. This cartoon depicts American and English financiers seated in the Japanese corner at a cockfight. The American (on the left) wears a classic bolo tie and smokes a cigar, and next to him is his gambling cup, marked ‘\$75 Million Dollars’. The rotund John Bull character on the right holds a cup with his £15 million stake. The two watch with a confident demeanour while a Japanese military gentleman stands inside the ring with his fighting rooster. This cartoon was sent to Jacob Schiff on 12 April 1905 by his London agent, John Lord Revelstoke, a partner at Baring Brothers, shortly after the successful launch of the third of four war-time issues of Japanese bonds, the first of two £30 million offerings.



CHAPTER 1

Introduction

In 1904, Japan waged war against an ostensibly more powerful opponent, the Russian Empire. A significant component in Japan's victory was the financial support facilitated by Jacob Henry Schiff (1847–1920),¹ an American Jewish banker who was born in Germany. Schiff has been described, in the context of the Russo-Japanese War, as primarily motivated by hostility to Russia, stemming from the tsarist government's ill treatment of its Jews. While this is certainly true, the case to be presented here is that Schiff's motivations were diverse yet in his mind of one piece, and that as a prominent banker his diligence was rigorous in ensuring risks were mitigated. Additionally, Schiff's unusually affirmative attitude towards Japan in the early twentieth century was at least as important in underpinning his actions, and perhaps an even greater counterweight, than his animus against an antisemitic Russia.

Well before 1904, Schiff had established a pattern of philanthropy that focused on helping people to help themselves. His enabling of Japan's war effort against Russia was consistent with this practice and predilection. By 1904, Schiff was personally familiar with the Japanese nation and was deeply impressed by what he perceived as its people's industriousness and fidelity. Importantly, Schiff was scrupulous in his evaluation of the Japanese loans before he underwrote them, though his peers

¹Life dates are given for individuals when they are first mentioned wherever such dates are available.

considered them to be too speculative.² This differentiated him from the majority of his cohort. There can be no doubt that his financing of Japan's war effort was founded upon sound economic principles of risk assessment and anticipated return. While he may have perceived that the Russian pogroms demanded a muscular response from a committed Jew of considerable means, Schiff's motivations to act in the way in which he did with respect to Japan were primarily consistent with his excellence as a banker.

Schiff's supporting role in Japan was unprecedented in several respects, but this is not reflected in the historiography. Although Schiff was a conservative investor who consistently took great pains to ensure his affairs were prudent, he forcefully undertook what most of his contemporaries believed to be a risk in financing Japan to undergird its clash with Russia. Chief among the reasons why he was willing to do this were his strongly favourable perceptions of Japan and his vehemently negative perceptions of Russia, against which Japan was pitted. Schiff's reputation for sound business dealings, his stature as a giant in American and worldwide banking, and his personal fortune were all at stake. But he was both earnest and fervent in his conviction that his standing would be preserved, if not enhanced, in the wake of the Russo-Japanese conflict, because his sharply contrasting views of the erstwhile opponents led him to perceive that the risks were mitigated. As Schiff saw it, to permit a barbarous nation like Russia to prevail would have been a threat to the advance of global civilization. Russia's treatment of its Jews was a blight on humanity, and not only did Russia's march into Asia have to be stopped but also tsarist power had to be forced into retreat. The status of Japan, however, was not simply an afterthought or an unintended consequence.

In the light of his pivotal role in this significant conflict and formative stage of Japan's development, it is important to consider the background and distinctive perspective of Jacob Schiff. He was a traditionally

²Wallace Donham, lecturing in 1908 at Harvard, stated that the concept of underwriting 'has got about as many meanings as you want to apply to it, but... seems to be the meaning of guaranty' where 'some firm or association of firms guarantees to a corporation that it will be able to make a certain disposition of its securities'. Wallace B. Donham, 'Underwriting Syndicates and the Purchase and Sale of Securities Through Banking Houses', in *Corporation Finance* [Mimeographed Lectures Notes] (Harvard Graduate School of Business Administration, Baker Library, 1908), p. 173. Donham was vice president of the Old Colony Trust Company, Boston, MA.

observant Jew, perhaps to a greater degree than any of his peers in the banking establishment. Schiff also maintained an impassioned kinship with Jews worldwide, including the impoverished Jewish masses, even though he was sometimes considered aloof.³ But similar feelings of loyalty and solidarity were also manifested in his attitude towards the Japanese nation and its people. What has thus far escaped the notice of scholars is that Schiff had an empathy for the Japanese that was at least as strong as his antipathy for Russia. He would be emboldened to help to give the Japanese a leg up: a kind of vote of confidence and a substantial economic fillip. Where others saw risk, Schiff saw opportunity and a way of doing the right thing—on several levels.

Schiff had access to much the same information as others in the banking world, so why did he act differently from the bankers in his milieu, including those with whom he worked closely? Clearly, bankers were looking for opportunities and most if not all were aware of Japan's need for finance. What influenced Schiff to act so differently with regard to the Japanese and how did he ensure his decision to do so was not folly? Certainly on the surface, most German Jewish bankers had assimilated into American, British or central European secular culture (respectively) to a far greater extent than Schiff. Was his relatively entrenched Jewish identity and desire to protect his Russian co-religionists paramount in driving his decisions, or was he first and foremost a banker, concerned with mitigating risk and generating profit? Did his regard and ambition for Japan contribute to his decision to finance the loans to that country?

Jacob Henry Schiff was born in Frankfurt, Germany, on 10 January 1847 to Moses Schiff (1810–1873) and Clara (née Niederhofheim, 1817–1877). His father came from a long line of distinguished rabbis and his direct lineage can be traced as far back as the 1370s, further perhaps than any other Frankfurt Jewish family. One in three of his male ancestors are said to have been either a rabbi, a Jewish religious judge, or a lay leader of the Jewish community. Among the most famous of his forbearers was Meir ben Jacob Schiff (1608–1644), known as the Maharam Schiff, who was a Talmudic scholar and whose works to this

³See Joshua M. Karlip, *The Tragedy of a Generation: The Rise and Fall of Jewish Nationalism in Eastern Europe* (Cambridge, MA: Harvard University Press, 2013), p. 109 for a reference to Schiff's ambivalence (born of his sense of loyalty to America) regarding the idea of spoken Yiddish as a unifying element for the worldwide Jewish community.

day are quoted in most editions of the Talmud,⁴ and David Tevele Schiff (1722–1791), who was the chief rabbi of Great Britain from 1765 until his death.⁵ Jacob Schiff's adherence to his orthodox upbringing set him apart from many of his peers, who had been similarly raised but who had assimilated to a greater or lesser extent. This distinguished his worldview and actions throughout his life.

In 1865, at 18 years of age, he left his homeland for the USA just as the American Civil War ended. In America, he saw the opportunity to shed the hereditary bonds of cultural and political restrictions that would have defined his life had he remained confined in the hierarchical European establishment. His lineage could be traced further back than the great banking houses of the Rothschilds and the Speyers⁶; however, while his immediate family had become wealthy, they had not risen to the same level of financial success as these renowned family firms. To break free from the destiny of his birth and inherited status, he departed for America alone and of his own volition, arriving with limited resources. He was not, as Theresa Collins notes, reduced to peddling, as some of the earlier German Jewish banking house founders such as Marcus Goldman (1821–1904) had been originally,⁷ but neither did he arrive in the pocket of any of the great European banking houses, as did August Belmont (1813–1890), who arrived representing the Rothschilds.

While attempting to liberate himself from the established Jewish banking networks, Schiff still recognized the influence that derived from familial connections with the great Jewish banking houses of Europe. He wanted to use the networks that he had at the same time escaped, and he remained a part of the community despite having gone beyond it. Building his career at Kuhn Loeb, he married founder Solomon Loeb's (1828–1903) daughter Therese (1854–1933) in 1875 and spent

⁴Nissan Mindel, 'Rabbi Meir (MaHaRaM) Schiff (Circa 5357–5393; 1597–1633)', www.chabad.org/library/article_cdo/aid/112373/jewish/Rabbi-Meir-MaHaRaM-Schiff.htm, accessed 12 August 2014.

⁵Naomi W. Cohen, *Jacob H. Schiff: A Study in American Jewish Leadership* (Hanover: Brandeis University Press, 1999), p. 256, n. 70; Todd M. Endelman, *The Jews of Britain, 1656–2000* (Oakland: University of California Press, 2002), p. 54.

⁶Theresa M. Collins, *Otto Kahn: Art, Money, & Modern Times* (Chapel Hill: University of North Carolina Press, 2002), p. 51.

⁷Cohen, *Jacob H. Schiff*, p. 54.

four decades contributing to the growth of the house into one of the most powerful financial institutions in America, ensuring that every partner was either related or married to a descendent of the company's founders.⁸

The timing of Schiff's arrival in America was fortuitous. He began his career in banking right before the panic of 1873 bankrupted many railroad companies, and he seized the opportunity of the market correction to become one of the most powerful men in railroad finance through Kuhn Loeb. Schiff's most notable contributions to railroad finance were perhaps his financing of E. H. Harriman's (1848–1909) work reorganizing and building the Union Pacific Railroad in famous rivalry with J. P. Morgan (1837–1913) and the expansion of the Pennsylvania Railroad. His personal wealth was said to have been approximately \$50 million,⁹ putting him second behind J. P. Morgan, who had \$68.3 million and an art collection said to be worth \$50 million alone. However, neither man came close to the wealth of industrialists Andrew Carnegie (1835–1919), John D. Rockefeller (1839–1937), Henry Ford (1863–1947) or E. H. Harriman, although they led among the bankers.¹⁰

Exploiting the opportunities that emerged in post-Civil War America, Schiff carved a niche for himself that seemed to justify the reasons he had left Germany and that propelled him to the top of his industry. He sought out other Davids among the nation's Goliaths. He did this by focusing on those railway assets that were 'not personally owned by families' among the New England elite.¹¹ Collins perceptively identifies Schiff as an underdog, driven to act and think independently, by pointing out that he cultivated relationships with similarly independent bankers in Europe, themselves not already aligned with Morgan, Speyers or the 'other established houses' that Collins refers to.¹² Among the most important of these relationships was Schiff's alliance with Ernest Cassel (1852–1921). We will see that the relationship with Cassel was an important component of Schiff's dealings with Japan.

⁸ See *Investment Banking Through Four Generations* (New York: Kuhn, Loeb & Co., 1955).

⁹ Cohen, *Jacob H. Schiff*, p. 2.

¹⁰ Ron Chernow, *The House of Morgan: An American Banking Dynasty and the Rise of Modern Finance* (New York: Grove Press, 2010), pp. 158–159.

¹¹ Adler as quoted in Collins, *Otto Kahn*, p. 53.

¹² Collins, *Otto Kahn*, p. 53.

By the time of the Russo-Japanese War, Schiff's power and influence were centred primarily on the railroad industry, for which Kuhn Loeb had become a major financier. This was in contrast to the extraordinary power that the Rothschilds had in Europe. There the Rothschilds' business had evolved over the centuries to be in large part politically driven. Whether in peace or at war, nations' fortunes depended on how the Rothschilds wielded their power. In the newly developing country of America, there was much less direct national political interference in business and much more opportunity for private individuals acting independently, aided by the explosive growth of the American economy.

The Rothschilds failed to fully exploit the American railway boom, in part because of their reliance on an ineffectual representative, August Belmont, who will be discussed below. They were also sceptical about the American government's commitment to the gold standard and were concerned about the stability of the American market—factors that, if the Rothschilds' doubts turned out to be valid, would do nothing to bolster their gold-mining interests.¹³ Kuhn Loeb's foray into Japanese bonds, led by Schiff, was as defining for Kuhn Loeb as it was for America's financial markets, and certainly empowering for both. Schiff's approach stood in contrast to the assertive political influence of the Rothschilds, who, in one instance, 'rather ingenuously remarked', as Niall Ferguson comments, that 'it is always a delicate matter to question the policy of a government'.¹⁴ Questioning governments' policies was clearly how they operated as a rule.

In his support for Japan, Schiff saw that country as an underdog. The Japanese were dignified and industrious and were worthy of his support. In the years preceding the Russo-Japanese War, Japan had emerged from centuries of isolation, had successfully overcome onerous trading pacts with colonial powers, had forged a military pact with England and had fought a minor war with China—a weak, subdued nation largely controlled by Western states. In facing down Russia over territorial disputes in its backyard, Japan was at a critical juncture in its history. At this point, no non-Western power had successfully industrialized, nor were any to do so until the mid-twentieth century.

¹³Niall Ferguson, *The House of Rothschild, Vol. 2: The World's Banker 1849–1999* (New York: Penguin, 1988), p. 348.

¹⁴*Ibid.*, p. 347.

Countries largely fell into three primary categories: Western and industrialized, colonies of Western countries and non-colonies. Thus, Japan, though neither Western nor colonized, was on a trajectory that substantially differed from those of other non-colonized nations.¹⁵ Were it not for the war loans Schiff provided, Japan faced the loss of ‘credibility amongst foreign lenders and the distinct possibility of economic collapse’.¹⁶ For Japan, the war with Russia bordered on the existential. Had it lost, it faced the threat of being colonized economically and of losing hope, at least in the near term, of having any significant influence on the world stage.

Schiff was first introduced to Japan in 1872, ten years before the wave of pogroms beginning in the early 1880s elevated Russian antisemitism to great prominence. One of his first interlocutors on the subject of Japan was General James H. Wilson (1827–1925), for whom Schiff had raised finance for railroad bonds in Europe while he was still running Budge, Schiff & Co., the company he had co-formed soon after his arrival in America and before entering Kuhn Loeb. The experiences of Japan that Wilson recounted to Schiff were affectionate, detailed descriptions of an honourable, independent people with a deep cultural history and a welcoming acceptance of foreign influence. Schiff was struck with the notion that Japan, rather than shutting itself off from outside influences, accepted the best from other cultures and peoples it encountered without compromising its own cultural integrity. He wanted to acknowledge and reward the Japanese for their desire to integrate into the world community, and he wanted to benefit from giving Japan assistance in its growth and development.

At the same time that Schiff was hearing from Wilson regarding the culture of Japan, he was also learning that there was potential to lend to Japan. Also in 1872, he was introduced by the US Minister to Japan, C. E. De Long (died 1876), to Yoshida Kiyonari (1845–1891). Yoshida had been appointed by the Japanese government as its loan

¹⁵Stephen C. Thomas, *Foreign Intervention and China's Industrial Development, 1870–1911* (Boulder: Westview Press, 1984), pp. 1–77.

¹⁶Ono Keishi, ‘Japan’s Monetary Mobilization for War’, in John W. Steinberg, Bruce W. Menning, David Schimmelpenninck van der Oye, David Wolff and Shinji Yokote (eds.), *The Russo-Japanese War in Global Perspective: World War Zero* (Leiden: Brill, 2007), p. 264.

commissioner and was looking to the New York or London markets for a £4 million loan. Schiff discussed a 7% loan with Yoshida and referred him to his 'head office' in Frankfurt.¹⁷

Though nothing ultimately came of these discussions, it seems clear that Schiff was immediately drawn to trying to seek opportunities in Japan. He ambitiously foresaw the possibility of funding the aspiring nation's entire railroad expansion. 'It is my opinion', he wrote in a letter to James Wilson expressing his desire for business with Japan, that it was 'only a question of time when the Japanese Government will have to secure sovereign aid both material and scientific, and I think we then stand as good a chance as anybody in America'.¹⁸ His view of Japan was a pragmatic, long-term one. He saw economic opportunity in Japan in the same way that he saw it in the railroads of America, which, like Japan in relation to the USA, had not had established banking relationships when he began to finance them. Over thirty years after he first identified the country as a prospect for investment, Schiff threaded an opportunistic needle through America to Japan that, remarkably, the Rothschilds, for all their global power, had completely missed.

The Rothschilds had failed to exploit opportunities in America by assigning their representation to the ostentatious and politically distracted August Belmont, who proved a feeble intermediary. Belmont, who had married the daughter of Commodore Matthew C. Perry (1794–1858), the man who had opened up Japan after centuries of isolation, 'used the Commodore as his butler'¹⁹ and in so doing also blithely failed to deliver Japan to the Rothschilds.²⁰ Schiff capitalized on the opportunities missed by the New England elite on the railroads and by the Rothschilds in America and Japan.

¹⁷Toshio Suzuki, *Japanese Government Loan Issues on the London Capital Market 1870–1913* (London: Athlone Press, 1994), p. 59.

¹⁸Letter from Schiff to Wilson, 5 July 1872, JWP: 1872–1898.

¹⁹Stephen Birmingham, *Our Crowd: The Great Jewish Families of New York* (New York: Harper & Row, 1967), p. 76.

²⁰In his definitive biography, *The House of Rothschild*, Niall Ferguson proposes that a commitment to European politics and investments plus a lack of faith in Japan were the primary reasons the Rothschilds failed to invest in Japan. They were unable to see the wood for the trees, so to speak, and, though Ferguson does not suggest it, had Belmont more astutely used his extended family connections, maybe he could have drawn the Rothschilds' attention to the opportunity, as Wilson did for Schiff. Ferguson, *The House of Rothschild*, Vol. 2, pp. 395–396.

As Schiff's power and influence in railroad finance grew, they were paralleled by a growth in his philanthropic generosity. He is said to have given away over \$100 million during his lifetime. He believed that the highest level of charity was to provide the means by which a recipient could gain the dignity of supporting himself, and he considered it paramount that, as a donor, he should not delegate the responsibility for ensuring that funds were distributed appropriately. He exercised a strong influence in the running of the institutions to which he donated.

After the Russian pogroms escalated in the early 1880s, Schiff's philanthropic and political attention became focused on alleviating the plight of his co-religionists in Russia, and, as their flight to America intensified, this focus fell on the question of immigration. Two things in particular distinguished his role in this regard. The first is that his work on immigration was solely and specifically a result of the barbarity of the pogroms, in contrast to his financing of Japan, which involved both political and business motivations. The second is that, while he led the initiatives to alleviate the suffering of Russian Jewish immigrants, he was for the most part supported by words and action of the broader Jewish community, in contrast to his decision to finance Japan, which he made independently and individually.

Schiff stood out in his community as being one who early on supported mass immigration to America in principle and who was also active in supporting the Russian Jews once they arrived. This position was initially in contrast to that of his peers and made him an increasingly popular figure, highly regarded in the broader Jewish community.²¹ While public support grew for his work alleviating the distress caused by the pogroms, there was no clear Jewish community mandate for his policy regarding Japan.

The dominant theme of the historical narratives and interpretations concerning Schiff and Japan is that he financed the country 'because of the pogroms'. Certainly, Schiff wanted to relieve the victims of the pogroms in any way possible. He was sensitive to the problem that, by consistently providing direct financial aid to victims still in Russia, he

²¹Not all scholars see Schiff as having been supportive of immigration. See Ehud Manor, *Forward: The Jewish Daily Forward (Forverts) Newspaper—Immigrants, Socialism and Jewish Politics in New York, 1890–1917* (Brighton: Sussex Academic Press, 2009). Manor considers Schiff to have been ambivalent on the matter of immigration and motivated solely to preserve his status in the Jewish community.

might be creating a ‘Pogrom Endowment Fund’.²² Also, importantly, it was not on the Jewish agenda to save Japan: Schiff acted for the most part independently of the Jewish community in electing to support Japan. He looked externally, not just internally. He had neither had the community’s support nor its opposition. Schiff acted entirely of his own self-motivated volition, echoing the pioneering spirit that drove him from Germany to America. While the Jewish community openly debated civil rights and issues such as immigration, actively supporting Japan was an ideological position initiated by Schiff that set him apart.

Throughout his life up to 1904, Schiff consciously separated his business life from his religious and philanthropic life, never allowing the two to overlap. None of his philanthropic interests were simultaneously business interests. He did not make money from his philanthropic ventures, and his business activities were separate from his philanthropy and from his religious beliefs and practice. In 1904, they intersected, leading Schiff to trigger the financing of Japan’s war effort against Russia. This was a signal event in his life, in which he actively and directly integrated his Jewish philanthropic interests with his business interests. This was where the two fundamental driving passions of his life came into focus, leading to what were to prove his life’s defining actions. In Japan, he saw a nation that not only offered financial reward and opened up another front for him against Russia but also spoke to both Jewish and broader human rights.²³ It served as an example of his religiously motivated belief that providing the means to self-sufficiency is the highest form of aid. Thus, he provided Japan with the economic wherewithal to prevail in the war independently and to resist alone the tyrannical Russian oppressor.

While Schiff’s support for Japan in 1904 was one of the rare instances in his life when his religious identity fused with his business interests, his actions at that time were far from being devoid of economic logic. In

²²Cohen, *Jacob H. Schiff*, p. 141.

²³I am grateful to Fred Notehelfer for having provided the important caveat that prejudice was rife in Japan when Schiff first had contact with the country in the early 1870s and to question whether Japan was indeed, ‘a model of “human rights” in contradistinction to Russia’. Email to author, 29 September. 2014. However, Schiff was likely aware that these prejudices had gradually been eroded (see ‘Religious Freedom in Japan’, *New York Times* (26 August 1906) p. 8), and certainly believed that Japan was fighting a cause on behalf of ‘the entire civilized world’. Jacob H. Schiff, ‘Japan After the War’, *North American Review*, Vol. 183, No. 597 (1906), p. 162.

the works that focus on Schiff, there has not been great attention paid to his handling of financial risk. Yet, from a business perspective, in his decisions he mitigated risk to the greatest extent possible. One of the chief contributions of my approach is to illuminate the historical context of these actions and the extent to which Schiff was diligent in all regards. This is an important addition to the historiography, which tends either to gloss over his business activities in financing Japan or to ignore them completely.

Schiff very carefully assessed the risks and saw many factors to recommend Japan. He understood that Japan had adopted the gold standard. He knew that the country was the recipient of substantial indemnities from the Sino-Japanese War (1894–1895), which were fully financed by European banks. Japan had a sophisticated banking system, comfortably recognizable by its Western characteristics and was well connected on the London markets. Schiff had seen the Hongkong and Shanghai Bank (HSBC), Parr's Bank and Baring Brothers all wanting to underwrite the Japanese bonds, but thwarted in proceeding with the loans by uniquely European political intrigues. Additionally, Barings had direct experience of having lent to Japan and were flattering in their description of the first-hand experience they had of the industriousness and integrity of its people.

In addition to holding a firm belief that he was acting cautiously and with moral integrity, Schiff had calculated that there was little business risk. His belief in this regard is what distinguished his actions most acutely from those of his fellow bankers. Paul Warburg (1868–1932), one of Schiff's partners at Kuhn Loeb, agreed that there was support for Japan's cause ahead of the war. However, Warburg believed that the reason other banks failed to step forwards to initiate the underwriting at the scale that the Japanese government wanted was that there was too much scepticism about whether Japan would prevail. 'In the end', Warburg said, Japan 'was likely to be overwhelmed by the sheer weight of her enemy'.²⁴ He thought that Schiff

welcomed the opportunity of joining the London banking group in this enterprise [issuance of the Japanese loans], even though it was very doubtful whether a Japanese loan would succeed here [in America]. Foreign loans in those days were a rather unusual thing for the American investor;

²⁴Warburg Memo, JSP: Box 1861, Folder 6.

adding to that the doubt that prevailed concerning the length and outcome of the war, it was obvious that the venture was not free from considerable risk both as to money and prestige.²⁵

Schiff himself was not immune to concerns that investing in foreign bonds could be a hazardous enterprise. In June 1904, he agreed to underwrite a small Rio de Janeiro bond issue in New York that Stern Brothers was issuing in Europe. Noting the extent to which 'it is very difficult to tell in advance whether the bonds will go well here',²⁶ Schiff felt that the issue in New York was, in contrast to the Japanese issues, entirely experimental for the American market. Rio, he felt, was remote and unknown to the American markets. He felt that if the issue in Rio was successful it would be so based 'entirely on the strength of our name', a fact he found no comfort in for this particular bond.²⁷

His view on the Japanese issue was very different. While it is true that demand for the Japanese bonds he sold outstripped his and other bankers' expectations, this did not stem from unanticipated support for Schiff's political objectives. Rather, buyers believed the potential for financial returns outweighed the risks. The pricing was highly competitive in comparison with that for other options available to investors. Schiff had no qualms in bringing Kuhn Loeb's reputation to the Japanese issues and in so doing enhancing the markets' confidence in the offering. The markets bought into the loans because they believed that Japan's position was right, that Russia's position was wrong, that the profile of the potential financial returns was solid, and that because Kuhn Loeb were the underwriters risk had been ameliorated. For the markets, the background was geopolitical and economic. Punishing Russia for its treatment of Jews did not enter into the investors' calculus at all.

Aside from his efforts to mitigate risk, Schiff believed that, by lending to Japan in its hour of need, he could gain the trust and loyalty of a grateful nation and presumably win post-war financing concessions as a result. This practical economic motivation was reinforced by the sense of injustice he saw the Japanese were facing against a belligerent Russia that was, in his eyes, oppressing its own people internally, most specifically his

²⁵ Ibid.

²⁶ Letter from Schiff to Kahn, 23 June 1904, JSP: Reel 688.

²⁷ Letter from Schiff to Noetzelin, 14 July 1904, JSP: Reel 676.

Jewish co-religionists, and adopting the same bullying tactics in relation to the apparently feeble Japan. It would not emerge until later that Japan was willing to exercise the same brutality over nations and peoples in its dominions that Schiff had been critical of in Russia.

Peter Bauer and Basil Yamey argue that economic intervention of individual foreign entrepreneurs in developing nations' progress can have a disproportionately strong impact.²⁸ Schiff's role in Japan's advancement was one such example of this dynamic. In providing the critical component that crystallized Japan's war finance, Schiff cleared the path for Japan's elevation to its unique position as the only non-Western nation to independently industrialize before World War II.²⁹

Schiff's actions were the avant-garde in what became American imperialistic expansionism without the use of a military to wrest control. They dovetailed into the genesis of what was to become America's pathway to dollar diplomacy and primacy in the world's financial markets. Western powers had shifted away from a direct colonization model. They had started instead to use their military strength to control the means of production in foreign nations as those nations started to industrialize. America was at the very dawn of a foreign policy that sought to create a gold-backed dollar bloc. Schiff, harmonizing with both these trends, independently saw an opportunity to economically influence Japan through his war loans.³⁰ Russia was attempting to use its military power to control regional trade and dominate other nations. Schiff saw the potential economic might of Japan as its most valuable resource and perceived his own potential financial might in financing it. The pen of financial contracts was for Schiff America's counter to the sword of Russia's army in influencing control over Japan's future.

Theresa Collins, the most recent biographer of Otto Kahn (1867–1934), provides an intriguing (yet fragmentary) portrait of Schiff, conceding that one cannot possibly understand Kahn and his era without considering Schiff. Indeed, Jacob Schiff was an extremely significant figure in American history, modern Jewish history, Japanese history, and

²⁸Peter T. Bauer and Basil S. Yamey, *The Economics of Under-Developed Countries* (Chicago: University of Chicago Press, 1957), p. 106.

²⁹Thomas, *Foreign Intervention*, p. 16.

³⁰Eugene Stanley, 'Foreign Investment and Foreign Expansion', in Wright, H. M. *The New Imperialism, Analysis of Late Nineteenth-Century Expansion* (Lexington: D. C. Heath and Company, 1961), pp. 77–80.

the history of international business and finance in the late nineteenth and early twentieth centuries. The characterization of his activity as mainly ‘pro-Jewish and anti-Russian’, an oft-repeated refrain in the historiography, only scrapes the surface.

It is important that Schiff be recognized and understood in each of these contexts, especially in order to comprehend the dramatic ascendancy of Japan. While on the one hand Schiff was part of a well-known and investigated group, the German and American–German–Jewish banking elite, in important respects he diverged from his cohort, and the distinctive course he pursued had profound effects throughout the world. But, due in part to a reluctance (by academics since the Holocaust) to probe relationships between Jews and money, and perhaps more importantly because Japan grew intensely nationalistic and aggressive and became America’s arch-enemy and Nazi Germany’s ally, most historians did not even think to scrutinize Schiff’s relationship with Japan. Indeed, there are few examples of historians examining the role of Jewish bankers in the development of nation states. Antony Lentin writes of Sir Edgar Speyer’s (1862–1932) influence and eventual downfall in England, but, though Lentin references antisemitism,³¹ he focuses primarily on Speyer’s German not his Jewish heritage. Niall Ferguson and Ron Chernow speak of the political impact of the Rothschilds and the Warburgs, respectively, but in isolation from the bankers’ sense of their own Jewish identity.³² Derek Penslar touches upon these themes,³³ but it seems that only Fritz Stern has examined in-depth the relationship between a Jewish banker (Gerson von Bleichröder) and his country, Germany, in the context of how Bleichröder saw himself and was perceived by the secular world around him.³⁴

Schiff has also become a figure for anti-semites and conspiracy theorists. Derek Penslar discusses the idea that people do not like talking

³¹Antony Lentin, *Banker, Traitor, Scapegoat, Spy? The Troublesome Case of Sir Edgar Speyer* (London: Haus, 2013), p. 27.

³²Niall Ferguson, *The House of Rothschild*, Vol. 1: *Money’s Prophets, 1798–1848* (New York: Penguin, 1988); Ferguson, *The House of Rothschild*, Vol. 2; and Ron Chernow, *The Warburgs* (New York: Vintage Books, 1993).

³³Derek J. Penslar, *Shylock’s Children: Economics and Jewish Identity in Modern Europe* (Berkeley: University of California Press, 2001).

³⁴See Fritz Stern, *Gold and Iron: Bismarck and Bleichröder and the Building of the German Empire* (New York: First Vintage Books, 1977).

about Jews and money because doing so opens up these kinds of stereotypical images. Although there is little basis to what is written in this area about Schiff, these kinds of accusations might help us to understand why there is reticence among academics to comment on him.

This book aims to open a window onto a particular historical moment: onto a confluence of interests that helped to propel Japan's emergence on the world stage. It also aims to examine in detail the practical aspects of how Schiff undertook this monumental effort.

This is not a conventional biography. It is not intended to refute the notion that the pogroms were a matter of urgent concern for Schiff. Rather, it is an examination of the background of Schiff's financing of Japan during the Russo-Japanese War. Scholars who have written on this topic previously have provided a patchwork of valuable insights, which include recent innovative interpretations that have arisen regarding Schiff's role.³⁵ Other historians have used some of the same archival sources as I have. Richard Smethurst and Toshio Suzuki are among the most complete in their use of banking archives.³⁶ They too have accessed the archives of Barings Bank, HSBC and Parr's Bank, for example. Their approach, however, has been different. Whereas I focus on Schiff's role and motivations, Smethurst looks at the contribution of Takahashi Korekiyo (1854–1936), Japan's financial commissioner during the war. Suzuki analyses the dynamics of Japanese loan issues in the London markets.

This book takes a different approach by building upon the work of historians who have commented before, weaving together the diffuse insights with newly gleaned source data, producing an interpretation of Schiff's role that reveals him as simultaneously prudent and speculative. Schiff brought a transnational view to American markets that at the time were for the most part still concentrating on internal growth dynamics. This is especially so compared to most of his contemporaries. He was not just interested in a foreign culture; he was someone who helped to change its history.

³⁵See Mina Muraoka, 'Jews and the Russo-Japanese War: The Triangular Relationship Between Jewish POWs, Japan and Jacob H. Schiff' (PhD dissertation, Brandeis University, 2014).

³⁶Richard J. Smethurst, *Takahashi Korekiyo: Japan's Keynes, from Foot Soldier to Finance Minister* (Cambridge, MA: Harvard University Press, 2007); Suzuki, *Japanese Government Loan Issues*.

METHODOLOGY

I lived in Japan for most of the 1990s and through learning to speak Japanese I came to understand Japanese culture quite well. While there I worked for the American Jewish Committee (coincidentally founded by Schiff) translating Japanese non-fiction books with Jewish themes into English. Some of those books were viewed as being antisemitic, and Committee executives would contact publishers and government officials to explain the reasons behind the antisemitism. Their objective was to ameliorate the impact of negative perceptions of Jews in order to facilitate stronger ties between Japan and Israel. The initial idea for this book was to study the relations between Japan and Israel, though something quite different emerged. While examining the background to that topic, it appeared to me that Schiff's engagement with Japan was perhaps the earliest formative contact between Jews and the Japanese. Yet I was struck by the assumptions about the two peoples that most of the historians seemed to take for granted. Many of these provided a tightly encapsulated version of the history of Jacob Schiff and his support of Japan over Russia in 1904. I found that this merited further investigation and deserved a thorough treatment on its own terms. My unease with the state of the historiography I encountered was also heightened by my own experience in the business world. It seemed incongruous to me that as expert a banker as Schiff would allow political ideology to trump prudent financial underwriting. Moreover, I perceived that some historians did not fully understand how such business practices worked at the time. They seemed to be explaining events without carefully situating them in the context of the history of banking.

My experience has informed my interpretation of the importance of diligent underwriting in making loans and how this must have motivated Schiff's actions with regard to the Japanese loans. From my own work as a banker I understand that, while a bank may tend this way or that in its lending practices, the disciplines for mitigating risk are largely consistent and ever-present. Yet, while being conscious of not relying too heavily on my own experience, I noticed that no historian had considered this perspective with regard to Schiff's financing of Japan. These things have changed over time, but their historical evolution has not been contextualized very well in this time period.

In an earlier version of my book, I proposed that Jacob Schiff saw in the Japanese a reflection of the Jews. While my argument here stresses

the character of Schiff's decision-making processes in business, complemented by his confidence in and sincere desire to assist the Japanese, it is nevertheless interesting to note that various scholars have discussed historical similarities between the Jews and the Japanese—two seemingly disparate peoples. In *The Japanese and the Jews*, Isaiah Ben-Dasan writes about the consequences for a people of having to react to stereotypes and misunderstandings that others have of them.³⁷ Ben-Ami Shillony in *The Jews and the Japanese: The Successful Outsiders* examines similarities and bonds that are revealed in Japanese and Jews' respective attempts to integrate with the West.³⁸ And David G. Goodman and Masanori Miyazawa examine how Japan has historically reacted to Jews in *Jews in the Japanese Mind: The History and Uses of a Cultural Stereotype*.³⁹ These authors, among others, develop their arguments from imagined affinities between the Jews and the Japanese. Indeed, at the end of the nineteenth century, a theory that the Japanese had descended from one of the lost tribes of Israel had been taken by some quite seriously.⁴⁰ In part from these analyses I speculated about Schiff's motives for his treatment of Japan, noting that perhaps he had recognized connections between the two nations along the lines these scholars articulated. Nevertheless, despite a systematic effort to uncover evidence of Schiff's motivations from archival sources, I have not been able to piece together sufficient examples to substantiate this claim.

As a consequence, in this book I place greater emphasis on Schiff's clearly stated admiration for Japan and on his role as a banker. Although there have been some informative contributions from scholars, no one has previously consolidated the disparate sources from the perspective of a banker as I have, and no one has applied the discipline of underwriting risk to the interpretation of those sources. I have drawn upon the work of other scholars and to the extent possible have always

³⁷ Isaiah Ben-Dasan, *The Japanese and the Jews* (Tokyo: John Weatherhill, 1989).

³⁸ Ben-Ami Shillony, *The Jews and the Japanese: The Successful Outsiders* (Tokyo: Charles E. Tuttle Company, 1991).

³⁹ David G. Goodman and Masanori Miyazawa, *Jews in the Japanese Mind: The History and Uses of a Cultural Stereotype* (Lanham: Lexington Books, 1995).

⁴⁰ Catherine Cornille, 'Nationalism in New Japanese Religions', *Nova Religio*, Vol. 2, No. 2 (1999), p. 234. Cornille notes that a book, *Japan and the Lost Tribes of Israel*, had been published in 1879 and that at the beginning of the twentieth century a Japanese professor further developed this theory.

gone back to their primary-source references. Using, for example, the archives from Schiff's partner banks (sadly, Kuhn Loeb's archives have been destroyed or lost⁴¹), I have commented on the care and attention to detail that were defining indicators of Schiff's diligence and of his aversion to risk. Other scholars have provided valuable insights but, not having contemplated how a banker must rigorously mitigate risk, have not noticed how Schiff did this—or even that he did at all. This book attempts to integrate his business and philanthropic work with the diligence he employed as an eminent banker.

In most cases where I accessed archives holding primary documentation, I either scanned or photographed the original documents. In this way, I took copies of archived material from the Baring Archive, the George Kennan papers at the Library of Congress, HSBC Holdings, the Japanese diplomatic archives at the Japan Center for Asian Historical Records, the diary of Takahashi at the National Diet Library in Tokyo, the Jacob H. Schiff papers at the American Jewish Archives, the James H. Wilson papers at the Library of Congress, the Royal Bank of Scotland archives and the London School for Oriental and African Studies. In many cases, these documents had no specific locator reference. I have consulted with each library on their preferred methodology for citing the documents and have followed their guidance.

Though difficult to substantiate, there is evidence that Schiff may have bonded unusually warmly with the Japanese people in a manner that went further than just a business connection. For example, despite having built his success on the intertwining of close family relationships, Schiff hosted the daughter of Takahashi for three years. She was

⁴¹The American Jewish Archives in Cincinnati maintains a substantial collection (in microfilm format) of what appear to be transcribed letters to and from Schiff. Email to author from Camille Servizzi, American Jewish Archives, 7 July 2011. It seems that there are very few original documents in this collection. The Jewish Theological Seminary in New York maintains some Schiff correspondence but this primarily refers to Seminary matters. Email to author from Sarah Diamant, Jewish Theological Seminary, 6 December 2012. A large collection of documents was donated to the Baker Library at the Harvard Business School. Email to author from Tim Mahoney, Baker Library Special Collections, Harvard Business School, 2 October 2012. The collection was donated via Lehman Brothers following its merger with Kuhn Loeb in 1977. Harvey Krueger, chairman of Kuhn Loeb at the time of the merger, states that records 'have now been destroyed or lost'. Email to author 29 September 2012. David Schiff, Jacob Schiff's great-grandson, confirmed that 'all the [Kuhn Loeb] archives were thrown away by Lehman Brothers'. Email to author 14 August 2012.

apparently the only non-family member welcomed into his home for an extended period of time. John Boyle describes how Japanese officials have for decades visited Schiff's grave in New York.⁴² From these insights, I have been able to see where Japan's cultural history and values overlapped with Schiff's confidence in the economic potential of Japan, and I have used the primary sources and analytic work of other scholars to present a new perspective.

CHAPTER OVERVIEW

Chapter 2 examines the historiography as it is relevant to Jacob Schiff and the Russo-Japanese War. While the tendency of historians has been to adopt the shorthand that Schiff financed the war because of the pogroms, a few scholars have developed more nuanced perspectives. That said, there is no single perspective that has integrated his business practices with his political motivations. There are informed discussions of his business and philanthropic practices. Some have acknowledged a likelihood that he was motivated by profit, and some have mentioned the work he did with Russian prisoners of war in order to undermine the tsar. But none have included all these disparate factors into a comprehensive account, which is necessary to properly understand this period and Schiff's support of Japan during the Russo-Japanese War. In this chapter, I also discuss some tentative explanations as to why historians have not dug as deeply into this phenomenon as I have. I postulate that it may have been difficult for historians to acknowledge a Jewish leader supporting a country that became an ally of Nazi Germany and that came to have its own record of dehumanizing subject populations.

Chapter 3 analyses Schiff's life path leading up to the Russo-Japanese War, his personality, and his admiration for Japan and how it influenced his actions. This chapter also looks at the extent of his business dealings, his philanthropy, his political lobbying as it pertains to the subject matter and the origins of his connection with Japan. Finally, the chapter revisits evidence of the work he did with Russian prisoners of war (POWs) in Japanese prisons, helping to seed revolution upon their return to Russia.

⁴²Words of Lewis Strauss referred to by John H. Boyle, 'The Drought-Walsh Mission to Japan', *Pacific Historical Review*, Vol. 34, No. 2 (1965), pp. 145–146.

The chapter focusing explicitly on Japan in itself, Chapter 4, traces the trajectory that brought the country and Schiff together. Here, I examine the economic imperative of the loans for Japan, demonstrating how dependent Japan's future was on receiving foreign capital, underscoring the critical importance of the loans Schiff provided, and showing how the funds were used from the Japanese perspective.

The next chapter, Chapter 5, examines the business of banking during Schiff's era in order to contextualize the loans and Schiff's role. I provide a systematic account of the nature of banking at the time and of Schiff's expertise in that industry. I describe the services on offer to investors as well as how bankers invested their own money and to what extent. This chapter also considers the scale of the risk Schiff took in comparison with Kuhn Loeb's normal business. In the light of the fact that the loans were considerably oversubscribed, I outline why bankers were initially hesitant; the likely reasons for the ultimate success of the offerings; and the actual returns on the Japanese loans, comparing them to other investment opportunities available at the time. This includes looking at the Japanese issues alongside both US offerings and other foreign loans. Finally, this chapter looks at the creditworthiness of Japan as a benchmark for evaluating the relative degree of risk taken by Schiff, his syndicate members and members of the investing public.

In Chapter 6, I look at the English syndicate in the context of the fact that at this time London was extremely important in world finance. World War II is typically named as a watershed that shifted the balance of world power to America, both politically and economically. I propose that Schiff's financing of Japan during the Russo-Japanese War not only contributed to Japan's emergence as a world power but also was a precursor of the shift from London to New York in world finance. I do this by looking at the English syndicate for its own sake and also in terms of its relationship with New York, considering whether Schiff's actions might have precipitated the rise to world dominance of the New York markets.

In contrast to Kuhn Loeb, the English syndicate banks had prior experience of having worked with the Japanese government and had laid the groundwork for the loans, underwritten them, and then been held in stasis, unable to act due to convoluted political legacies and concerns as to the scale of the proposed offering. The English syndicate, though vital, could not conclude the transaction until Schiff agreed to

participate, enabling it to proceed. The circumstances that coalesced around the Japanese loan issues were based on very deep relationships. It was unprecedented for American banks to lend on such a scale to another country, and Japan was not used to relying upon foreign markets and foreign nationals for loans. Yet Schiff had demonstrated an interest in providing loans to Japan as far back as 1872. He was unique in America for his admiration of Japan and his ability to secure loans sufficient to aid the country in its time of need. Chapter 6, then, examines the background to each of the English syndicate banks' relationship with Japan, why they were slow to act, how their characteristics served as a component of Schiff's assessment of the risks and how Schiff catalysed the process.

Chapter 7 is an overview of the financing of the war itself and ties the timing of the loans to the individual circumstances of the various protagonists. I examine how Schiff took a direct, hands-on approach to negotiations and the management of the issues, further demonstrating the extent to which he was motivated to ensure the economic success of the venture. Schiff was intimately involved in the process, from conducting the risk-mitigation analysis to executing the financing strategy in all aspects. This chapter discusses how, despite his awareness of the risks to his reputation and wealth, Schiff remained level headed and detail oriented at all times.

Chapter 8 looks at the impact of Schiff's actions, addressing the political effects of the loans to Japan and how the loans contributed to the rise of Japan as a world power. The impact was multifaceted, including the internationalization of Japan's credit markets, the beginning of the shift to New York of the world financial markets, and the impact on Japan's patterns of trade. I examine the political impact of Schiff's war financing, including the characteristics of Japanese imperialism and how it was influenced by the war. I also look at the results of the war from Schiff's perspective, and the disappointments it ultimately delivered. Finally, I reflect upon the position of Schiff in his time and as being ahead of his time. Previous interpretative models are insufficient to understand Schiff's role in relation to Japan and that country's rise to become a world power.

The ways in which Schiff's admiration of Japan and diligence as a banker influenced his role in the Russo-Japanese War were more varied and complex than historians have realized. This is not to say that Schiff

had more power or influence than scholars already admit, but the extent to which he acted as a professional banker with political ambition may have been manifested in ways that have not always been transparent. It has long been assumed that American Jews' support for civil rights emanated, in part, from projecting onto African Americans aspects of their own history and identity. Jacob Schiff's paternalism, protective attitude, and creative, proactive financing of Japan in its great hour of need is perhaps a variation on this theme.⁴³

⁴³See Jack Salzman, Adina Back and Gretchen Sullivan Sorin (eds.), *Bridges and Boundaries: African Americans and American Jews* (New York: George Braziller, 1992).



CHAPTER 2

Historiography

OVERVIEW

The Russo-Japanese War marked a watershed for Japan. Jacob Schiff's role was pivotal, yet it has largely gone unexamined. The war was a geo-political event that fundamentally changed the country's position in the world. In his overview of the history of Japan, Edwin Reischauer asserts that the country had 'come close to collapse' as a result of the war and that, in prevailing in the war, Japan had taken a major step to becoming 'a true world power'. Reischauer does not mention Schiff.¹

Masuyoshi Matsumura observes that 'Japan was engaged in an all or nothing struggle with the great country of Russia', and also does not reference Schiff.² In his book about the Morgans, Ron Chernow specifically ties Schiff's motives for financing the war with his desire to punish Russia for the pogroms.³ Marius B. Jansen's mention of the impact of the pogroms on Japan's successful financing of the war epitomizes the over-simplification of the narrative. In his 800-page standard work, *The Making of Modern Japan*, Jansen obliquely provides credit to Schiff by

¹Edwin O. Reischauer, *Japan: The Story of a Nation* (Tokyo: Charles E. Tuttle, 1981), p. 370.

²Masuyoshi Matsumura, *Baron Kaneko and the Russo-Japanese War (1904–05): A Study in the Public Diplomacy of Japan*, trans. I. Ruxton (Morrisville: Lulu Press, 2009), Kindle Edition, 21%.

³Chernow, *The House of Morgan*, p. 195.

noting that ‘Russian pogroms made it possible for Japan to raise large sums of money in New York and London’. He neither mentions Schiff nor articulates exactly how pogroms might have done this.⁴

The dominant theme in the historiography that I confront is one that places Schiff during the Russo-Japanese War primarily as a Jew driven to revenge against Russia for the pogroms. This is not a view that accounts for Schiff’s integrity as one of the world’s most powerful bankers, nor does it recognize his long-standing admiration of Japan and his interest in conducting business there.

Hasia Diner discusses the way in which the pogroms framed the entire historiography of Jewish life in America during the era of their occurrence, and how they defined the narrative of immigration, the Jewish political consciousness and the fracturing of the Jewish community into distinct German versus Russian communities. ‘The pogroms have shaped both popular and historical thinking’, she asserts, further arguing that historians’ tendency to accept this ‘dominant paradigm’ has created ‘binary categories of “Germany” and “eastern Europe” [that] clou[d] the process of understanding’ and ‘leav[e] out some important facts’.⁵ Although Diner is focused on the history of Jewish migration, her insight nevertheless sheds light on how Schiff too has been treated—that is, as simply a part of the overall Jewish reaction to the pogroms. Once historians placed Schiff in this convenient historical context, what Diner calls the ‘simple yet dramatic pogrom narrative’, there became little reason to seek a deeper interpretation of his actions.

In this chapter, I examine how treatments of Jacob Schiff have fallen into three broad categories. I review the historiography in each area and suggest reasons why Schiff’s influence, as important as it was, has been either downplayed or overlooked completely in the prevailing narratives. Additionally, I demonstrate that, while inaccuracies are pervasive throughout the historiography, there are insightful scholars whose works extend beyond what is mostly a historiography of stereotyped characterizations.

⁴Marius B. Jansen, *The Making of Modern Japan* (Cambridge, MA: Harvard University Press, 2000), p. 440.

⁵Hasia R. Diner, *The Jews of the United States, 1654–2000* (Berkeley: University of California Press, 2004), pp. 92–93. See also Steven J. Zipperstein, ‘Old Ghosts: Pogroms in the Jewish Mind’, *Tikkun*, May/June (1991), pp. 49–52.

The three areas are Jewish history, the history of banking and Japanese history. In Jewish history, Schiff is one of the most important figures of the late nineteenth and early twentieth centuries, particularly in America. The historiography refers to his contribution primarily to philanthropy in general. His contributions to specific issues such as mass immigration, Zionism, the development of a Jewish body politic in America and other broad political concerns are also frequently mentioned. So strong are the dominating themes in Jewish history during the Schiff era that his work in relation to the Russo-Japanese War has typically been characterized in the context of those issues, rather than as a subject warranting its own categorization or analysis.⁶

The banking historiography is not much different from the Jewish in the sense that any discussion about Schiff tends to link his contribution to the development of the railroad industry in America and the subsequent competition with J. P. Morgan. Dominating this discussion is the partnership between Schiff and the railroad magnate E. H. Harriman in turning around the Union Pacific Railroad and the subsequent struggle for control of the Northern Pacific against Morgan, who had allied with James Hill (1838–1916).⁷

When banking historians do discuss the Russo-Japanese War, reference to Schiff almost always derives its conclusions from the Jewish narrative that his motivations were driven by antipathy to the tsar. Finally, histories of Japan tend to concentrate on the war itself, stressing military tactics and diplomatic history. Frequently, Japanese histories fail to mention Schiff at all.⁸ John Steinberg breaks down the historiography of the war into three phases. The first phase (prior to World War I) focused on the war as illustrative of the rise of Japanese power and on the destructive nature of the armaments used in the war. The second phase followed the relegation of the Russo-Japanese War to the ‘dustbin of history’ as a result of the overwhelming focus on World War I. This phase adopted a traditional military overview of the war. The third phase, around the 100th anniversary of the war, reflected upon various factors beyond the

⁶For example, see Chernow, *The Warburgs*, p. 110.

⁷Chernow, *The House of Morgan*, p. 195.

⁸See, for example, Jansen, *The Making of Modern Japan*; Morinosuke Kajima, *The Emergence of Japan as a World Power, 1895–1925* (Tokyo: Charles E. Tuttle, 1971); Reischauer, *Japan*.

military and the geopolitical.⁹ Even here, when war finance or Schiff are mentioned, no consideration is given to the diligence behind Schiff's underwriting; his management of the negotiations; his admiration of and aspirations for Japan; or the overlay of his banking expertise.

The foundation of the historiography of Schiff's role in Japan is based on an accumulation of letters Schiff wrote and received during the era, now largely lost, and two biographies, one by Cyrus Adler (1929) and the other by Naomi Cohen (1999), written using those resources.¹⁰ Neither of these detailed biographies provides substantial critical analysis of Schiff's business life, and yet they lie at the core of the historiography from which most if not all scholars draw. Referencing these biographies is a corpus of articles and journals that acknowledge Schiff with anecdotal interpretation of discrete parts of his life and legacy or otherwise refer to him but as a bit player whose major story lies elsewhere. Others expand the narrative but either have their focus elsewhere or simply miss Schiff's role, failing to mention him. I discuss the Adler and Cohen biographies in greater detail later in this chapter.

Overall, the historiography is fragmented, mixing useful insights with debatable assertions stemming from overuse of unquestioned assumptions. Schiff is seen as being representative of the old German Jewish elite, which, though important as a marker, leads to conclusions that are too simplified. As far as I can tell, no scholar has before considered how—or even whether—Schiff had high ambitions for Japan or has looked in any detail at the manner in which he carefully evaluated and managed risk. That these factors are not noticed means that critical interpretation of the generalizations laid down in the two defining biographies is missing. The theme that Schiff financed Japan because of the pogroms is a result of this gap in the critical historical analysis. This has fit comfortably with the dominance of the pogroms as a defining theme of Jewish history in the pre-Holocaust twentieth century.¹¹

⁹John Steinberg, 'Russo-Japanese War', in *Oxford Bibliographies* (2012), www.oxford-bibliographies.com/view/document/obo-9780199791279/obo-9780199791279-0053.xml, accessed 25 December 2014.

¹⁰Cyrus Adler, *Jacob H. Schiff: His Life and Letters*, Vols. 1 and 2 (New York: Doubleday, Doran and Company, 1929); Cohen, *Jacob H. Schiff*.

¹¹John Klier has produced some of the most insightful analysis of the dynamics of the pogroms written to date. Michael Berkowitz says that Klier 'argued that the pogroms were hardly ever directed from the "top-down", nor did they function as a trigger for a massive

While not denying the importance of Schiff's reaction to the Russian treatment of Jews, this book seeks to provide a more detailed interpretation of his motivations and actions with particular focus on his financing of Japan during the Russo-Japanese War of 1904–1905. In contrast to Adler and Cohen, I initially discuss Schiff's role as an influential banker and then consider how, while he was determined to lend assistance to his fellow Jews, he was driven at least as much by his high regard and hopes for Japan as he was by his animosity against Russia. I describe the extent to which he personally was involved in the negotiation of the loans and show that his diligence in ensuring the loans were a success was extensive, not just to protect his own reputation and profit but also because failure would have been devastating for his co-religionists in Russia as well as for himself.

TWO BIOGRAPHIES

The historiography of this era in Schiff's life is, as noted, underpinned by two biographies. The earlier of the two, *Jacob H. Schiff: His Life and Letters*, was written by Cyrus Adler (1863–1940), an educator and community leader. Adler was a specialist in Semitic languages. He founded the Jewish Welfare Board, translated the Hebrew Bible and participated in the 1919 Paris Peace Conference. In later years, he served as the Chancellor of the Jewish Theological Seminary of America in New York, the flagship institution of the American Jewry's conservative stream, and was among the founders of Dropsie College in Philadelphia. Dropsie was the first non-Orthodox secular university in America, offering a broad range of subjects in Jewish studies, and was also notable for being open to non-Jews. After its demise, the endowment of Dropsie College helped to create the University of Pennsylvania's Katz Center for Jewish Studies. Adler also served as a president of the American Jewish Committee, a leading American Jewish liberal advocacy body that he had helped to establish along with Louis B. Marshall and Schiff in 1906.¹²

flight of Jews to the west. While scrupulously analyzing each of the violent outbreaks, [Klier] seeks to situate the pogroms in the larger context of social hostility and violence in Tsarist Russia'. M. Berkowitz, 'In Memoriam: John Klier, 1944–2007', *Jewish Historical Studies*, Vol. 42 (2009).

¹²Abraham A. Neuman, 'Cyrus Adler: A Biographical Sketch', *American Jewish Year Book*, Vol. 42 (1941).

The later biography, *Jacob H. Schiff: A Study in American Jewish Leadership*, is by Naomi Cohen (b. 1927). Like Adler, Cohen is chiefly concerned with Jewish institutional interests. She has mainly taught at Hunter College of the City University of New York and was the wife of the late Gerson Cohen, a scholar of Jewish history and rabbinics and chancellor of the Jewish Theological Seminary.¹³

Adler apparently had access ‘without reserve’ to Schiff’s private letters, many of which he transcribed in his book ‘almost invariably in Mr. Schiff’s exact words’.¹⁴ In addition to basing his work on archival correspondence, Adler also uses the personal reflections of friends and associates who were still living at the time the two-volume set was written. There are no chapter headings in Adler’s biography, nor are there footnotes. However, as the work in large part purports to quote directly from correspondence to and from Schiff and his acquaintances, and because there is little reason to suppose that the quotations are anything but verbatim, these quotations help to substitute for lost primary-source references. Cohen primarily used the Schiff papers in microfilm format from the American Jewish Archives in Cincinnati, a large proportion of which are earlier draft copies of Adler’s biography or of the transcribed letters he used.¹⁵

In the Japanese loans, uniquely for Schiff, his business and philanthropic worlds overlapped to define the seminal moment of his life. Both Adler and Cohen create distinct lines between these worlds and do not discuss the interplay between them. Focusing on Schiff’s philanthropic activities in her biography, Cohen acknowledges that she references Schiff’s work at Kuhn Loeb ‘sketchily and only the highlights’.¹⁶ When examining Cohen’s biography, Evyatar Friesel muses ‘about the subjectivity of historical research’. Cohen, Friesel states, ‘chooses to tell us almost nothing about the place where Schiff spent so large a part of

¹³Tamar Kaplan Appel, ‘Naomi W. Cohen’, in *Jewish Women: A Comprehensive Historical Encyclopedia* (Jewish Women’s Archive, 2009), <http://jwa.org/encyclopedia/article/cohen-naomi-w>, accessed 28 December 2014.

¹⁴Adler, *Jacob H. Schiff*, Vol. 1, pp. ix–x.

¹⁵Cohen, *Jacob H. Schiff*, p. 251. The original letters to which Adler refers are seemingly lost. The microfilms at the American Jewish Archives appear to be of typewritten transcriptions of the letters Adler used, not of the original documents.

¹⁶Cohen, *Jacob H. Schiff*, p. xiii.

his day'¹⁷—that is, while conducting the affairs of Kuhn Loeb. Adler also recognizes the limitations of his biography and describes the extent of Schiff's transactional history as being too extensive to be able to 'describe in detail'.¹⁸ Fritz Redlich states succinctly of Adler's biography that it was 'written by an admiring author without an understanding of business history [so] may be misleading',¹⁹ and yet it is by far the most often quoted and relied upon of all books in references to Schiff.

Cohen goes on to recognize the scarcity of academic examinations of Schiff, noting that he has been 'forgotten or ignored' and pointing to a survey of American Jewish historians where not one academic voted for Schiff when asked to select a great Jewish leader for the nineteenth and twentieth centuries.²⁰ Cohen accepts that both her book and Adler's are primarily chronicles of Schiff's life and that 'no analytical biography exists'.²¹

Tobias Brinkmann asserts that a critical biography of Schiff 'remains a desideratum', most especially in relation to 'his success as a businessman', specifically identifying analysis of the confluence of Schiff's business and religious interests as being noticeably absent in the literature.²²

ADLER

In Adler's biography, it is clear from a reading of Schiff's transcribed correspondence that the Japanese loans were, economically, a significant event for Schiff relative to the other business activities he was engaged in. It is also clear that the Japanese investment was not the only business occupying Schiff's attention at the time. Adler covers the dominant role played in Schiff's business activities in the railway industry and the

¹⁷Evaytar Friesel, 'Jacob H. Schiff and the Leadership of the American Jewish Community', *Jewish Social Studies*, New Series, Vol. 8, No. 2/3 (2002), p. 63.

¹⁸Adler, *Jacob H. Schiff*, Vol. 1, p. 151.

¹⁹Fritz Redlich, *The Molding of American Banking: Men and Ideas, 1781–1910*, Vols. 1 and 2 (Mansfield Center, MA: Martino, 2012), Vol. 2, p. 386.

²⁰Cohen, *Jacob H. Schiff*, p. xi.

²¹*Ibid.*, p. xiii.

²²Tobias Brinkmann, 'Profit vs. Philanthropy? Jacob Schiff, Albert Ballin, and Jewish Mass Migration from Eastern Europe, 1890–1914', Paper Presented at the Annual Meeting of the Seventeenth International Conference of the Council for European Studies (Montreal, 2013), p. 4.

extent to which he conferred at the presidential level in the USA when he needed to resolve strategic matters. As a distant second to his railroad interests, Schiff engaged in mining company investments.²³ Adler also provides details of Schiff's political interests; his empathy with not only the Jewish community's travails but also those of other minorities; and his love of New York and contribution to the city's administration, arts, local governance and education.

Adler acknowledges that Japan was of great importance for Schiff and dedicates an entire chapter to reporting on his activities there. He describes Schiff's role in Japan and the financing of the war bonds as being 'so large, and the results so far reaching, as to form in many aspects the most important international undertaking in which he engaged'.²⁴ Most of the commentary that Adler shares, however, is a verbatim account, apparently written specifically for the occasion of the publication by Takahashi's assistant, Fukai Eigo, regarding Takahashi's recollections of Schiff's actions during the financing of the war.²⁵

COHEN

For Cohen, the value of examining Schiff's life is in the lessons derived from his motivations and methodology for Jewish communal leadership both nationally and internationally. Cohen casts Schiff as being constantly attentive to the plight of Jews in the USA and Europe with a particular concern about discrimination. She puts Schiff's business acumen together with his philanthropic ventures only in the sense that he used the same expertise he had acquired in business to operate his philanthropic endeavours: organization, networking and administration. However, only by examining Schiff as a banker first, rather than as a philanthropist as Cohen does, it is possible to understand how the overlay of his business and his philanthropic and political work elevated his actions during the Russo-Japanese War so as to make that period the zenith of his career.

Cohen's biography covers over 300 pages including the notes section and leans heavily on papers that have been microfilmed and are held

²³ Adler, *Jacob H. Schiff*, Vol. 1, p. 157.

²⁴ Ibid., p. 213.

²⁵ Smethurst, *Takahashi Korekiyo: Japan's Keynes*, p. 151.

at the Hebrew Union College in Cincinnati and the American Jewish Archives, with some references from the ubiquitous Adler biography of 1929. The Hebrew Union College archives include primarily microfilms donated in 1961 containing transcribed letters and copies of Adler's manuscript, and the American Jewish Archives files include documents donated in 1959 by Edward M. M. Warburg (1908–1992) but that unfortunately preserve very little from the first few years of the 1910s.

Cohen references the Russo-Japanese War but only briefly. She provides a detailed commentary on what she, as do I, sees as being Schiff's personal vendetta against the tsar. She is not alone in this hypothesis. Indeed, there are ample hints at the idea that Schiff waged his own personal war, executing his own foreign policy. Howard Sachar describes how Schiff had deluged the White House with 'hysterical' cables following the pogroms, prompting an exasperated Roosevelt to proclaim, 'Does he want me to go to war with Russia?' Sachar continues, 'in truth, the feisty banker was preparing to conduct his own war on the tsar', and had found an 'unexpected ally' in Japan.²⁶ Naomi Cohen expands the idea, saying that Schiff's efforts were marked by 'emotional overtones of a personal crusade' and stating that he 'waged a private war against czarist Russia'.²⁷ Ron Chernow completes the concept with the idea that Schiff was a nation builder, commenting that it was not until World War I that bankers ceased to behave 'as if they were sovereign states, indulging their biases and waging their own foreign policy'.²⁸

After looking at Schiff's various efforts to combat Russia, Cohen recognizes Schiff's leadership in financing the war loans and the encouragement it gave to other banks to participate. She continues, 'The American share of the five loans combined amounted to over \$196 million, a sum that was said to set a record for large-volume financing before World War I'.²⁹ Cohen believes that Kuhn Loeb's aid was critical to Japan. She explains that Schiff was driven by his detestation of Russian policy towards Jews. According to Cohen, Schiff believed that his actions in supporting Japan and in actively inhibiting the finance of Russia would cause a policy shift by the tsar in favour of better treatment of Jews.

²⁶ Howard M. Sachar, *A History of the Jews in America* (London: Vintage, 1993), p. 226.

²⁷ Cohen, *Jacob H. Schiff*, p. 124.

²⁸ Chernow, *The House of Morgan*, p. 195.

²⁹ Cohen, *Jacob H. Schiff*, p. 33. Cohen includes a fifth, post-war loan in her calculation.

The Rothschilds also struggled with this question as they came to the same conclusion as Schiff. Would starving the tsarist regime of finance bring it sufficiently to its knees to force it to capitulate to better treatment of Jews, or would providing succour in the form of finance to the regime better serve the Jews within Russia?

Schiff was adamant in enforcing a policy of refusal to finance the Russians on the part of Kuhn Loeb. Cohen reports that Schiff had instructed the bank not to issue loans to Russia 'even after his death'.³⁰ He threatened to resign his board position at the National City Bank (now Citibank) if it were to float a Russian loan. Among others, Schiff argued with J. P. Morgan (unsuccessfully) and Isaac Seligman (successfully) to resist opportunistic profits from handling Russian loans.³¹ Cohen also touches on the inter-relationships between Schiff and the Rothschilds on the same matter. She describes the Rothschilds as being sympathetic to Schiff's position in boycotting Russian finance requirements. However, Cohen argues, the situation was different in Europe, with political influences creating different pressures on the various branches of the Rothschilds' house.³²

The obvious similarities to the stereotype of Jewish financiers combining resources to influence sovereign governments' policies in support of other Jews were enough to engender antisemitic reactions. Cohen touches upon the better recognized of those.³³ Indeed, perhaps one reason that Schiff's role in financing Japan has taken a back seat historically is that it is difficult to talk about the Jew, finance and foreign policy with Schiff at the centre of it without serving antisemitism.³⁴

Cohen talks of Schiff's efforts to provide revolutionary propaganda to Russian prisoners of war in Japan. She describes this as a component of the extent to which Schiff mobilized his economic and networking resources to provide financial and other support to Jewish victims

³⁰Ibid., p. 135.

³¹Isaac Seligman (1834–1928) was the youngest brother of James and Joseph Seligman, who ran J. & W. Seligman & Co., a Jewish American merchant bank.

³²Cohen, *Jacob H. Schiff*, p. 135.

³³See, for example, Cohen, *Jacob H. Schiff*, pp. 52–53 (Stereotypes of Jews), 70–75 (discrimination against American Jews), 244–245 (Ford).

³⁴See Penslar, *Shylock's Children*, pp. 47–48. Penslar discusses the influence on antisemitism of the power of the Rothschilds. He sees this as a precursor linking Jewish financial power with an antisemitic narrative.

in Russia. It was not until 1917 that George Kennan (1845–1924), an extraordinary traveller and Russia expert,³⁵ announced at a gathering at Carnegie Hall that he had been financed by Jacob Schiff to foment revolution among the POWs he had had access to in Japanese camps by distributing literature otherwise banned to them that had been sent from the USA.³⁶

Schiff had apparently been trying surprisingly diverse methods to leverage better conditions for Jews in Russia. He had been part of the syndicates that financed Japan and had promoted a boycott of Russian finance. He had personally lobbied Russian diplomats, had snubbed others and had worked with Kennan in providing revolutionary propaganda to Russian POWs. This was further evidence, Cohen concludes, that Schiff had implemented his own ‘private war’ for Jewish liberation.³⁷ Cohen describes in detail Schiff’s personal antipathy for Russia and the tsarist regime, primarily through the window of his philanthropic work. She comes close to identifying a pragmatic business component to his financing of Japan, mentioning it briefly but pointing only to the manner in which he lobbied other financial institutions not to finance Russia.

PERVASIVE MISUNDERSTANDING

The Takahashi account of Schiff quoted in Adler’s biography, written over 20 years after the events it describes, has led to a pervasive misunderstanding in the historiography. It is from this source that the myth has emerged that Schiff decided to fund the Japanese loans during the course of a single dinner in London. In the memo Takahashi says, ‘I happened to sit by the side of Mr. Schiff at a dinner given by my personal friend, Mr. Arthur Hill. Mr. Schiff was introduced to me simply as an American financier on his way home from a visit to the Continent’.³⁸ Takahashi describes in this section of the memo that Schiff was ‘uncommonly interested in the war as well as in the affairs of Japan’, and importantly he continues that this was ‘to prove the beginning of [Schiff’s]

³⁵Schiff’s relationship with Kennan is discussed in greater detail in this chapter, ‘Jacob Schiff and His Cohort’.

³⁶Cohen, *Jacob H. Schiff*, p. 137.

³⁷*Ibid.*, p. 124.

³⁸Adler, *Jacob H. Schiff*, Vol. 1, p. 214.

important relations with Japan'.³⁹ A significant number of scholars have interpreted this to mean that for Schiff this was the first he had heard of the Japanese loan opportunity.

However, a few scholars have contested this conclusion. What is particularly perplexing is that even they do not draw attention to a later section of the same memo that goes on to specifically acknowledge that Schiff was already well informed when he came to dinner that night at Arthur Hill's house. Takahashi continues:

Mr. Schiff must have been especially well posted in all aspects and bearings of Japan's conflict with the Northern Power. He must have been aware that American participation in the Japanese loan was ardently desired in England. He must also have had reason to be satisfied that he was not putting his hand in a losing game, for after all, business is business with a banker.⁴⁰

This misreading of Adler's section on Japan has led to the idea that Schiff chose to finance Japan with little or no substantive knowledge of the situation other than that derived from his conversation with Takahashi. Masayoshi Matsumura, for example, concludes that at Takahashi's meeting at Hill's house, 'a curious coincidence', Schiff for the first time 'heard about Japan's plan to issue public bonds'.⁴¹ And Howard Sachar states that at this dinner meeting Schiff 'agreed on the spot to accept responsibility for a \$50-million Japanese loan'.⁴² Schiff did not agree 'on the spot', and nor was the loan amount \$50 million. Herman Dicker states that the meeting at Hill's house occurred by chance and that Takahashi was seeking £1 million in London.⁴³ Ben-Ami Shillony asserts that the meeting with Takahashi was accidental and that Schiff only heard about the Japanese loans for the first time that night.⁴⁴

Among those who over-simplify Schiff's role are Philip Towle and Nabuko M. Kosuge, who conclude that Japan was able to raise the

³⁹Ibid., pp. 214–215.

⁴⁰Ibid., p. 217.

⁴¹Matsumura, *Baron Kaneko*, Kindle Edition, 70%.

⁴²Sachar, *A History of the Jews in America*, p. 226.

⁴³Herman Dicker, *Wanderers and Settlers in the Far East: A Century of Jewish Life in China and Japan* (New York: Twayne, 1962), p. 164.

⁴⁴Shillony, *The Jews and the Japanese*, p. 148.

money it needed during the war ‘not just because of Japan’s military successes [which had not in significant measure occurred yet when Schiff intervened] but also because of the Russian government’s antisemitism’, concluding that ‘the antisemitic prejudices of the Russians trumped the miscalculations of the British and American bankers about Japan’s prospects’.⁴⁵ They do not mention Schiff directly. Hasia Diner is regarded as one of the most authoritative historians on American Jewish history.⁴⁶ Yet she too dutifully repeats the historiographical mantra of Schiff’s ‘Jewish’ motivation and imprecisely states that ‘during the Russo-Japanese War of 1904–1905 Schiff, hoping to topple the czarist government, floated a loan to Japan of \$200,000,000’.⁴⁷

Beyond the Adler and Cohen biographies, and those scholars already discussed who have directly addressed Schiff’s financing of the Russo-Japanese War, there is a corpus of work that at best only peripherally references Schiff and his contribution to the war. Drawing primarily as these works often do on the two incomplete biographies, it is not uncommon to find misinterpretations and over-simplifications. These hint at the fog that has fallen over this critical period of Schiff’s life, as historians have treated his role as a minor component not worthy even of accuracy in their own focus on tangentially connected historical themes. Theresa Collins, for example, while solely focusing on Schiff’s role as a financier, states that ‘Jacob Schiff twice financed Japan during the Russo-Japanese War’.⁴⁸ In fact, he provided finance during the war four times. Schiff gets lost in Mark Mason’s discussion of Yokohama Specie Bank when Mason mistakenly references only the London markets’ activity during the Russo-Japanese War, completely overlooking the critical role Schiff played in bringing the American markets into the issues.⁴⁹

That so many historians have made the same or similar judgements speaks to two factors. The first is that the paucity of literature covering Schiff has confined available research to limited sources that, because of

⁴⁵ Phillip Towle and Nabuko M. Kosuge (eds.), *Britain and Japan in the Twentieth Century: One Hundred Years of Trade and Prejudice* (London: I.B. Tauris, 2007), p. xiii.

⁴⁶ See Gerald Sorin, ‘*The Jews of the United States, 1645 to 2000* by Hasia Diner’ [Review], *American Jewish History*, Vol. 92, No. 1 (2004), pp. 120–122.

⁴⁷ Diner, *The Jews of the United States*, p. 178.

⁴⁸ Collins, *Otto Kahn*, p. 136.

⁴⁹ Mark Mason, ‘The Origins and Evolution of Japanese Direct Investment in Europe’, *Business History Review*, Vol. 66, No. 3 (1992), p. 441.

the way they are written, particularly the Adler biography, lend themselves to easy misinterpretation. The second is that for those historians wanting to paint a picture of an authoritative, influential Jewish community, perhaps wanting to counteract the image of the Jew as a helpless victim, the idea of a powerful, decisive hero like Schiff is a desirable construct. Schiff has been deliberately painted in this way in the historiography as a Jew who could make life-and-death, nation-building geopolitical decisions over a single dinner, which glamorizes and aggrandizes his persona in a way that is so pervasive it has become an unquestioned truth not warranting further critical investigation.

POGROMS AS A MOTIVE FOR FINANCE

As the Kishinev pogroms of 1903 grew into broader atrocities in 1905, it seemed to popular opinion that Russia was controlled by one of the most antisemitic regimes in the world at the time. The pogroms were accompanied by a revival of the medieval blood libel of ritual murders, and they were instigated and carried out with an unrestrained manner and ease. There remained, however, certain ambiguities in Russia's treatment of Jews.⁵⁰ John Klier talks of a more complicated picture of Jewish involvement during the war than was understood at the time. He describes how Russian Jews were seen to be actively supporting Japan and that Jewish soldiers were deserting on the front lines.⁵¹ In total there were some 33,000 Jewish soldiers who fought for Russia against the Japanese,⁵² more on a single battlefield than had been the case since the Bar Kokhba revolt against the Romans some 1600 years earlier. In 1904, with the outbreak of the Russo-Japanese War, Jews were conscripted into the Russian army in vastly disproportionate numbers. It had earlier, under Tsar Nicholas I, been the practice to draft Jews for twenty-five years, during which time they generally either died or gave up their religion

⁵⁰Ferguson, *The House of Rothschild*, Vol. 2, p. 377.

⁵¹John D. Klier and Shlomo Lambroza (eds.), *Pogroms: Anti-Jewish Violence in Modern Russian History* (Cambridge: Cambridge University Press, 1992), pp. 3–12.

⁵²Rotem Kowner, *The A to Z of the Russo-Japanese War* (Lanham: Scarecrow Press, 2006), p. 173. See also Derek J. Penslar, *Jews and the Military: A History* (Princeton: Princeton University Press, 2013), pp. 27–34.

and lost all connection with their families.⁵³ Among the most famous of these soldiers was Joseph Trumpeldor (1880–1920), who became the most decorated Jewish officer in Russia and the first to become a commissioned officer. Trumpeldor is known for having lost an arm during the siege of Port Arthur, being imprisoned by the Japanese, and going on to fight and ultimately lose his life defending an early Zionist settlement in Palestine.⁵⁴

Of the Jewish soldiers who fought for Russia during the war, 3000 died, and, out of a total of 71,964 prisoners held at the end of October 1905, 1739 were classified as Jews.⁵⁵ These were promised ‘special friendship of the highest degree’ by the Japanese government.⁵⁶ It is notable that far more Jews served in the tsar’s armies than were victims of pogroms.⁵⁷ Indeed, Russia’s institutionalized anti-Jewish provocations were temporarily put on hold during the war in response to communal Jewish support of the war effort and the regime’s view that pogroms would hurt an already faltering economy.⁵⁸

The Russian scene was complicated. Schiff believed that the pogroms had been instigated from the top down, a belief common at the time. The conflicts seen in the broader Jewish community regarding how to handle the Russian problem were a reflection of the multiple interpretations that stemmed from the ambiguous position of Jews in Russian society. There is no reference in archival sources or in the historiography to Schiff having had any awareness of these nuances of Jewish involvement in Russia during the war.

⁵³Joseph Epstein, ‘The Jewish Sholem Aleichem’, *Commentary* (1 January 2014), <https://www.commentarymagazine.com/articles/the-jewish-sholem-aleichem>, accessed 1 August 2016.

⁵⁴Ber Kotlerman, ‘Sholem Aleichem vs. The Czar’, *Haaretz* (5 October 2012). There is a large literature on Trumpeldor. See, for example, Yael Zerubavel, *Recovered Roots, Collective Memory and the Making of Israeli National Tradition* (Chicago: University of Chicago Press, 1995), pp. 40–47.

⁵⁵Sakuye Takahashi, *International Law Applied to the Russo-Japanese War with the Decisions of the Japanese Prize Courts* (New York: Banks Law, 1908), p. 114.

⁵⁶Ben-Ami Shillony, ‘The Jewish Response to the War’, in R. Kowner (ed.), *Rethinking the Russo-Japanese War, 1904–05* (Kent: Global Oriental, 2007), Vol. 2, p. 394.

⁵⁷Penslar, *Jews and the Military*, p. 6.

⁵⁸Elinor Slater, *Great Moments in Jewish History* (New York: Jonathan David, 1998), p. 189.

One of the most penetrating historians of this period, Richard Smethurst, primarily focuses on the role of Takahashi Korekiyo during the war. Smethurst comments that ‘it is widely accepted that Schiff supported Japan in 1904–1905 because of his hatred of the Romanov dynasty and its anti-Semitism’.⁵⁹ He goes on to conclude that Schiff must have acted out of idealistic reasons and was not driven by personal self-interest. Smethurst is circumspect, however, in this conclusion, stating that ‘as hard as I have tried to test it, the evidence I have seen tends to support the view that Schiff lent money to the Japanese out of his desire to help his coreligionists in Russia’.⁶⁰ As Smethurst is focusing on Takahashi, any further examination of Schiff’s motives is beyond the scope of his work. Smethurst also asserts that Schiff’s actions were contrary to normal prudent banking risk–return calculus and therefore could only have been motivated by a desire for retribution for the tsar’s treatment of Jews. ‘Schiff wanted to lend money to the Japanese because of his hatred of Russian antisemitism’, Smethurst concludes.⁶¹

But, while it may be reasonable to conclude that Schiff was motivated by anti-Russian sentiment, it is a big leap to conclude that he sacrificed his banking integrity to satisfy his desire for retribution. Schiff understood how impactful it would be to bring to bear his own syndication expertise on the distribution of the loans, and he saw that the risk profile had already largely been measured. Three highly regarded English banks—Barings, HSBC, and Parr’s—were actively negotiating with the Japanese government to take on the loans but were stymied by concerns that the proposed scale of the offering was too large.⁶² They were also hampered by political reasons not applicable to Schiff, both at the banking level (not wanting to alienate Russian clients) and at the geopolitical level (England wanted to remain neutral and refused even to guarantee the loans). Schiff’s close ally Ernest Cassel was also a strong supporter of

⁵⁹Smethurst, *Takahashi Korekiyo: Japan’s Keynes*, p. 152.

⁶⁰Richard J. Smethurst, ‘Korekiyo Takahashi and Japan’s Victory in the Russo-Japanese War, 1904–5’, in Philip Towle and Nobuko Margaret Kosuge (eds.), *Britain and Japan in the Twentieth Century: One Hundred Years of Trade and Prejudice* (London: I.B. Tauris, 2007), p. 9.

⁶¹Smethurst, ‘Korekiyo Takahashi and Japan’s Victory’, p. 11.

⁶²Mark Metzler, *Lever of Empire: The International Gold Standard and the Crisis of Liberalism in Prewar Japan* (Berkeley: University of California Press, 2006), p. 45.

the loans, eventually becoming among the biggest investors in them.⁶³ In other words, Schiff was *not* taking undue risk. Therefore, the case that is frequently cited—that Schiff’s anti-Russian motivation is proven by a disregard for normal banking underwriting practices—fails. On the contrary, as this book discusses, he was diligent in all regards to ensure that risk was measured and that the loans would be a success.

In addition to Smethurst, a few other scholars have delved deeper into the issue, presuming that something other than mere political enmity must have driven Schiff to finance Japan. In his chapter ‘Realpolitik or Jewish Solidarity? Jacob Schiff’s Financial Support for Japan Revisited’, Daniel Gutwein acknowledges the stereotypical theme in the historiography of Schiff’s ‘Jewish motive’ and his enmity for Russia. Gutwein contends this is undermined by Schiff’s ‘business motive’.⁶⁴ Gutwein makes the case that Schiff was motivated by pragmatic business benefits rather than antipathy to the Russian policy towards Jews. The business motives that Gutwein discusses, however, are not the carefully underwritten risk-and-reward motives of Schiff as a prudent banker that will be explained here. Gutwein furthermore does not consider Schiff’s admiration for Japan (its culture and people) or his anticipation of further business contacts. Instead, Gutwein concentrates on the idea that Schiff was attempting to influence internal Russian political dynamics. His argument is that Schiff was motivated to assist his English banking allies in their attempts to align with Russian political factions, most notably Count Sergei Witte (1849–1915), Russia’s finance minister at the time of the war.

Witte’s policies were seen as being more dovish towards Jews than were those of other Russian politicians.⁶⁵ There was internal discord in the power elite in Russia that placed Witte, a ‘modernist’, in conflict with his rival Viacheslav von Plehve (1846–1904), a ‘traditionalist’. Witte favoured rapid industrialization financed by foreign loans and increased taxation primarily on the rural sector, whereas Von Plehve preferred internal investment, which he believed would stimulate growth through increased domestic purchasing power.⁶⁶ The outcome of the

⁶³Smethurst, ‘Korekiyo Takahashi and Japan’s Victory’, p. 9.

⁶⁴Daniel Gutwein, ‘Realpolitik or Jewish Solidarity? Jacob Schiff’s Financial Support for Japan Revisited’, in R. Kowner (ed.), *Rethinking the Russo-Japanese War, 1904–05* (Kent: Global Oriental, 2007), Vol. 1, p. 126.

⁶⁵Ibid., pp. 123–138.

⁶⁶Ibid., pp. 128–129.

Russo-Japanese War would determine whether the modernists or the traditionalists would prevail; a victory for Japan would stem the rise of Von Plehve in favour of Witte, who 'would profit politically from financial assistance to the Japanese'.⁶⁷

In England, King Edward VII (1841–1910) supported Lord Henry Lansdowne's (1845–1927) Franco-Russian faction, which 'had clear political and economic interests in a Japanese victory. The effect of this was to consolidate Witte's power in Russia and to strengthen theirs in England'.⁶⁸ It also served as a bulwark against the more dangerous threat, as the faction saw it, of Germany. Gutwein contends that the king's interests convinced Ernest Cassel and Barings' Lord John Revelstoke (1863–1929) to recruit Schiff and that it was in serving these political forces that Schiff was to provide his financial support.

Gutwein's position is therefore to reject the idea that Schiff's business aspirations were anything other than politically motivated. Gutwein points to a post-war instance where Schiff was persuaded by his friend Cassel not to oppose a loan to Russia. Gutwein uses this as evidence that Schiff was not motivated by Jewish concerns but 'presumably' by the fact that 'the success of this loan served the interests of both Witte and Barings'.⁶⁹ However, a careful examination of the source material behind this claim indicates to me something different. This was the sole occasion upon which Schiff did not oppose a loan to Russia. He did so because his closest ally, Cassel, promised him that 'in return he would try to obtain concessions for the Jews from the tsar'.⁷⁰

Gutwein does provide a hint at why historians have overlooked the intricacies of Schiff's motivation by explaining that the 'Jewish motive' has gone unchallenged because Schiff himself articulated it. Gutwein says that this was 'reiterated over the years by Schiff's relatives and associates' and that, because it was reinforced by Schiff's efforts to prevent Russian finance, it has led to an 'ease and willingness with which historians have accepted Schiff's own narrative'.⁷¹

⁶⁷Ibid., p. 129.

⁶⁸Ibid., p. 131.

⁶⁹Ibid., p. 134.

⁷⁰Zosa Szajkowski, 'Paul Nathan, Lucien Wolf, Jacob H. Schiff and the Jewish Revolutionary Movement in Eastern Europe 1903–1917', *Jewish Social Studies*, Vol. 29, No. 2 (1967), p. 77.

⁷¹Gutwein, 'Realpolitik or Jewish Solidarity?', p. 124.

Gutwein also suggests that stereotypical views of ‘Jewish financiers’ are so deeply embedded that historians have been unable to think beyond the possibility that Schiff was motivated by anything other than his Jewishness as projected through his antipathy to tsarist antisemitism. He describes the Jewish motive more as a ‘by-product’ of the business benefits of financing Japan. Gutwein goes so far as to suggest that, had financing Russia served Schiff’s ability to retain plutocratic control over the increasingly large immigrant population of New York (in this Gutwein agrees with Ehud Manor), then Schiff would have funded Russia over Japan.⁷² Gutwein recognizes the historiographical omission in placing Schiff in true context, but by concentrating on Schiff as a political strategist he overlooks him as a banker. Gutwein does conclude that economic pragmatism was likely as powerful a determinant in Schiff’s actions.⁷³ While it is true that Schiff was motivated by the potential for financial gain, it was not to be at the expense of taking on excessive risk.

Gutwein also does not notice Schiff’s admiration for and confidence in Japan, particularly in contrast to his aversion to Russia. Nor does he notice that Japan was free of any cultural or religious bias pertaining to Jews.⁷⁴ Schiff believed in the strength and potential of the Japanese economy and thought that a country that could treat its own people as disgracefully as Russia treated its Jews could not prevail in the long run on the world stage. Being a pragmatic businessman, Schiff felt that Japan offered a greater economic opportunity and lower long-term risk than Russia, which he considered to have a backwards regime and mentality. In short, Schiff was as pro-Japan as he was anti-Russia and this just does not come across in Gutwein’s work or in the broader historiography at all.⁷⁵

Finally, my perspective diverges from Gutwein’s analysis in this important respect: Gutwein believes that the primary reason for Schiff’s own assertion that it was the Jewish motive that drove him to finance Japan was a cynical attempt to curry favour with the Jewish masses. Schiff only

⁷²Ibid., p. 136. See also Manor, *Forward*, p. 43.

⁷³Gutwein, ‘Realpolitik or Jewish Solidarity?’, pp. 123–138.

⁷⁴Jacob Kovalio, *The Russian Protocols of Zion in Japan: Yudayaka/Jewish Peril Propaganda and Debates in the 1920s* (New York: Peter Lang, 2009), p. 7.

⁷⁵Jacob H. Schiff, ‘Peace and Freedom with Japan’, *Advocate of Peace*, Vol. 72, No. 11 (1910), p. 268.

made these statements, Gutwein says, manipulatively to ensure that ‘the Jewish economic elites retained the communities’ sense of dependency and secured the perpetuation of their control’.⁷⁶ While I find the work produced by Cyrus Adler and Naomi Cohen focusing on Schiff’s extensive community work and charitable giving to be lacking only in critical analysis of his business life, Gutwein finds them lacking in criticism of Schiff’s philanthropic motivation and integrity.

FINANCIAL MOTIVE

Another scholar who challenges the idea that Schiff was motivated primarily by the pogroms is A. J. Sherman. Sherman is notable because he had a background in banking and indeed worked for Kuhn Loeb from 1957 to 1967.⁷⁷ Given this background, it is not surprising perhaps that Sherman should approach the subject of recounting Schiff’s role from a perspective complementary to my own. The thesis of Sherman’s article is that the ‘durably potent myth concerning the alleged existence and sinister workings of an international Jewish banking conspiracy’ is disproven in the case of the financing of the Russo-Japanese War—this even though three of the four main protagonists, Schiff, Cassel, and Warburg (Takahashi was the fourth) were Jews. Sherman explains that the methodology he employs to analyse this chapter of banking history is subject to the fallible nature of the available historical resources. Sherman quotes from the historian René Girault to illustrate his point, and these observations seem to fit well with the challenge I too have faced in understanding Schiff:

If he thinks of risks and profits... he remains a human being who by reason of his judgment and will has possibilities of choice. The effort of an economic historian should therefore be directed toward understanding and explaining these choices.... But men of affairs... are not very explicit about the reasons for acting one way or another; in financial matters one is

⁷⁶Gutwein, ‘Realpolitik or Jewish Solidarity?’, p. 136.

⁷⁷‘A. Joshua Sherman’ [Obituary], *New York Times* (21 April 2013), <http://query.nytimes.com/gst/fullpage.html?res=940CE3DA103AF932A15757C0A9659D8B63>, accessed 1 August 2016. Sherman graduated from Harvard Law School in 1957 before entering Kuhn Loeb, and after leaving the firm he completed a doctorate at Oxford in 1970 and continued there as a research fellow and tutor in politics and history until he returned to New York in 1974.

seldom given to explaining in writing the motive of some decision. When the Board of Directors of a bank meets to take a decision, the dry minutes reflect very incompletely the actual course of the meeting.⁷⁸

After describing the background to his analysis in these terms, Sherman argues that there was no consistent Jewish bloc of support that could be characterized as supporting any theory of a Jewish conspiratorial cabal. His analysis has a few inaccuracies. He implies that Schiff and Takahashi were 'great' friends even at the onset of the war, although they had not yet met and were not to become close until the war had progressed by several months. He also says that Takahashi committed suicide whereas in fact he was assassinated in 1936 by officers of Japan's Third Imperial Guards Regiment, as the 'last barrier to militarism', paving the 'road to war'.⁷⁹ These errata aside, Sherman provides a detailed overview of the political dynamics of several of the European financial markets and how various Jewish factors influenced those markets' response to the opportunity to provide funding to each of the war's antagonists.

The core of Sherman's thesis is to demonstrate no consistency among the Jewish bankers in their approach to a 'Jewish' agenda. He does this by describing how Schiff's appeal for rejection of Russian loans among Jewish bankers 'fell on deaf ears: Bleichröders, the *Banque de Paris et des Pays-Bas* and the French Rothschilds all took up Russian loans in October 1904 and even in May 1905'.⁸⁰ Sherman in part concludes in his article that

we can say with certainty that the Japanese loans were a profitable, highly visible success for Kuhn Loeb and its syndicate partners. We also know that profit was not the sole motive that actuated Schiff: he had explicitly political aims in view, but punishing the tsar for ill-treating the Jews was only one of the factors he as a prudent banker had to take into account. Japanese credit was a risk, but one that a banker could measure, weigh against potential advantages, and secure to some degree. Investors' money was not to be tossed away for political ends. 'In short, the war loans made

⁷⁸A. J. Sherman, 'German-Jewish Bankers in World Politics: The Financing of the Russo-Japanese War', *Leo Baeck Institute Yearbook*, Vol. 28, No. 1 (1983), p. 59.

⁷⁹Smethurst, *Takahashi Korekiyo: Japan's Keynes*, p. 1.

⁸⁰Sherman, 'German-Jewish Bankers', p. 73.

eminent sense on purely business grounds. Daring they may have been; imprudent or merely vindictive, certainly not.⁸¹

This conclusion does not contribute to the case Sherman strives to make against there being a Jewish conspiracy (a case that forms the basis for the argument in his article). And he provides little if any specific evidence in support of this conclusion. His arguments do, however, echo some of my own.

Sherman is among the few historians who understand that Schiff was equally as motivated by finance as he was by politics. But Sherman's methodology is flawed because he tries to use hindsight, for example talking about the offerings being many times over-subscribed or being taken up by small investors, to demonstrate that Schiff's decision was prudent. But over-subscription and popular demand were the *result*, not the *cause*, of Schiff's decision, which was, in fact, predicated on intensive and detailed due diligence *before* he decided to issue the loans; over-subscription only resulted because of his efforts.

Sherman's premise is helpful in addressing the idea that the circumstances of the financing of Japan support international conspiracy theories against Jewish bankers, and by putting Schiff and Cassel together he suggests the theories are under threat of being supported. He concludes, however, by pointing to contrarian Jewish bankers in Europe who supported Russian finance; he states that 'solidarity was far from monolithic' and as such does not serve the myth of Jewish conspiracy.⁸²

The third scholar who at first glance also seems to shift the focus away from Schiff's enmity towards Russia is Gary Dean Best.⁸³ Best is one of the only historians to focus in any detail on the financing of the Russo-Japanese War but he does so uncritically. He provides a useful overview of the mechanics of the loan issues and he is another historian who understands from the Takahashi memo in Adler's biography that Schiff began and ended his underwriting of the issues over a single dinner with Japan's envoy.

Two other scholars examine the war bond issuances in great detail using similar bank archival sources, providing insights into the

⁸¹ Ibid., p. 73.

⁸² Ibid.

⁸³ Gary D. Best, 'Financing a Foreign War: Jacob H. Schiff and Japan, 1904–05', *American Jewish Historical Quarterly*, Vol. 61 (1972), pp. 313–324.

mechanism by which the loans came about. These scholars are Richard Smethurst and Toshio Suzuki. Both Smethurst and Suzuki equivocate over whether or not an agreement with the English syndicate was ever reached before Schiff formally agreed to participate on 4 May 1904, though both agree that the terms were unsatisfactory to the Japanese government. Smethurst is the most resolute of all scholars in his refutation of the idea that Schiff made his decision based solely on a single meeting with Takahashi. But Smethurst is also convinced that Schiff acted out of animosity to Russia at the expense of prudent banking practice.⁸⁴ Of all commentators, it is perhaps Suzuki who encapsulates most credibly the idea that Schiff was driven first by the profit motive. ‘As an investment banker’, Suzuki says, ‘[Schiff] seems to have sufficiently assessed the potential of this business’.⁸⁵

Neither Gutwein, Sherman, nor Best use bank records as I do to examine in any detail the extent to which Schiff took care to ensure the bond issues were successful. And, while Smethurst and Suzuki are methodical in their use of banking archives to describe what happened, neither considers the connection Schiff had with Japan. None of these scholars examines the factors that mitigated risk for Schiff.

ANTISEMITISM

In European society, Jews were alternately integrated and treated with prejudice as the whims of the governing classes determined. Benjamin Ginsberg makes the case that, in America, by excluding Jews from their elitist circles, socially, politically, and commercially, the old New England aristocracy minimized the potential to use antisemitism as either an offensive or defensive political tool. Ginsberg contrasts Europe with America in this regard. In Europe he finds that Jews were an important stabilizing influence on the status quo in the nineteenth century, helping to preserve liberal coalitions and proving indispensable as a result. However, this power was resented by the elite, which depended upon it, and antisemitism was used by their opponents against them to ‘unite the upper- and lower-class foes of liberalism and capitalism against the

⁸⁴ Smethurst, *Takahashi Korekiyo: Japan's Keynes*, p. 154.

⁸⁵ Suzuki, *Japanese Government Loan Issues*, p. 99.

bourgeois political order'.⁸⁶ In America, Ginsberg explains, the elite had been successful in eliminating its enemies during the Civil War. What prevailed was an alliance between the new industrialists and the old New England elite, which had no need of Jews and so forced them out from the emerging ruling class. Therefore, as Jews had been excluded from the decision making, Ginsberg suggests they could not be blamed when things went wrong, and so the power of antisemitism in America was less potent than it was in Europe.⁸⁷

Ironically, it was Henry Adams (1838–1918), who held some very antisemitic views, who actively pointed Japan's New York envoy, Kaneko Kentaro (1853–1942), towards the Jews as a solution to Japan's financing problem. Kaneko was the Japanese government's unofficial emissary to America, tasked with promoting Japanese national interests during the war. 'It is the Jews who are making Russia suffer', Adams told Kaneko. 'These days it is necessary for you to win the sympathy of the Jews for Japan'.⁸⁸ Adams' antisemitism was very complex and it is hard to decipher his exact motivation for pointing Kaneko towards 'the Jews'. J. C. Levenson says that 'Henry Adams's antisemitism does not occur as a uniform, determinate, isolable attitude or expression, to be simply classified and easily submitted to judgment'.⁸⁹ Similarly, Adams seemingly harboured an ambiguous antipathy for the Japanese. He had travelled there 'in search for Nirvana' in 1886 following the suicide of his wife, who had been an admirer and collector of Japanese art. Adams' 'monumental expectations of the idealized view of Japan' became to him 'little more than fable', and he 'viciously turned against Japan and people and things Japanese once he realized the folly of his preconceptions'.⁹⁰ In a way, by advising Japan (as yet a second-rate nation) to turn to the Jews (in Adams' eyes another second-rate people) in the guise of providing support, Adams was cynically just pushing two inferior groups to the back of the bus together. But for Schiff, who had built his empire

⁸⁶ Benjamin Ginsberg, *The Fatal Embrace: Jews and the State* (Chicago: University of Chicago Press, 1993), p. 61.

⁸⁷ Ibid.

⁸⁸ Adams as quoted in Matsumura, *Baron Kaneko*, Kindle Edition, 61%.

⁸⁹ J. C. Levenson, 'The Etiology of Israel Adams: The Onset, Waning, and Relevance of Henry Adam's Anti-Semitism', *New Literary History*, Vol. 25, No. 3 (1994), p. 569.

⁹⁰ Daniel A. Mettraux, 'Japonaiserie and Imagined Nirvana: Henry Adams' 1886 Sojourn with Henry Lafarge', *Virginia Review of Asian Studies*, Vol. 14, No. 2 (2012), p. 52.

on the principle of capitalizing ostensibly second-rate railroads neglected by the large family conglomerates, Japan was an international investment opportunity entirely in concordance with his *modus operandi*.

SCHIFF AS A JEW IN AMERICA

Ehud Manor exerts considerable effort in weaving a cynical picture of Schiff, derogatorily referring to him as one of the ‘plutocrats’ throughout his analysis of the *Jewish Daily Forward*, a socialist, Yiddish language newspaper published in New York from 1897.⁹¹ Manor reduces Schiff’s motivations to the idea that he was driven solely by political expedience, contending that Schiff’s focus on Russian immigrants was motivated not by compassion but instead by the desire to pander to a growing voting bloc in order to preserve his own political significance.⁹² Manor frequently includes condescending references to Schiff in his analysis, and he believes Schiff to have been utterly self-motivated with little or no interest in anyone but himself.⁹³

Manor claims that the ‘old veteran elite’, which Schiff exemplifies, opposed immigration because it ‘presented a clear and present threat to the supremacy of the plutocracy’. He dismissively calls Louis B. Marshall (1856–1929, a prominent civil rights lawyer who, with Schiff, co-founded the American Jewish Committee) Schiff’s ‘Sancho Panza’.⁹⁴ Manor believes Schiff’s work to relieve Jewish suffering was non-productive, and he cites it as an example of how Schiff manipulated others—in this case the socialist Abraham Cahan (1860–1951), whom Manor suggests Schiff would otherwise have avoided—to serve his own hold on political power. But Manor does not grasp the significance of the fact that Cahan’s worldview symmetrically complemented Schiff’s in that they both were driven by a profound sense of justice for mankind that perhaps emanated from their common Jewish values, and that they both believed only revolution in Russia would relieve Jewish suffering. Instead, Manor concludes that Cahan drew the ‘do-gooder’ Schiff into his orbit in order to establish the *Jewish Daily Forward* as the ‘left wing

⁹¹ Ehud Manor, *Forward*.

⁹² *Ibid.*, pp. 43–44.

⁹³ *Ibid.*, p. 12.

⁹⁴ *Ibid.*, p. 56.

of an extraordinary coalition'.⁹⁵ In so doing Manor does not appreciate why it was that Schiff above all others served this role so well. Manor's interpretation is derived from the information available in the current historiography, which is lacking. What is little if at all discussed in any interpretative way in the historiography and therefore unavailable to Manor is that Schiff implemented his own political and foreign policy, which transcended all others. He was a political party of one. His mission was defined by a deep-seated religious view of justice that drove his decisions and that, when they dovetailed into unlikely relationships such as the one with Cahan, seemed incongruous to all but Schiff. In this way, Ehud Manor's work affords insight into how the current clouded narrative and historiography of Schiff have misled scholars through their over-simplification. In so doing, Manor's work also helps to illuminate how Schiff's role in Japan has been defined and accepted uncritically and, as important as it was, has largely gone without deeper analysis.

Manor also has little confidence in Schiff's integrity, particularly as it pertained to immigration. But, as Schiff was ahead of the curve in his vision to support Japan, so was he ahead of his fellow German Jewish community in sympathizing with Russian immigrants. Gerald Sorin observes that this community was quick to blame eastern European Jews for a rise in antisemitism and that, being fearful that further mass immigration would only exacerbate the situation and lead to immigrants bringing a vast number of poor dependents along with them, the community initially opposed immigration and even supported the idea of deportations.⁹⁶ Schiff, on the other hand, never took this stance. On the contrary, while his first inclination was towards selective immigration (he never opposed immigration outright as others did), his disgust with the Russian treatment of Jews dominated his approach, which was characterized by a pragmatic response that was never subdued by a concern about related rising antisemitism.⁹⁷

Importantly, immigration was one matter around which the Jewish political bloc first coalesced. Hasia Diner describes the first international Jewish engagement with political mobilization as having been stimulated by the Damascus affair in 1840, saying that this was the point at

⁹⁵Ibid., p. 11.

⁹⁶Gerald Sorin, *A Time for Building: The Third Migration, 1880-1920* (Baltimore: Johns Hopkins University Press, 1992), pp. 9-10.

⁹⁷Cohen, *Jacob H. Schiff*, p. 154.

which the Jewish community of America started to build a political consensus.⁹⁸ Michael Berkowitz describes how the political positions Schiff and his cohorts took on immigration formed among the earliest focal points around which American Jewish politics started to unite into a distinct political platform.⁹⁹ Henry Feingold observes how these positions were often marginalized by the government and consequently served to demonstrate the impotence of Jewish cohesion as a bulwark against the antisemitic claims of Jewish power.¹⁰⁰

In his book *A Midrash on American Jewish History*, Feingold does not discuss the immigration issue as a platform upon which the Jewish community united. He does list several other issues that the broader community agreed upon, representing a coalescence of interests, and he describes how each was neutered by the administration whenever it did not align with the administration's position. Feingold suggests that the reason for the ineffectiveness of a Jewish political position is that it forms only a part of broader national issues—the Jewish part—and that as soon as the Jewish community begins to emphasize it as a priority its opponents rear up with counter-weighting opposition.¹⁰¹

Though he may not have been consciously aware of this dynamic, which comes to us only in hindsight, Schiff's actions stemmed from the environment he experienced and leveraged the resources he had available to him. He was aware that the administration was doing nothing meaningful for the Russian Jews other than providing some window dressing to appease the domestic Jewish community, himself included, so he implemented his own foreign policy directly and specifically in a way that has seldom if ever since been replicated. In addition to lobbying Roosevelt to the extent he could, he created and actively oversaw support to institutions that aided the immigrant community with the

⁹⁸Diner, *The Jews of the United States*, p. 126. See also Jonathan Frankel, *The Damascus Affair: 'Ritual Murder', Politics, and the Jews in 1840* (Cambridge: Cambridge University Press, 1997), p. 311.

⁹⁹Michael Berkowitz, 'Between Altruism and Self-Interest: Immigration Restriction and the Emergence of American-Jewish Politics in the United States', in Andreas Fahrmeir, Oliver Faron, and Patrick Weil (eds.), *Migration Control in the North Atlantic World* (New York: Berghahn Books, 2003), pp. 253–272.

¹⁰⁰Henry L. Feingold, *A Midrash on American Jewish History* (Albany: State University of New York Press, 1982), pp. 193–206.

¹⁰¹*Ibid.*, p. 200.

aim of alleviating their hardships, he sent seditious materials to POWs in Japanese prisons during the war to foment revolution, he encouraged other banking houses not to lend to Russia, and he provided finance directly to the enemy of his enemy, Japan.¹⁰²

Another weakness that Feingold points to, especially concerning the formative years of the 'Jewish lobby', is that seldom, if ever, was there consistency throughout the community on which policy to pursue. The immigration question of the era resonates among historians because, as Berkowitz concludes, it marks one of the formative moments of cohesion in the community around a single policy and so has served to provide historical insight into the broader narrative regarding the development of a political body with distinctly Jewish characteristics.¹⁰³ Diner also sees the era of mass immigration as one during which a Jewish political consciousness developed, and she points to the growth of Marxist socialism, such as that Abraham Cahan subscribed to, and Zionism as the immediate expressions of this awareness.¹⁰⁴ Analysing Schiff in this context is challenging because he devised his own political ideology, separate from but inter-related with others, and so cannot be perfectly described as sitting on one particular camp or another because he stood uniquely alone. Not only was the question of financing Japan a policy unique to Schiff from the Jewish perspective but also his attempts to stultify investment in Russia did not meet with consensus among the broader European Jewish banking community. Thus, far from being representative of the early developments of a Jewish political voice, the question of financing Japan failed and, being of no use to historians from this perspective, has commanded no further investigation.

Feingold describes how the unusually successful German Jewish immigrant community 'were committed Jews who had power and were fairly comfortable with it' and argues that 'Jewish bankers formed a self-conscious social and commercial set, which tried to exercise internal community leadership and to use its economic leverage to influence public policy, especially to ameliorate the condition of Jews abroad'. Schiff, Feingold says, was the most important of these immigrants: he arrived with knowledge of advanced European banking methodology and

¹⁰² Cohen, *Jacob H. Schiff*, pp. 134–137.

¹⁰³ Berkowitz, 'Between Altruism and Self-Interest', pp. 260–261.

¹⁰⁴ Diner, *The Jews of the United States*, p. 90.

provided an extension of it in America; he had access to capital; and, in common with other German Jewish banking immigrants, he had ‘an ethno religious link of shared ethical principles and cultural values [that] was the real foundation of Jewish banking in America’.¹⁰⁵

Feingold explains that ‘Schiff’s attempt to use his financial leverage to influence world events [specifically the tide of the Russo-Japanese War] in a Jewish interest is singular’, and concludes that not since Schiff’s era has there been a generation of American Jews like him.¹⁰⁶ Feingold describes how, particularly in the first three decades of the twentieth century, Jewish influence in American foreign affairs was seldom unified, even when it was counteracted by the non-Jewish political opposition. In either case, it was always submerged as a minor consideration by broader geopolitical concerns at the national level. For the Jewish community to achieve its objectives, Feingold concludes, a pathway through American government is not necessarily productive.¹⁰⁷ The historical perspective on the importance of Schiff’s role in the Russo-Japanese War has in part been a victim of these same dynamics—that is, the fact that from a historical perspective the American government was neutral, Roosevelt won the Nobel Peace Prize for bringing peace to the warring factions, and the greater significance of American foreign policy has overwhelmed the side story of Schiff’s cameo role.

In Jewish historical accounts where Schiff is mentioned, there is a similar tendency, as Feingold describes, to focus on grand movements within the Jewish community (for example, the coalescence of a distinctly Jewish political agenda, issues that drove internal debate, and/or issues that resulted in large gatherings and protest). Schiff was different in that he acted alone in deciding to finance Japan, and the nuances of his motivations have been washed over on the one hand by considerable historical commentary that focuses on events and agendas that intrigued the broader community and on the other by extensive historical analysis of the war itself.

¹⁰⁵ Feingold, *A Midrash on American Jewish History*, pp. 42–45.

¹⁰⁶ *Ibid.*, p. 48.

¹⁰⁷ *Ibid.*, p. 200.

COMPARISON WITH GERMANY

As the historiography of Jews in economic life has developed, so has the trend to interpret what it is to be both Jewish and an economic actor simultaneously. Derek Penslar provides perhaps the seminal history integrating banking and finance with the evolution of Jewish identity. His book, *Shylock's Children*, led the trend in the historiography towards a more critical examination of the interplay between the Jewish sense of identity and how it interacts with a role in the secular world. He approaches the subject in the context of the struggles that historians have had in understanding the treatment of Jews in the economy.¹⁰⁸ Penslar's work delves into every facet of Jewish economic life in Europe, from the most powerful to the most humble roles, and considers how these relative positions in secular society were understood by both the Jewish communities and the gentile communities in which they functioned. Theresa Collins and Ron Chernow explore similar dynamics but with a specific focus on the banking history of ultra-wealthy Jews, respectively Otto Kahn and the Warburgs. Their primary interest is in examining the chronological development of their subjects' banking roles in society, acknowledging the interplay with Jewish identity but seeing it primarily from the perspective of how it affected their subjects' historical trajectories. Penslar, on the other hand, makes the relationship between being Jewish and being an economic actor the defining theme of his thesis. Penslar argues that it is possible to generalize about Jewish attitudes and behaviour in terms of the economy because there was often a relationship between those attitudes and behaviour and Jewish bankers' sense of themselves as Jews. From this interpretation, Penslar says, one can say something about Jewish economic history in the context of Jewish self-awareness. This book complements the works of Collins and Chernow in that it is a synthesis of earlier disparate scholarship, and it moves towards Penslar's interpretation by explaining the relationship between Schiff's actions as a Jew and his actions as a banker during the Russo-Japanese War.

One gap in the historiography is the idea that a banker's sense of Jewish identity might in some way influence his actions and the consequent development of a country. Penslar examines how Jews perceived themselves as a factor in how they interacted with and created their own

¹⁰⁸ Penslar, *Shylock's Children*, pp. 1–9.

economic circumstances. But Fritz Stern seems to be alone in having considered a country's emergence as a world power and its relationship to a Jewish banker. In his book *Gold and Iron*,¹⁰⁹ Stern examines the dynamics between the Jewish banker Gerson von Bleichröder (1822–1893) and his client Otto von Bismarck (1815–1898) during Germany's rise to power in the nineteenth century, and how Bleichröder's Judaism was interwoven with this process. Stern's approach is similar to that used in this book to examine Schiff's contribution to Japan, though the historical circumstances are very different.

Stern's work lends itself to making some useful comparisons between Germany and Japan, particularly in light of the alliance those two countries were to forge in the 1930 and 1940s. For example, in Japan's perception of its position in the world in the decades before the Russo-Japanese War, there are some striking echoes of how Germany perceived itself during the same late nineteenth-century period. Both felt a sense of having fallen behind relative to other nations, and both needed to emerge from traditionally conservative cultural norms as well as to adapt to advancing nations' modernization. In some ways, too, there was a close and unusual degree of similarity between how Bleichröder contributed to the fortunes of his most influential client, Bismarck, and how Schiff contributed to Japan. There are some differences too, of course. Bleichröder contributed over several decades to the fortunes of Bismarck and through him to Germany, and Schiff primarily contributed to Japan only during the Russo-Japanese War. Stern examines the challenge Bleichröder encountered in never really being accepted by the society around him—solely because he was a Jew and despite his power and influence. Jacob Schiff never suffered the same antisemitism in America as did Bleichröder in Germany and certainly experienced none in Japan.

The impact of Schiff's work in Japan was seen as pivotal and acknowledged as such by the Japanese, whereas Germany chose to forget Bleichröder. As Germany in the nineteenth-century left behind its rigid feudal structure and battled to acquire a position as a capitalistic nation of stature in the hierarchy of Europe, so did Japan emerge from deeply entrenched, cultural conservatism and strive to become an equal among the imperialist Western powers. Both, in their own ways, found Jewish bankers to help them on their respective evolutionary paths. Japan found

¹⁰⁹ Stern, *Gold and Iron*.

Schiff. Germany, through Bismarck, found Bleichröder. The Japanese needed to learn from other cultures in order to emulate the best those cultures had to offer. The anachronistically aristocratic Bismarck needed the guidance and finance of his capitalistic Jewish banker, Bleichröder, to help him build Germany into a formidable power. Similarly, Japan needed Schiff, another German Jewish banker, to propel it into its next phase of nation building.

Underneath the veneer of progress that Germany projected lay a 'struggle between democracy and authoritarianism, nationalism and imperialism' that was also found in Japan. These countries would become allies in the first half of the twentieth century, bonding over their newly acquired mutual sense of superiority over other nations and laying bare the brutal aspects of their ascendancy. German Jewish bankers aided the emergence of both Germany and Japan during periods of great hope and promise. However, in both cases, those bankers' roles have largely been forgotten in the aftermath of the barbarism they inadvertently seeded.¹¹⁰

SCHIFF AS A JEWISH BANKER

Schiff's Kuhn Loeb was among a group of New York companies run by German Jewish families that had established themselves as investment bankers and that had arrived in America in the nineteenth century during a steady wave of German emigration. Other protagonists included August Belmont, Joseph Seligman (1819–1880), and James Speyer (1861–1941), among the more successful bankers, and Marcus Goldman (1821–1904), Samuel Sachs (1851–1935), the Lehman brothers, Charles Hallgarten (1838–1908), Alfred Heidebach (1851–1922), Isaac Ickelheimer (1836–1893), Adolf Ladenburg (1855–1896), and Ernst Thalmann (1851–1912) among the second tier. The families of these and other German Jewish bankers socialized together, forming 'a homogeneous elite within but distinct from the larger society of New York City'.¹¹¹

¹¹⁰Penslar, *Shylock's Children*, pp. 128–129. Penslar discusses the influence and dominance of Jewish bankers in Europe. See also Jonathan Steinberg, *Bismarck: A Life* (New York: Oxford University Press, 2011); Stern, *Gold and Iron*, pp. xv–xxiv.

¹¹¹Barry E. Supple, 'A Business Elite: German-Jewish Financiers in Nineteenth-Century New York', *Business History Review*, Vol. 31, No. 2 (1957), p. 144.

Barry Supple notes that, despite the scale of the Jewish banking fraternity, Schiff was one of only twelve key men who controlled post-Civil War finance in America and, among those, was the only non-member of an established New England family. Schiff was unique in this regard, and consequently, his view of the war Japan faced with Russia was also framed from his own unique perspective, one that his counterparts could not see. It was a perspective that overlaid his deep Jewish self-identity with his understanding of the challenges Russian Jews were facing, both at home in Russia and in terms of their integration in America.¹¹²

Supple's work is informative. He examines the motivations of the first wave of Jewish immigrants, primarily German, deeming them to be a search for economic opportunity as much as they were flight from uncomfortable conditions in their homeland, placing Schiff in this category. He describes how many bankers commenced their careers peddling one way or another but states that a few had capital, including Schiff, who 'had a half a million dollars and some experience in extending credits'.¹¹³ Supple is unable to identify a consistent hypothesis as to why Schiff and his contemporaries should have been successful, but does observe that 'they were not concerned with a conspiracy to monopolize the money markets',¹¹⁴ though he does point to Schiff specifically as having had a network of contacts developed in Europe. Supple provides a detailed description of the various factors he believes contributed to the success and power of the Jewish banking elite. Chernow and Collins convey the idea of a secular Jewishness in the banking world. Supple, on the other hand, points directly to religion, noting that Schiff strictly observed the Sabbath; linking this with Schiff's German roots and common language, social interaction, and intermarriage leads to the argument that all these factors contributed to Schiff's success.¹¹⁵ By placing Schiff within a group that is so well defined by a set of common characteristics, Supple provides evidence (in the absence of mentioning Schiff's role in Japan) that Schiff's vision was exceptional and that he stood alone among his peers despite the uniformity and cohesiveness of his community.

¹¹²Ibid., pp. 143–178.

¹¹³Ibid., p. 155.

¹¹⁴Ibid., p. 157.

¹¹⁵Ibid., 163.

THE ROTHSCHILDS

The first name one might expect to see headlining the financing of the Russo-Japanese War is that of the Rothschilds. However, their role is noticeable only in its absence, and Niall Ferguson's provides insight into why.¹¹⁶ Ferguson examines the history of this great banking family in detail, acknowledging their extraordinary banking credentials alongside their Jewish identity and showing how they developed and rose. Schiff was highly conscious of the Rothschilds and appreciated that their direct fraternal infrastructure was a cornerstone of their power and influence. There were five Rothschild brothers, one in each of five European cities, and, although Schiff could never match this, he synthesized it when he got to America, building Kuhn Loeb into a company in which, for the first forty years of his leadership, all partners were related by either marriage or blood. The Rothschilds were born into their dynasty; Schiff built his. This epitomized the opportunity that America offered for Schiff, who would otherwise have been destined to live in a hereditary system that, though it granted him privilege, would always have defined his place in society rather than letting him define it for himself.

Ferguson observes that the Rothschilds ran the largest bank in the world between 1815 and 1914 and yet he notes that their 'failure to establish a strong foothold in the United States—they had little confidence in their self-appointed agent [August Belmont] on Wall Street—proved to be the single biggest strategic mistake in their history'.¹¹⁷ Ferguson's underlying implication is that, had the Rothschilds entered the American market, they likely would have risen to the heights they had attained in Europe, and by extension would probably have left little room for Schiff. From the prosaic perspective of comparative wealth in their respective heydays, the Rothschilds were in a league of their own even in comparison to Schiff. In international connections, the same is also true. While the Rothschilds enjoyed intimacy with heads of state the world over, providing counsel and financial engineering to alter the course of world history as a matter of nonchalant consistency, Schiff's influence was much more modest. Unlike the Rothschilds, who guided and counselled politicians and heads of state, Schiff merely lobbied them. While he was influential politically, his influence was largely confined to

¹¹⁶Ferguson, *The House of Rothschild*, Vol. 1, pp. 1–31.

¹¹⁷Ibid., Vol. 2, p. xxviii.

local governance, though he also consistently had the ear of each sitting American president throughout his lifetime. When Schiff reached out to foreign governments, it was through third parties, sometimes blood relations, but, unlike the Rothschilds, his network was far removed from the kind of fraternity of family bonds that gave the Rothschilds the infra-structural foundation for their power.

The one time in his career that Schiff's influence had the kind of geopolitical impact that routinely characterized the Rothschilds' history was when he financed Japan. Even here though, and in contrast with the Rothschilds' direct coordination with monarchs and heads of states to provide finance where political expediency was most required, Schiff's actions were largely self-driven. He did not plan with Theodore Roosevelt (1858–1909) in the USA or discuss policy with Prime Minister Balfour (1848–1930) or King Edward VII (1841–1910) in the UK, nor did he negotiate a strategy with Prime Minister Taro (1848–1913) of Japan or with Emperor Meiji (1867–1912). Schiff acted solely on the basis of his own independent morality and values, unaffected by and unaligned with anyone and anything but his own political and financial agenda.

Schiff's reputation in America as a leader among Jews was similar to the Rothschilds' in Europe. Howard Sachar identifies Schiff as being 'the tireless patron-protector of his people', arguing that 'Schiff and his relatives and partners at Kuhn Loeb & Co. played the Jewish-leadership role of American Rothschilds or Montefiores'.¹¹⁸ In Europe, the Rothschilds dominated. In America, Schiff did. And, with his role in the Russo-Japanese War, Schiff equalled the Rothschilds' international political influence.

Ferguson's analysis allows us to make some useful comparisons and contrasts between the two houses. Schiff, in the case of the Russo-Japanese War, used his financial power to leverage change at the nation-state level, as commonly did the Rothschilds. Both were concerned about the fate of Jewish communities that fell within their spheres of influence. Some of the Rothschilds believed that a connection existed between their philanthropic altruism with regard to Jewish communities and their success as bankers. They saw their success in banking as divine reward for their philanthropy. Schiff saw instead only a responsibility

¹¹⁸ Sachar, *A History of the Jews in America*, p. 221.

born of his success to serve the less privileged. Schiff's power was independent of political expedience; the Rothschilds' was co-dependent. Whereas the Rothschilds believed their wealth (effect) was a reward for their philanthropy (cause), Schiff saw philanthropy as a responsibility resulting from wealth.

The Rothschilds' power rose to almost mythical levels, with some viewing their influence as being the equivalent of that of a nation-state, of a dynasty without a geographical land of its own. From this grew the deepest of the antisemitic myths, with some believing that the Rothschilds profited only when their investments brought peace and others believing they only profited by fomenting war among the gentiles through their capitalizations. In the underworld of conspiracy theories that abound on the internet, similarly, there are references to a world Jewish cabal controlling, among other things, the world banking system. The bizarre modern ramifications include a belief that the Federal Reserve Bank was created and is controlled by Jews. Schiff was a strong proponent of the establishment of the bank and his partner, Paul Warburg, sat on the original board. There exists today an overlap between 'otherwise opposing hate groups', including libertarians, white supremacists, and the Nation of Islam. Their common ground is 'the scapegoating of Jews', and the Federal Reserve Bank seems to serve as a convenient focal point that unites them all.¹¹⁹

There has been little serious examination of Schiff's role in the Russo-Japanese War as a critical functionary among prominent Jewish bankers. Niall Ferguson, in his two-volume work tracing in minute detail the history of the Rothschilds, barely touches on the Russo-Japanese War loans. He states that it was 'only after war broke out that the Rothschilds took an interest in Japan, participating in a new £5 million loan as part of a consortium led by Kuhn, Loeb and M. M. Warburg',¹²⁰ and, with this one statement regarding the loans and Kuhn Loeb's role in them, he follows the path of earlier historians in putting Schiff at the helm of the underwriting initiative. But, in contrast to Ferguson's assertion, the

¹¹⁹Anti-Defamation League, 'Jewish "Control" of the Federal Reserve: A Classic Antisemitic Myth' (1995), http://archive.adl.org/special_reports/control_of_fed/print.html, accessed 28 December 2014.

¹²⁰Ferguson, *The House of Rothschild*, Vol. 2, p. 396. It is unclear exactly which loan Ferguson is referencing, and emails sent to him requesting clarification have drawn no response.

Rothschilds did not participate in any of the Japanese loans until after the war. There were no £5 million loans issued by the government of Japan after the start of the war, though there was a £10 million loan that was underwritten by HSBC, Parr's, and Yokohama Specie Bank, of which the English syndicate (which led the process) contracted £5 million with Kuhn Loeb and its partners to sell in the USA. The Warburgs did not participate in this loan, and it was only at the point of the third Japanese loan in 1905 (well after the commencement of hostilities) that the Warburgs did participate. Even then it was as part of the consortium built by the same English syndicate in its agreement with the Deutsch-Asiatische Bank to open the German market (an agreement in which the Warburgs took an active role), and the loan was for £30 million, of which £10 million was issued in Germany, with Kuhn Loeb taking £10 million for sale in the USA.¹²¹ In fact, the first time the Rothschilds made any form of direct financial intervention in the war came as discussions of an indemnity reached London. In response to news that Japan was seeking \$1 billion in indemnity from Russia, the Rothschilds magnanimously offered terms by which they would facilitate the financing through Russian bonds, among other securities.¹²²

Despite his erroneous assertion regarding the Rothschilds' participation in the earlier of the Japanese bond flotations and his resulting omission of their actual participation in the fifth Japanese loan (engineered at the end of 1905, after the war, to consolidate the earlier, more expensive loans), Ferguson does provide a deep and thorough overview of the political factors weighing on the Rothschilds in their operational calculations at the time.¹²³ The French, he tells us, had developed an intimacy with Russia since as early as 1880 that was predicated on the two countries' mutual distrust of 'Germany between them and Britain all around them', and on the synergy that, while France was a capital exporter, Russia, with a burgeoning industrial sector, was a capital importer.¹²⁴ However, there were systemic problems on both sides that served to delay their developing a closer alliance, in the form of France's financial

¹²¹ Chernow, *The Warburgs*, pp. 110–111.

¹²² Morinosuke Kajima, *The Diplomacy of Japan, 1894–1922, Vol. 2: Anglo-Japanese Alliance and Russo-Japanese War* (Tokyo: Kajima Institute of International Peace, 1978), p. 220.

¹²³ Ferguson, *The House of Rothschild*, Vol. 2, p. 374.

¹²⁴ Ibid.

markets' susceptibility to weakness and Russia's delay in adopting the gold standard. There was also instability in the price of Russia's bonds, which further stunted confidence in its credit. Diplomatic and political challenges added another layer of complexity, and the rise in Russia of the notoriously antisemitic Alexander III upon his father's assassination in 1881 led the Rothschilds to begin discussions about what steps to take to improve the lot of Jews in that country. They were direct about their consternation and outwardly linked their displeasure at the treatment of Jews in Russia with their refusal to promote further business with the Russian government, despite having hitherto been Russia's default banking option in France. Ferguson indicates that both the Paris and the London houses adopted this policy of muted engagement with the Russian government precisely because of its ill-treatment of Jews and that this pattern continued unbroken for some years.¹²⁵

Ferguson explains that cultural and diplomatic factors created conditions in which the French Rothschilds were more susceptible to the Russian government's position than other Rothschild branches. The Russian government, he says, indicated that, rather than being responsive to a boycott of its financing requirements, it would look more kindly on examining solutions to Jewish issues if Russia received support in financial matters. As a consequence of these factors, the French Rothschilds spent the 1880s again building relations with Russia through various forms of financial activity that in the early 1890s they used once again to leverage advantage for their co-religionists in Russia.¹²⁶

The Rothschilds were, Ferguson shows, legitimately outraged by the antisemitic barbarity they saw in Russia and were proactive in their decisions to demonstrate this outrage, in mid-1891 withdrawing from negotiations for a new loan that they had been widely expected to take. Ferguson describes how other more prosaic factors caused the Rothschilds to blow 'hot and cold toward Russia', and outlines how they returned to being positively inclined to provide finance with the appointment as finance minister of Count Witte, whose wife was Jewish and whom they felt would be sympathetic once again to assisting in alleviating the plight of Jews in Russia in response to a positive attitude on

¹²⁵Ibid., p. 377.

¹²⁶Ibid., p. 379.

their part to providing finance.¹²⁷ To reduce their motivations to being driven primarily by the Jewish question would be to over-simplify, and, quite apart from the economic benefit of issuing loans to Russia, there was hope that Witte would finally put Russia on the gold standard, a step that the Rothschilds fully supported not only because it would provide greater security for Russian issues but also because they had vast gold-mining interests.

Ferguson provides some valuable insights into the reasons why the Rothschilds were not involved in any lending to Japan prior to the end of the Russo-Japanese War (other than a railway loan they had issued in 1872 together with Barings that had not led to further transactions for the Rothschilds), despite Japan being ‘the most economically dynamic and self-consciously “Western” of all the Asian countries’.¹²⁸ Britain’s secretary of state for foreign affairs, Lord Lansdowne, who had signed the Anglo-Japanese Alliance of 1902,¹²⁹ vigorously asserted that Britain thought it important that Japan’s quest for loans should find its conclusion on the London markets.

The reasons for the Rothschilds’ failure to take up the Japanese business were threefold. The first reason was that the alliance rendered irrelevant the need for Anglo-German rapprochement, a condition the Rothschilds had been seeking for some time. Another reason was that they miscalculated the chance that Japan would engage Russia in war, not contemplating that the Anglo-Japanese Alliance might have emboldened Japan in its territorial disputes with Russia. The third factor was that at the onset of war the Paris Rothschilds engaged in considerable efforts to shore up the collapsing Russian bonds, an occupation that became increasingly urgent with every defeat the Russians suffered. At the same time, however, the London Rothschilds were expressing absolute opposition to supporting the Russian government, whereas their

¹²⁷Ibid., p. 381.

¹²⁸Ibid., p. 395.

¹²⁹The Anglo-Japanese Alliance afforded mutual recognition of each country’s interests in China and Korea and gave mutual assurance that each could act with impunity in defending its interests should aggression from other countries or internal disturbances emerge. At the same time, it pledged military support in the event other powers should attempt to intervene. Essentially this created a Japanese bulwark shoring up Britain’s interests against Russia by leveraging the complementary interests of Japan in China and Korea while at the same time precluding Russia’s French allies from stepping into support Russia in the event of war with Japan because doing so would have meant war with Britain also.

opposition to Russia was based on Russian perfidy with regard to the treatment of Jews, the French house still retained a lingering sense of patriotic duty to support their government.¹³⁰ In short, the Rothschilds were bogged down in a complicated political web of relationships and loyalties that paralyzed their actions, whereas Schiff, maintaining his own independent vision of how to influence foreign relations, was able to act completely free of such handicaps.

In fact, in contradiction to Ferguson's coverage on this point, it was only *after* the war that the Rothschilds participated in a loan to Japan, one of which was at the tail end of 1905 that was geared in part to retiring the earlier, more expensive 6% issues of 1904. While the Rothschilds acknowledged the role of Kuhn Loeb in triggering the loans, their tone, as quoted by Ferguson, was distinctly one of sarcasm. Schiff, Natty Rothschild said, was a welcome guest in Tokyo who had 'incense... poured on his devoted head', and 'his dear nephew Warburg at Hamburg', who for his role in issuing the loans in Germany 'resemble[d] the frog in the fable & [was] swollen up with vanity & the belief in his own power to control the European markets, & interest all big houses in any & every syndicate'.¹³¹ Natty Rothschild's comments reflect less Schiff's role in persuading the markets to buy into the Japanese loans and more Rothschild's consternation at Schiff's role as the key protagonist who was likely to be at the forefront of relations with this new-found power in the East. This dismissive and condescending response to Schiff's accomplishments in Japan also serves as evidence of the restrictive hierarchical community Schiff had experienced growing up and had chosen to leave behind when he left for America as a young man.

Returning to the differences between the houses based on sheer scale, books and movies have been based on the Rothschilds. The same cannot be said of Jacob Schiff, with two exceptions. In the first, the great P. G. Wodehouse referenced the loans in his book *Psmith in the City* in a passage worth quoting in its entirety because it represents the bulk of the fiction written about Schiff, even including tangent references: 'When the business of arranging a new Japanese loan was given to the New Asiatic Bank, its employees did not stand on stools, and cheer. On the contrary, they thought of the extra work it would involve; and they

¹³⁰ Ferguson, *The House of Rothschild*, Vol. 2, pp. 395–396.

¹³¹ *Ibid.*, p. 396.

cursed a good deal, though there was no denying that it was a big thing for the bank'.¹³²

The second exception to this rule is provided by the Yiddish writer Solomon Rabinovich (1859–1916), who wrote under the pen name Sholem Aleichem. Rabinovich implored the American Jewish banking community to avoid lending to Russia during and after the Russo-Japanese War. He couched his plea in a story directly referencing the war's protagonists but disguising their true identity to avoid Russian censorship. Rabinovich's ostensibly fictional story originally passed Russian censorship restrictions only to be added to the list of banned materials once the authorities realized it actually depicted a crude and brutal Russia pitted against a sophisticated Japan supported by America. Rabinovich extended his 'authentic Jewish' characterization of the war in a letter he sent to a friend in New York asking the friend to work to prevent American bankers from financing Russia lest their funds lead to further depredations upon Jews in Russia. In this view, Rabinovich's position was consistent with Schiff's in rejecting the idea that Jewish support of the regime would bring about positive change, a view that both held was one of appeasement rather than rapprochement. Rabinovich's story added the ironic dimension, not directly addressed by Schiff, that Russian Jewish soldiers were sacrificing their lives in a war on behalf of a nation that repressed them and their families against an army directly supported by a Jewish protagonist whose motivations included protecting them from the forces for which they were fighting.¹³³

BARINGS

Philip Ziegler, in writing about the House of Barings in his book *The Sixth Great Power: A History of One of the Greatest of All Banking Families*, states in the opening sentence of his book that 'the Barings were not Jews'.¹³⁴ The inference is that, stereotypically, only Jews made up the powerful banking families of pre-war times and that, by extension,

¹³²P. G. Wodehouse, *Psmith in the City* (New York: Penguin, 1971), p. 116.

¹³³Ber Kotlerman, 'Sholem Aleichem vs. The Czar', *Haaretz* (5 October 2012). Kotlerman does not mention in his article that Sholem Aleichem is the nom de plume of Solomon Rabinovich.

¹³⁴Philip Ziegler, *The Sixth Great Power: A History of One of the Greatest of All Banking Families—The House of Barings, 1762–1929* (New York: Alfred A. Knopf, 1988), p. 13.

only the Rothschilds were relevant. Though he does not say it, perhaps Ziegler is projecting a sense that Barings was besieged by Jewish banking houses. Barings certainly retained that peculiarly English characteristic of maintaining an outwardly polite and dignified disposition in the presence of (or in association with) Jews, but with an underlying thread of prejudice concealed underneath. For example, Barings' Gaspard Farrer (1861–1946) directly represented Kuhn Loeb's interests in London as one of its powers of attorney for the Japanese loan issues. He was presumably therefore a commissioned beneficiary of Kuhn Loeb's work and respected for those efforts in the USA. Farrer is quoted from a 1907 letter he wrote regarding a candidate Barings had identified in its search for a revitalizing new American partner as saying, 'Are his New York colleagues of the usual repulsive Jewish type, or are they men with whom it would be possible for you or us to work?'¹³⁵

At the same time, Ziegler acknowledges a similarly stereotypical albeit respectful admiration for Jewish intellect in quoting from a letter Farrer wrote to Hugo Baring in New York in 1904 in which he says that 'we cannot hope to vie with these nimble Jews in point of brains and sharpness'.¹³⁶ Barings was not alone in its stereotyping of Jews, though some of its members were less guarded in their dislike of Jews, including notably J. P. Morgan, whom Barings' Lord Revelstoke reported had 'inveighed bitterly against the growing power of the Jews and of the Rockefeller crowd and said more than once that our firm and his were the only two composed of white men in New York'.¹³⁷ Mark Metzler also points to a kind of institutionalized antisemitism, stating that 'the rivalry [between Morgan and Schiff] was ethnic as well as commercial: The German–Jewish Schiff was viewed as an upstart by the Anglophile Morgan firm, where antisemitism was a deep and self-conscious part of the corporate culture, reflecting the pervasive prejudice of the US eastern establishment of the time'.¹³⁸

After his succinct opening, Ziegler provides some useful background to the role that Barings took during the war and how it became the conduit between Schiff and the English syndicate. Handicapped (like the

¹³⁵ Ibid., p. 299.

¹³⁶ Ibid., p. 300.

¹³⁷ Ibid., p. 296.

¹³⁸ Metzler, *Lever of Empire*, p. 46.

Rothschilds) by political complications, in order to avoid offending its valuable and important Russian clients while at the same time taking a position in the lucrative business with the efficient and industrious Japanese, Barings (Ziegler tells us) 'persuaded Schiff of Kuhn Loeb to take up a £5 million loan and charged a ½% commission for the introduction'.¹³⁹ However, although Schiff did hear of the opportunity through Barings, Schiff's networks were more sophisticated than Ziegler suggests and it is almost certain that he had heard of the opportunity before it was brought to him through Barings. The distinction is that when Schiff first became aware of the Japanese government's interest in floating bonds there was as yet no mechanism for him to execute on the proposition. In early February 1904, a Japanese government representative contacted New York bankers on a reconnaissance mission to determine what the market temperature was for such a loan. Though he may have known of Japan's need for funds earlier, Schiff likely was aware of these investigations at that time and started to actively consider the possibility for Kuhn Loeb.

By the time Barings became involved some weeks later, Schiff had been approached by it through National City Bank and a syndicate was already developing in England that lent substance to what previously had only been theoretical, and as a result, Schiff accepted Barings' role as an intermediary. This allowed Barings to represent Kuhn Loeb as its agent and attorney in matters pertaining to these issues, and Barings was paid a substantial fee in the process, though Ziegler does not comment further in this regard. For Barings, this was something of a coup. It was able to secure an important role in the issue of the Japanese loans, receiving considerable compensation for doing so; and, by doing it out of public view, Barings was able to preserve lucrative relationships with its Russian clients.¹⁴⁰ Barings had to be particularly careful in handling Russia, in large part due to its extensive activities with the Russian railways and 'long enduring relationship' with the Russian government, and this despite the heavy reliance Russia had on the French capital markets.¹⁴¹

Ziegler paints an interesting backdrop to the role Barings played, first reflecting upon the banks' sensitivities to intruding on other

¹³⁹ Ziegler, *The Sixth Great Power*, p. 312.

¹⁴⁰ Ibid., pp. 311–312.

¹⁴¹ Ibid., p. 311.

financiers' territories in the labyrinthine network of relationships throughout Europe. Not wanting to step on anyone else's toes, Barings, Ziegler explains, acted to avoid incurring 'the hostility of the Jewish Houses', for example by eschewing business in Spain or, in contrast, by proactively including the Rothschilds in a London offering where circumstances might make such a gesture 'politic and expedient'.¹⁴² Similarly, in a turn of events not mentioned by Ziegler, Barings believed it prudent to include Speyer Brothers in a substantial share of the second 6% series, even though Speyers had crudely muscled into the negotiation with threats to compete directly at better rates than the existing syndicate if not granted 'ground floor' privileges.¹⁴³ Speyers' actions were considered a breach of protocol in the context of an informal code of conduct at the time not to interfere with another bank's clients.¹⁴⁴ Writing to Cassel in April 1905, Schiff described how, nevertheless, the relationship with their Japanese client was secure:

I cannot however avoid mentioning the loyalty of M. Takahashi, the Japanese Commissioner, and of the Japanese Government. In the face of the beautiful siren song of Speyers and the Deutsche Bank group, M. Takahashi did not leave the London group or ourselves in doubt for a moment that he would do everything possible in order to do business with us, and when directly after his arrival in London we made definite offers to him, they were ratified in Tokyo within two days, and negotiation was closed.¹⁴⁵

Barings had begun to develop an affinity for Japanese efficiency and industriousness in 1898, when it had contemplated a £1 million loan

¹⁴²Ziegler, *The Sixth Great Power*, p. 310.

¹⁴³'Telegram to Kuhn Loeb & Co., New York, Sent 17 October 1904' from Revelstoke, BA: PF200187 HC 6.1.32.

¹⁴⁴See 'How Great Loans Are Sold', *Commercial West*, Vol. 7 (15 April 1905), p. 25. See also Susie K. Pak, *Gentlemen Bankers: The World of J. P. Morgan* (Cambridge, MA: Harvard University Press, 2013), p. 20; *Money Trust Investigation: Investigation of Financial and Monetary Conditions in the United States Under House Resolutions 429 and 504 Before a Subcommittee of the Committee on Banking and Currency*, Parts 1–29 (Washington, DC: Government Printing Office, 1913), p. 103 (evidence provided to the Pujo Committee by Francis Hine, president of the First National Bank of New York) and p. 104 (evidence of Jacob Schiff).

¹⁴⁵Letter from Schiff to Ernest Cassel, 4 April 1905, JSP: Reel 687.

to the Nippon Tetsudo Kaisha (Japan Steel Company) of Yokohama. Ziegler quotes from a letter to Walsh Hall of Yokohama, an influential American trading company in Japan and presumably one that had facilitated introductions to Nippon Tetsudo for Barings while in that country, saying that 'it has been gratifying to us to have the opportunity of learning the details of such a well-managed business'. Ziegler goes on to quote that Barings found that 'the accounts seem to us to be kept in a manner which merits warm praise'. Four years later, in 1902, together with HSBC, Barings underwrote a £5.1 million loan to finance railway construction; as Ziegler observes, this loan 'proved a great success, applications pouring in from members of the public who were remote from the City but for some reason warmed to the idea of Japan. The issue was four times oversubscribed'.¹⁴⁶

Barings had, in short, discovered a new territory for which there were few historical preferential claims by competitor firms. Japan had a growing economy, was expanding its reach internationally, was on the gold standard, and most importantly was increasingly in need for capital. Barings had had positive experiences working with the Japanese and held their business practices in high esteem. For Schiff, these were good references for an otherwise untested new client. This was an important factor in his careful underwriting of the risks of lending to the Japanese government. On their own, Barings' insights may not have been enough to warrant making loans to Japan on the vast scale that Schiff did; but, as part of a sophisticated picture of analysis that Schiff employed, they were a contributing factor.

It was inconvenient for Barings that, at the beginning of the twentieth century, Russia and Japan were heading for war over their conflicting interests in Korea and Manchuria. Uncharacteristically for Ziegler, whose general tone is neutral, he chooses to interject the idea that Japan 'Pearl Harbored' Russia by striking at its fleet in Port Arthur without the courtesy of first declaring war.¹⁴⁷ The point he is making is that war, not peace, prevailed, and Barings had to find a way to ensure that its own interests would not become mutually exclusive for either of these two important clients, the old and the new.

¹⁴⁶Ziegler, *The Sixth Great Power*, p. 311.

¹⁴⁷Ibid.

Barings, Ziegler tells us, was split into three minds. One expected 'business of an attractive nature'¹⁴⁸ from the onset of war as Japan started circulating its need for finance. The second was concerned with the problem that providing finance to Japan would run the risk of impacting Barings' otherwise productive Russian lines of business. A third group took issue with Barings' general support of Japan and increasingly close ties with that country. The French banks were similarly disarmed by their own relationship with Russia, though they expressed little doubt that the risks of lending to the Japanese were within acceptable thresholds. In the end, and having consulted with the British government, which expressed no objection to the Japanese loans being offered, Barings decided to adopt a policy of neutrality, at least on the surface.

Ziegler curiously asserts that 'the Jewish houses, delighted that anyone should be at war with Russia, which had pursued a rabidly anti-semitic line for so many years, were more than ready to take on the loan'.¹⁴⁹ It is a curious assertion because, in fact, the only banks to take on the loan in the first instance—HSBC, Parr's, and Yokohama Specie Bank—were decidedly not Jewish houses. Furthermore, of those houses, only Kuhn Loeb subsequently came to the party, and that was only after Schiff had conducted an extensive review of the opportunity that culminated with a personal interview with Japan's chief representative, Takahashi Korekiyo. Ziegler characterizes Barings as something of the puppet master behind the loan issues, as it declined to appear on the prospectus out of a concern to protect its relationships with its Russian clients but 'undertook the negotiations with Kuhn, Loeb, Warburgs in Berlin and Rothschilds'. Ziegler states that Barings 'emerged with a profit of £110,000, having earned the gratitude of the Japanese and left untroubled their relationship with the Russians'.¹⁵⁰ Barings even managed to extract a little bonus from the war by 'financing the ships that brought the troops back to Europe'.¹⁵¹

Ziegler goes on to describe the almost immediate turnaround of fortune for the Russians after the war, despite their crushing defeat, and

¹⁴⁸ Revelstoke to Noetzlin, 19 February 1904, as quoted *Ibid.*, p. 311.

¹⁴⁹ Ziegler, *The Sixth Great Power*, p. 312.

¹⁵⁰ *Ibid.*

¹⁵¹ *Ibid.*, p. 315.

outlines Barings' role in underwriting a colossal £89 million issue in 1906, after the ramifications of the failed revolution of 1905 had died down. The Jewish houses, he notes, were disappointed to see such grandiose support of the tsarist regime in light of its continued intransigent refusal to alleviate the difficulties of the country's Jewish population, although the Rothschilds expressed concern in economic terms also, doubting the prudence of issuing so large a loan.¹⁵²

CONCLUSION

There are a few reasons why this era of Schiff's life has hitherto escaped critical examination. Historians have focused on a mixture of liberal and conservative issues that consumed the broader Jewish community, such as immigration and civil rights, whereas Schiff's independent decision to finance Japan was not openly discussed or debated. Schiff's drive to finance Japan was reported *ex post facto* by the economic press for its financial significance, with what became stereotyped fleeting references to Schiff's enmity for the tsar. Jewishness, in the sense of a specific value system driving an economic decision with a political overlay, has not necessarily been a theme within analyses of notable banking houses.

In the pre-Holocaust decades, the dominant theme of the Jewish historical focus was the pogroms of Russia. Assigning this as a simple reference point for Schiff's actions has been consistent with the prevalent narrative of the era. But Schiff had confidence in and admiration for Japan, and he had ambitions for future business. Maybe this connection has gone unnoticed because it has not occurred to historians—who have interpreted history backwards, starting with Pearl Harbor and reversing into Japanese war-time and colonial atrocities—that Japan could be anything other than an aggressor.¹⁵³

¹⁵²Ibid., p. 314.

¹⁵³John Dower discusses the idea that historians have reflected upon Japan's actions in World War II as being peculiarly Japanese and that Japan's defeat of China and Russia and its subsequent annexation of Korea were precursors to this unique characteristic. However, he goes on to describe this as being in fact a Western characteristic and by extension one that Japan adopted in its attempt to emulate Western culture, politics, and power. See John Dower, 'Visualizing the Russo-Japanese War', *MIT Visualizing Cultures* (5 March 2012), <http://video.mit.edu/watch/john-dower-visualizing-the-russo-japanese-war-3512-11920>, accessed 28 December 2014.

But perhaps the most telling explanation for the historiographical void in examining Schiff's war is that, from his perspective, it was so dreadfully unsuccessful in almost every regard. Certainly, on the face of it, Japan won a war at a pivotal juncture for the country, becoming a world power and the first industrialized, colonial Asian nation in modern history. Schiff had a vital influence on that result by contributing to the country's financial foundation, and, in so doing, Schiff and everyone else involved, including the Japanese, profited. But for Schiff, as much as he wanted to believe in Japan and its people, the results he saw were not as he had intended. The pogroms did not stop but actually intensified. The Japanese inverted the dignified morality that Schiff in his mind's eye had bestowed upon them, turning out to be brutal colonial occupiers. The aspirations behind his financing of Japan's growth never materialized in any meaningful way. He never again influenced in the same way the future of nation-states. He was humbled by the experience in the sense that nothing subsequently was quite as directly and solely in his hands as was the decision to finance Japan.

To expand on this theme, Gary Dean Best's somewhat harsh conclusions about the later life of James H. Wilson, the man who first introduced Schiff to the beauties of Japan and the opportunities that presented there, are illustrative.¹⁵⁴ Wilson was best known for having revolutionized the Union Cavalry as one of Ulysses S. Grant's (1822–1885) generals. In his post-war civilian life, Wilson became involved in railroad construction and engineering, and in international travel.¹⁵⁵ Best describes how Wilson was a man with grand ideas but with neither financial nor political capital to execute them, and so Best finds him to have been an 'unimportant and unsuccessful figure', and consequently worthy of being disregarded by historians.¹⁵⁶ Of course, Jacob Schiff can hardly be described as being unimportant or unsuccessful. However, historians have largely avoided examining the intricacies of his role in the Russo-Japanese War. Perhaps this is because the idea of Japan that the country pursued after the war diverged so far from that which Schiff anticipated that it has caused the original 'grand idea' itself to go unnoticed.

¹⁵⁴Gary D. Best, 'Ideas Without Capital: James H. Wilson and East Asia, 1885–1910', *Pacific Historical Review*, Vol. 49, No. 3 (1980), p. 470.

¹⁵⁵See Edward G. Longacre, *Grant's Cavalryman* (Mechanicsburg: Stackpole Books, 2000).

¹⁵⁶James A. Field Jr. quoted in Best, 'Ideas Without Capital', p. 470.

Schiff's plans in Japan can be compared with Wilson's plans to finance the railroads of China despite the fact that he did not actually have any financial backing: Schiff's heavily financed plans to change the fate of Jews in Russia through financing Japan had only his backing because the support he generated from the countless buyers of his bonds was predicated on economics, not political justice. Wilson and Schiff were alike in the sense that neither had the capital (economic in the case of the former, political in the case of the latter) to see their goals realized. Wilson was a strong proponent of expansionist policies for America in Asia, and Schiff was a proponent of alleviating the burden on Jews in Russia. Neither had the support of their government: America did not take the expansionist path that Wilson would have liked, nor did it respond to Schiff's plea to help to alleviate the pogroms in Russia. Like Wilson, Schiff has been overlooked by historians for his failure not only to win support but also to effect the changes he sought.

Following the war, the next notable triumph in Schiff's life was a matter involving Russia's refusal to issue visas to American Jews. It is likely that most Jews would not have had a problem with leaving Russia with the prospect of no return. However, this action by the Russian government specifically precluded Jews from an 1832 treaty guaranteeing reciprocal trading rights between the Russia and America.¹⁵⁷ Schiff squabbled with President Taft (1857–1930) over the matter and prevailed in his goals, but not before mobilizing a national Jewish lobby in support of the objective.¹⁵⁸ In short, while he still retained power and influence, he had to rely upon consensus and mobilization to achieve his goals, whereas in financing Japan, the zenith of his career, all the power had been vested directly in him.

As much as Schiff's financial and Jewish worlds intersected in his role in helping Japan, so were they a confluence of his American nationalism and his Jewish morality and ethics. George Kennan (1904–2005) observed that America 'tends to underrate the role of raw power, and overrate the role of law and morality'¹⁵⁹—a phenomenon that Feingold calls the 'illusion of civilization' and that he describes as being a trait

¹⁵⁷Cohen, *Jacob H. Schiff*, pp. 144–150.

¹⁵⁸Sachar, *A History of the Jews in America*, pp. 229–232.

¹⁵⁹Kennan as quoted in Feingold, *A Midrash on American Jewish History*, p. 206. The George Kennan referenced here was a distant cousin of the George Kennan that Schiff sent to Japan to deliver propagandist materials to Russian POWs during the war.

particularly prevalent among Jews engaged in foreign policy.¹⁶⁰ Schiff was so focused on what he saw as the immorality of Russia's treatment towards Jews that he failed to heed the voices that expressed concern about the threat of a rising Japan. Derek Penslar states that Schiff was aware of Japan's 'expansionist designs upon the Far East' but 'that they did not trouble him, as they did not entail the persecution of Jews'.¹⁶¹ In fact, Schiff strongly believed that the Japanese were a civilized and sophisticated people and so, while Penslar may be right that Schiff did not see any threat to Jews in Japan's political aspirations, he also did not see any threat to anyone else in the same way he saw the Russian threat to Jews.

That said, Schiff did understand that Japan had a history of belligerence in China and Korea, but he was willing to overlook this because he believed the business benefits to Asia justified Japan's policy.¹⁶² No one could have foreseen how Japan would take to colonialism with so brutal an embrace as it did; however, in pursuing raw power in support of the moral high ground and in turning a blind eye to Japan's aggressive colonialism, Schiff might be said to have ended up instead seeding a Japanese despot who was equally as terrible as the despot he had seen in Russia. Schiff tried as much as he could to enforce his sense of moral justice on Russia, but in doing so he helped to create another immoral force and failed to resolve the very issue he had aimed for. History has focused on the aftermath and in a sea of irony has overlooked the ambition and intent that preceded it.

The theory of financial imperialism provides another hint, albeit ambiguously, at why Schiff may have been overlooked in the historiography. Mark Metzler describes how at the time of the Russo-Japanese War one of the motivators of European imperial aspirations was a desire by the colonizers to export their excess capital.¹⁶³ However, this theory could not be applied to Japan because, as a newly minted colonial power, the country was initially financed through debt and not through internally generated excess capital. Having been a provider of Japan's debt, Schiff's role could be of no value and was therefore overlooked

¹⁶⁰ Feingold, *A Midrash on American Jewish History*, p. 206.

¹⁶¹ Penslar, *Jews and the Military*, p. 147.

¹⁶² Adler, *Jacob H. Schiff*, Vol. 1, pp. 234–236.

¹⁶³ Metzler, *Lever of Empire*, p. 49.

by historians looking for examples of where excess capital drove empire. Additionally, America was still a hungry consumer of foreign capital and not yet in oversupply, as the theory requires, so Schiff's production of capital for foreign markets was anomalous, not accretive on its face, to the main focus of historians of America in this era: domestic economic development.

Finally, in a telling example of the impact that Cyrus Adler's biography of Schiff has had on the historiography, and how it bent the narrative towards a 'Jewish motive' for Schiff, John Albert White, writing about the diplomacy of the Russo-Japanese War, uses two key sources to describe Schiff's role in Japan's war loans.¹⁶⁴ White's first citation is an article carried in *The Annalist* published in 1920 that details Schiff's war loans as the genesis of America's world financial hegemony, and the other is Adler's biography, published in 1929. *The Annalist* article is, as far as I can tell, unique in the historiography in that it is a reasonably detailed piece that focuses entirely on the impact of Schiff's financing role during the Russo-Japanese War without mentioning his Judaism or even the word 'Jew' once. The closest it gets is to reference Schiff's 'charities', and, when it is not making the case for Schiff's loans to Japan marking America's entry into the world of international finance, the article affords him credit only pertaining to his railroad financing and restructuring.¹⁶⁵ White cites this article and manages to come to precisely the right conclusion: that, 'once they [Schiff] had decided that Japan was an acceptable financial risk, they gave her as much help as they could'.¹⁶⁶ But then, citing Adler, White goes on to make the resulting counter-intuitive assertion that Schiff and Takahashi had 'met by accident... at a dinner given by Arthur Hill' and that the loans were concluded as a result. White then repeats the Takahashi memorandum quoted in Adler's biography that references Schiff's animosity to Russia because of the country's treatment of Jews and his desire to see Russia defeated to 'bring about better conditions in Russia'.¹⁶⁷

¹⁶⁴John A. White, *The Diplomacy of the Russo-Japanese War* (Princeton: Princeton University Press, 1964).

¹⁶⁵'Jacob H. Schiff: The Pioneer of American Foreign Financing', *The Annalist*, Vol. 16, No. 404 (1920), pp. 452–454.

¹⁶⁶White, *The Diplomacy of the Russo-Japanese War*, p. 168.

¹⁶⁷*Ibid.*, p. 169.

In short, White's analysis epitomizes the historiography of Jacob Schiff's financing of Japan during the Russo-Japanese War. He understands that Schiff accounted first and foremost for financial risk, but then his discussion of this critical factor is washed over by the counter-intuitive mythology that a dinner conversation was sufficient to encapsulate Schiff's due diligence of the risks. This book resets that story.



CHAPTER 3

Jacob Schiff and His Cohort

The area of Frankfurt where Schiff was born in 1847 was the epicentre of the Jewish community in that city, and, due to restrictions on Jewish ownership of property, houses had historically been partitioned to allow for multiple families to live under one roof. Intriguingly, a property his family had occupied a century before Schiff was born had also been owned and lived in by an earlier generation of the Rothschilds.¹

Schiff's father, a stockbroker, was strictly observant in his Jewish practice, and his children followed his example. Schiff found the environment his father created oppressive enough for it to factor in his eventual departure for America. His childhood education, at the Israelitische Religionsgesellschaft, part of the Jewish Religious Association of Frankfurt (which his father co-founded), was formed in response to encroaching Reform Judaism. It combined strict adherence to Jewish religious observance with secular learning, including, in all likelihood, languages such as English and French.² Schiff left school at age 14. He was apprenticed at a local mercantile business before working for his brother-in-law's banking firm until his departure for America in the summer of 1865, at the age of 18.³ The journey lasted upwards of four

¹ Adler, *Jacob H. Schiff*, pp. 1–6.

² Cohen, *Jacob H. Schiff*, p. 2.

³ Ibid., p. 3. Cohen does not state which brother-in-law or which banking firm.

weeks, and he arrived in New York in early August that year. Schiff was met upon his arrival in New York by William Bonn (died 1910), also formerly from Frankfurt, who was to become a partner at Speyer Brothers; the two men formed a lasting friendship.

Schiff's first position in New York was as a clerk at Frank and Gans, a brokerage, where he was involved in US government bond transactional work. At the end of 1866, he co-founded Budge, Schiff & Co. with Henry Budge (1840–1928), also a Frankfurt Jew, but the company dissolved in 1872 with the departure of Budge due to the death of his father.⁴

Schiff returned to Germany once Budge, Schiff & Co. had been shut down and after having attained US citizenship. There he was invited by Moritz Warburg (1838–1910) of M. M. Warburg & Co. to take up a position in Hamburg. The job was short-lived as Schiff's father died only a few months after the appointment in 1873, and Schiff returned to Frankfurt, where he met Abraham Kuhn (died 1892), a senior partner at the firm Kuhn, Loeb & Co. (which had been founded in New York in February 1867). Kuhn invited him to return to New York and to take up a position with the firm. Schiff started in this position on 1 January 1875. Five months later, in May of that year, he married Therese Loeb, the eldest daughter of Kuhn Loeb co-founder Solomon Loeb, whom he had met two years earlier. They were to have two children, Frieda (1876–1958) and Mortimer (1877–1931).

By the time Schiff entered the company, Kuhn Loeb had established itself by concentrating on US government and railway bonds in the aftermath of the Civil War as the country rebuilt. In 1885, upon the retirement of Solomon Loeb as the sole remaining original partner, Jacob Schiff was left at the helm of Kuhn Loeb some ten years after joining. As the firm grew, family relationships were integrated into the company and close relatives were groomed for leadership positions. This established the foundation of leadership at Kuhn Loeb. Solomon Loeb's son, James (1867–1933), joined the firm in 1894, as did Louis Heinsheimer (1859–1910), a nephew of Solomon. In 1897, Felix Warburg (1871–1937), who had two years earlier married Schiff's daughter and was also the son of Moritz Warburg, entered the firm. Otto Kahn, who had married the daughter of Abraham Wolff (1839–1900), one of the original partners

⁴Redlich, *The Molding of American Banking*, Vol. 2, p. 386.

at Kuhn Loeb, also joined the firm at this time. Kahn remained Schiff's right-hand man until the latter's death in 1920. Kahn also had a German banking background and brought with him deep English, German and US banking experience. Schiff's son, Mortimer, entered the firm on 1 January 1900, and in 1902, Paul Warburg left his partnership position at M. M. Warburg & Co. and entered employment at the firm.

Emulating the family structure that Schiff saw had given the great banking houses of Europe their formational integrity, Schiff ensured that 'from 1869 through 1911 [Kuhn Loeb] had no partners who were not related to Solomon Loeb or Abraham Wolff'.⁵ These powerful banking families spoke the same languages and socialized and worked together, creating ample opportunity for the younger generation to interact with each other. The incidence of marriage between members of this group, therefore, was unsurprisingly high.⁶ As a German Jew, Schiff's success was founded on the ability to acquire knowledge and insights internationally, to develop transatlantic ties and sources of funds and to build upon a network of relationships based on marriage, industry and religion.⁷

Schiff was among the most rigorously orthodox of his partners and was self-consciously the most Jewish among them. He adhered to the orthodox Jewish practice of his upbringing and throughout his life maintained a kosher diet, prayed upon waking and after eating and developed an interpretive understanding of the precepts of Judaism that framed his worldview. He observed the Sabbath 'with all the orthodoxy due from a strict Jew',⁸ avoiding both incoming and outgoing correspondence on Saturdays and not even paying attention to the market news. There were occasions when Schiff could not be found because he was at synagogue on the Sabbath and occasions when he would not conduct business even if located.⁹ J. P. Morgan once had to postpone a meeting to avoid it

⁵Supple, 'A Business Elite', p. 164. See also *Investment Banking Through Four Generations*, p. 7.

⁶See Marion A. Kaplan, *The Making of the Jewish Middle Class: Women, Family, and Identity in Imperial Germany* (Oxford: Oxford University Press, 1994), for discussion of the endogamy and cousin marriage strategies that were commonplace within the German Jewish community.

⁷Ibid., p. 157.

⁸Supple, 'A Business Elite', p. 163.

⁹Matthew Josephson, *The Robber Barons: The Great American Capitalists 1861-1901* (New York: Harcourt, Brace and Company, 1934), p. 439.

conflicting with Schiff's Sabbath observance.¹⁰ He did not put pen to paper on the Sabbath, and he walked to temple. Compared to others of his generation, he maintained a relatively orthodox religious practice, and the application of what he regarded as Jewish ethics remained significant for him.

Schiff's piety and the extent to which it was inseparable from his persona are described by Paul D. Cravath, an attorney and the father of the modern law firm structure, as follows: 'no-one could know him well, even in business, without realizing that he was an intensely religious man and that his religion entered into and influenced all the activities of his life'. Cravath suggests that Schiff's religious commitment was unique on Wall Street.¹¹

Schiff was selective in his acceptance of those around him who were not as orthodox in their Jewish practice as was he. This did not mean that he necessarily favoured or gravitated towards those who were likewise observant in their practice. He did, however, often feel uncomfortable with those who had flagrantly abandoned Judaism. As mentioned, August Belmont, also brought up in Frankfurt within an observant Jewish family, converted to Protestantism, seeing his conversion as a rung on the ladder to social acceptance in New York. Schiff saw Belmont as an apostate and limited his interaction with him despite the ties he had with the Rothschilds.¹²

Theresa Collins' recent reassessment describes how Otto Kahn was not quite as completely removed from his religion as has previously been assumed. Nevertheless, his 'religious ambivalence' was tolerated reluctantly by Schiff out of respect for the marital ties that had brought him into Kuhn Loeb.¹³ As both Belmont and Kahn lived and worked in New York, inhabiting the same small social and business circles as did Schiff, Schiff could not avoid them. He held them in contempt to a certain degree for what he saw as their weaknesses. But the man who was arguably Schiff's closest friend and ally, Ernest Cassel, converted to Catholicism. Living thousands of miles away in England, Cassel was not, however, present in Schiff's immediate social and business

¹⁰Cohen, *Jacob H. Schiff*, p. 100.

¹¹Cravath as quoted in Adler, *Jacob H. Schiff*, Vol. 2, p. 46.

¹²Birmingham, *Our Crowd*, p. 171.

¹³Collins, *Otto Kahn*, p. 51.

circles in New York. Consequently, Cassel did not elicit the same daily reminder of abandonment of Judaism as did Belmont or Kahn, and, in contrast to Belmont and Kahn but similarly to Schiff, Cassel had built himself an empire independently of any specific banking house or family. He had first moved to England in 1869, and there, after a subsequent brief stint at the Anglo-Egyptian Bank in Paris, he made his home. His wife, Annette Maxwell, whom he married in 1878, had converted to Catholicism, and upon her deathbed only three years later she had asked that Cassel convert too, a wish he conceded to though he never overtly showed particular enthusiasm for ritual practice. Cassel's relationship with Schiff developed out of his dealings with the American railways, initially the New York, Pennsylvania and Ohio Railway. Although Cassel steered away from politics, he took the contrary view to Schiff that engagement with Russia was more likely to alleviate Jewish suffering than was a boycott.¹⁴

Schiff maintained very close relations with Cassel, with whom he continued an extensive correspondence and business relationship. It was Cassel who was to become the conduit between British interests and Schiff, providing detailed background information to Schiff regarding Japan's situation and the importance the British government assigned to American participation in the financing of Japan.¹⁵ Indeed, Cassel was predominately focused on providing financial connections across international borders, leveraging his network of bankers, royalty and politicians. In contrast, Schiff was largely focused on American domestic business development, and specifically on railroads (concerning which Schiff and Cassel cooperated to a great extent), making the diversion into Japan particularly significant.

Schiff and Cassel had first become acquainted in 1870, and from Europe, Cassel provided a substantial proportion of Schiff's early railroad investment capital. Cassel, who had started his banking career working for Bischoffsheim & Goldschmidt, set up his own business, inspired, perhaps, by Schiff's desire to work with an independent broker in London. The men were in some ways similar to each other and in other ways very different. They were both successful in their own right

¹⁴Pat Thane, 'Cassel, Sir Ernest Joseph (1852–1921)', *Oxford Dictionary of National Biography* (Oxford: Oxford University Press, 2008), <http://www.oxforddnb.com/view/article/32323>, accessed 1 August 2016.

¹⁵Takahashi in Adler, *Jacob H. Schiff*, Vol. 1, p. 217.

and in the business of banking. But, while Schiff built a bank around his activities that was founded on family connections, Cassel did not exploit family relations in the same way. Instead, Cassel acted as an independent broker and adviser, delegating responsibility and not building a company or bank in any way.¹⁶

One of the things that brought Schiff and Cassel together was an irreverent attitude towards the Rothschilds. They were two men not afraid to pursue courses divergent from those of the Rothschilds. Schiff had a greater affinity with Cassel, who was less intimidating than the Rothschilds and yet enjoyed a similarly influential network of political contacts; he also, importantly, had a direct and strong relationship with King Edward VII. Schiff responded well to Cassel, who had not always bowed to the inevitable authority of the Rothschilds, preserving his loyalty to the Crown even to the point of risking the Rothschilds' displeasure. Edward Hamilton (1847–1908), who became permanent secretary to the treasury under Prime Minister Balfour, noted, with 'some glee, the jealousy with which the Rothschilds regard Cassel'¹⁷ concerning the issue of exchequer bonds in 1900 to finance the Boer War—bonds that Cassel had recommended over the default position of issuing consols with a Rothschild guarantee.

But their friendship went far beyond their business connection. Schiff was very expressive of his affection for Cassel: 'I always feel that you are the most faithful friend I have ever had', he wrote one time, and 'there is nothing I care so much for as your friendship', another.¹⁸ As mentioned, Cassel had a similarly close relationship with King Edward VII and, though it is difficult to pinpoint specific evidence, it seems likely that Cassel apprised Schiff of the king's desire for an American participant in the Japanese loans.

Kurt Grunwald informs us of two memorable epithets of Ernest Cassel, describing him as being so much embedded in the house of Edward VII as to warrant the description the 'last Court Jew', and so influential on the policies and thinking of the king that that he earned the

¹⁶Thane, 'Cassel, Sir Ernest Joseph', p. 2.

¹⁷Ferguson, *The House of Rothschild*, Vol. 2, p. 367.

¹⁸Anthony Allfrey, *Edward VII and His Jewish Court* (London: Thistle Publishing, 2013), p. 152.

nickname ‘Windsor Cassel’.¹⁹ Grunwald goes on to tell of the instance ‘when King Edward, after an enjoyable evening at the St. James’s Theatre, asked the Marquis de Soveral [Portuguese envoy to London] whether he, too, had seen Oscar Wilde’s new play *The Importance of Being Earnest*, [to which the] witty envoy answered, “No, Sire, but I have seen the importance of being Ernest Cassel”’.²⁰

In most circumstances, Schiff appeared to be level-headed and pragmatic. This was how he had made his reputation, and it characterized both his business and his philanthropic endeavours. But, when issues involved the Jews in Russia and the Japanese situation, he was affected more emotionally. He took the affairs of the Jews in Russia personally. His business dealings were calculated, and his philanthropy was focused. When these two facets of his life came together, as in the financing of Japan, Schiff’s emotions boiled to the surface. For example, at the height of the Portsmouth Peace Conference, which concluded the Russo-Japanese War, Schiff—together with banker Joseph Seligman and Oscar Straus (1850–1926), who had been the US ambassador at Constantinople and who had undergone humiliating restrictions during a recent visit to Russia on account of his Jewish religion—met with Count Sergei Witte, the tsar’s plenipotentiary.²¹ The Schiff delegation’s mission was to impress upon Witte their desire to see restrictions upon Jews lifted. Upon hearing Witte’s response that a sudden change in the status of Jews in Russia would do more harm than good, Schiff ‘made a sharp retort’. This was ‘toned down by the more balanced judgments of the other members of the deputation’.²² Schiff had come not to trust Witte, believing him to be only self-motivated and judging that any favourable opinion he professed regarding the Jews in Russia could change should expediency demand.²³

¹⁹See Selma Stern, *The Court Jew: A Contribution to the History of the Period of Absolutism in Central Europe* (Piscataway: Transaction, 1984). In the context of Stern’s work, Grunwald’s description of Cassel as a Court Jew could be seen as an ahistorical exaggeration.

²⁰Kurt Grunwald, “Windsor Cassel”—The Last Court Jew: Prolegomena to a Biography of Sir Ernest Cassel’, *Leo Baeck Institute Yearbook*, Vol. 14 (1969), p. 120.

²¹Cohen, *Jacob H. Schiff*, p. 138.

²²Abraham Yarmolinsky (trans. and ed.), *The Memoirs of Count Witte* (Garden City: Doubleday, Page & Company, 1921), p. 164.

²³Letter from Schiff to Paul Nathan, 10 October 1906, as quoted in Szajkowski, ‘Paul Nathan, Lucien Wolf, Jacob H. Schiff’, pp. 3–26.

Schiff also believed that it was an absolute right of the Jews of Russia to seek regime change and by extension for the Jews of the world to come to their aid.²⁴ He saw it as his duty to represent the Jews of Russia by wielding his immense financial might. He considered it important to influence politics through his financial moves, something he saw as a way to harvest the fruits of his own success and to reinforce his own concept of his personal duties emanating from that success.

Common interpretations have stressed Schiff's desire to take action against Russia on the grounds of his enmity towards that country, but it is at least equally important to consider his intention to bolster Japan. The fact that Japan and Russia were rivals, even enemies, was extremely important for Schiff. He was not simply supporting Japan as an enemy of Russia but wanted to help Japan of its own right to be independent and as prosperous as possible. Schiff personally believed that his contribution was pivotal to securing loans for Japan. He imagined that, had he not participated, the loans would not have materialized, leading Japan to financial collapse early in the war, departure from the gold standard, collapse of its currency, inability to procure materiel or maintain forces overseas and ultimately financial ruin compounded by defeat by Russia. Schiff saw Japan as fighting, as he wrote, to save 'the entire civilized world'²⁵ and believed that the measured financial risk of stepping in as he had was far outweighed by the potential downside of seeing Japan lose the war. His concern was less for the sake of seeing Japan undefeated and more that the consequences of seeing Russia prevail were too dreadful to contemplate.²⁶

Through the lens of the cruelties imposed on Jews in Russia, Schiff stepped beyond the mere mythologies that the current narrative would have him bound to seeking revenge for Russian antisemitism, and framed the war as one whereby the world itself, facing a great evil and the possibility of moral and spiritual destruction, had to be saved against incalculable odds and no matter what the risk or the costs. For Schiff, the battle was literally of biblical proportions. At the end of the war, he reflected upon Japan and Russia, comparing them to 'the Northern Goliath and

²⁴Szajkowski, 'Paul Nathan, Lucien Wolf, Jacob H. Schiff', pp. 77–78.

²⁵Jacob H. Schiff, 'Peace and Friendship with Japan', *Advocate of Peace*, Vol. 72, No. 11 (1910), p. 268.

²⁶Schiff, 'Japan After the War', pp. 161–168.

the Far-Eastern David',²⁷ seeing Japan's victory as no less extraordinary than David's surprising victory in that biblical battle. This was not just a war between nations that had territorial conflict; Schiff saw Japan and Russia as not being on the same plain ethically. Japan was, from his perspective, fighting a just war. This was one of the reasons that the Japanese trusted him and in his mind why they prevailed. Schiff was not alone in seeing the war as somehow a sacred task. Takahashi Korekiyo echoed the sentiment, believing that because, by stemming the exodus of specie from Japan, Schiff enabled the country to remain on the gold standard and had been brought by 'divine providence'.²⁸

PHILANTHROPY

Jacob Schiff's early childhood education in orthodox Jewish practice formed the basis of his philosophy and was a key determinant of his actions. He practised tithing, donating fully 10% of his income to charitable causes, which he saw as a religious imperative, preferring to make such donations during his lifetime and to personally oversee their implementation. He believed that men who had built their own wealth were more likely to be charitable than those who inherited it and, acknowledging himself a member of the former group, felt doubly obliged to be philanthropic. Schiff's early philanthropy even earned him the title 'the Montefiore of New York'.²⁹ He donated to Mount Sinai Hospital, founded the American Jewish Committee and gave to United Hebrew Charities, the Young Men's Hebrew Association and the Hebrew Free School Association—the list extends to some forty pages of beneficiaries in Cohen's biography.³⁰ He was particularly moved by the plight of the poor (Jewish, non-Jewish and secular) and similarly with the plight of the sick and disabled.³¹ During the Russo-Japanese War and despite his financial support of Japan, Schiff remained keenly aware of the human cost of war and eclectically sent donations of

²⁷Ibid., p. 161.

²⁸Metzler, *Lever of Empire*, p. 47.

²⁹Isaac Markens, *The Hebrews in America: A Series of Historical and Biographical Sketches* (New York: Published by the Author, 1888), p. 148.

³⁰Cohen, *Jacob H. Schiff*, pp. 41–81.

³¹Adler, *Jacob H. Schiff*, Vol. 1, p. 354.

\$10,000 each to the Japanese fund for wounded soldiers and to Russia for the equivalent cause.³²

Schiff also used his reputation and personal network developed through business to work for change. He occupied the political middle ground in his views on organized labour, finding a pragmatic need for 'responsible' labour unions and looking to mediation rather than industrial action as a means for settling disputes. He felt union representation for workers was inevitable and, though he did not condone industrial action, supported it in the sense that he provided funds for the relief of families of striking workers.³³ He intervened in labour disputes, using his influence to directly approach prominent local politicians. He sat on the National Child Labor Committee, where he lobbied New York's governor-elect against the exploitation of children in the workplace. He was also actively engaged in improving the housing conditions in the cramped and unsanitary tenements of New York through approaches to the president of the United Hebrew Charities and to the chairman of the Board of Alderman of New York regarding building standards.

Schiff was offended by racial discrimination against blacks, personally attending local meetings of the Henry Street Settlement and making appeals to President Wilson (1856–1924) directly. He intervened with the then governor of New York, Theodore Roosevelt, on behalf of prisoners unjustly detained and regarding prison conditions in general; proposed solutions to the Chamber of Commerce for relief following the tidal wave of 1900 that struck Galveston, Texas; and addressed the chairman of the National Waterways Commission, reflecting on improvements that might have thwarted greater disaster following the Mississippi Valley flood of 1912.³⁴

Believing that charity was an idea embedded in the fundamental principles of Judaism but not to be isolated within Judaism, Schiff sought ways to overlap his charitable giving with Christian organizations with complementary objectives. But he also assisted exclusively Jewish charities, including the Hebrew Free Loan Society, which provided small loans to the Jewish community where the result was to provide employment for the recipient.

³²Ibid., p. 230.

³³Cohen, *Jacob H. Schiff*, pp. 29–30.

³⁴Ibid., p. 324.

The list of charitable causes to which Schiff contributed and that he aided through his contacts, political influence and donations is seemingly endless. These causes are covered in great detail by Adler and also particularly by Cohen, who focuses on it as her central theme while for the most part avoiding Schiff's business practices.³⁵

What resonates most about Schiff's philanthropic activities is that at no time other than during the Russo-Japanese War, in which his actions were definitive, did his interest in Jewish or philanthropic causes ever cross over to become a profitable venture for him. Business was business, and, like the precept of the separation of church and state, Schiff did not permit his philanthropy to interfere with his business dealings in much the same way as he left business behind at the doors of temple on the Sabbath. Financing the Japanese during the war allowed Schiff to uniquely bring the two most important driving factors in his life into harmony with each other. These were, on the one hand, the ability to help his co-religionists and his strong Jewish beliefs and, on the other, the profit motive that drove his pragmatic, well-conceived business investment decisions.

POLITICAL EFFORTS

Schiff's personal politics straddled both the American and Jewish spheres in which he operated, allowing him to remain true to the former while focusing on the latter and believing that 'Jews must be Jews only by religion. In all other aspects of life they should be Americans'.³⁶ His position in this regard echoes the prevalent concerns of the American Jewish community in the latter part of the nineteenth century with political threats to the separation of church and state.³⁷ His opposition to Zionism was also partially founded on his loyalty to America and the solidarity he felt to be requisite among American Jews to their nation of residence.³⁸

³⁵Ibid., p. xiii.

³⁶Ehud Manor, *Louis Miller and Di Warheit ('The Truth'): Yiddishism, Zionism and Socialism in New York, 1905–1915* (Eastbourne: Sussex Academic Press, 2012), p. 109.

³⁷Diner, *The Jews of the United States*, p. 168.

³⁸Supple, 'A Business Elite', p. 167.

This dynamic in Schiff's beliefs is consistent with the observation Hasia Diner makes about the early development of the broader Jewish community's political awareness: 'Jewish politics, in fact, involved constructing a strategy by which the Jews could serve the latter [the Jewish] in the name of the former [the American]. In advocating for their coreligionists they simultaneously acted locally and globally—serving both the cause of Jews at home and of those around the world'.³⁹ Diner projects a degree of subservience in the developing Jewish body politic to a driving American force. For Schiff, this dynamic was less a factor because, to an extent greater than among the broader Jewish community that Diner describes, Schiff was defining the strategy and so was less dependent on it.

In the pre-war decades, the American Jewish community mainly defended Judaism through the protection of the American principle of the separation of church and state.⁴⁰ In his actions during the Russo-Japanese War, Schiff shifted the focus away from defence of the religion to defence of Jews.⁴¹ The broader Jewish community was acutely aware of the plight of Russian Jews and, willing to mobilize in their support, rallied behind Schiff, roundly cheering Japan's victory. Diner argues that the Jewish response was in conflict with the general population's discomfort with Japan, sparking fears of the emergence of a rising 'yellow peril' power in Asia. This contradiction may have come to be so, but, at the time he sold Japanese war bonds so successfully, Schiff was riding a wave of national support for Japan that was predicated on sympathy for that country and on strong risk-reward characteristics, and that had no popular basis in Jewish issues.

Diner sees a more complicated landscape developing at the time for the community, both domestically and with regard to foreign policy, in that a 'blurry line at best separated the defense of Jewish rights abroad and the issue of immigration'.⁴² For Schiff, no such blurry line existed because these factors were equally integrated into his personal political

³⁹ Diner, *The Jews of the United States*, p. 164.

⁴⁰ Ibid., p. 169.

⁴¹ See Raphael Langham, *250 Years of Convention and Contention: A History of the Board of Deputies of British Jews, 1760–2010* (London: Vallentine Mitchell, 2010). Langham describes how the British Jewish establishment has generally focused on defending Judaism rather than defending Jews.

⁴² Diner, *The Jews of the United States*, p. 175.

ideology—to encourage open immigration, provide for those who arrive and work towards regime change at the same time.

At the time of the Russo-Japanese War, the USA's foreign policy was more inclined to support Japan than Russia, largely due to a sense that Russian aggression was a greater threat than any Japanese aggression might hold, and because for Russia 'mendacity [in negotiations] was a science'. Consequently, the administration saw no moral responsibility to 'cure the Russian soul'.⁴³ Secretary of State John Hay (1838–1905) believed that the Russians were tactless and arrogant in negotiations in comparison with the Japanese diplomats, whom he felt were sincere in their reassurances that they would pursue American foreign policy as it pertained to the Open Door policy in China. The Russians reminded Hay 'of a man who should get into a quarrel on the street and then go home and beat his wife'.⁴⁴

Kenton Clymer, in his biography of John Hay, examines the Secretary of State's predilection for racial prejudice as it pertains to any antisemitic bias that Hay may have had. Hay was, Clymer says, clearly racist and was apt to compete with Roosevelt to think up negative epithets that the two men would apply to various ethnic groups and nationalities. Hay was not antisemitic per se, and this despite having vitriolically antisemitic friends and an inclination to stereotype the Jews as a race. Clymer says that, while Hay was on the surface proactive in his support for Jewish causes, he was less interested in their moral foundation than he was in his own political ends. Hay's support was born of the expediency of generating strong voting support among the politically active Jewish electorate. Clymer concludes that fighting for Jewish interests in response to the pogroms was seen by Hay as a 'dangerous irritant to Russian–American relations', and this at a time when the State Department was focused on Russia's incursions into China. Ultimately, Hay 'was not in any sense overly concerned with the persecuted Jews of Eastern Europe'.⁴⁵

Whether Schiff was aware of Hay's duplicity is unclear. He had approached Hay and the president in 1902 to petition for American

⁴³John Hay to Theodore Roosevelt, 23 July 1903, as quoted in Kenton J. Clymer, *John Hay: The Gentleman as Diplomat* (Ann Arbor: University of Michigan Press, 1975), p. 152.

⁴⁴John Taliaferro, *All the Great Prizes: The Life of John Hay, from Lincoln to Roosevelt* (New York: Simon & Schuster, 2013), p. 508.

⁴⁵Clymer, *John Hay*, p. 80.

engagement in the plight of Romanian Jews. The issue was not only relevant from Schiff's humanitarian perspective but also engendered an American domestic dichotomy. While the influx of immigrants seeking asylum from the persecution was proving a burden to American resources and threatened to become a 'social menace' due to the immigrants' alleged failure to integrate effectively, the inconveniences imposed on the Jews of Romania could not warrant elevation to diplomatic engagement, on the grounds that the inconveniences were 'hardly a proper subject of American Diplomatic representation'.⁴⁶

With elections approaching, however, Roosevelt did not want to alienate the powerful Schiff.⁴⁷ Together with Hay and Alvey A. Adee (1842–1924), a career official with the US Department of State, Roosevelt crafted strategies designed to impress the Jewish voting contingent in the USA, including Schiff. What ensued was cynical diplomatic manoeuvring orchestrated by the Department of State that resulted in nothing but campaign propaganda for Roosevelt and was completely ineffectual in its impact on the plight of the Jews Schiff had so keenly wanted to protect.⁴⁸

Roosevelt's response temporarily appeased Schiff, who 'was greatly pleased' because at least the situation had been elevated in visibility.⁴⁹ The tone changed, however, following the Kishineff massacre in 1903, and Hay contemptuously rejected Schiff's more strident insistence that the government take direct action, preferring instead to send a paltry \$500 donation to relieve the surviving victims' suffering.

One of Schiff's earliest practical actions demonstrating his ambivalence to the Russian regime had come in the early 1890s. Schiff started to support the journal *Free Russia* and its publisher, the Society of Friends of Russian Freedom, and met with President Harrison (1833–1901) to lobby for investigation following prominent denials of antisemitism by a locally stationed diplomat. The result was a series of reports in the *New York Times* to which Harrison referred before Congress.⁵⁰

⁴⁶Tyler Dennett, *John Hay: From Poetry to Politics* (New York: Dodd, Mead, & Company, 1934), p. 396.

⁴⁷Ibid.

⁴⁸Ibid.

⁴⁹Dennett, *John Hay*, p. 396.

⁵⁰Cohen, *Jacob H. Schiff*, pp. 126–128.

At around the same time, Schiff had started to actively promote the successful immigration of Russian Jews fleeing to America from the ‘considerable unjustified prejudice’ that they experienced in Russia, which Schiff had helped to make a public issue.⁵¹ He had ‘great faith in the immigrants from eastern Europe’ and developed various strategies for accommodating as many as possible including diverting the flow of immigrants through Texas and the remote American West.⁵² Unlike his fellow German Jews, who actively opposed immigration fearing it would breed antisemitism, would be difficult to absorb and would undermine their power base, Schiff always retained a pragmatic view regarding alleviating the plight of Russian Jews and was never against mass immigration in principle.⁵³ By his efforts, he tried to facilitate absorption of immigrants into American society while at the same time mitigating the impact mass Jewish immigration might have had on the existing Jewish community.⁵⁴ But, despite Schiff’s sincere attempts to aid the immigrants, an atmosphere of mutual distrust characterized the relationship between the established elite and the new influx. Schiff and other German Jewish leaders were perceived as arrogant and as wanting only to disperse and assimilate the immigrants (who were perceived as being inferior and ungrateful) throughout the country as quickly as possible.⁵⁵

The Japanese experience with immigration to America also resonated for Schiff in his compassion for Japan. Not only did Schiff empathize with the Japanese for their civil and cultural sophistication but he also saw them sharing common ground with the Jewish community in the field of American political life.⁵⁶ Both immigrant communities were stigmatized, for example, by being accused of having brought crime and an economic drain to America. Schiff could not abide these stereotypes and through the American Jewish Committee paid \$4000 of a \$6000

⁵¹ Adler, *Jacob H. Schiff*, Vol. 2, p. 88.

⁵² Diner, *The Jews of the United States*, p. 185.

⁵³ Cohen, *Jacob H. Schiff*, p. 85.

⁵⁴ See Pat Thane, ‘Private Bankers and Philanthropy: The City of London, 1880s–1920s’, in Youssef Cassis and Philip Cottrell (eds.), *The World of Private Banking* (Farnham: Ashgate, 2009), pp. 247–262 for a discussion of a similar dynamic among Jewish philanthropists in England.

⁵⁵ Sorin, *A Time for Building*, p. 68.

⁵⁶ Berkowitz, ‘Between Altruism and Self-Interest’, p. 255.

sponsorship for Isaac Hourwich (1860–1924), then working at the Bureau of the Census, to write an extensive study to address the issues generally raised by immigration.⁵⁷ Schiff's political position with regard to immigration, siding with open immigration as one facet of providing relief to the Jews of Russia despite the complications that arose once they arrived in America, was shared with other German Jewish immigrants such as Oscar Straus, Max Kohler (1871–1934) and Felix Adler (1851–1933), among others.⁵⁸

Being inclined to welcome immigrants to the American nation of immigrants, Schiff was acting most particularly as an American. Had he remained in Germany, he likely would have resisted acting as the elite German Jews did—and the English and French—in preserving their sense of ancestry-based class stratifications, which was to 'serve as a humane way station ensuring that eastern European Jews would not linger there too long'.⁵⁹

Henry Feingold argues that what motivated American Jews in their appeals to government on behalf of their co-religionists overseas, tempered as they were by the realization that little change often came in foreign policy as a result of their lobbying, was wanting to hear 'assurances from American leaders that they were loved and appreciated and that it could never happen here'.⁶⁰ Likewise, Schiff knew that Roosevelt's response to his protestations would do little for the Jews of Russia, but, having secured the administration's assurance that such treatment was abhorrent as a cornerstone of American policy, Schiff could now safely act as a Jew for Jews without fear of government interference or reprisal for doing so.

In the light of Benjamin Ginsberg's idea that politicians and Jews have symbiotic relationships until something goes wrong, the interplay between Schiff and Roosevelt with regard to the Russian Jews could be interpreted very differently: Roosevelt was trying to project economic and military influence around the world and wanted to extend the USA's presence in Asia in support of the American interests in the Philippines.

⁵⁷Matthew M. Silver, *Louis Marshall and the Rise of Jewish Ethnicity in America: A Biography* (New York: Syracuse University Press, 2013), p. 214.

⁵⁸Berkowitz, 'Between Altruism and Self-Interest', p. 255.

⁵⁹Diner, *The Jews of the United States*, p. 187.

⁶⁰Feingold, *A Midrash on American Jewish History*, p. 204.

So Roosevelt had no objection to Schiff's designs on financing Japan in the war. It served America's interests both economically and politically. Schiff was pleased to accommodate this end because the stronger America grew, the higher the likelihood of intervention securing his investment in the event of either a Russian-enforced or a deliberate Japanese default on these gargantuan loans.⁶¹ In this sense, Schiff and Roosevelt were completely aligned in their foreign policies and so Schiff's role in overseas finance 'had linked the interests of the Jews firmly to those of the state'.⁶² In fact, in 1906, Roosevelt became the first American president since Grant to appoint a Jew, Oscar Straus, to the cabinet.

In early 1904, Schiff and Roosevelt once again corresponded regarding rumours of the imminent onset of further outrages in Russia. Together with Nathan Rothschild (1840–1915, then Lord Rothschild) in London, Schiff cabled \$50,000 to St. Petersburg for the aid of Jews who had been persecuted in 'disturbances' in Russia.⁶³ Schiff learned Rothschild had approached Lord Lansdowne regarding the same concerns and had urged him to form a common front in denying Russia financial support in the event war broke out with Japan. While European support among the Jewish banking community was not uniform, it was felt by the Russians. Indeed, Russian ambivalence to Schiff's influence was noted in a 1911 interview with the Russian minister of finance, who stated that Schiff, 'that Jew', had been one of the 'most dangerous' adversaries in the world for Russia in the war against Japan.⁶⁴ He may have been overly generous in his assignment of credit to Schiff, as Anthony Allfrey suggests 'it was rather the repugnance to the tsar's repressive rule and fear of his territorial ambitions that were not conducive to a confident investment climate'.⁶⁵

Schiff made every effort to impede Russia's ability to raise money on the world's financial markets. His task should have been made easier by the reputation of the Russian regime and the consequent market reaction, but, although he remained resolute in refusing to finance Russia, his efforts to persuade others met with only partial success.

⁶¹For discussion see Ginsberg, *The Fatal Embrace*, pp. 70–72.

⁶²*Ibid.*, p. 72.

⁶³*San Francisco Call* (9 November 1905), p. 5.

⁶⁴As quoted in Cohen, *Jacob H. Schiff*, p. 134.

⁶⁵Allfrey, *Edward VII and His Jewish Court*, p. 241.

CONNECTION WITH JAPAN AND ENTANGLEMENTS WITH BELMONT

The origins of Japan's connections with American Jewish bankers of German descent go back to the very opening of the nation by Commodore Matthew C. Perry in 1853. Perry's fourth daughter, Caroline Slidell Perry (1829–1892), married August Belmont, another prominent Jewish banker from Germany, in New York on 7 November 1849. This was four years before her father opened Japan to the Western world, and it was labelled 'the most fashionable wedding of the year'.⁶⁶ David Kranzler sees a direct relationship between Perry's opening of Japan and the subsequent entry of Jewish traders.⁶⁷ It is distinctly possible that, having seen his daughter marry Belmont, Perry, a Protestant Episcopalian, provided a conduit to the German Jewish banking community in New York—even if not directly, certainly through awareness of the newly opened nation and the business opportunities that might exist.

Belmont grew up in Frankfurt, where he enjoyed a traditional Jewish education. Coming from a privileged family, Belmont was apprenticed with the Rothschilds, where he excelled and was promoted, eventually to head up the Rothschilds' Cuban interests. En route to Cuba, Belmont became distracted by the 1837 financial crisis in New York and took it upon himself to take charge of the Rothschilds' interests there, where their local agent had gone bankrupt with debts exceeding \$7 million.⁶⁸

Despite Belmont's stay in New York being a distraction from his original mission, the Rothschilds eventually agreed to let him remain there as their American agent.⁶⁹ But it was a relationship fraught with discomfort for the Rothschilds, starting early in the relationship when Belmont managed to get himself shot in a duel, much to the consternation of his employers in Europe. He was also a profligate spender, entertaining the elite of New York at lavish parties. Belmont was so prolific in his spending, consuming over \$20,000 per year before the Civil War

⁶⁶Irving Katz, *August Belmont, a Political Biography* (New York: Columbia University Press, 1968), p. 1.

⁶⁷David Kranzler, 'The Japanese Ideology of Anti-Semitism and the Holocaust', in R. L. Braham (ed.), *Contemporary Views on the Holocaust* (Boston: Kluwer-Nijhoff, 1983), p. 82.

⁶⁸Katz, *August Belmont*, p. 6.

⁶⁹Ferguson, *The House of Rothschild*, Vol. 2, p. 66.

on wine alone, that he served as the role model for Thorstein Veblen's (1857–1929) definition of 'conspicuous consumption', put forth in 1899.⁷⁰ Despite this, Belmont continued to be the American agent for the Rothschilds, passing the reins to his son August Belmont Jr. upon his death.

In a marked divergence from the norm, and despite his noble Jewish family patrons in Europe, Belmont never integrated with the social network of the German Jewish banking community in New York, preferring instead to gravitate towards his wife's Protestant network. This did not free him, however, of antisemitic prejudices from the community he worked to ingratiate himself into,⁷¹ and he remained associated through business with the rest of the German Jewish banking community, including with Schiff, though only to a limited extent.

Schiff's interactions with Belmont were limited on two counts: firstly, Belmont was more focused on his political career than his banking and had allied with J. P. Morgan, and, secondly, because Belmont had not only married a Protestant but also converted, distastefully shedding all semblance of his 5000-year Jewish heritage.⁷² Furthermore, Belmont himself did not have the vision of Schiff with regard to Japan, belittling Perry (his father-in-law)⁷³ and completely missing the door to Japan that he and the Rothschilds might otherwise have stepped through.

Belmont's attempt to ingratiate himself with the established non-Jewish blue-blood banking fraternity was not without merit. Only six firms dominated American financial markets, and only twelve men controlled those firms, with Schiff the only Jew and the only man not born of New England Puritan stock.⁷⁴ Belmont's election to 'join the other side' brought with it the consternation of his co-religionists. His general failure to represent the Rothschilds in a manner in which they would have preferred contributed not only to their failure to effectively capitalize on the growth of the

⁷⁰Thorstein Veblen, *Theory of the Leisure Class*, as quoted in Charles R. Geisst, *The Last Partnerships: Inside the Great Wall Street Money Dynasties* (New York: McGraw-Hill, 2001), p. 3. See also p. 103.

⁷¹Katz, *August Belmont*, p. 91.

⁷²Birmingham, *Our Crowd*, pp. 152–153. See also Geisst, *The Last Partnerships*, p. 104; Supple, 'A Business Elite', p. 166.

⁷³Birmingham, *Our Crowd*, p. 76.

⁷⁴Redlich, *The Molding of American Banking*, Vol. 2, p. 381.

American market but also to the fact that they missed the early opportunities to invest in Japan, including during the Russo-Japanese War. These were two opportunities in which Schiff filled the gap the Rothschilds left open.⁷⁵

Even so, the opportunities for Schiff as well as for the Rothschilds to invest in Japan were limited until the end of the nineteenth century. Japan had mostly resisted taking on foreign debt during the first fifty years of its emergence from seclusion, despite a clear need for capital in order not to compromise its economic independence. E. H. Norman explains that there were intrinsic reasons that foreign capital did not flow into Japan until the end of the century. These included instability of the currency and lack of specie and a failure to adopt the gold standard. Bureaucratic complications brought about through an unequal treaty system also contributed. Most important, Norman says, was a distrust of foreign investors and a concern, born from witnessing ‘unhappy experiences of Egypt and Turkey’, that dependence on foreign creditors may ensue.⁷⁶

Belmont, though not the ideal candidate, offered certain advantages to the Rothschilds. He had intimacy and engagement in the American banking community and proximity by marriage to the newly opened nation of Japan. However, Niall Ferguson describes the delegation of agency for America to Belmont as a strategic mistake because through Belmont the Rothschilds were never able to ascend to the powerful position they enjoyed in Europe or elsewhere in the world.⁷⁷ Indeed, Belmont was not permitted to call his company ‘N. M. Rothschilds’ despite being completely relied upon by the firm for their American business. This was so odd that rumour had it Belmont must be an illegitimate Rothschild son exiled to America, away from Europe.⁷⁸

Belmont’s marriage to a Protestant and ‘the fact that he had never belonged to any American Jewish Congregation’ have been cited as evidence of the completeness of his assimilation.⁷⁹ Whatever the reason,

⁷⁵Niall Ferguson, *High Financier: The Lives and Times of Siegmund Warburg* (New York: Penguin, 2010), p. 11.

⁷⁶John W. Dower (ed.), *Origins of the Modern Japanese State: Selected Writings of E. H. Norman* (New York: Random House, 1975), p. 222.

⁷⁷Ferguson, *The House of Rothschild*, Vol. 2, p. 66.

⁷⁸Birmingham, *Our Crowd*, p. 45.

⁷⁹Katz, *August Belmont*, p. 113.

the Rothschilds' disappointment in Belmont's performance was a great handicap to them. It confined their Japan strategy to a purely Euro-centric perspective, leaving both America and Japan wide open for Schiff.

Schiff's actions were informed through a very different lens than were Belmont's. Belmont had divested himself of his Jewish social connections, seeing them as a drag on his advancement. Schiff, on the other hand, had built Kuhn Loeb around a network of marriages between partners' families and other powerful banking houses and had kept wealth and influence concentrated among a close-knit and intimate group of the elite of the Jewish community. Similarly, he was comfortable among the aristocracy of Japan, whose own elite networking webs were equally interwoven (though perhaps in a different manner), in a way that reflected his own familial surroundings. Many of the most powerful men in Japan had commenced their careers through stints overseas, or through having attended the same universities as each other, or had started out working for the same companies or banking institutions as each other. Mark Metzler describes this as having created 'karmic connections' within the Japanese ruling class. The Bank of Japan sent two trainees to London in 1897: Inoue Junnosuke (1869–1932) and Hijikata Hisaakira (1870–1942). Both Inoue and Hijikata went on to become governors of the Bank of Japan. 'Mitsui and Company also sent two young executives to London in 1899, Dan Takuma (1858–1932) and Ikeda Shigeaki (Ikeda Seihin, 1867–1950)'. Metzler continues that Inoue would 'direct Japan's liberal financial policy' and that 'Dan Takuma and Ikeda Shigeaki would govern the giant Mitsui group and stand at the pinnacle of Japan's business world'.⁸⁰ Metzler describes these networks as 'recognizable institutional and temporal structures [that] gave form and rhythm to these tightly interwoven life courses' and says that the result produced 'a generational cohort that would govern the country'.⁸¹

Schiff was keenly aware of the power of relationships and of human networks. The tight and closely connected networks among Japan's elite must have resonated for Schiff as familiar and comforting. It was a power base with a structural integrity akin to that which he had seen among the Jewish community of Europe and that he had created for himself in America.

⁸⁰ Metzler, *Lever of Empire*, p. 9.

⁸¹ *Ibid.*, pp. 8–9.

Importantly, it is unlikely that Schiff would have been exposed to any form of antisemitism in Japan. Matsuyoshi Matsumura describes Japanese thinking, saying that the Japanese ‘have a weak sentiment towards religion and disregard of religious problems, while other peoples have an unexpectedly deep passion for religion’. However, they always ‘take proper account of the deep interest in religion and complex religious problems of others when they act’.⁸² Baron Kaneko, tasked with presenting Japan’s moral position to the American people, specifically identified Japan’s ‘personal liberty and freedom of religious belief’.⁸³ Jacob Kovalio provides a succinct overview of the dawning of awareness in Japan of the concept and consequences of antisemitism. Japan, Kovalio reports, started to exhibit awareness of the existence of Russian antisemitism twenty years prior to the Russo-Japanese War, during the first wave of pogroms, and observes that the news media reported with empathy for Jewish victims. Kovalio notes that the term ‘antisemitism’ likely first appeared in its Japanese equivalent in 1905, in generally philo-Judaic terms, and did not exist in any meaningful way in Japan before 1919, when the *Protocols of the Elders of Zion* first appeared in the country.⁸⁴

ADMIRATION FOR JAPAN

As noted, Schiff’s first active display of optimism about investing in Japan came as early as 1872. Aware of the country’s potential for rapid modernization, he had proactively sought ways to develop relationships that he believed would augur well for financing opportunities with the Japanese government. With a view to laying the groundwork for providing finance to Japan, Schiff had corresponded with James H. Wilson. Wilson had also developed an interest for the Far East and knew Schiff, who had earlier marketed bonds for the St. Louis and Southeastern Railroad, which Wilson co-owned with partners. Even at this early stage of his career, Schiff had an ambition ‘to gain a share of the profits to be made in financing Japan’s modernization’.⁸⁵

⁸² Matsumura, *Baron Kaneko*, Kindle Edition, 19%.

⁸³ *Ibid.*, 47%.

⁸⁴ Kovalio, *The Russian Protocols of Zion in Japan*, p. 7. There has been extensive discussion, with some disagreement, over where the *Protocols* originated.

⁸⁵ Best, ‘Ideas Without Capital’, p. 455.

Wilson, a former Civil War army hero and now a railroad executive, had visited Japan, describing it as ‘the most beautiful country in the world’,⁸⁶ and had relayed his experiences and positive insights to a young and ambitious Schiff, who had just commenced the operations of Budge, Schiff & Co. in New York. Wilson’s journeys to Japan informed him of the ‘genuine progress made by the Japanese people in all that pertains to modern civilization’.⁸⁷ Wilson was able to establish contacts at the highest levels, including in an audience with the emperor and in meetings with the prime minister, the minister of foreign affairs and others, all of whom spoke English fluently.

Wilson wrote of finding delightful yet strict cultural norms and rules of etiquette in Japanese culture, noting that ‘the civilization of the Japanese is genuine, and the progress they have made is as real as it is surprising’.⁸⁸ Schiff agreed, recording in his diary during a visit to Japan after the war, ‘I shall say that the inherent characteristics of the people of Japan appear to be simplicity, frugality, and loyalty—loyalty to their sovereign, loyalty to their country, loyalty to one another’. Schiff was admiring of their ‘piety and of the touching reverence the young have for the aged, of the love with which the aged dote upon the young’.⁸⁹

Besides acquiring his taste for Japan from Wilson on a cultural level, Schiff was also interested in cultivating Japanese bond issue business and was keenly aware that as Japan modernized it might offer such opportunities. Wilson explained to Schiff that the railroads already built were in need of much improvement and that, with the implementation of American standards, they could be built at less expense than previously. Schiff expressed to Wilson a particular interest in the development of the Japanese railroad infrastructure as an opportunity to provide finance.⁹⁰

Schiff’s very early insights into the opportunities in Japan were timely and perceptive. Indeed, Maurice Collis, writing about English syndicate partner HSBC, notes that ‘Japan’s achievement between 1868, when the emperor was restored to power, and the end of the nineteenth century

⁸⁶James H. Wilson, *China, Travels and Investigation in the ‘Middle Kingdom’: A Study of Its Civilization and Possibilities, with a Glance at Japan* (New York: D. Appleton, 1887), p. viii.

⁸⁷*Ibid.*, p. 1.

⁸⁸*Ibid.*, p. 13.

⁸⁹Jacob Schiff’s Diary, *Our Journey to Japan*, p. 170, JSP: Box 1861, Folder 6.

⁹⁰Best, ‘Ideas Without Capital’, p. 470.

was without parallel in Asia. All other Asian countries were outdistanced; indeed, they could be said to have been left at the post'.⁹¹ Schiff was in no doubt that this was so, commenting of Japan's financial infrastructure:

The banking system of the country is widely developed, and its currency seems to rest on a firm basis. The Bank of Japan, with branches in all important commercial centres, is alone empowered to issue the circulating medium, which is redeemable in gold on demand; it is a limited asset currency, protected by a considerable gold reserve, but in time of emergency may be expanded upon payment of a heavy tax. This provision has, even during the war, protected the country against undue stringency and financial revulsion. Except the Bank of Japan, all banks pay interest on deposits, these showing a constant increase as to the bank clearings in the principal commercial centres, which since 1900 have more than doubled.⁹²

Schiff's optimism about Japan was in stark contrast to his distaste for Russia. Leaving aside his political hostility to Russia, Schiff simply believed that Japan offered an opportunity for himself and the American investor and that Russia did not. Writing to Warburg, he expressed his concern that Russia presented a considerable financial risk:

The Russian form of government and Russian political conditions are so different from those of our own country, that that difference alone will make American capitalists pessimistic in their attitude to Russian loans. But even aside from that circumstance, which would however be the determining one so far as the success of a Russian loan here was concerned, it is not desirable that American capital should be tied up to any large extent in loans for which there will be no outlet, after our American markets. All European money markets which deal with Russia have been flooded by her loans, and as the sums will continue to need [*sic*] are colossal or rather unlimited, the situation can easily arise that Russia will hold the whole world's money, and the whole world will hold her certificates of indebtedness. No one really knows how much Russia owes, and if her budgets can be relied upon, it is highly possible that in years to come Russia's creditors will find themselves confronted by conditions which will bring them very unpleasant experiences.⁹³

⁹¹ Maurice Collis, *Wayfoong: The Hongkong and Shanghai Banking Corporation* (London: Faber and Faber, 1965), p. 113.

⁹² Jacob H. Schiff, 'Financial Progress in Japan', *Harper's Weekly* (30 June 1906), p. 911.

⁹³ Letter from Schiff to Warburg, 25 October 1900, JSP: Reel 676.

Japan's envoy Takahashi Korekiyo also recognized Schiff's affinity for the Japanese people, noting that 'he had become attached to Japan along with, if not apart from, business considerations... His interest in our country became deeper, his heart was touched by our national traits, and he now entertained in regard to our people a warm feeling of hope, confidence and concern'.⁹⁴ Indeed, Schiff also expressed his admiration on occasion, observing that 'the people of Japan appear to be thoroughly convinced of their manifest destiny... Japan knows exactly what it needs and wants, and these people, believing, as they do, that they want only that which of right belongs to them, are determined with a singleness of purpose, to obtain it'.⁹⁵ This was a trait that Schiff respected and that contributed to the confidence he had in extending the Japanese credit.

Perhaps the most telling indication of Schiff's regard for Japan was that he holidayed there, whereas he refused to even visit Russia. His trip to Japan was memorialized in a lengthy diary he wrote during a vacation he took there with this family along with an entourage of friends. Spending almost three months in Japan in early 1906, Schiff even took the opportunity to celebrate the Jewish festival of Passover while still in the country. One of Schiff's party had brought with him the ceremonial foods (unleavened bread—*matzoth*) required for the festival, and the entire group separated themselves from their Japanese hosts for the occasion. Schiff wrote that, 'as the evening arrives we give the "Seder" in our apartments, probably the first time this has been done in the capital of the Mikado. Mother has prepared the festive table just like at home—nothing is missing for the ceremonies—and with the entire party around the table, we read the "Hagada [sic]"'. He concludes, 'thus in a homelike way we celebrate the old festival in distant lands'.⁹⁶

Whereas he felt so much at home in Japan that he was able to enjoy a traditional Jewish celebration in his hotel, Schiff adamantly refused to visit Russia, despite encouragement to do so. Naomi Cohen describes how Schiff was incensed rather than appeased by Russian overtures to woo him to their side and to neutralize his financial role in the war.

⁹⁴Takahashi Memo, JSP: Box 1861, Folder 6.

⁹⁵Schiff, 'Financial Progress in Japan', p. 911.

⁹⁶Jacob H. Schiff, *Our Journey to Japan: Printed as a Surprise to the Author, Jan 10, MGMVII* (New York: New York Co-operative Society, 1906), p. 96.

Vyacheslav von Plehve, Russia's finance minister until 1904, indicated to Schiff that he would be a welcome visitor to Russia. Schiff refused on the grounds that he should be offered no special privilege while existing restrictions on Jews travelling to Russia remained in place. Schiff also insisted on a personal invitation, not just an indication of welcome from Von Plehve. The conditions were not met, and Schiff never took the journey.⁹⁷

REVOLUTION

Schiff's attraction to Japan, founded on respect and confidence, was reinforced by the idea that an enemy (Japan) of the enemy of his people (Russia) must be his friend and that in 1904 that friend's hour of need was upon them. Schiff may have thought of business competitors as adversaries, but seldom, if ever, did he see them as his enemies. Takahashi went as far as to suppose that in Schiff's action was the belief that, should Japan prevail in the war with Russia, the Russian institutions of power would face 'revolution or reformation'.⁹⁸ Takahashi believed that Schiff wanted to see the collapse of Russia. He was not mistaken in this belief.

In later years, it would be revealed by George Kennan (1845–1924), a renowned expert on Russia and a prolific writer on the subject of Russia who had travelled extensively, lecturing in the USA on the political situation in Russia, that through the Society of Friends of Russian Freedom Schiff had financed his activities for the Society in providing propaganda materials to Russian POWs in Japan during the war. The Society of Friends of Russian Freedom was established in 1891 with the mission of supporting revolution in Russia, specifically 'to aid by all moral and legal means the Russian patriots in their efforts to obtain for their country Political Freedom and Self Government'.⁹⁹ By the time the Russo-Japanese War broke out, Kennan was described as being the most influential member of the Society.¹⁰⁰ Together with Oscar Straus and 'a

⁹⁷ Cohen, *Jacob H. Schiff*, p. 136.

⁹⁸ Adler, *Jacob H. Schiff*, Vol. 1, p. 218; Takahashi Memo, JSP: Box 1861, Folder 6.

⁹⁹ Jim Zwick, 'Mark Twain and Imperialism', in Shelley F. Fishkin (ed.), *A Historical Guide to Mark Twain* (Oxford: Oxford University Press, 2002), p. 235.

¹⁰⁰ George Kennan, *Vagabond Life: The Caucasus Journals of George Kennan* (Seattle: University of Washington Press, 2002), p. 10.

few other rich Hebrews in New York', Jacob Schiff initially supported the American version of the English magazine *Free Russia*.¹⁰¹

The Society was the 'most active and influential American group organized to help Russian revolutionaries',¹⁰² and the idea was that the POWs might return to their homeland following the war and foment revolution.¹⁰³ Schiff and 'many of his friends'¹⁰⁴ were active in the Society as was, incidentally, Samuel Clemens, better known as Mark Twain.¹⁰⁵ The Society was not a Jewish organization per se and became visible to Kaneko Kentaro, Japan's unofficial diplomat in New York. Kaneko's awareness was brought about by the 22 January 1905 St. Petersburg massacre, 'Bloody Sunday', during which an unarmed march led by a Russian Orthodox priest (Georgy Gapon, 1870–1906) was fired upon by military police, killing thousands—itself a demonstration of the brutality of the tsarist regime quite apart from its treatment of Jews.

In an attempt to learn more about the confusing circumstances occurring internally in Russia, Kaneko's research aid, Suzuki Jun'ichiro, contacted the Society. Society members informed him of their political position and pointed to their revolutionary activities, which the baron reported in detail directly to Japanese Prime Minister Katsura (1848–1913) and Baron Komura Jutarō (1855–1911, the finance minister), indicating that revolution was fomenting in Russia itself. Consequently, the Japanese government had been briefed on the activities of the Society and was predisposed to assisting Kennan when he approached them.¹⁰⁶

¹⁰¹Alice Stone Blackwell, 'The Friends of Russian Freedom', *The Commons*, March (1905), p. 171.

¹⁰²Jane E. Good, 'America and the Russian Revolutionary Movement', *Russian Review*, Vol. 41, No. 3. (1982), pp. 273–287.

¹⁰³'Kennan Retells History Relates How Jacob H. Schiff Financed Revolution Propaganda in Czar's Army', *New York Times* (24 March 1917), <http://query.nytimes.com/search/site/search/#/kennan/from19170324to19170324/>, accessed 13 August 2016.

¹⁰⁴Szajkowski, 'Paul Nathan, Lucien Wolf, Jacob H. Schiff', p. 14.

¹⁰⁵Good, 'America and the Russian Revolutionary Movement', p. 275; *Free Russia* (1 September 1890), p. 12. At a presentation by George Kennan at the Lowell Institute in Boston in 1890, Mark Twain was said to have been compelled by the emotions elicited by Kennan's speech to 'tearfully' rise from his seat; he reputedly stated, 'If such a government cannot be overthrown otherwise than by the use of dynamite, then, thank God for Dynamite'.

¹⁰⁶Matsumura, *Baron Kaneko*, Kindle Edition, 36%.

Kennan had learned that Russian POWs in Japanese prison camps had little to read and set about gaining approval from the Japanese government to distribute material among them.¹⁰⁷

After meeting with Roosevelt in early January 1904, Kennan was provided travel assistance to Japan through then Secretary of War William Taft and through the Japanese legation in New York was introduced to senior Japanese politicians including Marquis Ito Hirobumi (1841–1909) and Baron Komura, among others.¹⁰⁸ Through these connections, Kennan was able to gain direct access to prisoners and coordinated speeches at the prisons through the prison authorities.

Kennan worked with the Society to distribute material. He contacted Peter Struve (1870–1944), then editor of the anti-government *Osvobozhdenie* publication.¹⁰⁹ Kennan sent copies of *Osvobozhdenie*, among other materials, directly to POWs.¹¹⁰ Struve's articles were considered so seditious that they had to be printed on tissue paper and smuggled into Russia because their possession was deemed a crime. Similarly, possession of pamphlets written by Kennan and distributed in Russia was deemed punishable by arrest and imprisonment.¹¹¹

Though Schiff's antipathy for Russia had been developing for some time, once he had embarked on financing Japan's war effort, he became completely engaged in seeking pathways to help his Russian co-religionists. To that end, he worked with the Society in an attempt to directly intervene in Russian internal affairs by providing funds and reading materials to undermine the Russian regime from within. Believing that it did not serve the Jewish community to be overtly seen to be supporting revolution in Russia, Schiff kept a low profile, so most of what has emerged regarding his efforts did not do so until over a decade had passed.¹¹²

¹⁰⁷ See, for example, letter from Kennan to Major Yoshida (Ministry of War), 6 June 1905; letter from Kennan to Major General Smirnoff, 18 March 1905; Diary of Kennan, 31 May 1905 and 6 August 1905, GKP.

¹⁰⁸ Letter from Takahira to Kennan, 24 February 1904, GKP.

¹⁰⁹ *San Francisco Call* (9 November 1905), p. 5.

¹¹⁰ Letter from Kennan to General Smirnoff, 18 March 1904, GKP.

¹¹¹ Max M. Laserson, *The American Impact on Russia: Diplomatic and Ideological—1784–1917* (New York: Macmillan, 1950), p. 314.

¹¹² Cohen, *Jacob H. Schiff*, p. 139.

Speaking before an audience at Carnegie Hall in New York in 1917, Kennan drew a direct line between Schiff's sponsorship and the inculcation of 50,000 Russian POWs with 'the gospel of Russian revolutionists'. And, Kennan added, 'we know how the army helped the Duma in the bloodless revolution that made the new Russia last week'. Kennan believed that Schiff had directly influenced revolution in Russia.¹¹³

Kennan went on to explain that, after having been allowed to visit Russian POWs in Japan by the Japanese government during the first year of the war, and having received the Japanese government's consent to distribute revolutionary materials to the POWs hungry for something to read, he had sent back to the USA for a shipment of his own materials.¹¹⁴ What arrived in Tokyo in response to his request for materials was a certain Dr. Nicholas Russell (1850–1930). Born Nikolai Sudzilovsky and originally from eastern Belarus, he showed up together with 'a ton and a half of Russian revolutionary propaganda', the cost of which had been sponsored exclusively¹¹⁵ and directly by Schiff, who, in addition to wanting to see Japan prevail from without, was also motivated to see armed revolt against the Russian regime from within.¹¹⁶

Both Kennan and Schiff believed that normal political evolution could not and would not change Russia and that only revolution would affect the desired changes.¹¹⁷ Kennan was very clear in articulating to Japanese officials at the Ministry of War, as well as Tokyo-based American diplomats¹¹⁸ with whom he coordinated, that he and Russell were looking to distribute reading materials to Russian POWs and that those reading materials were 'particularly matter that cannot be obtained in the censored Russian press'.¹¹⁹ Revolution was the only option in Russia as it was not just the treatment of Jews that was despicable but also the fundamental nature of the then existing structure of government.¹²⁰

¹¹³'Kennan Retells History'.

¹¹⁴*The Outlook* (January–April 1915), pp. 622–626.

¹¹⁵*Ukrainian Quarterly*, Vol. 15 (1959), p. 174.

¹¹⁶Elinor Slater and Robert Slater, *Great Jewish Men* (New York: Jonathan David, 2001), pp. 274–276.

¹¹⁷Szajkowski, 'Paul Nathan, Lucien Wolf, Jacob H. Schiff', p. 6.

¹¹⁸Letter from Kennan to Griscom, 5 June 1905, GKP.

¹¹⁹Letter from Kennan to Major Yoshida, 6 June 1905, GKP.

¹²⁰Szajkowski, 'Paul Nathan, Lucien Wolf, Jacob H. Schiff', p. 8.

The founder of the Russian Orthodox Church in Japan—Bishop Nikolai (Ivan Dmitrievich Kasatkin, 1836–1912)—also seems to have been aware of revolutionary efforts involving Russian POWs. On 9 December 1905, he wrote in his diary that ‘the [1905 failed] revolution [attempt in Russia] is guided by a Jewish syndicate located in New York’.¹²¹ Nikolai had formed the Prisoners’ Religious Consolation Association, in May 1904, and, like Kennan, had been given access to the POWs to distribute ‘reading material’. Nikolai had been granted permission to dispatch missionaries to visit Russian POWs in the prisons.¹²² Doubtless it was through this exposure to the same prisoners as Kennan that Nikolai became exposed to the materials Kennan was distributing, understood their implications and was aware, even if only loosely, of their source.

In the journal *Soviet Russia*, Lieutenant Colonel B. Roustam Bek (Boris Leonidovich Tageev, 1871–1938) published an article entitled ‘Military Review’ in which he referenced the attempted 1905 Russian revolution. Having been present in China with the Russian army stationed there, he described a growing movement towards revolution within the military, partially driven by its isolation from home and family and partially driven by disdain for feeble attempts by superior offices to wield discipline. Bek described a situation whereby the men of this army were primed and ready for revolution, needing only a stimulus—perhaps an order from higher up within the military hierarchy—to turn potential into actual revolution. Though no such order came, floods of prisoners of war from Japan were returning to their battalions in Manchuria. Bek stated that ‘there were about 71,000 prisoners in Japan, two-thirds of whom returned with militant revolutionary ideas, thanks to wonderfully organized propaganda work by certain revolutionary organizations of Europe and especially of America’.¹²³ Bek described how the initiative was originated through Dr. Isaac Hourwich of New York ‘and his assistant, Dr. Shupack of Philadelphia’, who dispatched Nicholas Russell to Japan to publish and distribute a seditious magazine: *Japan and Russia*.¹²⁴

¹²¹ Kenoske Nakamura, *The Missionary Nikolai and Meiji Japan (Senkyosbi Nikorai to Meiji Nippon)*, as quoted in Kovalio, *The Russian Protocols of Zion in Japan*, p. 81.

¹²² Takahashi, *International Law*, pp. 146–147.

¹²³ Roustam Bek, ‘Military Review’, *Soviet Russia*, Vol. 4, No. 4 (1921), p. 80.

¹²⁴ Ibid.

While working as a statistician at the Bureau of the Census in Washington, Isaac Hourwich, whom, as mentioned, Schiff had sponsored to write on immigration matters, was especially supportive of Kennan's efforts in Japan. So active was he that 'American consular officials in Yokohama were baffled by a mysterious person with a Russian name [Hourwich] from the Department of Commerce and Labor sending parcels containing pamphlets in the Russian Language to Russell in care of the Consulate. Kennan later estimated that the amount of literature distributed ultimately would have weighed a "ton or more"'.¹²⁵ Kennan believed Hourwich had fled Russia originally because he had been found in possession of Kennan's prohibited writings on Siberia and the exile system in Russia, and the two bonded over their mutual contempt for Russian autocracy and its injustices.¹²⁶ So close did these two become eventually that Hourwich named his fourth child George Kennan Hourwich, presumably after his close friend and ally.¹²⁷

Bek attributes the first revolutionary attempts of 1905 to the materials distributed in the Japanese prisons. While these nascent attempts failed, the ideas in which they were founded continued to grow until they prevailed in the later successful revolutionary movements. It is notable that Hourwich served on the Senate Committee on the Illiteracy of Jewish Immigrants and Its Causes¹²⁸ while at the same time being instrumental in providing Russian POWs with seditious reading material financed by Schiff with the express intent of fomenting revolution upon the immigrants' return.

These efforts were directly tied to Jacob Schiff during hearings before the Committee on the Judiciary of the House of Representatives in April 1917 in a bill titled 'Espionage and Interference with Neutrality'. Promoting revolution in a foreign country was to be explicitly prohibited by the 1917 Espionage Act. During these hearings, Schiff was identified as one of Roosevelt's 'best friends', as the man who had 'broken

¹²⁵Frederick F. Travis, 'The Kennan-Russel Anti-Tsarist Propaganda Campaign Among Russian Prisoners of War in Japan, 1904-1905', *Russian Review*, Vol. 40, No. 3 (1981), p. 273.

¹²⁶George F. Kennan, 'How Russia Loses Good Citizens', *The Outlook*, Vol. 104 (1913), p. 716.

¹²⁷'Guide to the Papers of Isaac A. Hourwich (1860-1924)', Yivo Institute, <http://findingaids.cjh.org/?pID=1358888>, accessed 21 July 2016.

¹²⁸Berkowitz, 'Between Altruism and Self-Interest', p. 267.

Russia's credit' during the Russo-Japanese War and who had tirelessly been working to seed propaganda in Russia, which would, under the bill being investigated, become illegal.¹²⁹ In later years, Schiff was reported by his grandson to have spent \$20 million in his attempts to sow discord against the tsar¹³⁰ in what was thought of as espionage conducted by private citizens.¹³¹ For Schiff, his sponsorship of an effort to promote change in Russia was part of his overall strategy. This was the covert equivalent of his overt economic and political efforts.

In some ways, Schiff's extraordinary success and orthodox Jewish conservatism brought him into ironic alignment with those on the extreme left, blending his sense of humanity and justice with a revolutionary fervour that even the most socialistically inclined appreciated and found compelling. The description Moses Rischin assigns to the socialist Abraham Cahan, editor of the *Jewish Daily Forward*, that he had 'a fervent, almost personal concern with all human problems and sympathy for the miserable and oppressed of all lands, races and creeds', could just as readily have been applied to Schiff's passion for all, most especially through the duty he felt to other Jews.¹³² Schiff's deep empathy for those less fortunate than himself was a product of his orthodox religious beliefs, which gave him, as Naomi Cohen asserts, a 'ferce loyalty to biblical and rabbinic teachings on philanthropy'.¹³³ Cohen also notices that Schiff 'the arch-capitalist wasn't so distant from Cahan the socialist' and illustrates the point by quoting Schiff as having told Cahan that 'giving to the poor is only an act of justice', arguing that Schiff intended this to mean 'justice to the lowly, justice to the delinquent, justice to every member of human society'.¹³⁴

¹²⁹ John D. Moore speaking as a representative of the Friends of Irish Freedom during the Espionage and Interference with Neutrality hearings before the Committee on the Judiciary on 9 and 12 April 1917. *Espionage and Interference with Neutrality: Hearings Before the Committee on the Judiciary, House of Representatives, Sixty Fifth Congress, First Session on HR 291* (Serial 53, Part 2) (Washington, DC: Government Printing Office, 1917), p. 58.

¹³⁰ Cholly Knickerbocker, *New York Journal-American* (1 February 1949) ('Cholly Knickerbocker' was a pseudonym).

¹³¹ *Espionage and Interference with Neutrality*, p. 59.

¹³² Moses Rischin, *The Promised City: New York's Jews, 1870–1914* (Cambridge, MA: Harvard University Press, 1962), p. 126.

¹³³ Cohen, *Jacob H. Schiff*, p. 59.

¹³⁴ *Ibid.*

As it pertained to the Jews of Russia, Schiff's political agenda was his own. Engaged in implementing his own foreign policy as he was, traditional political boundaries were of no consequence. Republican, Democratic, socialist, capitalist: none were relevant. If a viewpoint was consistent with Schiff's political views, he supported it to the extent it was useful. As Abraham Cahan said in defence of working with a 'known conservative' such as Schiff, 'when our [Grigory] Gershuni came to New York to raise funds for the revolution, he got the largest contribution from Schiff and Marshall'.¹³⁵

¹³⁵ Manor, *Forward*, p. 10. Grigory Gershuni (1870–1908) led the Socialist Revolutionary Party in Russia, an underground anarchist organization, for which he was imprisoned in Siberia before escaping in 1906 and making his way through Japan to the USA. Shillony, 'The Jewish Response', pp. 393–400.



CHAPTER 4

Japan

In the half-century prior to the onset of the Russo-Japanese War and since Commodore Matthew C. Perry had first opened Japan's doors to the West and its imperialism in 1853, Japan had already emerged from being 'a weak, feudal, and agrarian country into a modern industrial power, economically and militarily capable of resisting foreign domination'.¹ Its prior isolation from sustained contact with its neighbours (1603–1867) and from the rest of the world had left Japan with a 'cultural and linguistic distinctiveness [that had] made the Japanese highly self-conscious and acutely aware of their differences from others'.² Japan understood that it was cut-off from the outside world. This allowed for what the Japanese themselves understood to be an unusually insular form of cultural development. Japan's isolation, culturally, politically and geographically, led to the development of 'what may be the world's most perfect nation-state: a clear-cut geographic unit containing almost all the people of a distinctive culture and language and virtually no one else'.³ Nevertheless, Japan knew it needed to rapidly emulate the characteristics of the world's dominant powers or otherwise become colonized by

¹Mark R. Peattie, *The Japanese Colonial Empire, 1895–1945* (Princeton: Princeton University Press, 1984), pp. 6–7.

²Reischauer, *Japan*, p. 8.

³Ibid.

them. To do this, Japan imported from the Western culture and the tools for industrialization.

From the early Meiji period (1868–1912) and following that period's contact with Westerners, the Japanese have been portrayed as having developed a 'deep rooted inferiority complex' grounded on the idea that the white races are superior.⁴ Japan's reaction was one of enthusiastic embrace of Western culture in all regards and a readiness to incorporate the best of what could be learned into its own systems.⁵ This principle, as articulated in the fifth of the imperial Five Articles Oath (promulgated by the emperor in 1868), stated that 'knowledge shall be sought throughout the world in order to promote the welfare of the empire'.⁶

Incorporating foreign ideas was not done with the intent of changing Japanese society or values into those of the West but rather to incorporate the advancements of the West so as to enhance and accelerate the development of Japanese society itself.⁷ Western technologies and techniques and ideas were to be subsumed by Japan's own culture and in the service thereof. For Schiff, this brought recognizable points of familiarity that he could relate to as he contemplated financing the war.

Shaking off a 'fortress' mentality⁸ with the dawning awareness of having fallen behind the rest of the (Western) world, Japan became driven to reposition itself as one of the world's most powerful nations—one more befitting its national character. Japan industrialized rapidly but the pathway through brutal colonial policy to economic strength eventually led to a new sense of isolation. Similar experiences in Germany a generation later brought the two countries into an alliance.⁹

⁴Kuzutani Takamasa, 'An Inquiry into the Attitudes of Like or Dislike for Various Races', *Japanese Journal of Educational Psychology*, Vol. 3, No. 1 (1955), pp. 39–57.

⁵Kenneth B. Pyle, *Japan Rising: The Resurgence of Japanese Power and Purpose* (New York: Public Affairs, 2007), p. 59.

⁶'Charter Oath', in *Encyclopaedia Britannica*, www.britannica.com/EBchecked/topic/107679/Charter-Oath, accessed 3 January 2015.

⁷Pyle, *Japan Rising*, p. 60.

⁸'Editorial Opinion', *Japan Economic Journal* (17 March 1990), p. 9.

⁹See Wolfgang Streeck and Kozo Yamamura (eds.), *The Origins of Nonliberal Capitalism: Germany and Japan in Comparison* (Ithaca: Cornell University Press, 2005); By the same authors, *The End of Diversity: Prospects for German and Japanese Capitalism* (Ithaca: Cornell University Press, 2003). See also Bettina Fincke and Alfred Greiner, 'Do Large

To become an advanced nation, Japan realized that it would be necessary to learn from the very countries with which the country expected to compete and to readily accept the modernization of Western nations.¹⁰ For Japan, pride in national culture did not prevent a recognition and acknowledgement of the country's weaknesses. On the contrary, this awareness enabled Japan to actively incorporate foreign concepts and ideas and to compensate for its shortcomings, no matter how humiliating the endeavour might be.¹¹ Indeed, in 1872, the same year Schiff first became actively interested in the country, the Japanese government went so far as to make the wearing of Western dress compulsory for its officials.¹² During the first fifteen years of the Meiji Restoration, there were occasions when fully one-third of the Ministry of Industry's budget was consumed by salaries to non-Japanese as they were 'imported' to enable more rapid consumption of the overseas knowledge base.¹³

After a period of considerable instability following Japan's opening to the West and of brutal suppression of resistance by the Western traders, the country was on the verge of Civil War. However, the rival Choshu and Satsuma regions came to realize that, rather than combat the dominant foreign armies, they could work together to learn from the foreigners and acquire their military skills and weaponry. By building up a navy with the help of the British and by equalizing the great differences between samurai and peasant through training in the use of firearms, Choshu and Satsuma became the military foundation upon which the government and modernization of Japan were built. In 1868, a new government succeeded the feudal system that had previously dominated and the era known as the Meiji Restoration began.¹⁴

Humiliated by the ease with which foreigners had influenced their centuries-old systems, Japan recognized that domestic cohesion and acquisition of foreign intelligence were going to be key to competing in

Industrialized Economies Pursue Sustainable Debt Policies? A Comparative Study for Japan, Germany and the United States', *Japan and the World Economy*, Vol. 23, No. 3 (2011), pp. 202–213.

¹⁰Cohen, *Jacob H. Schiff*, p. 33.

¹¹Pyle, *Japan Rising*, p. 86.

¹²*Ibid.*, p. 100.

¹³*Ibid.*, p. 101.

¹⁴Reischauer, *Japan*, pp. 109–136.

the world into which the country had been thrown. In pursuit of recovering lost national pride, the Five Articles Oath emphasized national unity, equality for all, modernization, and, most significantly, that the country would be 'receptive to knowledge and expertise from whatever source it came. Japan would send students to the United States and Europe, and would invite foreign experts to come to Japan and disseminate their knowledge to the Japanese'.¹⁵

By applying learning traditions whereby the student diligently follows the lessons of the master, as Kenneth Pyle says, Japan 'apprenticed itself to the West'.¹⁶ Marius Jansen describes this phenomenon as having been the 'first great student migration of modern times'.¹⁷ A substantial number of these students went to America, but Germany also became a preferred destination for governmental, legal and military training.¹⁸ Indeed, it is possible that Japan's later, deeper connection with Germany could in part have been enhanced by its respect for Germany's training 'fanaticism'.¹⁹

The Japanese students were pragmatic in their approach to finding pathways to recognition in global order. Ian Nish, writing about the first Anglo-Japanese alliances, eloquently encapsulates the premise by saying that the Japanese

were not the dilettante memoir-writers of late Victorian Britain who surveyed from a lofty eminence the upper crust of Chinese and Japanese society and rhapsodized about the scenery; they were men who had gone to Britain for training or for visits of inspection, who saw the grimy, sooty factory cities and reported on how they should be reproduced for their homeland.²⁰

¹⁵Hazel J. Johnson, *Banking Alliances* (Singapore: World Scientific, 2000), p. 104.

¹⁶Pyle, *Japan Rising*, p. 102.

¹⁷Marius B. Jansen, *Japan and Its World: Two Centuries of Change* (Princeton: Princeton University Press, 1980), p. 64.

¹⁸*Ibid.*, pp. 355–364.

¹⁹Tom Peters, 'West Germany's Unsung Economy Hums Along Amid Labor Harmony', *Chicago Tribune*, 23 July (1990), http://articles.chicagotribune.com/1990-07-23/business/9003010995_1_labor-harmony-firms-workers, accessed 1 August 2016.

²⁰Ian Nish, *The Anglo-Japanese Alliance: The Diplomacy of Two Island Empires 1894–1907* (London: Athlone Press, 1966), p. 13.

Among the first of these diligent students to study overseas were those who became students at University College London in 1865, fully three years before the emperor's edict to do so. Among them was Ito Hirobumi (1841–1909) of Choshu. Later, having come to be one of the most powerful politicians in the Japanese government, Ito returned to England on a study mission in 1881 and extended his tour to include France, Germany and Austria in search of a formula that could be applied to the creation of the first Japanese constitution. Together with some one hundred other powerful leaders who travelled on this mission, Ito became convinced that unless Japan becomes a power of world-class international standing, the country would be fated to remain an essentially colonized nation subservient to the Western powers. By synthesizing the successes of foreign political, economic and constitutional evolution, Ito recognized that Japan could use these resources to its benefit, not only to protect its own cultural identity but also to restore the country to a position of world power and influence. Ito, the 'constitution's chief author', together with his fellow constitutional architects took great pains to ensure that not only was their finished constitution, which was eventually bequeathed the nation by the emperor in 1889, suitably adapted to Japanese circumstances from the European models upon which it was firmly based but also that it did not lose too much of its character and semblance to European standards so as not to be held in anything other than the highest regard by the Europeans themselves.²¹ From Schiff's perspective, as he built Kuhn Loeb into the formidable power it became, Japan was similarly building an infrastructure that, based on European nations, was familiar to Schiff.

Before Perry opened the doors of Japan, it was believed that 'Japan was a sealed casket containing the compressed atoms of Oriental civilization—the golden shrine of the Samurai spirit, only waiting for someone to open it!'²² By the turn of the century, Japan had adopted a Western-style constitution and had built up a formidable military force. The country had begun to establish itself as one with imperialistic aspirations with forays into China (Manchuria) and Korea, imposing on its foes unequal treaties of the kind that had been imposed on it a

²¹Reischauer, *Japan*, p. 148.

²²David Murray, Kentaro Kaneko, and Albert W. Vorse, *Japan* (New York: G. P. Putnam's Sons, 1906), p. 478.

generation earlier. These were all signals of strength and competence that contributed to Schiff's confidence in the emerging nation's creditworthiness. Schiff and other Jews were not opposed to empires as long as those empires were not antisemitic. England had empire, as did Germany, and America's was just starting to be built. Schiff did not mind the idea of Japan developing an empire because he saw Japan as an enlightened and civilized nation.²³

By the time the Russo-Japanese War broke out in 1904, the Western powers had begun shifting away from a direct colonization model. Japan's policy of adopting Western practices and of avoiding foreign debt in the pre-Russo-Japanese War years mitigated the risk of colonization, ameliorated the impact of unequal treaties and integrated into its own infrastructure the best practices from around the world.²⁴

It was believed that the only thing that could get in the way of Japan's advancement to the world stage was external influence from foreign powers and consequent loss of sovereignty, as China had experienced to stunt its growth.²⁵ So, for Japan, war with Russia in 1904 was the moment of truth, 'one of the milestones in the internationalization of Japan'.²⁶ Either its plan for entry onto the world theatre would prevail and it would defeat its formidable adversary and advance on its own terms or the reverse could be true, and its entry into the world would be determined by a colonial power. China had experienced a similar development curve. Its path to industrialization was devastatingly interrupted by war with Japan in 1895.²⁷ Japan was either going to modernize through its own ingenuity or face the same fate as China and be forcibly modernized as a subjugated nation contained within a Russian sphere of influence.

²³Cohen, *Jacob H. Schiff*, p. 43. Schiff discussed the idea of dictatorship with his close friend Ernest Cassel. Cassel did not see this in itself as inherently a bad thing, with the caveat that it was important that a dictatorship 'be a good one'.

²⁴Bauer and Yamey, *The Economics of Under-Developed Countries*.

²⁵Thomas, *Foreign Intervention*, p. 3.

²⁶Michael R. Auslin, 'Japanese Strategy, Geopolitics and the Origins of War, 1792–1895', in John W. Steinberg, Bruce W. Menning, David Schimmelpenninck van der Oye, David Wolff, and Shinji Yokote (eds.), *The Russo-Japanese War in Global Perspective: World War Zero* (Leiden: Brill, 2007), p. 3.

²⁷Wellington K. K. Chan, *Politics and Industrialization in Late Imperial China* (Singapore: Institute of Southeast Asian Studies, 1975), p. 9.

In defeating China in the Sino-Japanese War, Japan observed in its foe a nation that had failed to achieve precisely the goals Japan wanted for itself. Foreign military strength was used to control China's resources and trade flows. This counted among the reasons for China's failure and the consequent dulling of its ability to industrialize. As with all lessons learned from overseas, Japan internalized this lesson and embarked on a period of rapid militarization, ostensibly to ward off foreign colonial pressures to preserve control over its own resources and trade. This also set the stage for a direct military confrontation with Russia in 1904. Japan realized that it must either introduce modern reforms by embracing foreign concepts and technology (including militarily) or succumb to foreign rule.²⁸

Stephen Thomas asserts that a defining factor in determining which would industrialize and which would not among the non-Western nations was a strong military, and in the event, the only nation to develop in this way was Japan.²⁹ However, while this may have been necessary, it was not sufficient for Japan. Japan had also implemented an effective deployment of foreign capital. This complemented its growing military prowess. Without it, Japan could have been defeated in a battle of economic attrition had Russia elected to prolong the war until Japan ran out of war funds and faced financial collapse.

By pragmatically funding the Russo-Japanese War, Japan also became a debtor nation to the most powerful nations in the world, bestowing upon these powers a direct interest in seeing it prevail against Russia. Japan was willing to pay the high price for the bonds on the American and English markets because, by pledging the customs receipts as security and by becoming a debtor nation to these two most powerful military allies, Japan could be assured that its creditors had a vested interest in seeing it prevail under all circumstances.³⁰

The *Wall Street Journal* expressed the belief that the possibility of military support from America and England virtually 'guaranteed the integrity of Japan no matter what the outcome of the war may be'.³¹ Schiff

²⁸Cyril E. Black, *The Dynamics of Modernization: A Study in Comparative History* (New York: Harper & Row, 1966), p. 121.

²⁹Thomas, *Foreign Intervention*, p. 24.

³⁰'Further Japanese Borrowing', *Wall Street Journal* (27 May 1904), p. 5.

³¹'Japanese and Russian Loans', *Wall Street Journal* (23 May 1904), p. 5.

understood that these factors alleviated some degrees of the risk he was evaluating.

Frances Moulder asserts that Japan's attempts to industrialize were insulated from the world's capitalist system and for that reason were successful. Moulder distinguishes Japan's attempts to industrialize from those of China, saying that China was smothered by the world capitalist system.³² On the other hand, in contrast with Moulder's view, Japan can be seen to have proactively and effectively tapped into the world capitalist system, and, because Schiff and others responded so positively to Japan's active integration with the international capital markets, Japan prevailed.

The Russo-Japanese War itself was fought as the protagonists battled for supremacy on the Korean Peninsula and in southeast China, effectively placing Japan's imperialistic ambitions at the fore against Russia's. The war has been called World War Zero because it featured a European power and an emerging Asian power as the protagonists, and because the outcome was to change the course of world history. Japan's credibility was enhanced in the international community. Russia experienced revolution. 'Asia advancing, Europe falling back', commented General Sir Ian Hamilton (1853–1947), the senior British military attaché serving with the Japanese army during the war.³³

What was particularly notable was that Japan, despite its advances, was by far perceived to be the underdog in all aspects. It had a population only three-fifths the size of that of Russia, gold reserves of barely one-tenth, a national budget also of a tenth and a third the amount of foreign trade. The tsar of Russia had little doubt that defeating the Japanese was a foregone conclusion and habitually referred to them as 'yellow monkeys'.³⁴ He had apparently been injured by a Japanese police officer while visiting Otsu during an official visit in 1891. This went some way to breeding the contempt he continued to hold for the Japanese.³⁵

³²Frances V. Moulder, *Japan, China and the Modern World Economy: Toward a Reinterpretation of East Asian Development ca. 1600 to ca. 1918* (Cambridge: Cambridge University Press, 1977), pp. 128–146.

³³Hamilton as quoted in David Walder, *The Short Victorious War: The Russo-Japanese Conflict, 1904–05* (New York: Harper & Row, 1973), p. 299.

³⁴Sherman, 'German-Jewish Bankers', p. 60.

³⁵Shillony, 'The Jewish Response', pp. 393–400.

Providing only the promise of military support in the event of third-party intervention during a conflict or war, England joined with Japan to form the Anglo-Japanese alliance in 1902. It did not provide for support to Japan in the event of economic collapse, though in part the alliance was engineered to minimize such a likelihood.³⁶ The alliance with England gave Japan the confidence to face the threat that Russian dominance over Manchuria could starve it of essential commercial development, and that the country might become subject to onerous colonial-like restrictions dictated by its powerful Russian adversary in the event of defeat in war.

The war was fought between Japan and Russia for control over the Korean Peninsula and Manchuria. Following the Sino-Japanese War ten years earlier, European powers, including Russia, had pressured Japan into giving up control of territory seized during that war in China. When Russia took control of the same territory in 1896, Japan challenged what it saw as duplicitous Russian provocation and won Russian concessions. Russia reneged on an agreement to withdraw troops and Japan withdrew from further negotiations, preferring instead to seize control through force.

Japan laid siege to the Russian fleet harboured at Port Arthur on 8 February 1904. Japanese forces landed on the Liaotung Peninsula in May and encircled the Russian forces in Port Arthur later that month. The Russian army fell back to Mukden (now Shenyang, Liaoning province), and on 2 January 1905, the Japanese took control of Port Arthur. The final land battle of the war was fought at Mukden and ended with a Japanese victory as the Russian forces withdrew in March 1905, after heavy losses on both sides.

The decisive battle of the war, the naval Battle of Tsushima, was fought on 27–29 May. The Japanese navy had not been able to completely subdue the Russian squadrons and was threatened by the Russian Baltic fleet, which had set sail from the Baltic in October 1904 to reinforce the Russian forces.

Leading the navy, Admiral Togo Heihachiro (1848–1934), who had been educated in naval science in England, first employed a manoeuvre known as ‘crossing the enemy’s T’. This involved turning his forces

³⁶Roy H. Akagi, *Japan’s Foreign Relations 1542–1936: A Short History* (Tokyo: Hokuseido Press, 1936), p. 217.

across the path of the Russian fleet. It was to prove a crucial tactic and thirty-three of the thirty-five ships in the Russian fleet were destroyed, bringing an end to the war.³⁷

ARMAMENT BUILD-UP

At the onset of war, Japan understood that the stakes were high, not least on the economic front. ‘The Meiji leaders feared that unless Japan was more active abroad economically as well as politically, opportunities for trade and investment available to Japan in the region would slip into the hands of competitors’.³⁸ Japanese Foreign Minister Komura bemoaned Japan’s lack of commercial influence in the region, seeing it as trivial in comparison with the extent of Western economic activity in key industries in the Far East. Development of commerce and industry was seen as a fundamental component in the development of international relations and as a ‘phenomenon of grave importance’.³⁹

The Japanese government knew that foreign financial support would be necessary in any war with Russia.⁴⁰ Japan’s Chief of General Affairs, Major General Iguchi Shogo (1855–1932), had predicted a year before war broke out that Japan would need to raise loans overseas to fund the war. His estimated budget was exceeded fourfold by the actual cost of the war. Iguchi advised that, while there was no strategic advantage to Britain to directly intervene militarily in any war with Russia outside the terms of the Anglo-Japanese agreement, it did make strategic sense for Britain to finance Japan.⁴¹ His hypothesis was to prove not so simple to implement.

Financing the development of the military was a priority for Japan. The country was sensitive to the importance of having a strong military

³⁷ ‘Russo-Japanese War: Russo-Japanese History’, in *Encyclopaedia Britannica*, www.britannica.com/EBchecked/topic/514017/Russo-Japanese-War, accessed 5 January 2015.

³⁸ Peter Duus, ‘Economic Dimensions of Meiji Imperialism: The Case of Korea 1895–1910’, in Ramon H. Myers and Mark R. Peattie (eds.), *The Japanese Colonial Empire, 1895–1945* (Princeton: Princeton University Press, 1984), p. 133.

³⁹ Duus, ‘Economic Dimensions of Meiji Imperialism’, p. 133.

⁴⁰ Ushisaburo Kobayashi, *War and Armament Loans of Japan* (New York: Oxford University Press, 1922), p. 72.

⁴¹ Murray, Kaneko, and Vorse, *Japan*, p. 3.

to provide both military defences in the event of physical invasion as well as to shore up defences against colonialist imposition of capitalist controls on trade and tariffs. Having just recovered these rights following the Sino-Japanese War of 1894–1895, Japan had embarked on a ten-year plan to treble the nation's military might. This entailed a massive build-up of expenditures (see Fig. 4.1).

Figure 4.1 shows how ordinary expenditures (those associated with peacetime activities) increased as a matter of course to enable the expansion of the military, with a spike in extraordinary expenditures (those that occurred as a result of war) occurring after the Sino-Japanese War

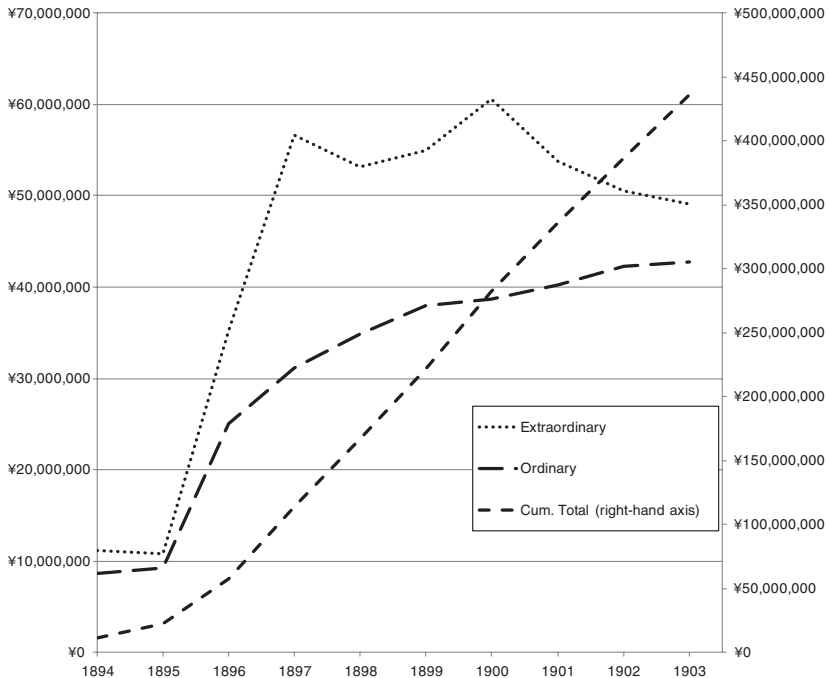


Fig. 4.1 Growth in Japanese pre-war military expenditures (*Note* Both the extraordinary and ordinary expenditures are read from the left-hand y axis. The sum of these two types of expenditure is totalled on the cumulative line, which reads off the right-hand y axis. *Source* Data derived from Giichi Ono, *War and Armament Expenditures of Japan* (New York: Oxford University Press, 1922), p. 63)

to cover, in part, post-war pensions, decorations, compassionate allowances and temporary rewards.⁴² These extraordinary expenditures then stabilized in volume until 1903, ahead of the pre-Russo-Japanese war build-up, while those expenditures classified as ordinary grew on an annual basis to almost five times their scale in 1903 than in 1894. The cost of waging the war with Russia presented an enormous burden to the economically youthful and recently opened Japanese economy. It presented a critical moment in Japan's history. 'In defeat the [economic] results would have been appalling'.⁴³

Being pragmatic about the challenges facing the country as negotiations with Russia approached an impasse, the Japanese government contemplated a policy that would provide all the financial resources required to engage in war. At the same time, it was hoped that the strategy would provide a stimulus to the economy that might outlast the war years, ideally enabling the country to emerge into peace stronger economically than it had entered battle.⁴⁴ Ultimately, the loans sponsored by Schiff would be refinanced with issues that paid off earlier loans under terms more favourable to the Japanese government, which would facilitate Japan's post-war recovery.

In total during the course of the war, the imperial Japanese government (IJG) authorized ten actions approving various stages of the war budget, either through imperial ordinances or assents, or through orders approved through the Diet. This included approvals to cover budgetary overruns totalling around £9 million. Including pre-war expenditures and post-war disbursements, the total cost of the war to Japan was slightly over £200 million, although only around £120 million was approved during and as a direct cause of the war.⁴⁵ Fully 80% of the funds required to finance the war came from either foreign or domestic

⁴² Giichi Ono, *War and Armament Expenditures of Japan* (New York: Oxford University Press, 1922), p. 63.

⁴³ Kobayashi, *War and Armament Loans*, p. 72.

⁴⁴ *Report on the War Finance* (Japan: Department of Finance, 1906), p. 1.

⁴⁵ The government implemented strict procedures to ensure disbursements were accurate and thoroughly examined before monies were actually expended. This involved at the first level the war/naval minister seeking an informal consensus with the minister of finance, then the minister president was to be sought out for approval. He would then send the matter up to the minister of finance for formal approval who would then send it forwards to the emperor for the imperial assent. Only once this process had been employed could funds actually be disbursed. See *Report on the War Finance*, p. 13.

bonds. At £82 million, Schiff's contribution to budgets approved during the war was over 68% of the total eventually budgeted to fund the war by Japan, although this percentage is dependent on the amount the historian uses as the basis for the total war cost. It is difficult to estimate the precise percentage the loans contributed to Japan's war efforts due to inconsistencies in the official records published by Japan.

In the *Report on the War Finance*, the totals presented in the original Department of Finance document do not tally with the subtotals for each item. I have assumed that the error lies in the calculation of the totals, not in the subtotals themselves. Not only are there inconsistencies in the official data but there are also various conflicting estimates of the actual percentage of war costs Schiff's loans accounted for. Though the total raised on the New York and London markets was £82 million, the estimate of the proportion in relation to the total cost of the war depends on how an author calculates the war budget. In his examination of Baron Kaneko's role in the war, Masayoshi Matsumura puts the total amount at just under ¥2 billion, with foreign loans accounting for ¥1.2 billion, putting the percentage of foreign loans at 60%.⁴⁶ Other authors use different numbers. Kanji Ishii, for example, cites that 'about half' of the war finance came from London and New York, with the remainder being generated domestically in Japan.⁴⁷ Mark Metzler holds that it was 40%.⁴⁸ Richard Smethurst estimates that the total amount provided by the English and American syndicates was 'almost half the total cost of the war'.⁴⁹ Janet Hunter puts the ratio of foreign debt to the cost of the war at 38%.⁵⁰ Toshio Suzuki estimates that the total war expenditures were approximately £186 million, of which £144 million was raised by foreign and domestic borrowings.⁵¹ This puts the

⁴⁶Matsumura, *Baron Kaneko*, Kindle Edition, 3%.

⁴⁷Kanji Ishii, 'The Role of Banking in Japan, 1882–1973', in Alice Teichova, Ginette Kurgan-Van Hentenryk and Dieter Ziegler (eds.), *Banking, Trade and Industry: Europe, America and Asia from the Thirteenth to the Twentieth Century* (Cambridge: Cambridge University Press, 1997), p. 405.

⁴⁸Metzler, *Lever of Empire*, p. 45.

⁴⁹Smethurst, 'Korekiyo Takahashi and Japan's Victory', p. 2.

⁵⁰Janet Hunter, 'The Limits of Financial Power: Japanese Foreign Borrowing and the Russo-Japanese War', in A. Hamish Ion and E. J. Errington (eds.), *Great Powers and Little Wars: The Limits of Power* (Westport: Praeger, 1993), p. 152.

⁵¹Suzuki, *Japanese Government Loan Issues*, p. 84.

£82 million from the Schiff loans at 44% of total expenditures and 57% of total borrowings. The resulting range of the contribution of foreign debt is between 38 and 68%. Whatever the actual percentage, the Japanese government saw foreign borrowings as crucial and Schiff's role as pivotal.

Despite facing the possibility of crushing deficit spending to prosecute the war, and before any sign had yet materialized of raising funds overseas let alone of the role Schiff would play in securing those funds, Japan embarked on an intensive austerity programme to support the war effort.

These measures included reductions in general and administrative budgets, the implementation of policies restricting taxation at the local level in favour of revenue generation at the federal level, and the encouragement of the retention of gold and silver at home to bolster specie reserves to provide support for anticipated foreign loan requirements. In February 1904, the IJG issued the first tranches of exchequer bonds with interest rate provisions of 5%, a minimum price of ¥95, and a five-year maturity. The total approved was ¥100,000,000 (£10,245,901), and the funds were to be used directly for the war and naval departments.⁵²

The extent to which the Japanese people themselves were prepared to sacrifice economically to support the war effort directly shored up the country's creditability on international markets and reinforced Schiff's underwriting of the country and its people, showing that they were worthy of the risks he too was willing to undertake.⁵³ Aside from dispatching diplomats to raise funds overseas, Japan engaged its own internal resources to the maximum capability. Schiff could see that the Japanese had come together in a resolute fashion and this gave him the confidence that he was backing a winning team that was itself prepared to 'invest' in its own future. Japan consciously believed its people's economic self-sacrifice to be a critical prerequisite in any financial underwriting that engendered any measure of risk.⁵⁴ For all Schiff's desire to see Russia defeated, he was not going to support Japan if he thought the effort would not be shared by the Japanese people.

Bankers had the reputation for being able to bring about war or peace through the exercise of their influence in providing the finance

⁵² *Report on the War Finance*, p. 28.

⁵³ Adler, *Jacob H. Schiff*, Vol. 1, p. 213.

⁵⁴ Kobayashi, *War and Armament Loans*, p. 69.

required by warring parties to fund their ambitions.⁵⁵ Schiff disavowed this notion, believing instead that resolute peoples who supported their governments would support their own currencies and their government's ability to self-fund wars—even in the absence of specie in the form of gold. Seeing the Japanese people supporting their government's efforts through the purchase of domestic exchequer bonds added to the confidence Schiff had that the war was strongly supported and that the Japanese people meant to stand behind their government through economic sacrifice and expense.⁵⁶

In early 1904, as the prospects for war loomed, the Diet convened to further its budgetary preparations. In addition to approving an estimated ¥380 million (£38.9 million) budget to cover extraordinary war expenses, the Diet established the Tobacco Monopoly Bill⁵⁷ with a view to collateralizing the resulting revenues for foreign loans, and it approved the implementation of a series of extraordinary taxes, budgeting approximately ¥63,440,000 (£6.5 million) in revenue from the new taxes.⁵⁸

At the same time, the government presented to the Diet a supplementary budget for extraordinary war expenses for 1904/1905, and the Diet approved it unanimously. Here, the government elected to immediately allocate ¥70,000,000 (£7,172,131) to the war fund—an amount that would be reimbursed later from receipts from special taxes and the tobacco monopoly—and to allocate ¥40,000,000 (£4,098,360) to the extraordinary fund to be used to defray as-yet-unpredicted items that would likely materialize during the course of the war.⁵⁹ From these, supplementary funds would be drawn those that would establish the operations of the tobacco monopoly and those that Schiff would rely upon for

⁵⁵ Adler, *Jacob H. Schiff*, Vol. 1, p. 213.

⁵⁶ Ibid., p. 212.

⁵⁷ As Japan's tobacco industry was nationalized so as to capture revenues for use during the war, it drew the temporary ire of James Buchanan Duke (1856–1925), president of the American Tobacco Trust Company, who had invested directly in the Japanese tobacco industry and felt he had been betrayed by the IJG. The matter was eventually resolved in the USA, but not until Duke had created something of a stir among political circles and had burdened Schiff directly by personally lobbying against the Japanese finance.

⁵⁸ *Report on the War Finance*, p. 13.

⁵⁹ Gotaro Ogawa, *Expenditures of the Russo-Japanese War* (New York: Oxford University Press, 1923), pp. 37–38.

collateral in the second two issues, once their revenue streams had begun to mature.

Japan was preparing diligently for the financial consequences of war, aligning all resources at its disposal to be ready to provide Takahashi Korekiyo with the tools he would need to successfully negotiate with foreign banks for funding. Not even these preparations would be enough, however. Takahashi, while winning sympathy in both London and New York, was unable to generate acceptable terms from any bank until Schiff intervened, aligning everyone's interests.⁶⁰

At the convocation of the Diet in November 1904, the House unanimously approved a supplementary budget of ¥700,000,000 (£71,721,311) as well as the implementation of additional taxes by amendment to the Extraordinary Special Taxes Law, Succession Taxes, and a Salt Monopoly Bill. The government also wanted to generate further income domestically to support the war effort, in part simply to add to the pool of available funds but also with the added benefit of demonstrating to foreign investors the resolve of the Japanese people in their own future. Furthermore, the government intended to include incentives to domestic investors in the bonds, and these incentives also needed to be funded. To reach these goals, the government was authorized to make temporary loans, to issue exchequer bonds and to raise public loans up to a maximum of ¥450,000,000 (£46,106,557). To cover any difference between the face and issue values of the bonds and loans, and to cover any redemption expenditures, the government was authorized by the Diet to exceed the permitted budget as needed.⁶¹

By November, however, the government was scrambling to keep ahead of requirements, and no matter how quickly it consolidated reports coming in from the various war departments, or how quickly it was able to convene special sessions of the Diet to address the supplemental budgetary requirements, it was unable to keep up the pace. Before the government was able to get approval for its carefully calibrated supplemental budgetary requests of the Diet, additional costs were exceeding the numbers it was presenting. At the November session, additional expenditures that had not been incorporated in estimates before the Diet included ¥60,000,000 (£6,147,541) for the army and an

⁶⁰ Smethurst, *Takahashi Korekiyo: Japan's Keynes*, pp. 149–151.

⁶¹ *Report on the War Finance*, p. 8.

additional ¥28,820,000 (£2,952,868) for various departments of state; all of these expenditures needed immediate fulfilment—approval for which was passed.⁶²

In December 1905, after the war had ended, the Japanese government had to contend with the costs of shutting down the mobilization for war it had put into place. Post-war adjustment to peacetime still maintained a trajectory towards continued militarization. The government ‘socialized its citizens for Westernization, industrialization, and empire building under the slogan “Rich Country, Strong Military”’. It would be another forty years before Japan embarked on a policy of demilitarization and democratization.⁶³

A further supplementary budget was presented to the Diet totalling a requested ¥450,000,000 (£46,152,663) to cover the cost of withdrawal of forces, awards for distinguished service, and other related matters. This time the Diet, which had come to summarily approve all budgets and estimates hitherto presented by the government during the war, for the first time reined in its bureaucrats and put a curb on budget approvals. The December 1905 budget was approved with a reduction of ¥5,000,000 (£512,295) to cover the financial year 1905/1906.⁶⁴

The government additionally requested a reserve fund totalling ¥7,200,000 (£737,705), to be applied to the 1905/1906 budget as needed and for which the annual account surplus would be used as the source of revenue, as well as the sum of ¥84,500,000 (£8,657,786), which was to be used for reserves by the war, naval, and other departments of state during fiscal year 1906/1907. The approved bill terminated the issuance of exchequer bonds as a revenue source and was capped at ¥70,000,000 (£7,172,131) to cover costs incurred by the army and navy as well as those related to the forces now stationed in Korea and Manchuria.

It is noteworthy that, while the approval of these items was by ‘large majority’, it was not unanimous, as had been all prior wartime applications to the Diet for budgetary approvals. For the first time since the war began, some members of the Diet started to show reluctance to give automatic

⁶²Ibid., p. 9.

⁶³John W. Dower, *Ways of Forgetting, Ways of Remembering: Japan in the Modern World* (New York: New Press, 2012), p. 187.

⁶⁴*Report on the War Finance*, p. 10.

approval to all items contained in the budgets presented to them. The profligate fiscal policy that had prevailed in the run-up to and during war-time to ensure a successful military outcome had come to an end.⁶⁵

TOTAL EXPENDITURES: SUMMARY

The total expenditures for the war came to ¥1,376,020,000 (£140,985,655)⁶⁶ against an estimated requirement of ¥1,746,420,000 (£178,936,475)—that is the war cost less than was ultimately anticipated by approximately 21%.⁶⁷ Despite the conflict generally being considered a great naval war, the amount actually allocated to the navy represented slightly less than 17% of the total amount allocated to the army.⁶⁸

Over 85% of the total expenditures allocated to the army during the war went towards materiel, of which provisions, arms, clothing and transportation accounted for over 82% and personnel cost 10%, with the remainder being shared among other areas. Of naval expenditures,

⁶⁵Ibid.

⁶⁶There are some odd anomalies in the Department of Finance data as reported. Firstly, some of the table totals do not add up. Specifically, the table showing the breakdown of the various defrayed naval expenditure items is shown to have a total of ¥228,482,800; however, the actual sum of the items is exactly ¥6,000,000 less. This is not uncommon (as previously mentioned) and so it is believed that the Department of Finance miscalculated while generating the report upon which these numbers are based. More oddly, however, and beyond the scope of the current paper, are anomalies within the numbers themselves. Specifically, one presumes that the same definitions are used to cover each item for each of the army ('war') and navy expenditures, such that the items that reference 'Salaries and Allowances', 'Provisions' and 'Clothing' are calculated based upon the same intrinsic assumptions for each of the two branches of the armed forces. However, the ratios between these three lines vary dramatically. For example, in the army, provisions cost approximately four times as much as salaries and allowances, and clothing, presumably uniforms and the like, cost over two times as much as salaries and allowances. However, in the navy, provisions cost only a little over half as much as salaries and allowances, whereas clothing accounts for less than one-third as much as salaries and allowances. Clearly, there are many possible explanations for this discrepancy, including that, perhaps, the cost of delivering supplies to front-line troops was considerably higher than simply depositing it on board a ship; that army personnel were considerably less well paid than their naval counterparts; or other reasons not contemplated here. Either way, the available data do not indicate an explanation for this discrepancy and so, while the numbers are taken as being accurate (despite summation inconsistencies), further research is warranted.

⁶⁷*Report on the War Finance*, pp. 15–16.

⁶⁸Ibid., p. 15.

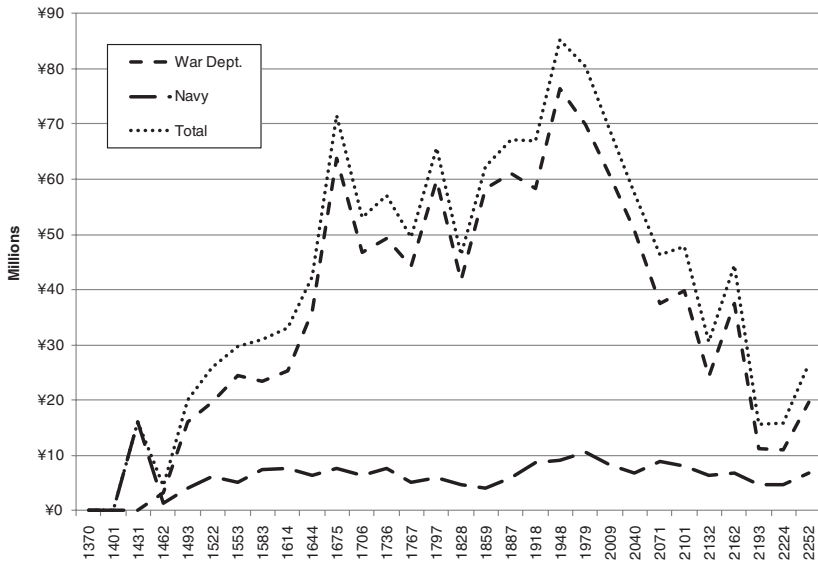


Fig. 4.2 The Japanese government's wartime expenditures (*Note* War department data illustrate those expenditures allocated to the army. *Source* Data derived from 'Table of Amounts Paid Out for Extraordinary War Expenses', in *Report on the War Finance* (Japan: Department of Finance, 1906), p. 17)

the vast majority (almost 80%), as one might expect, was associated with building and maintaining the fleet.

As negotiations with Russia began to look increasingly unlikely to yield peaceful results, Japan had prepared its warships, incurring a high cost of around ¥15 million per month relative to the average naval expenditures, which were usually less than ¥10 million per month.

The cost of deploying the army, however, consumed by far the greatest portion of expenditures, dwarfing the naval costs in total terms at war's end by a multiple of over four. Figure 4.2 shows the rollout of the expenditures on a monthly basis from late 1903 to early 1906 and illustrates the rate and pace at which funds were deployed and hence needed.

SOURCES AND FLOW OF FUNDS

By far the biggest contributor to the funds required to prosecute Japan's war with Russia came from loans and bonds, which totalled over ¥1.12 billion (approx. £114 million) and represented over 80% of the total

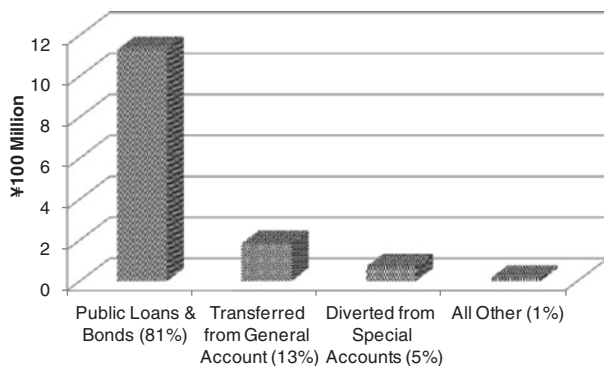


Fig. 4.3 Sources of funds to finance the war (*Source* Data derived from ‘War Fund for Russo-Japanese War’, in Ushisaburo Kobayashi, *War and Armament Loans of Japan* (New York: Oxford University Press, 1922), p. 66)

expenditures deployed. Of these loans, £82 million was raised on the US and London markets as a direct result of Schiff’s intervention, totalling (at 9.76 yen to the pound) approximately ¥800,320,000—or almost 72% of the total bond and loan activity deployed to finance the war, and over 60% of the total funding required, including revenues derived from all sources (see Fig. 4.3).

The initial terms offered by the English syndicate to the Japanese government for the first issue, intended by the Japanese government to be for £20 million, were considered onerous by Tokyo and negotiations collapsed.⁶⁹ Japan’s credit was not good and its specie reserve (reserves of bullion in support of its own currency) sank to record lows as war broke out. In fact, the specie reserve collapsed to a level not seen since 1885.⁷⁰

Foreign markets, though positively inclined to support Japan, were sceptical about the nation’s strength both economically and militarily and required a substantial premium to entice them to provide the funding required (see Fig. 4.4).

⁶⁹Kobayashi, *War and Armament Loans*, p. 72.

⁷⁰This comparison is made between the specie reserve held in May 1904, which totalled approximately ¥68 million (*Report on the War Finance*, p. 24), and the low point in 1885 of approximately the same amount (Kobayashi, *War and Armament Loans*, p. 119).

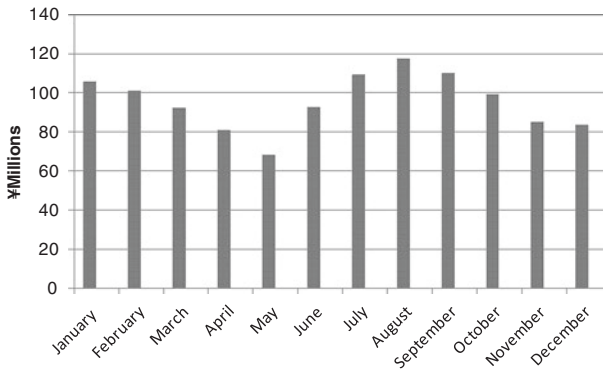


Fig. 4.4 Specie reserve, 1904 (*Source* Data derived from ‘Table Giving Amounts of Nippon Ginko [Bank of Japan] Notes and Specie Reserve’, in *Report on the War Finance* (Japan: Department of Finance, 1906), p. 24)

Furthermore, as Fig. 4.4 shows, Japan’s supplies of specie were dropping precipitously as war began and expenditures increased. By the time of the first sterling loan in May 1904, the country’s reserves had fallen to a very low ¥68 million in specie reserve against over ¥286 million of convertible notes in circulation, lower than was legally permissible. This left Japan’s negotiating team in a weak position. However, with some modifications in the terms, a halving of the scale of the first issue, and Schiff’s intervention, the loan terms were finalized and issued on 7 May 1904. Richard Smethurst and Toshio Suzuki both contend that loan terms were agreed between the IJG and the English syndicate on 3 May 1904. However, although Takahashi wanted to approve the terms at this time, he had not yet received authority to do so from the IJG. He was still engaged in negotiations with the members of the syndicate on terms he could not accept. There was no agreement until Schiff confirmed he would issue in the American markets.⁷¹

When commissions are taken into account, the net cost to Japan, as a percentage of actual revenues derived from the issues, was higher than the yields that bond buyers were expected to reap at maturity. Net receipts from the bond issues included deductions for commissions paid.

⁷¹See Smethurst, *Takahashi Korekiyo: Japan’s Keynes*, p. 149; Suzuki, *Japanese Government Loan Issue*, p. 96; Diary of Korekiyo Takahashi, 3 May 1904, JNDL: 135.R2.1075.

Commissions totalled £2,750,000 and were payable to the underwriting banks, including Kuhn Loeb (see Table 4.1).

Table 4.1 Net cost of foreign loans to the Japanese government

<i>Real cost/revenues to Japan</i>				
Gross proceeds	£9,350,000	£10,860,000	£27,000,000	£27,000,000
Commissions	£350,000	£450,000	£975,000	£975,000
Net receipts to Japan	£9,000,000	£10,410,000	£26,025,000	£26,025,000
Annual interest payments	£600,000	£720,000	£1,350,000	£1,350,000
Effective rate paid by Japan	6.67%	6.92%	5.19%	5.19%
Effective cost at redemption	9.05%	8.73%	6.52%	6.52%

Note Calculations in this table are derived from Japanese Department of Finance data in combination with the original contracts between the English syndicate and the IJG, which delineate the terms of the loans

Source Data derived from Royal Bank of Scotland Archives 1904: PAB/135, papers concerning 4.5% loan to Japanese Government by Parr's Bank Ltd.; Royal Bank of Scotland Archives 1904: PAB/137, papers concerning 6% loan to Japanese Government by Parr's Bank Ltd.; Royal Bank of Scotland Archives 1905: PAB/142, papers concerning 4.5% II series loan to Japanese Government by Parr's Bank Ltd.; *Report on the War Finance* (Japan: Department of Finance, 1906), p. 33

Taking into account the deduction of commissions on top of the discount rates at which the bonds were sold, and the fact that Japan was obliged to pay interest on the full face amount of the bonds, the effective cost for Japan of these bonds was very high—particularly in the case of the earlier two issues at the onset of war, which cost Japan an average of almost 9% between them, as is shown in Table 4.1. These returns compensated Schiff and his fellow lenders well for any doubts they may have entertained about the creditworthiness of Japan and, though costly, were certainly worth it for Japan.

Throughout much of the war, Japan was able to correctly assess and meet its total financial requirements. The foreign war bond issues were to have a critical role in ensuring that Japan was able to stay on budget and not fall too far behind on its monthly spending deficit. Table 4.2 shows how much funds were received on a monthly basis during the course of the war and from what sources.

Figure 4.5 shows how this flow of foreign bond financing provided the underpinning to what would otherwise have been a large deficit, and shows that by July 1904 receipts were already coming in from London and New York.

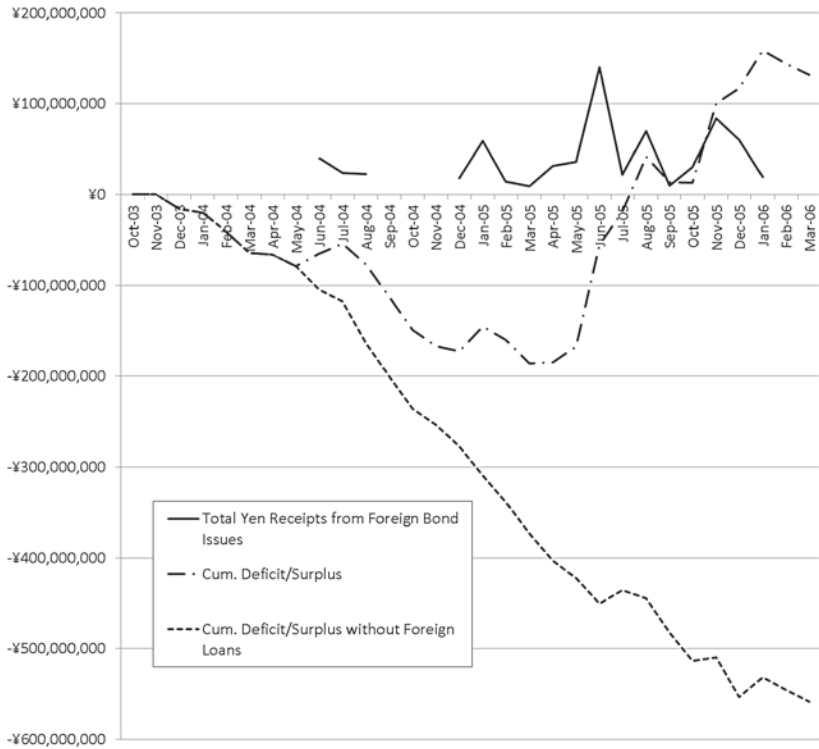


Fig. 4.5 Impact of foreign borrowing on Japan's balance of payments (*Source* Data derived from 'Sterling Bonds, June 1904–January 1906' and 'Monthly Income and Disbursement for War, 1903–1907', in Gotaro Ogawa, *Expenditures of the Russo-Japanese War* (New York: Oxford University Press, 1923), pp. 162, 168)

These loans continued through to January 1906 and led to a very different balance-of-payments picture than would have emerged in their absence. Without the foreign loans, all expenditures would have had to have been funded domestically and, despite herculean efforts on the part of the Japanese people, their economy simply was not strong enough to withstand the burden of going to war with Russia. However, the policy of reaching outside to its allies in the United States and Europe for loans through the bond issues enabled Japan to mortgage some of its most productive assets—tobacco profits and customs income—on an interest-only basis deep into the future (i.e. seven years for the first two issues and twenty years for the second two). The impact of this effort was

dramatic. By war's end, it turned what would otherwise have been a significant deficit for the developing country into a surplus.⁷²

Schiff understood the broad implications of his support of Japan. He knew that without it Japan could have suffered 'financial and economic ruin... The abandonment of the gold standard would, of necessity, have immediately followed a failure of the Japanese Loan Commissioner to secure foreign loans'. He saw that this would have led to Japan losing its credit on foreign markets and to an inability to sustain its war effort, as it would not have been able to procure the armaments it needed.⁷³

Apart from reducing spending,⁷⁴ Japan also employed a series of tax increases to contribute to revenue growth. Two rounds were imposed: the first in March 1904 (coming into effect on 1 April) and the second in December of that year (coming into effect on 1 January 1905). The Diet's approval of tax hikes in the March session included the establishment of the tobacco monopoly to generate profits that would be used as collateral against foreign loans, revenue for which commenced the following 1 July.⁷⁵ The first round included increases in land, income, business, sake and soy taxes; a sugar excise; mining registration; bourse and shooting licence taxes; taxes and various import duties on sake exports from the island of Okinawa; increases in taxes on woollen textiles and kerosene; stamp duties on civil suits and non-contentious commercial cases; and increases in property taxes.

The second round of tax hikes (nine months later, in December) included further increases in land, income, business, sake and soy taxes; further increases in the sugar excise; further increases in mining registration fees; further increases in bourse and shooting licence taxes; and further increases in taxes and duties on sake exports from Okinawa. It also saw increases to and supplementation of various import duties (lending further support to the allocation of collateral to the foreign loans that were being sought overseas), the implementation of a new tax on travelling, a consumption tax on items other than woollen goods, a stamp duty on checks, a new stamp duty for administrative lawsuits, a new inheritance tax and a new salt monopoly.⁷⁶

⁷²Ogawa, *Expenditures of the Russo-Japanese War*, pp. 251–252.

⁷³Schiff, 'Japan After the War', p. 162.

⁷⁴Kobayashi, *War and Armament Loans*, p. 65.

⁷⁵*Report on the War Finance*, p. 25.

⁷⁶Kobayashi, *War and Armament Loans*, p. 133.

The government projected what it thought would be the likely revenues from these various taxes and against those estimates balanced the actual revenues. From Schiff's perspective, the most important revenues were those used as collateral for the loans—the increased customs duties and the newly formed tobacco monopoly profits. The latter were set to secure the second two tranches of loans from London, New York and Germany totalling £60 million. At a 4.5% coupon, the interest payments for these loans were to total £2.7 million per year. In comparison, the projected revenue for fiscal year 1905/1906 from the tobacco monopoly was a little over £3,267,796⁷⁷—more than sufficient to cover the required interest payments due.

Japan timed the implementation of these loans in a rapid and efficient manner to coincide with the rush to raise funds overseas. The chronology of the tax hike and tobacco monopoly legislation and revenue initiation alongside the corresponding raising of funds overseas is shown in Table 4.3.

Japan voted for and implemented the creation of the tobacco monopoly in April 1904 and it came into effect in July of that year. Thus, Schiff was able to assess the scale of the collateral on offer with over eight

Table 4.3 Chronology of tax hikes and revenue flows

<i>Date</i>	<i>Event</i>
April 1904	Effective immediately was the implementation of various tax hikes, as listed in the text, including the formation of the tobacco monopoly
May 1904	First payments guaranteed by customs revenues received from the first issue of bonds on the London and New York markets
July 1904	Revenues from tobacco monopoly begin
December 1904	Second series of revenues begins from London and the New York market's second offering of bonds is secured by customs markets
April 1905	Revenues start coming in from bond issues in London and New York from the third issue of bonds, this time secured by the tobacco revenues
July 1905	Initial tranches of funds start coming in pertaining to the fourth and final bond issues, this time also secured by tobacco revenues

Source Data derived from Gotaro Ogawa, *Expenditures of the Russo-Japanese War* (New York: Oxford University Press, 1923), pp. 24–28, 162

⁷⁷Government of Japan prospectus, 30 million 4.5% bond issue, BA: 202251.3.

months of actual revenue figures to review from July 1904 through to the issue of the first tobacco collateralized bond offering in April 1905.

Total revenues from additional taxes—not including tobacco or customs revenues, which were to be used for interest payments on the loans—came to a total of approximately ¥211,400,000 during the war period, which represented almost 17% of the total expenses needed to cover the war costs. Japan required more funds, and another method of generating these funds was to implement a programme of domestically issued bonds: exchequer bonds. These are summarized in Table 4.4.

The final post-war domestic issue of bonds, the Extraordinary Military Expenses Loan (summarized in Table 4.4), was used in part to offset the higher interest rates paid in earlier bond issues. The Extraordinary Military Expenses Loan had a substantially longer maturity period and a fixed rate of interest (thirty years at 5% fixed versus only seven years at 6%), and funds from the final two of the five exchequer bond issues were accepted as payment for the Extraordinary Military Expenses Loan.

In the case of the exchequer bonds, both the interest rates paid to subscribers and the interest rates paid by the government net to subscribers rose over time, whereas the interest rates for the foreign loans fell. Now that the urgency of prosecuting a war was ended, the interest rate and consequent cost to the government dropped. Table 4.5 shows the effective rates paid by the government to its own citizens in these exchequer bonds issues.

There was a marked difference between the domestic and foreign bonds in terms of the pricing trends during the war, as Fig. 4.6 illustrates.

The upward-sloping line in Fig. 4.6 shows the dates of issue and the effective rates paid to subscribers to the issue of the exchequer loans, whereas the downward-sloping line shows the corresponding rates paid to subscribers overseas for the bonds issued by Kuhn Loeb and its partners. The lines show the trends over the course of the war for the pricing of these loans and it is clear that, for Japan, issuing loans to its own domestic market became a more costly proposition than did the loans offered to foreign investors. As important as it was to demonstrate to foreign investors that Japan and its citizenry were willing to foot an important share of the cost of the war, more attractive rates were offered to its nationals to ensure that the offerings were successful. Indeed, they were extremely successful though there was a dramatic drop-off in interest from the subscribing population between the first and the second

Table 4.4 Japanese war-related domestic bond issues

<i>Summary of exchequer bonds</i>					<i>Extraordinary military expenses loan</i>	
<i>Authority</i>	<i>Imp. ord. no. 291, 1903 and law no. 1 of 1904</i>	<i>Law no. 1 of 1904</i>	<i>Law no. 12 of 1905</i>	<i>Law no. 12 of 1905</i>	<i>Law no. 12 of 1905</i>	<i>Law no. 1 of 1906</i>
Date of issue	13-February-04	23-May-04	12-October-05	27-February-05	20-April-05	20-February-06
Interest rate	5.00%	5.00%	5.00%	6.00%	6.00%	5.00%
Period of redemption (years)	5	7	7	7	7	30
Face amount offered	¥100,000,000	¥100,000,000	¥80,000,000	¥100,000,000	¥100,000,000	¥200,000,000
Issue price	¥96.55	¥92.02	¥92.01	¥90.44	¥90.04	¥95.01
Discount rate of interest	5.18%	5.43%	5.43%	6.63%	6.66%	5.26%
Yield to maturity	5.87%	6.57%	6.57%	8.00%	8.08%	5.43%

Source Data derived from 'Table Showing the Results of Issues of Exchequer Bonds and Extraordinary Military Expenditures Loan', in *Report on the War Finance* (Japan: Department of Finance, 1906), p. 31

Table 4.5 Real costs and revenues to Japan of exchequer bonds

<i>Real cost/revenues to Japan of exchequer bonds</i>	<i>13-February-04</i>	<i>23-May-04</i>	<i>12-October-05</i>	<i>27-February-05</i>	<i>20-April-05</i>	<i>20-February-06</i>
Net receipts to government	¥96,550,000	¥92,020,000	¥73,608,000	¥90,440,000	¥90,040,000	¥190,020,000
Annual interest payments	¥5,000,000	¥5,000,000	¥4,000,000	¥6,000,000	¥6,000,000	¥10,000,000
Effective rate paid by government	5.18%	5.43%	5.43%	6.63%	6.66%	5.26%
Effective cost at redemption	5.89%	6.67%	6.67%	8.14%	8.24%	5.44%

Source Data derived from 'Table Showing the Results of Issues of Exchequer Bonds and Extraordinary Military Expenditures Loan', in *Report on the War Finance* (Japan: Department of Finance, 1906), p. 31

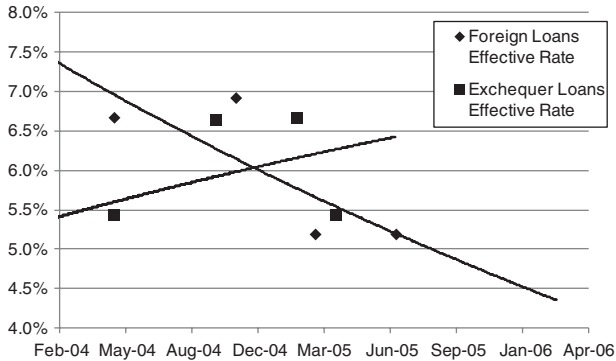


Fig. 4.6 Pricing comparison, foreign versus Japanese domestic bonds (*Source* Data derived from ‘Table Showing the Results of Issues of Exchequer Bonds and Extraordinary Military Expenditures Loan’, in *Report on the War Finance* (Japan: Department of Finance, 1906), p. 31 and further data on p. 33; Royal Bank of Scotland (RBS) Archives 1904: PAB/135, papers concerning 4.5% loan to Japanese Government by Parr’s Bank Ltd.; RBS Archives 1904: PAB/137, papers concerning 6% loan to Japanese Government by Parr’s Bank Ltd.; RBS Archives 1905: PAB/142, papers concerning 4.5% II series loan to Japanese Government by Parr’s Bank Ltd.)

issues, causing the government to increase interest rates to ensure subscriptions remained firm throughout the war.

The number of applications received by the government for the first exchequer offering, in February 1904 at the very onset of war, was 1,345,958 in total, representing over 4.5 times the total amount issued.⁷⁸ However, the second issue, in May 1904, scarcely three months later, met with a relatively tepid response despite the fact that again the government had issued the bonds in very small denominations down to ¥25⁷⁹ to enable even the least wealthy investor to participate in supporting the country in its hour of need. The May 1904 issue received only 379,808 applications (a drop of over 70% in demand), and the over-subscription fell in monetary terms to only a little over three times the offering volume. This was still very successful, but it was cause for alarm that the war was so early in its progress and

⁷⁸ *Report on the War Finance*, p. 31.

⁷⁹ Kobayashi, *War and Armament Loans*, p. 68.

yet demand had largely collapsed for the smaller participant, as measured by average application size, which from the first to the second issue rose from ¥333 to ¥848.

The third issue, in October 1904, resulted in a modest increase in applicants to over 470,000, who averaged ¥514 per application, but, while the fourth issue was bolstered by an increase in the interest rate by a full 1–6%, and despite there having been news already available regarding the extraordinary triumph of the Japanese at the battle of Mukden, fully half the issue was taken up by non-Japanese.⁸⁰

Apart from increasing the interest rates on loans as the war progressed, to somewhat relieve the burden on its population, the government instigated several strategies to further motivate subscribers to buy into the exchequer bonds, including exempting the interest earned from income tax and permitting the use of the bonds in certain circumstances in place of cash, for example to pay taxes due by the subscriber. The exchequer loans and increased taxation were not the only demonstration to Schiff of the sacrifice that the Japanese themselves were willing to endure to support the war.

In taking on these vast debt burdens from foreign countries, Japan was potentially setting the stage for years of painful repayment during post-war peacetime. Nevertheless, economically, war turned out to be good for Japan. Even before the war, as negotiations with the Russians faltered and the prospect of conflict rose, there was a frenzy of activity among Japan's business community to reap what they could while peace prevailed. As a consequence, exports increased in 1903 over 1902 by about ¥10 million. However, this was offset by imports up four times this amount, primarily driven by rice and barley imports as a result of a failed domestic harvest.⁸¹

Once war commenced, freight insurance rates increased as risks increased. However, as Japan started to demonstrate a dominance of the seas, this impediment to trade gradually declined. Trade returned to the prior year's levels, enjoying a steady trend upwards, with export increases in the first half of 1904 of ¥11.5 million. The silk trade with the USA enjoyed a marked upward tick, but with China and Russia trade dropped

⁸⁰ *Report on the War Finance*, p. 31.

⁸¹ *Ibid.*, p. 36.

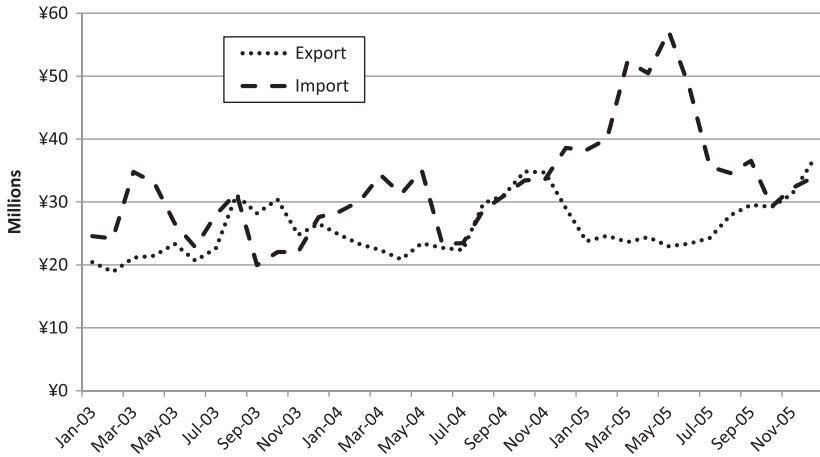


Fig. 4.7 Import and export volumes, 1903–1905 (*Source* Data derived from ‘Comparison of the Exports and Imports for the Last Four Years’, in *Report on the War Finance* (Japan: Department of Finance, 1906), p. 39)

off precipitously. By year’s end 1904, Japan’s exports had increased over 9% to ¥319 million and its imports had increased by 14.5% to ¥371 million. Although there were recessions in the 1900–1909 period, employment steadily rose in Japan, with the number of jobs in public and private factories and in mining more than doubling during the period to over 1.1 million, demonstrating the growing influence of the manufacturing sector.⁸²

The successful foreign loan issues of 1904 and 1905 served to stimulate confidence domestically in Japan, firstly through demonstrating that the country had international support and secondly by injecting huge sums of money into the economy, further stimulating commerce. Anticipation of peace advanced confidence and commerce, as did knowledge of impending hikes in import duties, which served to spur a sense of urgency ahead of their implementation.

The data shown in Fig. 4.7 illustrate the ballooning deficit spending that Japan underwent during the height of the war in 1905 as the country started to spend the funds it had successfully generated

⁸²Peter Duus, *The Abacus and the Sword: The Japanese Penetration of Korea, 1895–1910* (Berkeley: University of California Press, 1995), p. 313.

both at home and abroad to prosecute the war effectively. There was a vast influx of funds from overseas through the Schiff bond issues and from the revenues generated by both the domestic exchequer bonds and the increased taxes, and these funds were now being spent without restraint by the Japanese government. These more than compensated fiscally for the tax hikes, increased self-imposed austerity, and general air of pessimism that might otherwise have depressed any economy in wartime. By the end of 1905, the deficit had all but vanished and both imports and exports were recovering as the economy rebounded after the war.⁸³

Financing had provided Japan with the economic resources it needed to prosecute a successful war, and its economy was growing. Schiff, his syndicate in America and the English banks had also profited handsomely. The war, at least from an economic perspective, appeared to have provided satisfactory results for all concerned.

⁸³Ogawa, *Expenditures of the Russo-Japanese War*, pp. 251–252. See also Reischaur, *Japan*, p. 157.



The Business of Banking

Probably, the most important component of Schiff's banking expertise was his ability to assemble and manage syndications. Syndicating loans to groups of institutions and individuals was a primary methodology employed by banks in the late nineteenth and early twentieth centuries to bring to market large bond and stock issues. Kuhn Loeb assembled a syndicate to sell the Japanese loans. The background to and implementation of syndicates are described in this section. They were in large part to be vilified by later investigations. These include the Armstrong Committee report of 1906, which looked at matters of finance in life insurance companies; the report of Governor Hughes on speculation in securities and commodities of 1909; and the Money Trust Investigation of 1913 (more famously known as the Pujo Committee investigation), which looked at the concentration of power in the banking industry. These investigative committees were formed out of concerns that too much power had become vested among too few men in the industry and that some form of corruption existed in the management of major financial institutions.

Notwithstanding the suspicions that prompted the investigations and the restrictive legislative changes that ensued, at the time of the Russo-Japanese War the practices investigated were legal and accepted, and served a critical purpose in the development of the American economy. In an opinion written fifty years later, Harold Medina, US circuit judge in the District Court of the USA for the Southern District of New York, stated that the evolution of the syndicate system was

in no sense a plan or scheme invented by anyone. Its form and development were due entirely to the economic conditions in the midst of which investment bankers functioned. No single underwriter could have borne alone the underwriting risk involved in the purchase and sale of a large security issue. No single underwriter could have effected a successful public distribution of the issue. The various investment bankers combined and formed groups, and pooled their underwriting resources in order to compete for business. These groups of investment bankers were not combinations formed for the purpose of lessening competition. On the contrary, there could have been no competition without them. Unless investment bankers combined and formed such groups there would have been no underwriting and no distribution of new security issues.¹

In describing the business of Jacob Schiff and his bank Kuhn Loeb in this chapter, I draw upon the various government investigations already mentioned. In each of these investigations, prominent bankers provided verbal evidence that has been transcribed in its entirety and that has provided detailed information. I have also found the works of Vincent Carosso and Susie Pak to be of particular value. In his book *Investment Banking in America: A History*, first published in 1970, Carosso focuses initially on the development of the banking industry in the USA in the period prior to 1914. He explains in detail how the syndicate system evolved and operated, and looks at the roles played by bankers and investors. Susie Pak's analysis in her book *Gentlemen Bankers: The World of J. P. Morgan*, first published in 2013, looks at the nature of the banking business through a detailed analysis of the syndicate books of J. P. Morgan, Kuhn Loeb's closest rival at the time. Morgan's syndicate books have been preserved almost in their entirety, whereas those of Kuhn Loeb have regrettably been destroyed. Syndicate books were records kept by the banks that included detailed accounts of all the investors in an issue, how much each had applied for, how much had been allotted, commissions, profit margins, how much the bank had retained and all other details regarding how an issue had been transacted. Pak's scrupulous analysis of these books sheds light on the way in which business was conducted not only by J. P. Morgan but also by other banks including Kuhn Loeb.

¹ Corrected opinion of Harold R. Medina, US Circuit Judge in United States of America, Plaintiff, V. Henry S. Morgan, Harold Stanley et al., doing business as Morgan Stanley & Co. et al., defendants, filed 4 February 1954, <https://babel.hathitrust.org/cgi/pt?id=uc1.b3270652;view=1up;seq=2>, accessed 9 July 2016, p. 27.

BACKGROUND AND DEFINITION

Nineteenth-century investment banks (synonymous with merchant banks in Europe) were commonly made up of a small group of partners who contributed their own money to create the initial capital of the bank. New partners may or may not have contributed their own capital, depending on the policy of the bank. Partners would receive returns on their funds commensurate with the returns the firm received. They would share in the profits of the firm, which were calculated in accordance with the firm's policies for how such profits should be split among the partners. Dividends were paid to partners in proportion to their ownership positions in the banks. These dividends might be in the form of a percentage return on the invested capital of the partner, whereby excess profits were retained by the firm in the form of increased capital. Alternatively, dividends totalling the entirety of the firm's profits might be distributed to the partners. Compensation agreements might not be formalized in written contracts and often remained verbal between the partners.²

Partners were supported by a staff of clerks. Kidder Peabody's support staff, for example, was low paid, starting at \$4 per week for an errand boy, 'the usual starting position'. After two or three years' experience, an errand boy might be promoted to the position of clerk and his pay would be increased to \$12 per week. At Kidder Peabody, clerks were not permitted to speculate, though 'the opportunity of being given an interest in the firm compensated, to some extent, for the low stipends and the "years of patient preparation, industry, and self-denial" the partners expected of the clerical staff'.³ In some cases, clerks might become partners or could move on to positions at affiliate firms. Women were typically employed as stenographers.

A bank's partners made all investment decisions because their personal capital was at risk and they were liable for any debts incurred by the bank. In this regard, they were markedly distinct from joint stock banks—commonly known at the time as clearing banks—which were public companies whose capital came from the shareholding public and which were managed by elected directors. Kuhn Loeb was an investment

² *Money Trust Investigation*, pp. 57–80.

³ Vincent P. Carosso, *More than a Century of Investment Banking: The Kidder, Peabody & Co. Story* (New York: McGraw-Hill, 1979), pp. 34–35.

bank, as was Barings. Parr's Bank and HSBC were joint stock banks managed by salaried directors.

As the American economy expanded after the Civil War, so did the demand for capital. This demand, particularly from the railroad industry, outgrew the fulfilment capacity of individual banks. American investment banks that had networks in Europe, such as Kuhn Loeb, used these connections to raise funds and at the same time started to form alliances with other domestic banks and financial institutions to meet the increasing demand.⁴ Towards the end of the nineteenth century, railroad bonds had become the dominant business of the major investment banks. Indeed, 'virtually all the principal railroads in the country and many of the largest industrial corporations looked to the investment banker for their long-term capital requirements. The number of private investment houses and commercial banks capable of meeting the financial needs of these large borrowers was very small, at most no more than a dozen institutions'.⁵ Kuhn Loeb was one of the banks capable of such endeavours. By the turn of the century, the bank had financed ten of the largest railroads in America 'including some of the largest systems in the United States', together with their subsidiary lines,⁶ and dominated the investment banking industry in America alongside J. P. Morgan.

By 1904, fully one third of all life insurance company assets were invested through investment banks into railroad bonds.⁷ Industrial stocks were less traded as they were considered speculative by the banks, and investors had little faith in their value because the underlying entities seldom released financial information about their operations. Kuhn Loeb avoided industrial securities until the end of the nineteenth century, preferring instead to concentrate on its core competency of investing in railroads.⁸ Issues made by governments, including the Japanese issues, were viewed as carrying lower risk than those for industrial offerings. As the *Commercial West* commented, a government loan

⁴Corrected opinion of Harold R. Medina, p. 19.

⁵Vincent P. Carosso, *Investment Banking in America: A History* (Cambridge, MA: Harvard University Press, 1970), p. 47.

⁶Ibid., p. 35.

⁷Ibid., p. 48.

⁸Ibid., p. 44.

is a security whose market is reasonably assured and whose market value can be accurately guessed at in advance. The industrial 'flotations' of 1901 undertook very generally to create a wholly artificial market: to establish and maintain, by sheer brute force of capital and stock exchange manipulation, prices which investors would never otherwise have bid.⁹

It is notable that, while government-issued loans were considered relatively desirable, no bank in America was willing to take up the Japanese offering until Jacob Schiff brought in Kuhn Loeb.

When companies and governments, both local and national, needed funds, they would issue either stocks or bonds to the general public to raise those funds. The difference between stocks and bonds is that stocks offer an ownership share in an issuing entity, whereas bonds are a form of debt to be repaid by the issuing entity. Investors saw bonds as inherently more stable than stocks, preferring to 'own the bonds of corporations rather than to be an outsider in stocks which insiders manipulate'.¹⁰ It was the business of investment banks such as Kuhn Loeb to issue both stocks and bonds on behalf of corporate and government clients.

In addition to issuing stocks and bonds, the investment banks of the early twentieth century were also engaged in 'accepting deposits, trading in foreign exchange, issuing letters of credit, dealing in acceptances and commercial paper, and providing other financial services—as well as participating in the origination, purchase, underwriting, and distribution of new securities'.¹¹ The extent to which individual banks offered these services was dependent on their specific preferences. At the broadest level, their primary role was 'to channel savings into long-term investments'.¹²

The Pujo Commission of 1913, set up to investigate the concentration of power in the financial industry, described the business of Kuhn Loeb thus: 'It does an international banking business, including especially the issuance of securities. It does not seek general deposits and is not engaged in the general business of accepting deposits against draft,

⁹'How Great Loans Are Sold', *Commercial West*, Vol. 7 (15 April 1905), p. 25.

¹⁰*Manual of Statistics: Stock Exchange Handbook*, Vol. 38 (New York: Manual of Statistics Company, 1905), p. 765.

¹¹Carosso, *Investment Banking*, p. x.

¹²*Ibid.*, p. xi

though it receives special deposits at times, and the purchase price of securities issued by it is occasionally left with it temporarily'.¹³

Bankers also kept records of bond and share ownership in their client companies as registrars, acted as transfer agents, were the client's bank of deposit, and provided financial advice to corporations. This advice could extend to the 'complete reorganization of the [rail]road's management and financial structure', resulting in a banker becoming the 'dominant influence' in a railroad's affairs.¹⁴ Kuhn Loeb partner Otto Kahn thought of the role of banks in relation to their clients as being that of 'the company's financial doctor'.¹⁵ Once a relationship between a banker and its client had been established, it was seldom interfered with by competing banks. 'Among the big banking-houses, for example, certain ones have affiliations with certain large railroad and industrial interests and may always be counted upon to attend to their financing'.¹⁶

Building upon the influence they had over their client companies, and in addition to collecting fees for their reorganization services as well as commissions on the bonds they sold,¹⁷ investment banks were 'paid usually in the securities of the companies they underwrite'.¹⁸ This added to the ownership interest banks accumulated in client companies. Similarly, complementing the need to tap into the depository resources of commercial banks in order to be able to manage issues of scale, investment banks took significant stock ownership positions, and in many cases board seats, not only in commercial banks but also in life insurance companies and trust companies.¹⁹

Indeed, commercial banks were willing participants in developing relationships with private banks. In 1863, nationally chartered commercial banks such as National City Bank and First National Bank were prohibited from opening branches overseas and blocked from participating

¹³ *Money Trust Investigation*, p. 78.

¹⁴ Carosso, *Investment Banking*, pp. 33–36.

¹⁵ *Ibid.*, p. 47.

¹⁶ John Terret, 'New York as a Bond Center', *Harper's Weekly*, Vol. 55 (18 November 1911), p. 13.

¹⁷ Carosso, *Investment Banking*, p. 41.

¹⁸ 'Rise of the Syndicate', *New York Times* (4 May 1902), <http://query.nytimes.com/mem/archive-free/pdf?res=940CE3D61130E132A25757C0A9639C946397D6CF>, accessed 1 August 2016.

¹⁹ *Money Trust Investigation*, pp. 57–80.

in international finance on their own. Consequently, they formed relationships with private banks, combining financial resources (including deposits) and forming cross-directorships. The ties commercial banks created with private banks such as Kuhn Loeb and J. P. Morgan allowed them to 'take advantage of the experience and connections of private banks... which then took advantage of the deposits and reach of its collaborators'.²⁰ Without a central bank in America until 1913, the commercial banks served as de facto national depositories, and, by accessing these deposits, private banks such as J. P. Morgan and Kuhn Loeb were able to wield considerable financial influence, extending their own formidable resources.²¹

Kuhn Loeb's principals amassed significant stock positions in commercial banks, trust companies, mortgage companies and insurance companies, and, as mentioned, they also held board and directorship positions. These included those at the Fourth National Bank of New York, the Equitable Trust Co. of New York, the National Bank of Commerce of New York and the United States Mortgage and Trust Company of New York. They also held substantial ownership positions without directorships in 'the National Park Bank, the Bank of Manhattan Co., the Merchants National Bank, the Union Exchange National Bank, all of New York, and the First National Bank of Chicago'. The firm was also 'a small stockholder in the Title Guarantee & Trust Co., of New York, of which also Paul M. Warburg [was] a director. The firm [was] a small stockholder in various other banks and trust companies'.²² Kuhn Loeb's principals also held similarly influential ownership positions and directorships in many of their client companies, most especially the railroads. This pattern of ownership and control was commonplace among the top-tier investment banks.

Schiff personally took board positions across a range of companies and institutions. These were usually related or at least complementary to each other and were generally either directly or indirectly related to his railroad investments. He sat on the board of the Western Union Telegraph Company and was an active member of the board of directors of the National City Bank through an invitation of James Stillman

²⁰ Pak, *Gentlemen Bankers*, p. 15.

²¹ Ibid.

²² *Money Trust Investigation*, pp. 78–80.

(1850–1918), its head, on 7 February 1899.²³ He was appointed to the board in late 1900 of the Morton Trust Company (eventually merged with the Guaranty Trust Company) through an invitation of Levi Morton, former governor of New York and vice president to President Benjamin Harrison from 1889 to 1893.²⁴ He was a trustee of the Title Guarantee & Trust Company from 1905 to 1909, and there he also served during the same period on the finance committee. Schiff served as a director of the Bond & Mortgage Guarantee Company from 1892 to 1911, during which time he was also a member of its executive committee.²⁵ He sat as a director of the Western National Bank until its merger in October 1903 with the National Bank of Commerce in New York, continuing to serve as a director to the successor entity until 1911.²⁶ Until resigning in 1907, he presided as a director and member of the investment committee of the Industrial Trust Company of Rhode Island.²⁷ And, until resigning after twelve years in June 1905, he served as a director of the Equitable Life Assurance Society.²⁸

In some cases, investment banks wielded their power by retaining as compensation sufficient shares in an issuing company so as to become the largest shareholders. In this way, they could also acquire control of the entity they were financing. They might also wrest control of a company through direct acquisition of that company's common stock. The common stock may have been the lesser portion of the company's capital structure compared to its bonds and preferred stock, but the common stock might represent the only capital with voting privileges. As there were limited, if any, controls regulating the subsequent management of the company, the directors were able to conduct business as they wished.²⁹

While shareholders in individual companies had rights of access to company records, they did not have rights of access to those records of other shareholders. Bankers would form holding companies that would

²³Adler, *Jacob H. Schiff*, Vol. 1, p. 180.

²⁴Ibid., p. 182.

²⁵Ibid., p. 183.

²⁶Ibid.

²⁷Ibid., p. 185.

²⁸Letter from Schiff to James Alexander (President of the Equitable Life Assurance Society), 5 June 1905, as quoted in Adler, *Jacob H. Schiff*, Vol. 1, p. 188.

²⁹Carosso, *More than a Century of Investment Banking*, p. 23.

own majority voting positions in multiple subsidiary companies whose financial performance was consolidated at the level of the holding company. This created structures that masked their activities and effectively eliminated disclosure requirements to shareholders. Schiff, for example, in 1899 participated in the forming of the Amalgamated Copper Company, together with Harriman, Rockefeller and Stillman, as a holding company created 'to control copper supplies and prices in the United States and as much of the rest of the world as possible'.³⁰ Shares in this trust 'were dealt in on the exchange for many years without the public having any information regarding their affairs'.³¹ These structures provided opportunities for bankers to better protect their own investments and those of their syndicates as well as to maximize profits for themselves.

Further ensuring that investments were protected, banks' principals also participated as individuals in their own and other banks' syndicates.³² This could also be true of insurance companies. For example, the Mutual Life Insurance Company subscribed for \$4 million of the second series of 6% Japanese bonds, holding \$3 million on its own account. Members of the Mutual's finance subcommittee, tasked with deciding on behalf of the company whether or not to purchase, hold and/or resell the bonds, also invested their own personal funds by making direct contact with the issuer, in this case with Kuhn Loeb, or through other banks in the syndicate. In this way, Mutual insiders profited in three ways: through part ownership of the allocation of bonds made to the Mutual; through profits from the sale of those bonds they elected to distribute to downstream investors; and through purchase on their own personal accounts of bonds directly acquired through the syndicate partners. Investing institutions such as the Mutual might also conduct considerable trade on the open market for bonds that they were investing in through syndications. The practice in this way of trading knowledge not known to the general public was investigated by the Armstrong Committee of 1906.³³

³⁰ John Mason Hart, *Empire and Revolution: The Americans in Mexico Since the Civil War* (Berkeley: University of California Press, 2006), p. 149.

³¹ *Money Trust Investigation*, p. 37.

³² Pak, *Gentlemen Bankers*, p. 100.

³³ *Testimony Taken Before the Joint Committee of the State of New York, to Investigate and Examine into the Business and Affairs of Life Insurance Companies, Doing Business in the State of New York* (Albany: J. B. Lyon, 1906), Vol. 1, pp. 198–200. This committee came to be known as the Armstrong Committee after Senator William W. Armstrong, its chairman.

The cooperation between investment and commercial banks together with other financial institutions served two key purposes: the sharing of profit and the mitigation of risk. As the Pujo Committee described it:

The distinction between the case in which one of the banks or banking houses assumes the relation of any underwriter of an issue of securities made by one of the others and that in which they act in joint account is that in the former case underwriters do not share in the primary bankers' profit, but insure the former against loss, while in the case of a joint account they are partners and as such share in the original risks and profits.³⁴

The business of banking at the time of the Russo-Japanese War was very much a cooperative venture.

SYNDICATES

The syndicate system, 'under which groups of bankers shared selling, profits, and risks, came to serve as the prototype for underwritings of large securities issues'.³⁵ The financial analyst John Moody stated that the 'aggregation of great sums of money was absolutely essential for the conduct of human affairs... and the head of the syndicate—the man with the resources and temperament capable of conducting them—was about to concentrate the greatest financial power in the history of the world'.³⁶ Indeed, during the period of the Japanese loans, cooperation through syndication was not just deemed necessary by financial institutions; they held the collective belief that competition created inefficiencies that could stymie growth.³⁷ It is better to combine resources in a syndicate than to pit them against each other.

The practice of syndicating loans had been developing informally since the mid-nineteenth century during the growth in financing the

³⁴ *Money Trust Investigation*, p. 90.

³⁵ Jean Strouse, *Morgan: American Financier* (New York: Random House, 1999), p. 187.

³⁶ John Moody as quoted in *ibid.*, p. 187.

³⁷ 'How the Wall Street Syndicates Operate', *New York Times* (25 September 1905), <http://query.nytimes.com/mem/archive-free/pdf?res=9E03E0D6173DE733A-25756C2A96F9C946497D6CF>, accessed 1 August 2016.

expansion of the railroad, and Kuhn Loeb's *modus operandi* followed the industry's trend to institutionalize this practice. In addition to consolidating capital to feed the ever-increasing demands of industry, bankers syndicated bond issues because it offered a way to mitigate the risk to their own capital.³⁸ It also went some way to alleviating the risk that if the investment failed, it could lead to the insolvency of the bank itself.³⁹ In particular, large single offerings simply could not be handled prudently without syndicating the risk and opportunity to other institutions.⁴⁰

When an investment bank did agree to purchase the entirety of a bond issue from a client, it would

immediately organize a larger group, composed of a limited number of investment banking firms, which was sometimes called a 'purchase syndicate', whereby it would, in effect, sub-underwrite the risk by selling the securities which it had purchased alone from the issuer to this larger group, at an increase or 'step up' in price. The investment banker who purchased the entire issue directly from the issuer was known as the 'originating banker' or 'house of issue'. The originating banker became a member and the manager of the 'purchase syndicate'.⁴¹

As the scale of the transactions grew, secondary groups would be formed below the purchase syndicates to acquire from them the bonds on offer, spreading the risk further and lining up profit before any offering to the general public was made. To ensure they had enough time to sell all they had agreed to, syndicates were typically organized to operate for one year with the manager retaining the right to extend the period, sometimes for up to five years or longer.⁴²

Investment banks could sell directly to the general public, to each other, to high-net-worth individuals and families, to institutions or to any combination of these options, and they could choose to acquire for

³⁸Carosso, *Investment Banking*, p. 32. See also Lewis B. Franklin, 'The Formation of Syndicates', *Magazine of Wall Street*, Vol. 15 (1915), pp. 452–453.

³⁹Carosso, *Investment Banking*, p. 55. See also Donham, 'Underwriting Syndicates', p. 177.

⁴⁰Franklin, 'The Formation of Syndicates', pp. 452–453

⁴¹Corrected opinion of Harold R. Medina, p. 25.

⁴²*Ibid.*, pp. 22–23.

their own account. Their overriding *modus operandi* was to create a “community of interest”, whose purpose was to monopolize credit and dominate financial networks. Economic self-interest was assumed to be the basis for trust and collaboration’.⁴³

The effect of these syndications was to mitigate risk almost to zero for the issuing bank by spreading the risk across a broad range of downstream investors until it eventually reached the individual investor. Underwriting banks were motivated to secure ‘as many individual subscriptions as possible’ because it was with individual investors that profits were made or losses minimized.⁴⁴ However, for the major banks such as Kuhn Loeb, actively marketing to individual investors was seldom necessary. The syndicate of institutions they sold to would themselves take responsibility for sales to individual investors. In the Japanese loan issues, however, and as a reaction to the especially large scale of the offering, Schiff actively encouraged individual investors across the USA to buy the bonds. Smaller investors were favoured by the syndicate, with applications up to \$500 receiving allocations in full and all others receiving an average of 20% of the amount they subscribed for.⁴⁵ Otto Kahn called it a ‘great army of small investors’.⁴⁶ Schiff understood that this would help to reduce risk because it would create a larger investor base than would normally be associated with an issue.

Investment bank compensation was taken in various ways. For example, the bank might buy the bonds from the issuing entity at a discount to the price sold on to the public. Sometimes, banks were paid a flat commission on the value of the bonds they sold. In some cases, they were paid a combination of both of these. They might take a fee from the issuing client for providing the syndication services, usually in the 0.5–1% range. They could capture a profit from the spread made at each layer of the syndication hierarchy. It was common practice to retain a portion of the offering for themselves. For example, between 1894 and 1914, J. P. Morgan ‘retained 32% of all the syndicates it sponsored’.⁴⁷

⁴³Pak, *Gentlemen Bankers*, p. 8.

⁴⁴‘How Great Loans Are Sold’, p. 25.

⁴⁵Letter from Schiff to Kahn, 25 July 1905, JSP: Reel 676.

⁴⁶Otto Kahn, *The Marketing of American Railroad Securities: Memorandum for the Interstate Commerce Commission* (Kuhn, Loeb & Co., 1922), p. 48.

⁴⁷Pak, *Gentlemen Bankers*, p. 17.

The first level of the syndicate, the managing group, would typically consist of up to five participants, who would cooperate on equal financial terms.⁴⁸ In the case of the Japanese bonds in America, there were three participants: Kuhn Loeb, National City Bank and the National Bank of Commerce. The leading bank in a syndicate decided exactly how to distribute the various levels of the offering to the other banks, creating a hierarchy of status for participants depending on the prestige or symbolism of the capital they were offered.⁴⁹ The managing group would identify those downstream syndicate members that they were going to invite to participate in any given offering. They might also be responsive to requests from prospective syndicate members to join the syndicate.

Once a definitive share of the offering had been assigned to a prospective member, an invitation would be extended in the form of an allotment letter together with a syndicate agreement or prospectus.⁵⁰ Schiff rarely gave participations (allotments) to individuals, the Japanese issues being a notable exception, generally distributing to insurance companies, banking houses, financial institutions, trust companies and foreign correspondents, all of which were expected to place with their clients those underwritten issues that they did not elect to keep themselves. Kuhn Loeb's practice was to select distributing syndicate members from a list of up to 125 investing entities, which often included foreign firms entirely made up of either English or continental houses. 'We make alliances for the occasion', Schiff said. 'We have no standing alliances'.⁵¹

Being on the lists was considered prestigious, an 'enviable privilege, and to be stricken from a list meant a substantial financial loss'.⁵² The lists were categorized according to investors' preferences and, when invited, investors who had gained on prior investments were expected to participate again. These correspondents were permitted to sell at a profit to their own networks of investors any proportion of the allocations from Kuhn Loeb that they did not want. This strategy was in stark contrast

⁴⁸Ibid., p. 16.

⁴⁹Ibid., p. 19.

⁵⁰Franklin, 'The Formation of Syndicates', pp. 452–453.

⁵¹Schiff as quoted in Carosso, *Investment Banking*, p. 145.

⁵²Charles W. Gerstenberg, 'The Underwriting of Securities by Syndicates', *Trust Companies*, Vol. 10, June (1910), p. 328.

with that of J. P. Morgan, who seldom permitted his syndicates to sell on to downstream investors.⁵³

Correspondents were not relieved of their duty to buy the allocations Schiff made to them in the event that the general public did not take up an offer, but rather were expected to purchase on a pro rata basis their share of any shortfall the market had delivered. It was a very efficient means of pushing risk away from Kuhn Loeb and on to other syndicate participants, who in turn pushed it further downwards until it reached the individual investor. Louis Brandeis said that ‘an invitation from these royal bankers is interpreted as a command. As a result, these great bankers frequently get huge commissions without themselves distributing any of the bonds, or ever having taken any actual risk’. In forming these kinds of syndicates, the bankers relieved ‘themselves from all liability’.⁵⁴ While there may have been some truth to this, the system only worked if all participants consistently made money, and as Schiff’s reputation was based on having established a pattern of successes, he was careful to ensure this success continued with the Japanese bonds.

Once issuing banks had created a syndicate, bonds would ultimately be sold on to ‘middlemen or speculators, until, in the course of time, they [found] their way into the boxes of investors’.⁵⁵ At the retail level, bonds were advertised to the investing public in periodicals and newspapers in boilerplate format simply stating terms and pricing. They could be issued either at a discount to their face value or at a premium. They would carry with them a maturity date on which the issuing entity would commit to repaying the bond at face value. During the intervening period, the issuer would pay interest on the bonds at predefined intervals. These components of a bond were adjusted by the issuing entity, typically with the advice of its investment banker, to maximize acceptance by the investment community. Bonds were issued with printed coupons that were redeemed whenever an interest payment was due. In some cases, more detailed explanations differentiating the investment

⁵³Redlich, *The Molding of American Banking*, Vol. 2, p. 375.

⁵⁴Louis D. Brandeis, *Other People’s Money and How the Bankers Use It* (Mansfield Centre, MA: Martino, 2009). First Published 1914, p. 44.

⁵⁵*Report of Governor Hughes’ Committee on Speculation in Securities and Commodities* (New York: Committee on Speculation in Securities and Commodities, 1909), <https://archive.org/details/reportofgovernor00newyuoft>, accessed 9 July 2016, p. 7.

Table 5.1 J. P. Morgan & Co.'s top ten syndicate participants, 1894–1914

<i>Name</i>	<i>Amount (\$ millions, rounded)</i>
First National Bank of New York	544
National City Bank	495
Kidder, Peabody & Co.	239
Kuhn, Loeb & Co.	210
Lee, Higginson & Co.	119
Harvey Fisk & Sons	92
Baring Bros & Co.	86
Baring Magoun & Co.	56
Deutsche Bank	51
John D. Rockefeller Sr.	50
	1942

Source Data derived from Susie Pak, *Gentlemen Bankers: The World of J. P. Morgan* (Cambridge, MA: Harvard University Press, 2013), p. 18

characteristics of bonds versus stocks might be offered to entice an investor to consider a particular issue.⁵⁶

Banks participating in Kuhn Loeb's syndications would reciprocally allocate participations in their own clients' offerings to Kuhn Loeb. As one trust company principal said, 'participations in syndicates are given for the sake of getting participations in syndicates'.⁵⁷ Though they number in the thousands, two examples of this include Kuhn Loeb's taking of a 'considerable interest' in the February 1905 Southern Pacific refunding 4% bonds that were issued by J. P. Morgan⁵⁸ and in Morgan's \$500,000 position in the first Japanese 6% loan that Schiff issued.⁵⁹

J. P. Morgan managed 352 syndications during the twenty-year period 1894 to 1914 and worked with a total of 1530 syndicate partners. Of these, 'the top ten participants, in terms of the amount allotted, included: commercial banks (three), private firms (six) and one individual (John D. Rockefeller Sr.). The top ten syndicate participants alone accounted for \$1.94bn or 55 per cent of the total participations allotted to others'.⁶⁰ Kuhn Loeb took over 10% of Morgan's syndications (see Table 5.1), and

⁵⁶'Some Good Bond Advertising', *Banker's Magazine*, Vol. 74, March (1907), p. 425.

⁵⁷Donham, 'Underwriting Syndicates', p. 177.

⁵⁸Letter from Schiff to Robert Fleming, 25 January 1905, JSP: Reel 325.

⁵⁹Strouse, *Morgan: American Financier*, p. 547.

⁶⁰Pak, *Gentlemen Bankers*, p. 18.

Morgan's share of all syndications offered to it during the same period (1894–1914) was about 8.5%.

It is noteworthy that, in total volume, Kuhn Loeb took a smaller share of J. P. Morgan's syndications than did Kidder Peabody, a smaller bank (see Table 5.1). Susie Pak suggests that social barriers led to this anomaly. Kuhn Loeb was not a 'Yankee bank' and so received a different place on the Morgan hierarchy than it might otherwise have done.⁶¹

When a security was to be sold, the offering bank would first issue a prospectus. The prospectus' language would be agreed with the issuing entity. It would include some details regarding the background to the issue; the financial terms, including the pricing (whether a discount or a premium to face value); the interest rate to be paid; and the maturity terms. Importantly, it would also prominently feature the name of the investment bank. This provided kudos to the bank and lent credibility to the issue based on the reputation of the bank.

The managing group's invitation to its second group of participants would be at slightly less favourable terms than those the managing group enjoyed. This group of banks would sell on at less favourable terms again to a 'distributing group' that would be made up of 'individuals, banks, trust companies or other types of syndicate participants'.⁶² The distributing group would sell to other institutions and to the general public. If an issue was over-subscribed—that is, if the value of applications amounted to more than the total issue called for—then some applications would either be rejected or be scaled back. All parties selling to downstream investors would receive a commission on the bonds they sold. By syndicating these deals in this way, investment banks were able to capture 'very large' commissions with very little risk.⁶³

Compensation agreements between partners were seldom if ever committed to formal contracts, nor were there usually contracts between Kuhn Loeb (as the managing member of a syndicate) and its syndicate members, and nor were there usually contracts between banker and client. The ties between a railroad and its banker were described by Otto Kahn as follows: 'Most of the important railroad companies, as well as industrial corporations, make a practice of dealing with a particular

⁶¹Ibid., p. 100.

⁶²Ibid.

⁶³Carosso, *More than a Century*, p. 20.

banking house or a particular group of bankers in marketing securities. This relationship rarely rests on formal contract. As a rule, the relationship is informal and tacit in its duration'.⁶⁴

The informally agreed-upon formulae for the distribution of syndicate allocations worked as follows: in the first instance, Kuhn Loeb would inform a participant that it had been allotted a certain number of bonds in an issue and would request confirmation of acceptance by letter. Next would be a call for money, in receipt of which would be sent a participation certificate. Otto Kahn described the business of Kuhn Loeb in relation to how it marketed railroad bonds:

The railroad, in the first instance, sells the issue to a strong banking firm at a price mutually agreed upon through negotiation. That firm then associates with itself a syndicate consisting of many (usually hundreds) of other banking, brokerage, investment and distributing houses throughout the country, each having its clientele of investment customers... Then begins the laborious process of selling securities to ultimate investors, through advertising, letters and circulars and personal presentation, and in this labor are engaged large numbers of dealers in securities, each with his own clientele. In time, if the issue is a success, the securities are absorbed.⁶⁵

Speaking about the industry prior to World War I, Kahn noted that 'the principal buyers of railroad bonds were wealthy individuals and large corporations, especially insurance companies and savings banks'.⁶⁶

Profits were distributed by the syndicate manager to syndicate members in proportion to each member's contribution.⁶⁷ There was no explanation of how the profit distribution was calculated. The only thing a participant would receive would be a check. Participants, including those of Kuhn Loeb's syndications, relied entirely on the integrity of the bank to ensure that the accounting and distributions were accurate. The *New York Times* commented that 'the workings of a modern Wall Street syndicate are enveloped with a kind of mystery which even

⁶⁴Kahn, *The Marketing of American Railroad Securities*, p. 5.

⁶⁵*Ibid.*, pp. 8–9.

⁶⁶*Ibid.*

⁶⁷*Testimony Taken Before the Joint Committee of the State of New York*, Vol. 1, p. 222.

the subscribers are sometimes unable to penetrate'.⁶⁸ Syndicates were not transparent structures and were rarely broadly understood by anyone but those directly involved in them. As late as 1913, the editors of *Bankers' Magazine* saw fit to introduce an article on syndicates by Lewis B. Franklin, vice president of the Guaranty Trust Company of New York, with the message that 'there are certain "inside" things in the financial world about which it's next to impossible to get information from the printed page. The syndicate is one of them'.⁶⁹ To ask for a detailed accounting of a distribution would imply distrust and likely lead to the termination of the relationship.⁷⁰ The *New York Times* agreed: 'It is bad form for an outside subscriber even to question directly what is being done by the syndicate. The authority of the syndicate managers is absolute, and they are likely to resent such inquiries'.⁷¹

In this environment of adherence to authority, syndicate subscribers were also expected to take whatever allocations they were allotted. The pressure on them to participate was strongest on issues where the managers had less confidence in the outcome. If a member did not take up a share as offered by the manager, the member would not be invited to participate in future issues.⁷²

As they were treated, so did syndicate members treat their downstream investors. In 1899, the *United States Investor* inveighed against the practice:

This is distinctly an era of blind pools. The Amalgamated Copper Company offers an issue of stock for subscriptions, and there is a mad scramble for it (it is said the subscriptions actually amount to many times the \$75,000,000 offered), notwithstanding the fact that the promoters do not consider that there is the slightest need of enlightening the public regarding the present status or the future policy of the concern. It is purely a case of "put

⁶⁸'Syndicate Ethics: How Subscribers Are Expected to Come in Without Exercising Any Choice—Authority of the Managers Absolute', *New York Times* (24 September 1905), <http://query.nytimes.com/mem/archive-free/pdf?res=9E07E0D7103AE733A-25757C2A96F9C946497D6CF>, accessed 1 August 2016.

⁶⁹Franklin Escher referring to Lewis B. Franklin, 'Syndicates', *Bankers' Magazine*, Vol. 87, December (1913), p. 664.

⁷⁰*Testimony Taken Before the Joint Committee of the State of New York*, Vol. 1, pp. 259–261.

⁷¹'Syndicate Ethics'.

⁷²*Ibid.*

up or shut up". If you don't want to buy the stock on faith, you can let it alone. The Sugar Trust is equally explicit regarding its affairs. You can buy its stock and take the dividends paid on the same, but you must not ask how the company is being run, or what the prospects for the future are.⁷³

The same commentator went on say: 'to sum up the situation briefly, the best asset of a new enterprise is not the plant and its earning capacity, but the name of the promoter'.⁷⁴

This was an important factor in ensuring the success of the Japanese loans despite earlier hesitation by the American banks. Where an investor did not know very much about the issuing entity of a bond, he would instead rely upon the credibility of the investment bank as an indicator as to the creditworthiness of the issuer.⁷⁵ Consequently, a bank's success was dependent on how it was perceived by both investors and other banks. As a result, banks were careful to protect and enhance their reputations whenever possible, and were diligent in ensuring that the issues they financed were carefully evaluated prior to launch.⁷⁶ This applied very much to Schiff and the Japanese loans.

Schiff was sensitive to the importance of protecting his name and that of his bank from the earliest days of his career. In 1871, at the age of 24, Schiff wrote to James Wilson, who was at the time a principal of the firm Winslow and Wilson and with whom he was conducting considerable business financing railroads. Schiff asked Wilson about one of the railroads seeking finance: 'do you know who the directors are, whether they are reliable Railroad men? I wish you would inform me fully and tell me openly whether it will be safe to lend our name to the sale of the bonds'.⁷⁷ By the time of the Russo-Japanese War, Schiff's success was in part due to the care he had taken in building a reputation that was highly regarded by the investment community. Sale of securities to individual investors among the general public was possible 'largely on account of the confidence which the investor has in the selling house; not primarily on account of the value of the securities'.⁷⁸ Indeed, 'the prestige of

⁷³ *United States Investor* (6 May 1899), p. 584.

⁷⁴ *Ibid.*

⁷⁵ Ziegler, *The Sixth Great Power*, pp. 5–11.

⁷⁶ Carosso, *Investment Banking*, p. 38.

⁷⁷ Letter from Schiff to Wilson, 7 October 1871, JWP: 1870–1871.

⁷⁸ Franklin, 'The Formation of Syndicates', pp. 452–453.

certain banking houses exceeded by far that of most corporations', and investors relied upon the credibility of the banking house more than on the credit of the issuing corporation.⁷⁹

The general public believed that investment banks such as Kuhn Loeb would have conducted exhaustive investigations of the issuing corporations, making it 'safe to buy' the securities on offer.⁸⁰ This factor goes some way to explaining why the Japanese offering was as successful as it was. Before Schiff decided to take on the loans, other banks were reticent to have their name associated with the issue because they considered it too high risk. Having Kuhn Loeb's name on the issue changed their perception of risk and at the same time won the confidence of the individual investor. In combination with the high relative yield, this made for a compelling investment and drove demand beyond expectations.

EXCHANGE LISTING

Once securities had been distributed through the syndicate system, they were usually listed on the New York Stock Exchange, the primary market for securities in the USA at the time, in order to increase the market of potential buyers as well as to better determine accurate pricing at any one time.⁸¹ Participation on the exchange required membership. Memberships could be purchased in the event of a vacancy or acquired from an existing member subject to exchange committee approval. In 1909, there were 1100 members of which 700 or so were active. Memberships were sold at the time for around \$80,000.⁸² Though originally the exchange membership was populated by brokers and agents only, by 1909 many members were also principals trading on their own accounts as well as on behalf of their clients. The average annual turnover of shares on the exchange from 1902 to 1912 was \$15.5 billion, and the figure for bonds for the same period was \$800 million.⁸³ The scale of the self-regulated exchange was a cause for concern in a 1909 New York State Commission finding that considered

⁷⁹ Carosso, *Investment Banking*, p. 54.

⁸⁰ Donham, 'Underwriting Syndicates', p. 175.

⁸¹ *Money Trust Investigation*, p. 33.

⁸² *Report of Governor Hughes' Committee*, p. 4.

⁸³ *Ibid.*, p. 5.

it to have so large an impact on the 'financial and credit interests of the country... that its proper regulation is a matter of transcendent importance'.⁸⁴

Quotation on the stock exchange provided investors with a market through which they could buy and sell the securities they found of interest. Securities listed on the exchange were examined by an exchange committee. The committee did 'not guarantee the character of any securities, or affirm that the statements filed by the promoters [were] true', but it certified 'that due diligence and caution [had] been used by experienced men in examining them'.⁸⁵ There was no requirement for listed companies to file statements of their financial condition either at listing or at any other time. There was no requirement for the capital structure of a listed company to be disclosed, nor for the commission paid to entities marketing and selling the company's securities to be reported.⁸⁶

The exchanges also contributed to a mechanism by which investment banks could borrow from commercial banks on a short-term basis to carry securities during an issue. The market price of a security was considered a sufficiently definitive statement of underlying value that banks would use it to determine their worth as collateral for lending. Standard lending practice was to discount a share price by 10% and then lend 80% of the remaining value.⁸⁷ Lending on the floor of the exchange, collateralized by the securities being traded, was dominated by six banks, of which Kuhn Loeb was one.⁸⁸

There was also an unlisted department on the stock exchange that was populated with shares in companies that supplied no meaningful information about their business. There was little distinction on the tabulated listings of companies on the exchange other than that unlisted securities were designated by a star. This blurred the lines between the listed and the unlisted by making any overt distinction difficult to notice. Unlisted companies were consequently more speculative from an investor's

⁸⁴Ibid., p. 5.

⁸⁵Ibid., p. 9.

⁸⁶Ibid.

⁸⁷*Money Trust Investigation*, p. 36.

⁸⁸The other five lenders were the Chase National Bank, the Hanover National Bank, J. P. Morgan, the National Bank of Commerce and the National City Bank.

perspective than listed companies and more controllable from a management perspective.⁸⁹

As bankers became directors of major corporations, such as the railroad companies, this in part afforded them the ability to control stock prices as well as to control the strategic direction of these companies. By the beginning of the twentieth century, this form of 'active' investing had become commonplace, and alliances between railroads and their bankers had developed.⁹⁰ Investment bankers operated 'in a virtual regulatory vacuum'.⁹¹ Directors were able to manipulate pricing to their own benefit by increasing a stock's price through issuing an 'unexpected dividend or depress it by passing an expected one'.⁹² They could issue new shares with 'no proportionate addition to the productive assets of the company, or load it with indebtedness, putting an unexpected lien on the shareholders' property'.⁹³ To boost market demand, brokers would be hired by the underwriters to trade on the underwriters' own stock, buying and selling in balanced transactions and executing external orders when they came in. This helped to create the appearance of activity even if none actually existed, drawing speculators in who would only be attracted by active trading while allowing pricing to be set and protecting the interests of the underwriter and its syndicate. There was no duty to inform shareholders of such actions,⁹⁴ and manipulation of the buying and selling processes of the exchange 'to make a profit as the result of fluctuations which have been planned in advance' was commonplace.⁹⁵

In 1914, Louis Brandeis wrote a scathing indictment of these processes, criticizing them as being anti-competitive, illegitimate and market distorting. At the time of the Russo-Japanese War, they were just another risk-mitigation strategy and were considered essential.⁹⁶

⁸⁹ *Money Trust Investigation*, p. 37.

⁹⁰ Carosso, *Investment Banking*, p. 29.

⁹¹ *Ibid.*

⁹² *Report of Governor Hughes' Committee*, p. 12.

⁹³ *Ibid.*

⁹⁴ *Ibid.*

⁹⁵ *Ibid.*, p. 7.

⁹⁶ Redlich, *The Molding of American Banking*, Vol. 2, p. 375.

MOTIVATING SYNDICATE PARTICIPANTS

Various means to motivate participants were employed to ensure that all interests in a syndicate were aligned so as to maximize profits. The Mutual Life Insurance Company was a major participant in the critical first Japanese issue, subscribing for £1 million at 89% of face value plus interest, fully 20% of the total issue in America.⁹⁷ Its role as a member of Kuhn Loeb's Japanese bond syndicate provides an illustrative example of how the syndicates operated.

Kuhn Loeb had purchased £5 million at 89% of face value in the first Japanese 6% series and created two sub-syndicates below it to distribute the bonds. These included

a syndicate to underwrite the issue of the same at 92 1/2 and interest, the issue price to be 93 1/2 and interest, and offered the [Mutual Life Insurance] Company an interest in their purchase of one million pounds at eighty-nine and interest, plus one per cent. commission. They also offered an interest of about eight hundred thousand pounds in the underwriting syndicate at 91 1/2 and interest.⁹⁸

Of the £1 million that the Mutual subscribed for, it held £600,000 to trade on its own account and allotted £180,000 each to the United States Mortgage and Trust Company and the Guarantee Trust Company, and £20,000 each to the Fifth Avenue Trust Company and the Morristown Trust Company. These companies were in the Mutual's downstream syndicate because it held large stock ownerships in them. As a consequence, it took profit in the downstream sale and shared in the profit of the trust companies it had in turn sold to. This all occurred in the week before the issue went on sale to the general public.⁹⁹

It was not only institutions that profited at a substantially reduced risk. Individuals too could benefit personally from the system. People employed by the syndicate participants who were privy to the workings of the syndicates would also trade on the knowledge they had. In some cases, such as during the first Japanese 6% series, neither individual nor institutions would have to put up any money because the bonds they

⁹⁷ *Testimony Taken Before the Joint Committee of the State of New York*, Vol. 1, p. 442.

⁹⁸ *Ibid.*, p. 567.

⁹⁹ *Ibid.*, pp. 442–443.

were allotted were sold further downstream before the call for money was made to them.

Allocating shares to syndicate members (individuals) who could themselves affect the resale of their own allocations through related organizations was common practice. Creating structures by which this phenomenon was possible enhanced the efficiency of the system. One case in point is as follows. On 6 May 1904 (only one business day after Schiff's announcement in London that he would participate in the loan, and six days before the 12 May public issue), Kuhn Loeb allotted to James H. Hyde and Associates approximately \$2,000,000 of the \$25,000,000 first 6% series loan. Also on 6 May, the Equitable Life Assurance Society gave the authority to decide to subscribe for these same bonds on its behalf to its officers James Alexander (1839–1915) and George Squire.

James Hyde (1876–1959) was also a director of the Equitable Society alongside Alexander and Squire. Before any cash call was placed by Kuhn Loeb to Hyde and Associates, the Equitable Society elected to acquire the allotment from them. This action yielded immediate profit to the individuals within James Hyde and Associates, who themselves were directors and trustees of the Equitable Society, whose money they had used to affect the transaction.¹⁰⁰

The profits on the Japanese bonds were particularly large in comparison with other offerings around the same time, especially to insiders at the syndication companies. This process of rewarding individuals contributed to motivating them to promote an offering because it was in their best interest to do so. It enhanced the likelihood that an issue would be a success. For example, the Mutual Life Society's treasurer, Frederic Cromwell (1843–1914), had his own personal investments in the various issues in which the Mutual was a participant.

The Mutual, though it purchased Japanese bonds through various syndicate channels, also purchased at 'the issue price on the public offering and thus contributed to the profits which would be available for distribution among the members of the syndicate'.¹⁰¹ In his capacity as

¹⁰⁰F. Hendricks, 'Superintendent Hendricks' Report on the Equitable Life: A Detailed Record of Systematic Graft', *Underwriters' Review*, Vol. 15 (10 January 1905), p. 273. See also *Testimony Taken Before the Joint Committee of the State of New York*, Vol. 1, pp. 884–885.

¹⁰¹*Testimony Taken Before the Joint Committee of the State of New York*, Vol. 1, p. 449.

its treasurer, Cromwell authorized the Mutual to buy on the open market at a higher price the bonds he had himself sold downstream. In this way, Cromwell added substantial demand for the bonds and in so doing ensured that his own personal investments were guaranteed to be safe and profitable.

Cromwell often benefited from his position in this manner, investing in issues that he subsequently authorized the insurance company he oversaw to invest in. The Japanese loans were significantly more lucrative for Cromwell (and presumably for others similarly situated to him in the syndicate) than many other investments he made (see Table 5.2).

As a percentage of the investment Cromwell made, the returns he received on the Japanese bonds ranged from almost 10% to almost 16% (see Table 5.2). These were significantly higher returns than anything else he invested in. This was the result of a combination of the yield on the bonds themselves, the discount to face value, the profits Cromwell made buying into the two sub-syndicates that Kuhn Loeb set up and his proportionate profit from ownership in the downstream trust companies he sold to. Here too, Cromwell as well as others did not at any time have to advance funds to acquire the bonds because the bonds had in their entirety been sold to individual investors before the call for funds was made by Kuhn Loeb.¹⁰²

The bankers were unsure before the launch of the issue whether there was sufficient demand that the entire offering would be bought. However, Kuhn Loeb put in place a syndication mechanism that all but guaranteed the demand would be there by deploying the vast financial resources of the syndicate members. The Mutual company directors and trustees were allotted bonds to their own personal accounts by the managing group of the syndicate. They in turn ensured that the Mutual would sell to trust companies in which they had significant ownership interests. The Mutual bought on the public market at non-discounted pricing. The existing public demand was consequently inflated by the purchasing power of the Mutual. Only discounted allocations were taken up by the syndicate members. The general public together with the Mutual and other related entities bought at market rates and ensured that the timing of their purchases meant that no cash call was required for the bonds purchased by the individuals who stood to make the most money creating the system that created the demand.

¹⁰²Ibid., pp. 441–448.

Table 5.2 Frederick Cromwell, Mutual Life Insurance Company's treasurer: Investments and returns

<i>Syndicate</i>	<i>Participation (\$)</i>	<i>Profits (\$)</i>	<i>Profit (%)</i>	<i>Managers</i>
Republic of Cuba, 40 year 5% bond, original syndicate	100,000	3450.63	3.45	Strong, Sturgis & Co.
Ditto syndicate	50,000	2422.49	4.84	Ditto
Southern Pacific 1st refunding 4% bonds	150,000	3726.56	2.48	Kuhn, Loeb & Co. and Speyer & Co.
US of Mexico 4% bonds	100,000	3001.03	3.00	Speyer & Co.
Atchison, Topeka & Santa Fe Conv. bonds	50,000	802.50	1.61	Kuhn, Loeb & Co.
Pennsylvania railroad shares	100,000	1546.90	1.55	Speyer & Co.
Oregon short line 4% refunding purchase	75,000	1502.84	2.00	Kuhn, Loeb & Co.
Ditto 4% and participating	50,000	1333.17	2.67	Kuhn, Loeb & Co.
Imperial Japanese 6% bonds, 1st series	10,000	976.00	9.76	Kuhn, Loeb & Co.
Ditto 2nd series	10,000	1570.38	15.70	Ditto
Ditto 4.5% bonds, 1st series	15,000	1886.55	12.58	Ditto
Atchison, Topeka & Santa Fe, East Okla. Div. 4% purchase	50,000	866.03	1.73	Strong, Sturgis & Co.
Chicago, Burlington & Quincy purchase	60,000	1746.27	2.91	J. P. Morgan & Co.
Third avenue railroad consolidated bonds	100,000	1522.17	1.52	Kuhn, Loeb & Co.
Imperial Japanese 4.5% 2nd series	15,000	—	—	Kuhn, Loeb & Co.

Source Reproduced from exhibit 55, in *Testimony Taken Before the Joint Committee of the State of New York, to Investigate and Examine into the Business and Affairs of Life Insurance Companies, Doing Business in the State of New York* (Albany: J. B. Lyon, 1906), Vol. 8, p. 120

Writing about the general practice that institutions and insiders captured profits before issues were sold on the open market, one commentator noted that ‘the stockholders did not participate in any of the juicy portions of [the] financial vegetable. They got the rind’.¹⁰³ The *New York Times* described the practice as follows: ‘The position of the insurance policy holder whose money has been used to force up the security that he wants to buy is something like that of the Democratic policy holder whose premiums have been turned over to Republican campaign funds’.¹⁰⁴ Kuhn Loeb recognized that expertise in assembling these kinds of syndicates was in large part the reason it was known that its offerings were likely to be a success.

Ultimately what underpinned all offerings was the extent to which individual investors bought them. In his 1909 report to the New York State Committee on Speculation in Securities and Commodities, Governor Hughes described the individual investor at the bottom rung of the investment ladder as follows: ‘Inexperienced persons, who act on interested advice, tips, advertisements in newspapers, or circulars sent by mail, or take flyers in absolute ignorance, and with blind confidence in their luck. Almost without exception they eventually lose’.¹⁰⁵ If individual investors did not buy into an offering, the responsibility for buying the bonds fell back on the syndicate partners. It was in the investment banks’ best interest to ensure that its downstream investors made money. Schiff had to make sure that the individual investor base was substantial enough to prop up the entire syndicate, especially for the Japanese issues, because of the enormity of their scale.

This was not normal business practice for Kuhn Loeb. There were only five or so investment banks that had national distribution networks in America. Kuhn Loeb tended to focus primarily on the New York investment community, making the national syndication and distribution network for the Japanese bonds that Schiff engineered particularly noteworthy.¹⁰⁶ Schiff ensured that as broad a swath of the general

¹⁰³ Richard D. Wyckoff, ‘The Old vs. the New Idea in Capitalizing an Enterprise’, *Magazine of Wall Street*, Vol. 15, No. 2 (1914), p. 93.

¹⁰⁴ ‘How the Wall Street Syndicates Operate’.

¹⁰⁵ *Report of Governor Hughes’ Committee*, p. 5.

¹⁰⁶ Corrected opinion of Harold R. Medina, p. 22.

public took a share in the offering as possible. He did this by not only expanding the syndicate membership nationwide but also favouring smaller investors over the larger ones. 'It may be said without exaggeration that no similar security ever enjoyed the same degree of popularity in the financial markets of this country', extolled the *New York Times* of the first Japanese 4.5% issue. As the issues were so widely held, they were widely traded on the markets. In the week to 18 June 1905, for example, the Japanese 4.5% bonds accounted for over 50% of all bond sales on the New York Stock Exchange.¹⁰⁷

No system existed for consolidating the results, so no precise measure of how many people actually took part in the issue is available. However, the *New York Times* estimated the total number of original subscribers to be in excess of 15,000 and stated that as a result of the subsequent trading activity likely 'upward of 20,000 different individuals or interests have bought some of the bonds'. Further underscoring the success of the offering was the speed at which the issue was taken up by the markets. 'All this', the *New York Times* continued, 'before the actual bonds are issued, the trading up to this time being in the temporary certificates, which are provided with one interest coupon, to be paid through Kuhn, Loeb & Co. in case the actual bonds are not out by the date when the first interest falls due'.¹⁰⁸

The result of favouring the smaller investor was not without its administrative inconveniences. Kuhn Loeb's policy, for example, was that only a partner could act on behalf of the firm in issuing a bond, meaning that to be valid every bond had to be signed by a partner. As a consequence, the partners, Schiff included, were tasked with the arduous duty of hand signing every bond purchased by each of the 15,000–20,000 original subscribers.¹⁰⁹ Such was the work of ensuring success.

¹⁰⁷'Handling Japan's Loans: Tremendous Tasks Involved in So Large an Issue, 20,000 Individual Holders', *New York Times* (18 June 1905), <http://query.nytimes.com/mem/archive-free/pdf?res=9900EFD7133EE733A2575BC1A9609C946497D6CF>, accessed 1 August 2016.

¹⁰⁸Ibid.

¹⁰⁹Ibid. See also letter from Jacob H. Schiff to Mortimer Schiff, 13 July 1905, JSP: Reel 688.

MARKET CONDITIONS AND RELATIVE PRICING

Compared to the prior three years, the New York stock exchange enjoyed a considerably higher bond sale volume in 1904. Sales exceeded \$1 billion of bonds that year, compared to only \$684 million in 1903 and approximately the same amounts in 1902 and 1901. Despite what amounted to a 50% increase in the supply of bonds during 1904, there was no shortage of demand, and competition for the resulting limited supply contributed to upward pressure on pricing.¹¹⁰ One factor that drove up pricing for bonds was rebound from a panic that had afflicted the markets in 1901. In the immediate aftermath of the 1901 downturn, bond issuers had been driven to borrow with short-term maturities in anticipation of better pricing once the markets had rebounded. By late 1904 that rebound was fully underway, longer-term borrowing was back, market confidence had recovered, and liquidity had returned.¹¹¹

Earlier in 1904, Schiff bemoaned the paucity of what he considered investment-grade opportunities available on the markets. 'Money is quite worthless', he said in a letter to Kahn on 2 June 1904, 'being offered for three months at 2½% and for six months at 3½%, and the bond and share market is also devoid of activity'.¹¹² He understood that by pricing the Japanese bonds as favourably as he did, they would be made very attractive in comparison with other options available to investors and would consequently drive up demand. This accentuated the benefit he received from the return of the bull market as the recovery from the downturn of 1901 got underway and from accelerated speculation that began to build from September 1904.

12 September 1904 saw a share volume traded on the New York Stock Exchange of 1,273,623, which was a six-month high following a period of relative quiet. This was the beginning of 'a period of public speculation in securities which has rarely been surpassed in sustained activity of long duration'¹¹³ and was marked by a strong upward trend in

¹¹⁰ *Manual of Statistics*, p. 765.

¹¹¹ 'Extraordinary Demand for Bonds', *Chicago Tribune* (1 February 1905), p. 12.

¹¹² Letter from Schiff to Otto Kahn, 2 June 1904, JSP: Reel 688.

¹¹³ Algernon Ashburner Osborne, 'Speculation on the New York Stock Exchange, September 1904–March 1907', in *Studies in History Economics and Public Law*, Vol. 56 (New York: Columbia University, 1913), p. 21.

pricing as a result of expanding demand. In fact, the thirty-month period to March 1904, two months before the first Japanese bond issue, was characterized by a decline in trading volume of over 20% and so saw the need for particularly attractive pricing on the Japanese bonds.

However, the thirty-month period from September 1904 saw a 25% increase in volume. This represented a 64% increase in trading volume for the period from the lows of the 1901 downturn.¹¹⁴ The *Commercial and Financial Chronicle* summarized the overall market in 1904 for bonds as it would have appeared to investors as follows:

The listings on the New York Stock Exchange during the year 1904, as compiled in our usual form, disclose facts of considerable importance. Among these we note (1) the large increase in the output of bonds for new capital, the total being more than double that for the preceding year, and far in excess of the record of any previous twelve-months; (2) the extraordinary amount of bonds for improvements, and particularly the large sum devoted to railroad terminals at New York, St. Louis, Washington, Jersey City and Baltimore; (3) the entire absence of railroad reorganizations following bankruptcy; (4) the relatively small amount of bonds for refunding, but the very considerable amount replacing floating debt or short-term loans; (5) the small total of the stock additions, although these during the last half of the year were double in amount what they were for the first six months; (6) the further widening of the New York market for securities, as seen in the inclusion of Japanese Government bonds and the securities of the London Underground [rail]road; (7) the complete lack of new industrial consolidations, if we except a single mining proposition; but, on the other hand (8) the very considerable aggregate reached by miscellaneous bond issues, including municipal and Government issues, as well as industrial enterprises, and, lastly (9) the replacement of voting trust certificates to a total of not less than \$352,000,000 by share certificates carrying full voting power.¹¹⁵

By the beginning of 1905, American investors' appetite for bonds was steadily increasing, driving up pricing,¹¹⁶ and by mid-1905, Schiff's efforts had led to the extraordinary result that the number of people in

¹¹⁴Ibid., p. 18.

¹¹⁵*Commercial and Financial Chronicle*, Vol. 80 (21 January 1905), p. 195.

¹¹⁶Henry D. Baker, 'The Insatiable Demand for Bonds', *Commercial West* (4 February 1905), p. 11.

Table 5.3 Bond price comparisons, 1904–1905

	<i>Market pricing</i>		<i>Effective yield</i>	
	<i>Lowest</i>	<i>January 21</i>	<i>Lowest</i>	<i>January 21</i>
	<i>1904 (\$)</i>	<i>1905 (\$)</i>	<i>1904 (%)</i>	<i>1905 (%)</i>
Japanese 6s ^a	89.00	97.00	6.74	6.19
US steel 5s ^b	68.75	93.50	7.27	5.35
Atchison adj. 4 ^c	87.50	95.25	4.57	4.20
C., B. & Q., joint 4s ^d	90.50	101.50	4.42	3.94
Bal. & Ohio const. 4s ^e	97.00	105.00	4.12	3.81
US 4s conf. 1907 ^f	104.50	105.50	3.83	3.79
North Pac., 1st 4s ^g	101.50	105.50	3.94	3.79
Union Pac., const. 4s ^h	99.50	118.50	4.02	3.38

^aJapanese 6s' refers to the war issue offered by Kuhn Loeb

^b'US Steel' was an industrial bond offering

^c'Atchison adj. 4' was a 4% bond for the Atchison railroad

^d'C., B. & Q., joint 4s' was the Chicago, Burlington and Quincy railroad 4% bonds

^e'Bal. & Ohio const. 4s' was a Baltimore and Ohio railroad 4% bond

^f'US 4s conf. 1907' was a US government 4% bond with a 1907 maturity date

^g'North Pac., 1st 4s' was a 4% Northern Pacific railroad bond

^h'Union Pac., const. 4s' was a 4% Union Pacific railroad bond

Source Data derived from Henry D. Baker, 'The Insatiable Demand for Bonds', *Commercial West* (4 February 1905), p. 11

America who held Japanese bonds outstripped the number of those who held American government bonds.¹¹⁷ An article in *Commercial West* reported: 'The problem of the bond dealers is no longer, as it was a year ago this time [February 1904—three months prior to the first Japanese bond issue], how to sell bonds to an unwilling public, but instead, how to get bonds to sell to a public whose appetite for mortgage investments seems insatiable'.¹¹⁸ Demand during 1904 for bonds drove up pricing and hence drove down yield (see Table 5.3).

Table 5.3 shows how pricing increased consistently across a basket of railroad, industrial and government bonds from their low points in 1904 to their prices at the beginning of 1905. The table also shows how the bonds compared in terms of yield, which was an important factor to an

¹¹⁷Letter from Schiff to Revelstoke, 14 July 1905, JSP: Reel 679.

¹¹⁸Baker, 'The Insatiable Demand for Bonds', p. 11.

investor. Yields fell as pricing increased, and for investors, the Japanese bonds offered a compelling return on their investment when compared to domestic options available to them. Other than against US Steel's low point in 1904—which came about anomalously following a precipitous drop at the end of 1903 in net profits for the corporation¹¹⁹—the Japanese bond yields were among the most attractive available.

By the beginning of 1905, pricing for the Japanese bonds had risen 8.99%, driving yield down to 6.19%. In comparison with domestic options available to investors, the Japanese bonds were still offering a high relative yield. Pricing on the US Steel bonds had risen a colossal 36%, pushing yield down to 5.35%, below Japanese bond yields. The most stable bond on the market was the US 4% bonds, which only increased in pricing by 0.96% during the period and which consequently delivered a relatively consistent yield, dropping to 3.79% from a low in 1904 of 3.94%.

With an effective yield at launch of 6.74% for the first series of 1904, the Japanese bonds also compared very favourably to other foreign bonds available on the market (see Table 5.4).

The first Japanese 6% series' net yield was higher than that of almost all other foreign options available to investors at the time. The only ones that had higher yields were the less desirable Chinese 1894 Silver bonds, the Greek 1884s and the Venezuelan 1881s. Consequently, compared to other foreign issues, the Japanese bonds offered among the best returns to investors. This helped them to stand out as exceptional investments and translated into high demand. Indeed, *The Economist* noted that the strength of the demand for the Japanese bonds should not be considered remarkable in the light of the high relative yield they offered.¹²⁰

How could Schiff have known that the Japanese debt had been priced at a competitive level relative to its perceived value? Comparing Japanese government bonds against British consols is useful in understanding how the cost of Japanese debt fluctuated against a benchmark indicator. Nathan Sussman and Yishay Yafeh analysed relative currency values by benchmarking them against British consols.¹²¹

¹¹⁹ *Manual of Statistics*, p. 765.

¹²⁰ 'Foreign Government Securities', *The Economist* (21 May 1904), p. 885. Retrieved from *The Economist Historical Archive, 1843–2011*, Web, accessed 13 November 2015.

¹²¹ Nathan Sussman and Yishay Yafeh, 'Institutions, Reforms, and Country Risk: Lessons from Japanese Government Debt in the Meiji Era', *Journal of Economic History*, Vol. 60, No. 2 (2000).

Table 5.4 Relative pricing of available foreign securities, May 1904

	<i>Price</i>		
	<i>Coupon</i>	<i>14-May-04</i>	<i>Yield</i>
Argentina (1886–7)	5.00%	102 3/4	4.87%
Brazilian (1889)	4.00%	74 1/4	5.39%
Bulgarian (1892)	6.00%	91	6.59%
Chilian (1895)	4.50%	83	5.42%
Chinese (silver 1894)	7.00%	85	8.24%
Chinese (gold)	5.00%	95 1/2	5.24%
Egyptian (united debt)	4.00%	105	3.81%
French	3.00%	96	3.13%
German Imperial (1891)	3.00%	88 1/2	3.39%
Greek (1884)	4.00%	44	9.09%
Hungarian (gold rentes)	4.00%	100	4.00%
Italian (rentes)	5.00%	102 1/2	4.88%
Japanese (sterling, 1899)	4.00%	70 1/4	5.69%
Japanese (1904)	6.00%	89	6.74%
Russian Ser. II	4.00%	89	4.49%
Spanish	4.00%	82 3/4	4.83%
Turkish (1877)	3.50%	100	3.50%
US (1877)	4.00%	109	3.67%
US (new)	4.00%	132 1/2	3.02%
Uruguay	3.50%	54 1/2	6.42%
Venezuela (1881)	3.00%	30	10.00%

Source Data derived from 'Foreign Government Securities', *The Economist* (21 May 1904), p. 885

Compared to a basket of other foreign country debt traded on the London markets during the period 1870–1913, Japan's credit was relatively strong. At an average spread of 288 basis points as compared to British consols during the period, Japan's debt compared favourably to an average of a 369-basis-point spread of the peer group of foreign debtor nations.¹²² Sussman and Yafeh's results are illustrated in Fig. 5.1.

Sussman and Yafeh's analysis shows that the Japanese bond spread against consols spiked to approximately 370 basis points (bps) at the onset of the war with the Kuhn Loeb issues (see Fig. 5.1). This was in part as a result of the market perception that Japan was a weak country unlikely to prevail against Russia. This level gave the Japanese debt a

¹²²Toshiki Tomita, 'Japanese Government Bonds 100 Years Ago', *NRI Papers*, No. 90 (1 June 2005), p. 4.

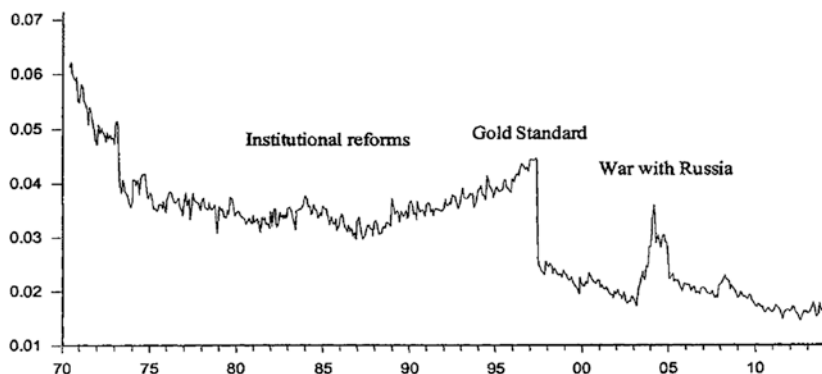


Fig. 5.1 Japanese government debt, interest-rate differential, 1870–1914: Japanese government bonds versus British consols (*Note* The *x*-axis denotes the years 1870–1913; the *y*-axis denotes the interest-rate differential (0.01 equates to a 1% differential). *Source* Reproduced from Nathan Sussman and Yishay Yafeh, ‘Institutions, Reforms, and Country Risk: Lessons from Japanese Government Debt in the Meiji Era’, *Journal of Economic History*, Vol. 60, No. 2 (2000), pp. 442–467)

higher return than the average Chinese (310 bps) and Argentinian (309 bps) debt, but lower than Turkey (1030bps), Greece (877 bps), Mexico (720bps), Uruguay (650bps) and Portugal (447 bps). Alongside the kudos accompanying the bond issues brought about by being associated with Kuhn Loeb and the additional layers of collateral being offered to mitigate risk, the Japanese issues benefited from being priced competitively against weaker alternatives and were consequently positioned well to command solid demand.¹²³

In their analysis of the movement of bond yields, Sussman and Yafeh compare factors as diverse as the qualitative nature of media coverage of Japan in England to structural changes resulting from Japan’s industrialization. The biggest impact, they note, resulted from the implementation of the gold standard in 1897 (as clearly illustrated in Fig. 5.1), which dramatically reduced the relative cost of borrowing for the Japanese government. The next pivotal moment came during the Russo-Japanese

¹²³Tomita, ‘Japanese Government Bonds 100 Years Ago’, p. 4.

Table 5.5 Changes in issue conditions of Japanese government bonds in London, 1870–1910

	<i>Coupon (%)</i>	<i>Issue price</i>	<i>Issue amount (£ millions)</i>	<i>Maturity (years)</i>	<i>Issue interest rate (%)</i>	<i>Consol interest rate (%)</i>	<i>IJG bond yield as multiple of consol yield</i>
April 1870	9.0	98.0	1.0	13	9.2	3.20	2.88
January 1873	7.0	92.5	2.4	25	7.6	3.26	2.33
June 1897	5.0	101.5	4.4	53	4.9	2.44	2.01
June 1899	4.0	90.0	10.0	55	4.4	2.54	1.73
October 1902	5.0	100.0	5.1	55	5.0	2.96	1.69
May 1904	6.0	93.5	5.0	7	6.4	2.78	2.30
November 1904	6.0	90.5	6.0	7	6.6	2.84	2.32
March 1905	4.5	90.0	15.0	25	5.0	2.74	1.82
July 1905	4.5	90.0	10.0	25	5.0	2.77	1.81
November 1905	4.0	90.0	6.5	25	4.4	2.82	1.56
March 1907	5.0	99.5	11.5	40	5.0	2.92	1.71
May 1910	4.0	95.0	11.0	60	4.2	3.08	1.36

Source Data derived from Toshiki Tomita, 'Japanese Government Bonds 100 Years Ago', *NRI Papers*, No. 90 (1 June 2005), p. 16

War, in which there was a significant spike in the cost of debt for Japan. By way of explanation, Sussman and Yafeh state simply that Japan was seen to be the underdog.¹²⁴ Examining the historical trajectory of the pricing of the Japanese bonds against consols shows how the pricing spiked during the war (see Table 5.5).

Table 5.5 shows the issue interest rates of Japanese government bonds alongside the price of British consols. As Japan first started to emerge onto the international markets, the price of its bonds was set at almost three times that of consols in order to compensate

¹²⁴Sussman and Yafeh, 'Institutions, Reforms, and Country Risk', p. 459.

investors for their perceived risk. As confidence and familiarity with Japan improved, the relative pricing of its bonds declined to a low of 1.69 times the price of the consols in 1902. The Russo-Japanese War pricing saw a spike to over twice the yield of the consols to compensate for perceived Japanese weakness in the face of powerful Russian aggression and in order to drive demand. After the war, as confidence in Japan's creditworthiness improved again, the pricing of its bonds reached a new low in 1910, against British consols of only 1.36 times the relative yield.

At the time the first 6% series was issued to the market in early May 1904, Japanese government bonds were enjoying an increase in pricing and consequent reduction in yield as news started to come in of military triumphs. Between 12 April and 10 May, Japan's 1899 4% bonds, which had been trading in London at 63.75% of face value, increased in price to 70.50%. In contrast, Russian 4% bonds dropped in price from 95% to 89.5%. Compared to other foreign government options, at the time the first Japanese 6% series was issued, it offered higher returns and stronger collateral.¹²⁵

The motivations of retail bond investors changed as the war progressed, and the strong demand for the second two offerings (at 4.5%) reflected these different demand characteristics.

The excessive subscriptions for the American allotments of the Japanese loans – bearing interest at the rate of 4½ per cent. and sold far below par – pointed to the features which now appealed to large numbers of prospective investors. The latter either had ceased to lay so much stress on security alone as they had formerly done, regardless of the rate of income return; or else they thought that, in this new economic era, security could be taken for granted and income return might be constituted the chief object of their attention.¹²⁶

Investors were reassured that their confidence in the Japanese bonds had been well placed and as a consequence were willing to accept higher prices and lower yields as the war progressed.

¹²⁵Tomita, 'Japanese Government Bonds 100 Years Ago', p. 17.

¹²⁶Osborne, 'Speculation on the New York Stock Exchange', p. 44.

SCALE OF THE JAPANESE LOANS IN PERSPECTIVE

In 1904, there was a total of \$535,081,600 in new bond issues for investors to choose from on the New York Stock Exchange. Of these, over 67% were railroad-related bonds that averaged totals per issue of only \$3,078,261 for the year. Of the non-railroad ‘miscellaneous bonds’ listed that year, comprising \$119,925,100 (not including the Japanese issues), the average total size of each issue was \$9,225,008—three times the average railroad offering. Second only to New York City Corp. stock, the single biggest aggregate issue for the year was the Japanese bonds, at a total of \$55,000,000—over sixteen times the average railroad issue size and almost six times the average non-railroad issue size. In short, the Japanese bonds stood out for their sheer scale compared to American domestic bond offerings that year.¹²⁷

They also set a record at the time for being the largest foreign issue ever to have occurred on the American markets.¹²⁸ *Commercial West* compared the \$55 million total of the first two Japanese loans on the American markets to the next two largest issues previously attempted: the \$35 million Cuban loan of 1903 and a Mexican \$25 million offering in America in 1899.¹²⁹ Even for Japan, the scale was colossal. The value of the bonds raised in London and New York was double the Japanese government’s revenues at the time.¹³⁰

For Schiff also, in a market where a \$15 million bond issue was considered large and a \$25 million issue considered huge, underwriting approximately \$180 million of the \$400 million or so of the overall Japanese bond issue was a monumental undertaking.¹³¹ Comparing the scale of the Japanese loans to total syndicate volumes of the major investment banks at the time provides insight into how significant this undertaking was for Kuhn Loeb (see Table 5.6).

Although Kuhn Loeb’s syndicate books have been lost, Susie Pak’s analysis of J. P. Morgan’s records goes some way to helping us to understand the relative scale of the Japanese loans for Schiff. As shown in

¹²⁷ *Commercial and Financial Chronicle*, Vol. 80 (21 January 1905), p. 194.

¹²⁸ ‘How Great Loans Are Sold’, p. 25.

¹²⁹ *Ibid.*

¹³⁰ Metzler, *Lever of Empire*, p. 48.

¹³¹ ‘Jacob H. Schiff: The Pioneer of American Foreign Financing’, pp. 452–454.

Table 5.6 Comparative syndication volume, 1894–1914

<i>Name of managing bank, syndications 1894–1914</i>	<i>Total syndication value (\$ millions, rounded)</i>
J. P. Morgan	3800
Kuhn, Loeb & Co.	1440
National City Bank	694
First National Bank (New York)	223
Lee, Higginson & Co.	120
Kidder, Peabody & Co.	90
Harvey, Fisk & Sons	88

Source Reproduced from Susie K. Pak, *Gentlemen Bankers: The World of J. P. Morgan* (Cambridge, MA: Harvard University Press, 2013) and referenced there as being Table 9 from J. P. Morgan & Co. syndicate books, ARC 108-ARC 119, Pierpont Morgan library

Table 5.6, as a proportion of the total syndication volume between 1894 and 1914, Kuhn Loeb's \$1440 million represented approximately 38% of J. P. Morgan's \$3800 million. Of this \$1440 million, the Japanese war loans accounted for \$180 million, or fully one eighth of Kuhn Loeb's total loan volume over the period. They accounted for almost a quarter of the entire transactional volume of Kuhn Loeb for the period 1897–1906.¹³² In short, the Japanese bonds were as significant in their size for Schiff as they were also for the markets themselves.

¹³² Redlich, *The Molding of American Banking*, Vol. 2, p. 387.



The English Syndicate

Prior to Jacob Schiff's involvement in the Japanese loans, a syndicate of banks had coalesced in England with the as yet unfulfilled intent of financing Japan. Each of these banks had prior direct experience of working with the Japanese government. All were known to Schiff because he had worked with them before both directly and through personal contacts. Schiff knew them all to be highly reputable institutions within the London financial markets, and they all had extensive international banking experience. The importance of this network of relationships, how it worked, and its role in the financing of Japan, has previously either been understated or at least not very well explained.

Stemming from the earliest days of Japan's re-entry into the international community, Japan had cultivated relationships with London's banks. This had started in the early 1860s, when Japan raised capital on the London markets for the construction of its first railways. By the beginning of the twentieth century, the coalition of banks that had formed in London to provide the finance Japan needed for the war was among the select group of banks that had previously worked with the Japanese government and that the government had come to trust and rely upon. These banks—Parr's Bank, HSBC and Schiff's London agent Barings Bank, together with Yokohama Specie Bank—converged to begin the underwriting process for the war loans. However, they were unable to fully coalesce, due in large part to political barriers as well as concerns regarding the scale and terms the Japanese government was

looking for. Schiff, on the other hand, was not bound by the same diplomatic concerns and was able to evaluate the loans from a purely financial perspective. For Schiff, it was reassuring that the English syndicate banks were known to the Japanese government. They were credible partners. They had already completed much of the underwriting groundwork. They all knew how to work with the Japanese government and were able to demonstrate this accordingly to Schiff. The banks in the English syndicate were an important component of the foundation upon which Schiff's underwriting was based. He knew them to be capable and willing to see the process through to completion, and consequently understood that his efforts would be productive.

The first banks to set up in Japan were British. They opened in the three treaty ports of Yokohama, Shimoda and Hakodate. Firstly, in 1863, the Central Bank of Western India opened up in Yokohama, then in the same year, the Chartered Mercantile Bank of India opened in the same city, with HSBC opening its first branch in 1866.¹

From 1868, after Japan first opened its doors (albeit in limited fashion) to foreign trade, the government determined that trade would be conducted using the Mexican silver dollar as the primary currency (though barter was also commonplace). Internally, though, and prior to engaging in foreign trade in any significant manner, Japanese citizens paid their taxes in rice and so, in a manner of speaking, rice was the *de facto* currency.² Japan's banking system needed an overhaul and so to the West it looked for solutions.

Of the first tranches of Japanese students sent overseas to observe foreign business practices (see Chapter 4), some were specifically sent to England to observe its highly regarded banking system. One such student was Yoshida Kiyonari. He was one of the original University College London students sent from Japan and spent two and a half years in London and three years in New York to compare and contrast the two banking systems. His conclusion, adopted by the Japanese government, was that the centralized system of the Bank of England served a more stabilizing role than the American 'multi-note' system.³ Japan's

¹Norio Tamaki, *Japanese Banking: A History, 1859–1959* (Studies in Macroeconomic History) (Cambridge: Cambridge University Press, 1995), p. 17.

²Ibid., p. 4.

³Ibid., p. 30.

first modern mint—where the currency was to be produced—was built in 1871 under the auspices of two British engineers seconded to establish the processes using British equipment previously used in Hong Kong.⁴ Schiff had been aware of Japan's emergence from isolation and need for foreign capital and at that time had seen a country with a confused, fragmented and ineffective banking system. Its adoption of a sophisticated banking system modelled on the British structure (and which literally used the same equipment) was a signal to Schiff that the country had developed an ability to absorb full-scale foreign capital.

Parr's Bank had perhaps the most notable relationship with Japan through its London manager, Alexander Allan Shand (1844–1930), who had a close personal relationship with Japan's exclusive fund-raiser for the war bonds, Takahashi Korekiyo. The other banks made up the syndicate and provided Schiff with the assurance he needed that the relationship with the Japanese government itself was direct, secure and unlikely to be circumvented by competitor banks.

HSBC had successfully participated in pre-war foreign lending to Japan. This loan had been to help to defray the expenses of the Sino-Japanese War. HSBC had beaten the Chartered Bank of India with better terms and had partnered with the Yokohama Specie Bank. The Chartered Bank still participated in the loan, as did Capital and Counties Bank, but HSBC had successfully engineered its first major loan to Japan and in so doing established the relationships that it would leverage in 1904.

Japan's first 'normal' foreign loan—a £10 million offering—was issued in 1899, and in 1902, HSBC together with Baring Brothers and Yokohama Specie Bank acquired ¥50,000,000 (£5,104,166) in 5% domestic bonds to be placed on the London market. Principal and interest for the loans were payable either in gold in Japan or in London at the offices of Yokohama Specie Bank at the bondholder's discretion and the issue went out at no discount to face value (100%).⁵ The issue was redeemable not later than 1956 and not earlier than 1907, and the commission paid to the banks was 0.5%.⁶ This loan and the very limited earlier foreign transactions Japan had conducted provided the foundation of the syndicate's experience heading into the war loans of 1904.

⁴ Collis, *Wayfoong*, p. 46.

⁵ 'Imperial Japanese Government 5 Per Cent. Bonds', HSBC-L: No. 21.

⁶ 'Imperial Japanese Government 5% Bonds 1902', HSBC-J.

YOKOHAMA SPECIE BANK

Yokohama Specie Bank, founded in 1880 by Okuma Shigenobu (1838–1922), Japan's finance minister (though ironically he lost his job the day the bank was founded), was established as an antidote to the plundering of Japan's own gold reserves that had occurred during the initial opening of the banking system. This had been due to bureaucratic naïveté and a failure to realize that Japan's internal 'exchange' rates between gold and silver were not compatible with world standards. Foreign investors had stepped into fill the arbitrage gap and had drained Japan of much of its specie: its gold and silver. In fact, in 1859, the year the treaty ports were opened, silver had been overvalued by the monopolistic shogunate at 5:1 for gold versus 15:1 outside the country, and as a result, the silver Mexican dollar was used to buy up gold in Japan at the discounted rate. Subsequently, the gold was shipped overseas and converted at the higher rate, and then the proceeds were returned to Japan to continue the cycle of specie depletion. Once this had been corrected, Japan set about establishing its own structured banking system, based on gold to mimic Western systems, and was initially reliant upon foreign banks to provide the resources for its expansion.⁷

Yokohama Specie Bank was established to provide conduit services both to repatriate specie and to bring into circulation specie hoarded by Japanese nationals, and was designed to facilitate business being conducted by Japanese companies overseas to draw specie from abroad.⁸ Though initially under the strict control of the Finance Ministry, the bank ultimately became a tool of the military and was eventually folded into the Bank of Japan by General Douglas McArthur (1880–1964) after World War II.

A critical factor in upgrading the credit of Japan in international financial markets was adoption of the gold standard. This was vital in enabling Schiff to sell Japan's bonds into the American capital markets. The first recommendations to adopt the gold standard came as early as 1870 from undersecretary of the Finance Ministry Ito Hirobumi, who was on a reconnaissance mission to the USA to study that country's banking system, having earlier spent time in England as one of the 'Choshu Five', who studied at University College London. The government concurred, and adoption of the gold standard was promulgated along with

⁷Tamaki, *Japanese Banking*, p. 13.

⁸Ibid., p. xiv.

the adoption of the yen as the official currency. The New Currency Law, promulgated in 1871, created the yen and set its value to 1.5 grams of gold; this act constituted the legal establishment of a gold standard, making Japan only the second country after England to do so.⁹

In practice, however, and due primarily to a lack of specie reserve, Japan did not adopt the gold standard until 1897, two years after the Sino-Japanese War and the resulting Japanese victory and receipt of a substantial Chinese indemnity that Japan was to hold sufficient specie. The exchange rate at adoption was one single gold yen to 49.85 US cents.¹⁰ Schiff adamantly believed that the gold was the underpinning security that maintained stability in the banking system by providing tangible, uniform collateral for circulating bank notes. He was a proponent of enacting laws requiring any government security be payable in gold on demand.¹¹ He applied conservative standards to mitigate an avant-garde approach to what others saw as a risky investment in Japan. That Japan was on the gold standard by the time Schiff became involved was a critical component in mitigating risk. It helped in establishing the foundation upon which his underwriting of the loans would be based.

In *Emerging Markets and Financial Globalization, Sovereign Bond Spreads in 1807–1913 and Today*—a detailed analysis of how the gold standard affected a country's ability to raise capital in foreign markets—Paolo Mauro, Nathan Sussman and Yishay Yafeh conclude that Japan's credit rating jumped dramatically when it adopted the gold standard. As a consequence, the country's cost of funds halved as measured by bond spreads (the difference between consol rates of perpetual bonds and rates called for on a particular bond issue). Mauro, Sussman and Yafeh also conclude that second only to Japan's adoption of the gold standard in improving its bankability in worldwide capital markets was Schiff's financing of Japan during the war and the resulting successes.¹² They contend that neither Japan's development of a robust constitution

⁹ Metzler, *Lever of Empire*, p. 22.

¹⁰ 'Statement by the Minister of Finance of Japan, Juichi Tsushima', 9 May 1930, HSBC-L: No. 83.

¹¹ Letter from Schiff to President McKinley, 24 October 1902, as quoted in Adler, *Jacob H. Schiff*, Vol. 1, p. 274.

¹² Paolo Mauro, Nathan Sussman and Yishay Yafeh, *Emerging Markets and Financial Globalization: Sovereign Bond Spreads in 1807–1913 and Today* (Oxford: Oxford University Press, 2006), pp. 51–52.

nor even its establishment of a central bank had remotely the same impact as either the war finance or the adoption of the gold standard.¹³

Entry to the gold standard enabled Japan to accept its indemnity payments from China, which would be made through the only office in London able to accept payment—Yokohama Specie Bank. To handle its specie accounts, Yokohama Specie Bank opened an account at the Bank of England, where its deposits were visible and further added to Japan's credibility to Schiff and its appearance as an acceptable credit risk on the broader capital market. It was under the auspices of Okuma's successor as finance minister, Masayoshi Matsukata, that Japan was to adopt the standard in practice. The country would need this credit enhancement to raise money on the London and New York markets. These were markets where the minimum standard for international participation was adoption of the gold standard.

Therefore, the default banking channel for Japanese overseas investment was Yokohama Specie Bank: the bank tasked with generating specie from overseas and the 'right hand' of the Bank of Japan and hence of the government. In fact, Yokohama Specie Bank had a special status that placed it second only to the Bank of Japan.¹⁴ The bank had branches in London, New York and other major markets so had a basic infrastructure in place. Following the closure of the Oriental Bank in London, Yokohama Specie Bank also took on the role of agent to the IJG. The default market for Japan was London. This derived from respect for London's integrity as a result of extensive overseas in-person research and analysis by Japanese Finance Ministry staff and from the mirroring that had occurred in Japan of the British banking system. These deep connections were strong enough only to set the stage for financing the war. Without Schiff, they were insufficient to consummate the funding.

PARR'S BANK

By the time of the war, Parr's Bank had had a presence in London for only a few years following its amalgamation with Fuller, Banbury, Nix & Co. at 77 Lombard Street in 1891.¹⁵ It had grown through a series

¹³Ibid., pp. 51–52.

¹⁴Tamaki, *Japanese Banking*, p. 70.

¹⁵William Howarth, *The Banks in the Clearing House* (London: Effingham Wilson, 1905), p. 181.

of acquisitions and mergers that ultimately led to its presence on the London Stock Exchange. Indeed, by 1905, the bank had a reputation as 'a power in the financial world, an institution whose opinion carries great weight' and was one of the 'first six banks in the country'.¹⁶

But still, how and why did Japan select this bank of all banks to join its London team in so critical a mission? Parr's Bank, as good a reputation as it may have had, was still from a small, provincial background, based originally in the northern town of Warrington and with a reputation, though good, largely centred in and around the north of England. What kind of credibility could this bank bring to reinforce Schiff's confidence in underwriting the loans?

The answer is in the modest person of Alexander Allan Shand, manager of Parr's Bank's London branch, whose unexpected influence in Japan won him the epithet the 'Father of Japanese Banking'.¹⁷ He was Takahashi Korekiyo's primary contact in London, and he actually won more honours from the emperor of Japan than Schiff did, though not of as high prestige.

Born in Turriff, Aberdeenshire, in 1844,¹⁸ Shand met Kido Takayoshi (1833–1877), an astute and visionary political leader, in 1869 while vacationing in the resort town of Hakone, west of Tokyo.¹⁹ Through discussions about Japan's nascent banking sector and the monumental challenges it was facing at that time, Kido came to respect the young Shand and exposed him to an increasingly influential and broad array of politicians and financial experts. Among these, incidentally, was Yamao Yozo (1837–1917), who at the time was a senior government official in the Ministry of Works but who had also spent time as one of the first travellers outside Japan following the commencement of the Meiji Restoration, when he too studied at University College London as one of the original 'Choshu Five'. Following these meetings and others that similarly broadened Shand's reputation in government financial circles,

¹⁶Ibid., p. 187.

¹⁷Johannes Hirschmeier and Tsunehiko Yui, *The Development of Japanese Business 1600–1980* (London: George Allen & Unwin, 1981), p. 104.

¹⁸'Alexander Shand', *Royal Bank of Scotland Heritage Online*, <http://heritagearchives.rbs.com/people/list/alexander-shand.html>, accessed 31 December 2014.

¹⁹Olive Checkland and Norio Tamaki, 'Alexander Allan Shand, 1844–1930: A Banker the Japanese Could Trust', in Ian Nish (ed.), *Britain and Japan: Biographical Portraits*, Vol. 2 (Richmond: Japan Library, 1997), p. 67.

the Finance Ministry of Japan hired Shand (at the age of 28) for the huge salary of ¥500 a month, as much as a government minister. He had previously worked for the Chartered Mercantile Bank in Yokohama, where he had been stationed with the instruction to write what was essentially a handbook on banking bookkeeping and accounting.²⁰ By the end of 1873, his five-volume tome on the subject had been translated into Japanese and published.²¹

After the publication of his books, Shand left Japan on sick leave following the untimely death of his son in Hakone. He returned to London, and there he made the acquaintance of several senior banking officials from Japan, some of whom would go on to senior positions at Yokohama Specie Bank.

At the end of the first quarter of 1874, Shand was hired back to Japan by the Finance Ministry to lecture in a kind of banking academy that was to cover all facets of banking history, operations and management. Nearly 350 students graduated from this academy during its first five years, and all of them went on to develop careers directly in banking in Japan, in the Finance Ministry, or in local government. These students looked up to Shand as their *sensei*, as a martial artist would look to his master. Indeed, his student Viscount Shibusawa (1840–1931) later recalled that Shand's students had 'gladly sat at [his] feet' to learn about banking as quickly as they could.²²

The most notable of his students was Takahashi Korekiyo, one of 'Shand's most able pupils'²³ and a man who would ultimately become a close ally of Schiff in funding the war. Even more significantly, during his first years at the Chartered Mercantile Bank, Shand had employed

²⁰In their chapter in *Britain and Japan*, Checkland and Tamaki make the case that, while Shand's expertise was clearly his intimate knowledge of British banking practices, operations and theory, it was his sensitivity to Japanese cultural factors combined with a political astuteness that led to his rise in the hierarchy of banking in Japan. Checkland and Tamaki describe Shand's political compatibility and support for a faction that was ultimately to prevail within the Japanese government, the 'Choshu Initiative', as a probable reason for his success in Japan. Checkland and Tamaki, 'Alexander Allan Shand'.

²¹Alexander Allan Shand, Wataru Ebihara, Seiichi Umeura and Akimasa Yoshikawa, *Ginko Boki Seibo* (Tokyo: Okurasho, Meiji 6, 1873). See also Tamaki, *Japanese Banking*, p. 34. Shand's interpreter and translator, Joseph Heco, born Hikoza Hamada (1837–1897), was the first Japanese national to be naturalized as a citizen of the USA.

²²Letter from Viscount Shibusawa to Shand, 12 September 1927, RBS: Misc.

²³Checkland and Tamaki, 'Alexander Allan Shand', p. 72.

the young Takahashi as an errand boy, and from these humble beginnings as Shand's student Takahashi was to rise to become president of Yokohama Specie Bank while simultaneously serving as deputy governor of the Bank of Japan²⁴—positions that had been mandated specifically to bind the two key financial institutions together as the financial branch of the government.

Takahashi also became Japan's special envoy during the war years. He was dispatched to raise the funds Japan needed to prosecute the war against Russia and he bonded with and befriended Jacob Schiff in the process.²⁵ And so, much along the lines of the Hollywood concept that one should always be kind to one's secretary because 'you never know who you'll be working for tomorrow', in 1898 Shand proved to be Takahashi's 'most useful contact in London'.²⁶ Here, they worked together again as they began to raise capital for Japan and as Shand explained to his former errand boy how to form a syndicate on the London markets. Their relationship was very deep, with Takahashi liking to recall the reversal of positions between the two men in order to humorously illustrate their connection. Shand, ever the humble servant, liked to rapidly change the subject. In fact, regarding the war loan requirements, 'Shand was the first man to whom [Takahashi] divulged the plans of the Japanese Government as exactly as he did to the Japanese Ambassador'.²⁷ Indeed, not only did Takahashi ultimately send his daughter to live with Schiff in New York for three years following the war (as previously recounted) but he also sent his son to live with Shand in London for eight years.²⁸

Schiff's familiarity with Parr's Bank and its relationship with Takahashi, and Takahashi's confidence in the bank's capabilities through his relationship with Shand, were not on their own sufficient to inspire Schiff to sponsor the Japanese bonds. However, they contributed to his confidence that the right banking infrastructure was in place and that appropriate relationships were working together to ensure his efforts in the American market were substantially supported in England and Japan.

²⁴Tamaki, *Japanese Banking*, p. 93.

²⁵Checkland and Tamaki, 'Alexander Allan Shand', p. 67.

²⁶Tamaki, *Japanese Banking*, p. 95.

²⁷Umekichi Yoneyama, *Alexander A. Shand: A Friend of Nippon—Interesting Chapters from a Banker's Reminiscences* (Tokyo: Japan Times, 1927), pp. 2–10.

²⁸Metzler, *Lever of Empire*, p. 11.

Doubtless the depth of Takahashi's relationship with Shand contributed to Schiff's belief that Parr's Bank was a credible partner in London.

In a step by the Japanese government that reinforced Shand's elevated position of respect among the earliest banking experts in Japan, Shand was asked to curtail his teaching of new students and instead to conduct what was one of the first ever audits of banking practices in Japan. In this task, he analysed the mechanisms that had led to the fall of one of Japan's earliest banks, in regard to which he provided candid feedback and advice directly to Japanese auditors, enabling them to improve their own oversight standards. Shand's work was published in serialized format in the Finance Ministry's own monthly publication, and he wrote a book on banking that was translated and published.²⁹

Although Olive Checkland and Norio Tamaki state that 'Shand thus contributed tremendously to the development of Japanese banking ideas and practices',³⁰ they do not go as far as others in lauding Shand's role. In a recollection in 1927, Viscount Shibusawa went so far as to state that it was Shand's 'unequivocal assertion [sic] for the support of Japan' that gave Japan the confidence to proceed with the quest for finance for the war.³¹ Indeed, indicating even further the depth to which Shand had developed his relationships, in a letter to Shand, Shibusawa obliquely invoked the idea that Shand's life's path had been to bring him to a place and position to assist Japan in its hour of need in financing the war. 'You were preserved for this precise moment', Shibusawa wrote as he reflected upon Shand's contribution, perhaps even offering Shand some solace for the unbearable loss to Shand of his son by implying that even that inexplicable tragedy may in fact have had some meaning.³²

In a culture where relationships were paramount in creating trust and loyalty, and where those between student and teacher were of the highest calibre of authority and deference, Shand, when he left Japan, had a business network of banking contacts in that country that would be the envy of anyone even today in terms of its depth, seniority and responsiveness to his name. In some ways, this reflected Schiff's own network of contacts in Europe and, though he did not perhaps consciously connect his

²⁹ Checkland and Tamaki, 'Alexander Allan Shand', p. 73.

³⁰ *Ibid.*, p. 72.

³¹ Letter from Viscount Shibusawa to Shand, 12 September 1927, RBS: Misc.

³² *Ibid.*

background with that of Shand, he presumably recognized the significance of the 'heritage' Shand had laid down in Japan.

This powerful relationship linked Japan through London to the New York markets at a critical moment and provided the connection that Tokyo needed to establish the basis for raising funds. Schiff had not previously conducted business with Parr's Bank, nor had he worked directly with the Japanese. The influence brought to bear on Schiff through Barings and Ernest Cassel was accretive and complementary. Schiff needed to be certain that his partners in the bond issuances were credible and capable. Along with the confidence Schiff had in Takahashi came confidence in the capabilities of Parr's Bank through Takahashi's relationship with Shand. For Schiff, the combination of, on the one hand, Baring's and Cassel and, on the other, Takahashi and Parr's Bank was beginning to form the bedrock upon which his underwriting of the bond issuances was made.

Underscoring Shand's contribution to the financing of the war effort, Tamaki states that 'Shand was a crucial figure in forming syndicates to launch successful Japanese loans on the London money market'. His Japanese partner in this endeavour was Korekiyo Takahashi. For these services, over several years, particularly during the Russo-Japanese War, the emperor Meiji conferred on him, 'various honors', as he did upon others, including Schiff and Cassel.³³ The London *Times* noted in its obituary for Shand in 1930 that he had been 'prominently associated with Japanese loans in this country on behalf of Japan during the progress of that country's war with Russia'.³⁴

For all this, though, Shand's day-to-day contribution was primarily administrative. He forwarded receipts from one entity to another and arranged meetings between principals.³⁵ In their biographical portrait

³³Norio Tamaki, 'Shand, Alexander Allan (1844–1930), Banker', *Oxford Dictionary of National Biography* (Oxford: Oxford University Press, 2008), <http://www.oxforddnb.com/index/101053616/Alexander-Shand>, accessed 4 August 2016. Shand received the Order of the Rising Sun, fourth class, in 1902; the Order of the Sacred Treasure, third class, in 1904; the Order of the Rising Sun, third class, in 1906; and the Order of the Sacred Treasure, second class, in 1908.

³⁴[Obituary for A. A. Shand], *The Times* (16 April 1930), p. 16.

³⁵Letter from Shand to Baring Brothers, 25 May 1904, BA: PF200187 HC 6.1.31.

of Shand, Checkland and Tamaki reinforce this point, stating that while Shand was probably one of the most important figures in Japan's success in raising capital in foreign markets during the war, as a humble office manager of a provincial bank his influence was not sufficient to engender confidence in the loans in the markets as a whole.³⁶ As important as Shand or any other player was in the process of putting the Japanese loans together, the market needed Schiff's leadership to bring the loans to fruition.

HONGKONG AND SHANGHAI BANKING CORPORATION (HSBC)

In May 1866, HSBC opened its first branch in Japan at Yokohama, two years before Japan's pivotal shift to the Meiji era and during a time when considerable confusion reigned over the currency system.³⁷ While several foreign banks opened during this early important phase, HSBC emerged as a leader in Japan as the others struggled or failed, and HSBC financed most of the foreign trade of Japan during the first twenty years of the Meiji era.³⁸

Between 1892 and 1895, HSBC issued three 5% sterling consolidation loans for approximately £6 million with no security. In 1899, together with Charterhouse, Parr's and Yokohama Specie Bank, HSBC issued a 4% loan for £10 million, at a 90% issue price, with a 55-year maturity, no security and paying a 4% commission to the banks. And in 1902, HSBC issued a 5% loan for ¥50 million together with Barings and Yokohama Specie at face value pricing for 55 years with no security.³⁹

Through its offices in China and Manchuria, HSBC was as close to developments on what was to become the war front as any of the other syndicate members. As early as July 1903, the bank's Tientsin branch reported that it believed the Russians would eventually take the city and that the Russians themselves smugly believed Manchuria would remain in their control.⁴⁰

³⁶ Checkland and Tamaki, 'Alexander Allan Shand', p. 76.

³⁷ Collis, *Wayfoong*, p. 40.

³⁸ Ibid., p. 48.

³⁹ 'Japanese Loans', HSBC: HQLOH1 0002.

⁴⁰ Duncan H. Macintosh to A. M. Townsend, 23 July 1903, HSBC-C.

In common with Kuhn Loeb, the English syndicate banks each had their own distinct strategies for distributing loans they underwrote and marketed. It was common for the banks to have a list of preferred customers who would get more than a pro rata share of any offering that might be over-subscribed. For example, HSBC allocated all the shares applied for to those on its preferred list, which included in large part its own senior staff (a factor that demonstrated to Schiff the bank's confidence in its offering). In fact, staff at HSBC branches internationally took positions in the IJG 4% sterling loan of 1905, the biggest participating office being Hongkong, where the directors took £110,000 between them and the staff £35,000.⁴¹ Senior HSBC staff A. M. Townsend (1847–1939), G. W. Butt (1857–1911) and Charles Addis (1861–1945) took the largest shares, totalling £45,000 between the three of them.⁴² HSBC also allocated shares widely, paying commissions at 0.25% to 390 companies, banks and brokerages for selling the loans. The total allotted to this army of brokers was £745,700, for which they were paid a total commission of £1,864.25. The smallest commission paid was 5 shillings, and the largest was paid to the solicitors Panmure Gordon, one of the first groups Takahashi met when first in London, which was allotted £160,600 in total and which received commissions totalling £401 10s. The average commission paid to brokers, not including staff and head office sales at HSBC, was £4 15s 8d.⁴³ Barings also had its own list of preferred investors, its 'red list', which included influential politicians such as Lansdowne.⁴⁴

BARINGS BANK

Though he had tried before as early as 1872,⁴⁵ until 1904 Schiff had not conducted business directly with Japan. Working with partners that did have direct experience was important in building his confidence that the proposed bond issues could be underwritten judiciously. The interface for Kuhn Loeb with the English syndicate was Baring Brothers, which

⁴¹ 'Japanese 4½% Gold Loan, 1905 (2nd Series)', HSBC-A.

⁴² 'Allotment Sheet, Imperial Japanese Government 4% Sterling Loan, 1905', HSBC-A.

⁴³ 'Japanese 4% Sterling Loan 1905, Brokerage', HSBC-A.

⁴⁴ Ziegler, *The Sixth Great Power*, p. 294.

⁴⁵ Letter from Schiff to Wilson, 4 November 1872, JWP: 1872–98.

took a discreet brokerage and consulting role to avoid overt conflict with its Russian interests.

Philip Ziegler, in his book *The Sixth Great Power*, makes the case that it was through Baring Brothers, under the primary direction of John Lord Revelstoke, that Schiff was originally introduced to the Japanese bond issues, though he does not offer any direct references to how this might have come about and so stands in conflict with other sources. That is not to say that Barings did not play an important role, but that Barings 'persuaded Schiff of Kuhn Loeb to take up a £5 million loan'⁴⁶ remains speculative.

Barings was sensitive to the territorial claims of other banks, particularly in Europe, where it was disinclined to interfere with other institutions' customers or spheres of influence. However, when it came to Russia, Barings had a history of involvement and so felt a duty to support the country when circumstances demanded. This conflicted with Barings' more recent but nonetheless amiable relationships with Japan, a country with whom the bank had had positive experiences and with which it wanted to expand its relations. Barings concluded that a position of neutrality should be maintained, at least in public and from the perspective of the Russian government.⁴⁷ However, with Revelstoke as the primary intermediary, Barings did represent Schiff and Kuhn Loeb (for a fee) in the negotiations in London with the English syndicate, and it was also Kuhn Loeb's formal representative in London with power of attorney to act on Schiff's behalf for administrative purposes.⁴⁸

In representing Schiff, Barings Bank balanced on a tightrope of competing interests. The French were the primary suppliers of capital to Russian enterprise and government needs, but Barings had an enduring history of providing capital to support the development of the railroads in Russia and had a close relationship with the tsar and his government. The bank's relationship with the Japanese had started in 1898 when it was impressed with the accuracy and detail in Japanese financial statements pertaining to a loan Barings was contemplating to

⁴⁶Ziegler, *The Sixth Great Power*, p. 312.

⁴⁷'Extract from Letter from Lord Revelstoke to the Hon. H. Baring, dated 8 March 1904. Japanese Affairs', BA: PF200187 HC 6.1.31.

⁴⁸'Memorandum of Conversation Held at 8 Bishopsgate, on 5 May 1904,—Present: Sir Ewen Cameron, Mr. Schiff & Lord Revelstoke', BA: PF200187 HC 6.1.31.

Table 6.1 Barings' internal statement of commission received, first Japanese loan

<i>Commission</i>	<i>Amount</i>
0.5% Commission on £5,000,000 bonds sold to Kuhn Loeb	£25,000
2% Commission on £202,000 bonds (London issue)	£4,040
Underwriting commission on £300,000 (New York issue)	£6,007
Less 2% participation on £49,000 to sub-underwriters	–£980
Total commissions	£34,067

Source Data derived from 'Japanese Imperial Japanese Government 6% Sterling Loan, First Series, Statement of Commission Received', HSBC-A

a Yokohama-based steel company. This confidence in the creditworthiness of Japanese enterprise was cemented in a successful 1902 loan made together with HSBC that was more warmly received by a wider community of investors than had been expected.⁴⁹ Barings' positive experience doubtless resonated with Schiff, particularly the bank's reports of Japanese efficiency, integrity and accurate accounting processes.

When war broke out, Barings had to figure out how to capture lucrative business from the Japanese government while at the same time not incurring the wrath of its Russian customers. A belated attempt to finance the sale of Argentine warships to Japan fell through because it inconveniently commenced too early. Reassuring themselves through a consultation Lansdowne had with the prime minister that the British government would not object to their financing the Japanese, Barings' directors contemplated how to retain a neutral position while at the same time taking advantage of the natural path to what would doubtless be a profitable venture. Its ultimate role as an intermediary was for Barings risk-free and lucrative⁵⁰ (see Table 6.1).

To put the total commissions earned by Barings of £34,067 shown in Table 6.1 into perspective, A. A. Shand, Parr's Bank's representative, Takahashi's former teacher in Tokyo, and a man decorated twice as many times as Jacob Schiff by the emperor of Japan died leaving an estate considered substantial for a man in his position. The value of this estate was

⁴⁹Ziegler, *The Sixth Great Power*, p. 311.

⁵⁰'Imperial Japanese Government 6% Sterling Loan, First Series, Statement of Commission Received', BA: PF200187 HC 6.1.31.

approximately £7000. Shand's entire lifelong wealth was a mere fifth of the commission Baring Brothers took from the first series alone.

Barings was eventually able to have its cake and eat it too. Even before the war was over, Russia approached the bank for a loan, which Barings ultimately coordinated post-war in the amount of £50 million at 4% and syndicated throughout Europe and the USA, retaining only £4 million in England.⁵¹

The experience the English syndicate banks had of working with the Japanese government and among themselves contributed to the foundation upon which the loans became possible. But concerns by members of the syndicate that client relationships could be hurt or that there might be negative political repercussions prevented the syndicate from proceeding with the loans. Its members were also concerned that the undertaking was too large and that it could fail on the markets without American support. Schiff's network of relationships, careful negotiations with his partners and shrewd timing brought the syndicate together, enabling the loans to be issued.

⁵¹Ziegler, *The Sixth Great Power*, p. 312.



Financing the War

Jacob Schiff committed to the first loan to Japan in spring 1904, at a time that negotiations between Japan's financial commissioner, Takahashi Korekiyo, and the English banking syndicate had reached a stalemate. Japan had won only one battle in its war against Russia, a land engagement on 1 May known as the Battle of the Yalu River. This occurred just three days before Schiff agreed to participate in the loans. Schiff's intent to commit came before any other bank acted in recognition of this early display of Japan's military prowess. Yet Schiff's decision enabled all principals' interests to coalesce. It was a decision that pleased the British government as it brought British policies into alignment with those of the USA in the matter of Japan.¹ Schiff's actions were of personal importance to Takahashi, who described the relationship between the two men as one that was to be a 'valuable friendship'. It was a measure of Schiff's confidence in Japan that Takahashi and his government would never forget.²

There were a total of four bond issues facilitated and underwritten by Schiff's Kuhn Loeb during the war. The first, in May 1904, was followed by another in November of that same year and one each in March and July 1905. All were conducted equally on the London and New York

¹ Letter from Lansdowne, Minister for Foreign Affairs, to Cameron of HSBC, as quoted in Adler, *Jacob H. Schiff*, Vol. 1, p. 216.

² Adler, *Jacob H. Schiff*, Vol. 1, p. 215.

exchanges, with the fourth being co-listed in Germany as the demand for the Japanese bonds remained strong despite a marked reduction in yield. The total amount issued came to £82 million (some \$400 million), but the subscriptions for these offerings totalled £757 million (\$3.5 billion) and the loans were thus almost nine times over-subscribed overall.

By the time war broke out, there was a high degree of awareness in the USA regarding Russia and the tsar's tacitly approved pogroms. There was a strong tendency among Americans to support the Japanese cause over Russia, even to the point of pondering openly whether a Japanese victory in the war would lead in some manner to revolution in Russia.³ These popular sentiments were not followed by the economic elite. While there seemed to be a general empathy for Japan and its plight, the major financial players still saw excessive risk and were averse to extending credit.

Schiff's decision to lead the issuance of Japanese bonds in America catalysed this otherwise equivocal response to Japan's need for funds. Of the four wartime issues, the first two totalled £22 million and were over-subscribed by almost twelve times, whereas the vastly larger second two issues (totalling £60 million) were over-subscribed over eight times. In the case of the second two issues, demand in London, if measured by the extent to which the issues were over-subscribed, was stronger than demand in New York, with London enjoying a greater than thirteen times multiple in terms of subscriptions versus actual allocations. Schiff's American syndicate generated a little over five times the total allocated in subscriptions. The issues ran very quickly: from authority being granted in Japan to approval of prospectuses to launching of the subscriptions, the whole process could run in a matter of days. To ensure the success of the launches, the banks initiated groundwork ahead of time to enable their networks to deploy effectively given the little time available once the decisions to go had been made.⁴

The results were notable for multiple reasons. The American markets had little experience in overseas funding and, although they had some commercial ties, had had little formal interaction with Japan. The same was true of Schiff, for whom, despite having had a long-held interest in Japan, the venture of financing the country was new territory and

³ Good, 'America and the Russian Revolutionary Movement', p. 280.

⁴ Ferguson, *The House of Rothschild*, Vol. 2, p. 367.

consequently required particularly careful diligence. Furthermore, as the protagonists' diplomacy broke down, the markets had little confidence in Japan's ability to prevail in the war against the much stronger Russia, nor was there much confidence in Japan's economy's ability to withhold the pressure of a costly and potentially long-drawn-out conflict with an apparently far more economically strong and resource-rich Russia. These concerns were counterbalanced by a belief in the legitimacy of Japan's position against a Russia seen to be duplicitous.⁵ In his quest for capital, Takahashi was finding that, while there was considerable sympathy for Japan among the general public, predicting how much that could be translated into actual investment in the bonds was a 'very difficult question'. He was unable to persuade the English syndicate banks otherwise. They believed that American participation would go some way to bolstering market confidence and preferred 'a trial with a small amount of treasury bills', in the amount of no more than £5 million.⁶

To assuage bankers' concerns, even for the small test offering the bond yields were set relatively high.⁷ The pricing of the first issue at 6% face rate with a 6.5% discount leading to a discounted rate of 6.42% gave a whopping yield to maturity of 7.35%. This reflected not only the market's ambivalence but also Japan's reluctant capitulation to unfavourable terms.⁸ Indeed, the Japanese government's lack of confidence in its own ability to raise funds, in combination with bankers' concerns that the market would not buy Japanese bonds, may have led to overcompensation by both sides on pricing. This in turn helped to create the unexpected market reaction. Writing in 1913 about the extraordinary demand for the Japanese loans on the American markets, Algernon Osborne noted that the 'oversubscription may have indicated an error on the part of the bankers engaged in putting out the loans, in that they made the terms unnecessarily favorable to the subscribers'.⁹ Indeed, when the

⁵'Japan's Justification', *New York Times* (9 July 1904), <http://query.nytimes.com/mem/archive-free/pdf?res=9F03E1DD113DE633A2575AC0A9619C946597D6CF>, accessed 1 August 2016.

⁶Takahashi memo, JSP: Box 1861, Folder 6.

⁷'Big Rush for Japanese Loans', *New York Times* (13 May 1904), <http://query.nytimes.com/mem/archive-free/pdf?res=9A06E3DA1238E733A25750C1A9639C946597D6CF>, accessed 1 August 2016.

⁸Kobayashi, *War and Armament Loans*, p. 73.

⁹Osborne, 'Speculation on the New York Stock Exchange', p. 37.

Japanese ambassador in Berlin first learned of the terms of the loan from a goading German Finance Ministry official, he could not believe them and asked Tokyo for confirmation.¹⁰

Banks did not always err too cautiously in the matter of pricing as they did with the Japanese loans. Sometimes their predictive miscalculations led to under-demand and failure. Writing in 1908, Wallace Donham noted that 'it is not difficult to pick out syndicates which have been wound up at a loss'.¹¹ Schiff understood also that, without careful assessment of risk, losses could result. His partner Otto Kahn reflected upon the risks bankers faced when they predicted market demand wrongly, and spoke of 'the losses and vicissitudes to which they are subject'. He listed syndicates for the 1905 Erie Railroad, the 1906 Missouri, Kansas & Texas Railway, the 1907 Union Pacific, the 1906 Wisconsin Central Railway and additional examples from 'a list which could be considerably prolonged' that had all suffered losses because of the inability of bankers to properly read market demand ahead of issue.¹²

But even inflated yield was not sufficient to give confidence to Schiff that the issue would be a success. These were pragmatic concerns and he was determined not to fail economically in such an undertaking no matter what the geopolitical benefits of the venture might be. To ameliorate risk to investors, the issue was collateralized by Japan's customs receipts and Tokyo accepted a package of terms it would have preferred to avoid. But Japan was exposed to a vastly larger enemy both economically and militarily and had to make concessions to ensure the syndicate would take on the issues so that the markets would feel the risk of Japan losing to Russia was a risk that had been properly accounted for in the returns the issue promised.¹³ The decision was well taken. Despite the consternation Japanese diplomats felt about the terms of the loan, the day news broke of the successful conclusion of negotiations, Russian securities declined in value by 1.5%.¹⁴

¹⁰Telegram from Inouye (Berlin) to Komura (Tokyo)', 5 May 1904, JACAR: 3-1238-0045.

¹¹Donham, 'Underwriting Syndicates', p. 175.

¹²Kahn, *The Marketing of American Railroad Securities*, pp. 33-37.

¹³Kobayashi, *War and Armament Loans*, p. 73.

¹⁴Telegram from Inouye (Berlin) to Komura (Tokyo)', 5 May 1904, JACAR: 3-1238-0045.

The timing was perfect for the first bond issuance on 9 May 1904. Japan fought and won the Battle of the Yalu River from 30 April to 1 May 1904, delivering to the markets news of its first major triumph, substantially mitigating the risk investors saw that Japan could not prevail militarily against the mighty Russia, and elevating enthusiasm for Japan's chances overall both at home and at abroad.¹⁵ The combination of yield, collateral, American support through Schiff, and the first military victory resulted in the issue being over-subscribed by seventeen times the actual allocation, with demand totalling £175 million to the only £10 million on offer. Almost immediately, the issue was trading at a premium to the issue price of 2.5% and existing Japanese government bonds trading on the London market were not unfavourably affected by the new issue.¹⁶

The North Sea affair, where Russian warships had fired upon British fishing vessels off the east coast of England,¹⁷ rattled markets and had a dampening effect on the enthusiasm for the planning of the next issue; again, Tokyo found itself forced to capitulate in the matter of terms.¹⁸ By the time the second issue came out (only six months later, in November 1904), pricing had softened a little further to incentivize the market, with a 9.5% discount on the 6% coupon leading to a discounted rate of 6.63% and a 7.99% yield to maturity. This offering of £12 million was over-subscribed to the tune of £87 million, or around 7.25 times the actual allocation, demonstrating strong but somewhat weakened demand. The second bond issue was designed to attract smaller investors who had not had the opportunity to acquire shares the first time around, and receipt of tenders was left open for four days rather than closing immediately to permit local and more financially modest applicants an opportunity to invest.¹⁹

By the time the third issue went to market in March 1905 (for £30 million, more than the first two offerings combined), against all expectations and odds, Japan had prevailed in the battle and subsequent surrender at Port Arthur and the outright victory at Mukden.²⁰

¹⁵Kobayashi, *War and Armament Loans*, p. 74.

¹⁶Telegram from Hayashi (London) to Komura (Tokyo)', 8 May 1904, JACAR: 3-1238-0055.

¹⁷*San Francisco Call* (24 October 1904), p. 1.

¹⁸Kobayashi, *War and Armament Loans*, p. 74.

¹⁹*Ibid.*, p. 75.

²⁰*Ibid.*, p. 76.

Even though the third issue came out barely four months after the second, and largely due to the success of the earlier two issues combined with the victories Japan had won on the battlefield, pricing had risen substantially with the interest rate at 4.5% and a 10% discount to face value yielding a discounted rate of 5% with only a 5.5% yield to maturity. Nonetheless, demand was robust for this large offering, outstripping supply by 8.5 times, creating applications for £255 million versus the actual £30 million issue.

In fact, so strong was demand for the third issue that the offering closed on the same day as it opened, 29 March 1905.²¹ The third issue was set apart on the London markets from the earlier two in at least two important ways. The first was that approximately 7.5% of applicants were not from the UK but instead from continental Europe, including Austria, Belgium, Germany, the Netherlands and Switzerland.²² The second characteristic separating this offering from those prior was that in London fully 86% of applicants offered to acquire amounts less than £2000 and were thus considered small-scale participants; similar responses were experienced by Schiff's syndicate.

Japanese bond sales in New York were overwhelmingly dominated by applications nationwide from small investors, which was unusual for bond issues in America at the time.²³ Indeed, small-scale participants had consistently been active from the outset, and they were given preference in allotment.²⁴ With applications outstripping supply almost immediately, the issue was closed by 11 a.m. the day after opening. The total demand was approximately \$500 million versus approximately \$75 million actually issued.²⁵

The first issue was taken to market by Kuhn Loeb together with National City Bank and the National Bank of Commerce in New York. These banks then syndicated to their own networks of investors. The second loan drew in a west coast underwriter, the Nevada National Bank

²¹ *Report on the War Finance*, p. 32.

²² Kobayashi, *War and Armament Loans*, p. 77.

²³ Consul General Uchida Reporting to Finance Minister Sone Arasuke, Japanese Foreign Office (ed.), *Nihon Gaikō Bunsho*, 37, Vol. 2, Shōwa 33 (1958), p. 152 (Document No. 858), as quoted in Matsumura, *Baron Kaneko*, Kindle Edition, 18%.

²⁴ Telegram from Uchida (New York) to Komura (Tokyo)', 2 April 1905, JACAR: 3-1239-0149.

²⁵ Ibid.

of San Francisco, spreading interest coast to coast.²⁶ By the time of the third loan, interest was expanding substantially despite reduced returns to investors, but Schiff's risk mitigation was being enhanced by the broadening demand base. The third loan syndicate included the

Bank of Montreal, the Old Colony Trust Company of Boston, The Fidelity Trust Company, the Girard Trust Company and Sailer and Stevenson all of Philadelphia, the Illinois Trust and Savings Bank and the Merchants' Loan and Trust Company of Chicago, by Francis Brothers and A. G. Edwards & Sons of St. Louis and the Nevada National Bank of San Francisco and the Anglo-Californian Bank, Ltd., of San Francisco.²⁷

The depth of support for Japan reinforced the view shared by Tokyo and Schiff (independently of each other) that relations between Japan and America were strong enough that further commerce would likely develop after the war.

The fourth and final wartime issue (four months later, in July 1905) was priced the same as the third and collateralized, as had the third issue, with Japan's tobacco monopoly profits. This time demand from German banks, seeing a Japanese triumph on the horizon not least of which was the Japanese success in the Sea of Japan,²⁸ and not wanting to miss out on another successful offering, demanded an entrée to the offerings that was granted in a joint offering in London, New York and Germany in equal measure.²⁹ This was despite Germany's historical bias towards Russia in providing both political and economic support. The total demand for this issue—despite its compressed pricing and lower returns, now deemed less risky by the markets—was for another £240 million versus the £30 million on offer.

Table 7.1 summarizes the four bond issues underwritten by Schiff in New York in 1904/1905. The first three issues were equally split between London (in British pounds) and New York (in American dollars),³⁰ and the fourth issue also had German participation.

²⁶ '£12,000,000 Imperial Japanese Government 6% Sterling Loan, Second Series, Due October 5, 1911', BA: PF200188 HC 6.1.32.

²⁷ Jacob H. Schiff: *The Pioneer of American Foreign Financing*, pp. 452–454.

²⁸ Kobayashi, *War and Armament Loans*, p. 78.

²⁹ Ibid.

³⁰ Kentaro Kaneko, 'America's Resources', *Commercial West* (13 May 1905), p. 42.

Table 7.1 Features and timing of the four wartime sterling loans

<i>Summary of sterling public loans</i>			
Authority	Imp. Ord. 138	Urgency Imp. Ord. No. 228	Imp. Ord. No. 78
Markets	London/NY	London/NY	London/NY
The issue	6% of 1904 (1st issue)	6% of 1904 (2nd issue)	4.5% of 1905 (1st issue)
Date of issue	9 May 1904	10 November 1904	16 March 1905
Amount raised	£10,000,000	£12,000,000	£30,000,000
Rate of interest (%)	6.00	6.00	4.50
Issue price (per UKL100)	£93.50	£90.50	£90.00
Discount rate of interest (%)	6.42	6.63	5.00
Yield to maturity (%)	7.35	7.99	5.50
Period of redemption (years)	7	7	20
Date of payment of interest	April/October	April/October	January/July
Commission (%)	3.50	3.75	3.25
Total commission earned	£350,000	£450,000	£975,000
Collateral	Customs receipts	Customs receipts	Tobacco monopoly profit
Over-subscribed	30x in London; 5x in NY	13x in London; 1.5x in NY	10x in London; 5x in NY; 9x in Germany

Source Data derived from Ushisaburo Kobayashi, *War and Armament Loans of Japan* (New York: Oxford University Press, 1922), pp. 72–79; *Report on the War Finance* (Japan: Department of Finance, 1906), p. 33

UNDERWRITING, FINANCING, AND EXECUTING THE LOANS

Japan was concerned that the war with Russia was going to be waged as much economically as militarily, with the financially stronger of the protagonists prevailing over the weaker. Russia had a history of deep economic and commercial ties with Europe and had plentiful natural resources. Japan had no meaningful commercial relationships and those that did exist were only a few decades old. The country had almost no substantial natural resources other than its people.

Japan's concerns were well placed but, from Schiff's perspective, unduly conservative. China's abject defeat at the hands of Japan in the Sino-Japanese War of 1894–1895 indicated to the major imperial powers of England, France, Germany and Russia plus the rapidly industrializing Japan, that China, its land and its markets were up for grabs.³¹ This precipitated two major geopolitical changes, firstly, a realignment of alliances both in Europe and in Asia, culminating in perhaps the most significant, the Anglo-Japanese Alliance of 1902; and secondly, a rush to provide loans to cover China's indemnity to Japan by way of reaping opportunistic profits while simultaneously exerting political influence. As much as military might defined political landscapes, so did economic might, and in his calculus Schiff integrated the knowledge that loans and finance defined empire and that the lines in the East were yet to be drawn.

Herein lay two of the key factors that contributed to Schiff's underwriting of the risks of the loans. The 1902 Anglo-Japanese Alliance was the first time an Asian state had joined the European alliance system. England nevertheless had an anomalous position. On the one hand, it was a firm ally of Japan through the first alliance, and on the other hand, it maintained strict neutrality during the war, distancing itself from even the appearance of bias by denying financial support without American cooperation.³² Despite the quandary England faced, the alliance signalled to Schiff (as it did to the rest of the world) that, even with its neutrality during the war, England was in tacit support of Japan. Consequently, in combination with nuanced proclamations by Roosevelt that America too would intervene militarily under similar conditions as

³¹ Best, 'Ideas Without Capital', p. 460.

³² See Nish, *The Anglo-Japanese Alliance*, pp. 298–322.

might England, Schiff understood that Japan was well supported by the two world powers.³³

For Schiff, from a financial perspective, knowing that Japan had negotiated an indemnity from China payable in British pounds secured by gold in the amount of £38 million was a reinforcing indicator of Japan's creditworthiness. In addition, not having the capital to meet its obligations, China had been forced to borrow the money to pay the indemnity from the European financial markets. The rush to provide these loans meant that 'Japan's war effort against China was *entirely funded by the European capital markets*'.³⁴ Europe's banks had essentially underwritten the loans to China as a qualified risk, meaning that from Schiff's perspective Japan's credit as the actual end recipient of the funds was as good as gold, at least to the extent of the indemnity.

It was also fundamental for Schiff that Japan was on the gold standard, having adopted it at the conclusion of the indemnity negotiations with China. The United States' Gold Standard Act of 1900 was a first step in advancing a conscious policy of economic colonization that was to evolve into 'gold diplomacy' and then to 'dollar diplomacy' over the next decade or so.³⁵ Roosevelt had championed the act and, although Schiff's lending to Japan was not linked directly, it served as a visible backdrop that informed Schiff's understanding of where American international diplomacy and policy were headed.

Schiff was also cognizant that Japan had relatively low debt. An unpublished summary from the HSBC archives in London shows that the first loan floated overseas by Japan (in 1870) was a 9% loan for £1 million for the Tokyo/Yokohama railway line to be built and was underwritten by the Oriental Banking Corporation and issued by J. Henry Schroder & Co. in London. The next loan came three years later and was also underwritten by the Oriental, but this time was for £2.4 million at 7% and was used to convert Samurai pensions into bonds. The third was a loan underwritten by HSBC, which was to become one of Japan's

³³Akagi, *Japan's Foreign Relations*, p. 234. See also Howard K. Beale, *Theodore Roosevelt and the Rise of America to World Power* (New York: Collier Books, 1968), pp. 232–233; Raymond Esthus, *Theodore Roosevelt and Japan* (Seattle: University of Washington Press, 1967), pp. 8–13.

³⁴Metzler, *Lever of Empire*, p. 32; emphasis in the original.

³⁵Emily S. Rosenberg, *Financial Missionaries to the World: The Politics and Culture of Dollar Diplomacy, 1900–1930* (Durham, NC: Duke University Press, 2003), p. 5.

primary lenders during the Russo-Japanese War. Concerned, however, that Japan might turn into another Egypt or Turkey (both of whose enormous debts to European powers had led to a form of economic colonization by those powers) and concerned to avoid a similar fate in the event of default (a risk Japan was not willing to take), the country did not take on another foreign loan until 1897.³⁶

In the last few days of 1903, Japan tested the idea of British economic support should war break out, possibly resulting in Schiff first becoming aware of the loan opportunity through Ernest Cassel. Through Japan's ambassador in London, Hayashi Tadasu (1850–1913), Japan first sought confirmation that Britain would support Japan and would remain committed to the terms of the 1902 alliance. Britain's foreign secretary, Lord Lansdowne, assured Japan that Britain was indeed committed to the 'spirit and letter' of the alliance.³⁷ Lansdowne went on to ask Hayashi for clarification regarding the kind of support Japan might require. Japan had been negotiating with Samuel and Samuel & Co. of London, a Jewish-owned trading firm with offices in Yokohama, for the floating of a £10 million loan.

The Samuel brothers had established a trading company in Japan and the company partnered with the Rothschilds to distribute kerosene, eventually becoming the Shell Transport and Trading Company, now Royal Dutch Shell.³⁸ The company supplied coal to the Japanese fleet in the weeks prior to the outbreak of war at the encouragement of the British government. Marcus Samuel was awarded the Commander of the Order of the Rising Sun by the emperor of Japan on 30 June 1904 for these services.³⁹ Nevertheless, and despite consistent efforts, Samuel was never able to provide finance to the Japanese government during the war. In their initial efforts, Samuel and Samuel agreed to make a loan, but they had predicated it upon a guarantee of the issue by the British government.

Hayashi informed Lansdowne that, while the Japanese were confident that they had a navy and military that were fully prepared for war,

³⁶ Metzler, *Lever of Empire*, pp. 22–23.

³⁷ *Nihon Gaiko Bunsho*, Vol. 36, Bk. 1, No. 51, as quoted in Kajima, *The Diplomacy of Japan*, p. 123.

³⁸ Royal Dutch Shell Website, <http://royaldutchshellplc.com/2008/04/23/marcus-samuels-oil-excursion>, accessed 22 July 2016.

³⁹ Robert Henriques, *Marcus Samuel: First Viscount Bearsted and Founder of the 'Shell' Transport and Trading Company, 1853–1927* (London: Barrie and Rockliff, 1960), pp. 480–481.

they nonetheless could not 'deny that their preparations for financing war expenses are not keeping pace with their military preparations', and asked Britain for financial assistance.⁴⁰

This stimulated cabinet debate inside the British government over whether to side with the Russians or the Japanese. To appease both factions, King Edward VII elected to encourage the Americans to join the offering to defuse the conflict in his own ranks by reducing the political and economic exposure. Even at this late date, the British government believed there was a very real possibility that Japan might be 'crushed' by the Russians if war were to break out, not quite to the point of suffering an invasion of its homeland but certainly to the extent that all territorial claims in China and Korea could be lost, and its political influence completely eradicated.⁴¹ While clearly not a desirable outcome for England's staunchest ally in the Far East, such a result would keep Russia tied down defending its new-found territories and away from meddling in other British interests elsewhere, and so Britain took the position that neutrality would be the best option.

Against this background, Lansdowne declined Japan's request for financial support, adding that the timing was not good to be floating loans on the London market for such reasons and that, as even Britain felt restrained in floating bonds for its own purposes, he presumed that the challenge would be amplified for Japan. The only remaining option might be a guarantee, but there was concern that the Russian government might take the view that it would be a 'flagrant breach of International Law if such a loan were in any way to be advanced, supported, or guaranteed by a neutral government'.⁴² Balfour agreed, believing that 'guaranteeing a War Loan to be used against Russia is as near as possible an "act of war": indeed, morally, it *is* an "act of war"'.⁴³ Lansdowne thought that at best it would give the impression

⁴⁰Kajima, *The Diplomacy of Japan*, p. 124.

⁴¹Brian J. C. McKercher, 'Diplomatic Equipose: The Lansdowne Foreign Office, the Russo-Japanese War of 1904-05, and the Global Balance of Power', *Canadian Journal of History*, Vol. 24 (1989), pp. 305.

⁴²Sakuye Takahashi, *International Law Applied to the Russo-Japanese War with the Decisions of the Japanese Prize Courts* (New York: Banks Law, 1908), p. 84.

⁴³Letter from Lansdowne to Sir Claude Maxwell MacDonald, January 1904, as quoted in McKercher, 'Diplomatic Equipose', p. 310.

‘that [England] were departing from our neutrality, and, in effect, giving active encouragement to Japan’.⁴⁴

Hayashi was informed that the British government would be unable to aid in this manner. The Samuel loan, dependent as it was on a British government guarantee, fell through, and it is possible that around this time Cassel, an intimate friend of the king, provided the initial introduction and background to Schiff regarding the desire of the Japanese government to float loans and explained to Schiff the quandary the British government faced in wanting American support.⁴⁵

In January 1904, peace remained possible but the likelihood of war was escalating; Japan was completing ‘all necessary preparation for war’ as it waited vainly for any sign of Russian de-escalation of tensions.⁴⁶ The Anglo-Japanese Alliance of 1902 provided Japan with confidence in its negotiations with Russia that, while war might yet break out, England would step in if a third country attempted to intervene against Japan alongside Russia. Furthermore, despite being the underdog, Japan’s navy had a reputation as one of the ‘better kept up [and] better prepared’ and was behind only those of England and the USA.⁴⁷

Further indications of the inevitability of war continued to build, quite apart from the slow motion move towards stalemate in negotiations between the protagonists, when Lloyds of London, the insurance company, increased its premiums for shipping, irrespective of the nationality of the carrier, for all vessels travelling east of Singapore.⁴⁸

Japan’s foreign policy was consistent with those of both America and England. In 1899, its foreign policy had aligned with America’s in respect of an open-door policy to China, and in 1902, it had joined with

⁴⁴Lansdowne as quoted in Frank W. Winters, ‘Gentlemen’s Diplomacy: The Foreign Policy of Lord Lansdowne, 1845–1927’ (PhD dissertation, Texas A&M University, 2006), p. 334.

⁴⁵Ultimately, Schiff’s role was to create a politically amenable solution for the king, who would entertain him and Cassel to a celebratory luncheon once the financing had been arranged. See Adler, *Jacob H. Schiff*, Vol. 1, p. 216.

⁴⁶‘Delay in Russian Reply’, *New York Times* (1 January 1904), <http://query.nytimes.com/mem/archive-free/pdf?res=9906E5DB153EE033A25752C0A9679C946597D6CF>, accessed 1 August 2016.

⁴⁷‘Japan’s New Warships’, *New York Times* (1 January 1904), p. 4.

⁴⁸‘Believes War Certain’, *New York Times* (2 January 1904), <http://query.nytimes.com/mem/archive-free/pdf?res=9F00E3DE1038E733A25751C0A9679C946597D6CF>, accessed 1 August 2016.

England through the Anglo-Japanese pact, shoring up England's desire to prevent Russia improving the overland route from Europe to Asia via the Trans-Siberian Railway in favour of a maritime route. As war loomed, the English view was that Russia was the aggressor and that Japan was reasonably defending its rights. In America, Japan was perceived as being a fair player in international trade. By the time of the war, the USA was Japan's largest trading ally. The Russians, however, were viewed as autocratic colonialists who sought only to monopolize China and prevent others, notably Japan, from competing on even ground. Consequently, it was held that 'the sympathy of the trading nations as such should go to Japan in her conflict with Russia'.⁴⁹

Even if it meant war as negotiations between the protagonists continued grindingly slowly, the general sentiment was that Japan should not capitulate to Russian demands or belligerence. England, while not overtly encouraging Japan to start a war, did not provide any reason for Japan to compromise with Russia. Furthermore, England felt that a permanent Russian presence in Manchuria would 'manifestly impair the territorial integrity of China' and was sympathetic to the idea that Japan should retain control over Korea as a strategic buffer to maintain its own territorial integrity.⁵⁰ The Anglo-Japanese Alliance was a severe blow to the aspirations of the German kaiser, who preferred to see England distracted defending its interests in the East. Goading Russia into war with Japan in the hopes it would draw England into the fray, he commented in a letter of January 1904 to the tsar that 'it is evident to every unbiased mind that Korea must and will be Russian'. The kaiser continued that 'the Russian annexation of Korea is a foregone conclusion here like the occupation of Manchuria'.⁵¹

The Anglo-Japanese Alliance had created the legal framework by which England could be pulled into any war that might erupt, and the English markets appeared to be confident that Japan was justified and that America, which would 'favor the right at all times', would also

⁴⁹'Japan's Future', *New York Times* (6 October 1904), <http://query.nytimes.com/mem/archive-free/pdf?res=9A0DE2D71F3AE733A25755C0A9669D946597D6CF>, accessed 1 August 2016.

⁵⁰Letter from Lansdowne to MacDonald, 2 July 1903, as quoted in Kajima, *The Diplomacy of Japan*, p. 119.

⁵¹Kaiser Wilhelm II to Tsar Nicholas II, as quoted in Akagi, *Japan's Foreign Relations*, p. 232.

join to support its mutual interests in supporting Japan.⁵² The USA was entirely supportive of the Anglo-Japanese Alliance as it was consistent with its own view of maintaining the status quo in the region and of ensuring equal access to China.⁵³ England also provided direct military know-how to Japan. For example, as war seemed imminent in early January 1904, marine engineers who had been engaged by the Japanese government in preparation six months earlier sailed from England for Japan.⁵⁴ Additionally, Roosevelt signalled to France and Germany that any intervention on their part in the ongoing dispute between Japan and Russia would compel America to intervene on behalf of Japan.⁵⁵

While American public opinion continued to build in favour of Japan, lending support to Schiff's underwriting efforts, not all news was good news and the markets tended downwards when war seemed more likely.⁵⁶ On 4 February 1904, after a decade of futile diplomatic wrangling over the limits of Japan and Russia's mutual spheres of influence, the Japanese government convened in the presence of the emperor and decided to act independently to defend its interests in Korea and Manchuria. The following day, Japan formally broke off negotiations and diplomatic ties with Russia and informed the Russians that the Japanese government 'reserve to themselves the right to take such independent action as they may deem best to consolidate and defend their menaced position as well as to protect their established rights and legitimate interests'.⁵⁷

⁵²'Britain Wondering if She Will Have to Fight Again', *New York Times* (3 January 1904), <http://query.nytimes.com/mem/archive-free/pdf?res=980CE5D71130E233A-25750C0A9679C946597D6CF>, accessed 1 August 2016.

⁵³Kajima, *The Diplomacy of Japan*, p. 72.

⁵⁴'Clyde Engineers for Japan', *New York Times* (3 January 1904), <http://query.nytimes.com/mem/archive-free/pdf?res=9F06E5D71130E233A25750C0A9679C946597D6CF>, accessed 4 August 2016.

⁵⁵Kajima, *The Diplomacy of Japan*, p. 166.

⁵⁶'Stock Market Depressed. Bear Attacks Helped by Apprehension of War Between Russia and Japan', *New York Times* (3 January 1904), <http://query.nytimes.com/mem/archive-free/pdf?res=9F06E5D71130E233A25750C0A9679C946597D6CF>, accessed 14 August 2016.

⁵⁷Kajima, *The Diplomacy of Japan*, p. 152.

The Japanese government urgently started preliminary investigations in America regarding the feasibility of floating a loan on the New York market.⁵⁸ It is possible that it was through these efforts, if not first through Cassel, that Schiff learned more of the developing situation.⁵⁹ At a meeting of Jewish communal leaders in early February, Schiff was already demonstrating his knowledge of the situation, stating that 'within 72 hours war will break out between Japan and Russia. The question has been presented to me of undertaking a loan for Japan. I would like to get your views as to what effect my undertaking would have upon the Jewish people in Russia.'⁶⁰

While the general historical narrative suggests that Japan mounted a surprise attack, it is clear that, even if it did not formally declare war, Japan signalled very strongly that it was its intention to do so and in its actions in fact did declare war. On 6 February, Japan indicated to England that war was imminent by referencing the Anglo-Japanese Alliance and reiterating its wish that England do what it could to 'confine the complications' to Japan and Russia alone but to intervene in the event any third-party interfere.⁶¹ It was also abundantly clear to Germany that the situation had deteriorated to the point of war; on 7 February, upon being informed of the breakdown in relations between the protagonists, Germany expressly referenced its regret at seeing the inevitability of war.⁶²

Japan acted on the lessons learned from the West pertaining to war in the sense that 'the general practice of nations, at least since the sixteenth century, shows conclusively that declarations of war prior to the outbreak of hostilities have been comparatively rare and altogether exceptional' and acted upon the belief that 'an act of hostility... is in itself a full declaration of intention'.⁶³ Japan attacked Port Arthur on 10 February

⁵⁸'Telegram from Uchida (New York) to Komura (Tokyo)', 29 February 1904, JACAR: 3-1238-0333.

⁵⁹'Japan May Want Loan Here', *Wall Street Journal* (29 February 1904), p. 2.

⁶⁰Cohen, *Jacob H. Schiff*, p. 134.

⁶¹Telegram from Komura to Hayashi, as quoted in Kajima, *The Diplomacy of Japan*, p. 156.

⁶²Telegram from Inoue to Komura, as quoted in Kajima, *The Diplomacy of Japan*, p. 160.

⁶³Amos S. Hershey, *The International Law and Diplomacy of the Russo-Japanese War* (New York: Macmillan, 1906), pp. 63-64.

(9 February outside Japan) and on the same day formally declared war, with Russia responding in kind by declaring war on Japan.⁶⁴ Port Arthur was named after a British naval officer who had taken it during the Second Opium War, and it protected what has been described as an 'enormous mountainous fang that guards the maritime approach to the Middle Kingdom'.⁶⁵ It had been leased under duress on unfavourable terms to the Chinese for twenty-five years by the Russians and had consequently transformed into Russia's base for the tsar's Asian ambitions.⁶⁶

Within a week, Ewen Cameron (1841–1908)⁶⁷ at HSBC took the lead role on behalf of the 'IJG' in negotiations for a loan, signalling to the IJG that a 5% bond might be possible at 85%. Barings offered HSBC a 7% proposal that the latter immediately countered at 6%, with a five-year term and the right of conversion to the earlier 1899 Japanese 4% bond at 85%. A £10 million commitment was sought by HSBC, which was anxious to see a deal agreed.⁶⁸ HSBC was concerned that hesitation by the IJG could cause a precipitous drop in the pricing of bonds already in circulation, which would have a deleterious effect on any new bond issues 'at any price', plus it wanted the IJG to be aware that, if the Russians were to successfully float an issue, it might prohibit further activity by Japan for an indefinite period.⁶⁹

The following day, 19 February, Barings concurred at the 6% level and proposed that HSBC and Baring Brothers would float the loan and service them also with £2 million remaining in the two banks' respective London branches as an interest reserve for Japanese external debt covering a two-year period of interest payments as a means to reassure the markets of Tokyo's creditworthiness. The loan HSBC London felt was

⁶⁴Auslin, 'Japanese Strategy, Geopolitics and the Origins of War', p. 21.

⁶⁵*Ibid.*, p. 23.

⁶⁶*Ibid.*

⁶⁷David Cameron, British prime minister from 2010 to 2016, is a direct descendent of Ewen Cameron. David Cameron's paternal ancestors had a long history of partnerships at Panmure Gordon, and his maternal family, apparently, were German Jewish financiers. See Ed Howker and Shiv Malik, 'David Cameron's Family Fortune: The Jersey, Panama and Geneva Connection', *The Guardian* (20 April 2012), <http://www.theguardian.com/politics/2012/apr/20/david-cameron-jersey-panama-geneva>, accessed 10 July 2016.

⁶⁸Copy of Telegram from Hongkong & Shanghai Bank, Tokyo, to London House, Dated 17th February, 1904', BA: PF200187 HC 6.1.31.

⁶⁹'Copy of Telegram from Hongkong & Shanghai Bank, London, to Hongkong & Shanghai Bank, Yokohama, February 18 1904', BA: PF200187 HC 6.1.31.

doable with Barings would be for ten years, and the issuing banks would earn a 0.25% servicing charge, which was commensurate with the rates earned on earlier Chinese government loans. HSBC wanted to ensure exclusivity together with Barings for a twelve-month period for any further Japanese government issues, and anticipated a very quick turnaround once approval was won from the Japanese government.⁷⁰

Barings' Revelstoke was working hard to find other partners for the loans but was finding resistance. He was told by the French that if secrecy could be assured they would be delighted to proceed but that, as no such assurance could be made, they could not be seen to be 'providing money for the Japanese' despite the opportunity being so 'tempting... juicy and safe'.⁷¹ The French were comfortable with Japan's creditability but were stymied by political barriers. Starting to stumble across unexpected difficulties syndicating the loan, Barings began to seriously consider taking a formal position themselves, and were encouraged in this by an indication from Prime Minister Balfour through Lord Lansdowne that the British government did not object to the loan being made.

HSBC's Cameron, betraying some frustration that things were not moving along as quickly as he would have liked and anxious to capture this line of Japanese business and to position himself for future opportunities,⁷² advised Revelstoke that the Japanese government was playing its cards closer to its chest than anticipated—largely, Cameron suspected, due to Japanese confidence that their gold currency would hold its value and not dramatically fluctuate. Negotiations for the loans were slowly grinding to a stalemate, and Cameron was keen to preserve HSBC's commission and fees.

To combat the grave economic challenge, Takahashi Korekiyo was officially dispatched to the USA and Europe on 22 February 1904 as a bilingual, tenacious and rising star in the Bank of Japan to raise the funds Japan would need.⁷³ This was done at the request of the Japanese ambassador to London, Hayashi, through the Bank of Japan governor, Shigeyoshi Matsuo (1843–1916),⁷⁴ in Tokyo, who was acutely aware of

⁷⁰Ibid.

⁷¹'Extract from Letter from E. Noetzelin to Lord Revelstoke, Dated Paris, 20 February, 1904', BA: PF200187 HC 6.1.31.

⁷²Letter from Cameron to Revelstoke, 4 March 1904, BA: PF200187 HC 6.1.31.

⁷³Takahashi served as Japan's Special Financial Commissioner from 1904 to 1907.

⁷⁴Smethurst, *Takahashi Korekiyo: Japan's Keynes*, p. 142.

the economic challenge the country was facing. Takahashi was initially unaware of the extent of the task before him. Early projections of the likely cost of the war indicated that it was unlikely to outstrip the cost of the Sino-Japanese War, less than a decade earlier; according to these calculations, ¥450 million would be needed, with only ¥100 million of that coming from overseas. However, the amount required from overseas would end up being eight times this magnitude. Takahashi agreed to the assignment but made it contingent upon his being granted sole authority to negotiate any foreign loans. This meant that, were anyone else in government to be approached by entities looking to provide finance at any time, they were to be referred to Takahashi, and no entity would be allowed to proactively seek out finance without first gaining Takahashi's approval.⁷⁵

The proviso was agreed, and Takahashi was told in confidence that he could use revenues from customs duties as collateral for the loans he would seek. Takahashi thus became the exclusive gateway to Japan's war-time loan market, which provided him with the credibility and authority he needed to establish relationships with some of the most influential financiers in the world at the time, including critically with Jacob Schiff.⁷⁶

In support of Takahashi, Baron Kaneko was dispatched to America at the same time as a kind of public relations backup to Takahashi's fund-raising efforts and to engage in a policy of public diplomacy. Kaneko's position was as an unofficial envoy in America of the Japanese government, and he was also a friend of Roosevelt and a fellow Harvard graduate⁷⁷; he was 'very worried that Japan will not make sufficient financial and economic preparations'.⁷⁸ Kaneko's concerns were well placed. Roosevelt was lobbied by the Russian ambassador Arthur Cassini (1836–1913), who was concerned that American popular opinion was

⁷⁵Ibid., p. 153.

⁷⁶Ibid., p. 142.

⁷⁷Kaneko studied law under Oliver Wendell Holmes Jr. (1841–1935), and Louis D. Brandeis (1856–1941) was one of his classmates. Both would become Supreme Court justices.

⁷⁸Extract from Japanese Foreign Office Records, Kaneko Kentarō, *NichiRo Sen'eki Beikoku Tairyūki* [Record of Stay in USA during the Russo-Japanese War] (Part Two), Meiji 39 (1906), pp. 212–214, as quoted in Matsumura, *Baron Kaneko*, Kindle Edition, 17%.

riding in favour of Japan. Despite being strongly pro-Japanese personally, Roosevelt issued an order in March 1904 mandating a policy of neutrality for America during the war, disappointing the Japanese delegation, which had expected a policy more overtly inclined in their favour.⁷⁹

Despite this, American foreign policy was focused on preserving its interests in the Philippines (a position in which Japan assured America of non-interference) and on preserving the open-door policy of China and thus bringing America into alignment with British interests. Both countries rallied to support Japan by assuring it of military intervention in the event of third-party interference. Britain had done so through the 1902 alliance, and Roosevelt stated that America would step in ‘and proceed to whatever length was necessary on [Japan’s] behalf’, in the event of another nation siding against Japan.⁸⁰ Both countries nevertheless maintained a strict position of neutrality, refusing to be drawn in proactively.

Despite being discouraged by America’s neutrality, Japan was encouraged through intelligence gathered by Kaneko that, due to economic circumstances in Russia, foreign loans were going to be essential for Russia also, and that the response Russia had received in the American markets was, though not negative, bound by onerous restrictions that effectively prevented it from raising money.⁸¹ This served to bolster Japan’s view that it was waging as much an economic war with Russia as a military one, and lent added emphasis to the support Schiff was to provide in underwriting the loan issues.

At this point, Henry Adams (mentioned in Chapter 1) entered the scene. Adams, the descendent of two US presidents and known for his antisemitism, was a close personal friend and adviser to Secretary of State John Hay, and, having met with Kaneko in the late 1880s while the latter was in America studying, provided counsel during the war to both Hay and Kaneko. Adams advised Kaneko that the Jews were potential allies for Japan as they were ‘vehemently anti-Russian’.⁸² Takahashi also

⁷⁹ ‘Kaneko in America: Viscount Kaneko’s Mission to America During the Russo-Japanese War’, *Littell’s Living Age*, Vol. 321, No. 4171 (1924), pp. 1179–1185, as quoted in Matsumura, *Baron Kaneko*, Kindle Edition, 76%.

⁸⁰ Akagi, *Japan’s Foreign Relations*, p. 241.

⁸¹ Matsumura, *Baron Kaneko*, Kindle Edition, 18%.

⁸² Tani Hisao, *Kimitsu NichiRo Senshi* [Confidential History of the Russo-Japanese War], 1966 (Shōwa 41), p. 602, as quoted in Matsumura, *Baron Kaneko*, Kindle Edition, 85%.

received advice from stockbroker Henry R. Beeton (1853–1934) of the stockbrokers Woolston, Beeton, Broderick and West, who advised him to work with Ernest Cassel as Japan's financial adviser in London. Beeton told Takahashi that 'the Jews are the first rate financier and Cassel is most influential in London. He can invite Rostschild [sic] as well as Morgan and so on. Bring out big loan so as to make Anglo-American concern.'⁸³ Thus, Japan's two most influential emissaries, dispatched to generate economic and political support for Japan's war effort, were independently pointed directly at Jewish financiers as the avenue for a solution to their problems.

On 3 March 1904, Barings instructed its North American agent, Baring, Magoun & Co., to contact James Stillman at the National City Bank to assess his views on the viability of half of the £10 million loan being floated in the USA. Barings wanted to protect its interests in America regarding the IJG and to avoid the possibility that anyone it introduced might pay fees on the first deal but circumvent Barings on subsequent transactions. To effect this exclusivity on the Japanese loans, Barings proposed making the first loan conditional on a twelve-month period following the issue in which the firm would have a veto right to preclude the IJG from issuing further offerings without Barings' consent. Not only did this serve to protect Barings' relationship with Tokyo for the exclusivity period but it also added security to the first offering by ensuring it would not be diluted through excessive future offerings.⁸⁴

HSBC's Cameron informed Revelstoke that Takahashi had been appointed as Tokyo's representative responsible for the loans and was headed to England. Anxious to get the deal in motion, frustrated that negotiations were not moving as quickly as it would like, and to head off concerns that Takahashi might further delay matters, HSBC started to negotiate against itself, asking Barings if it would contemplate a better offer than presently on the table. Baring, Magoun & Co., recognizing the urgency surrounding the request from London, responded within twenty-four hours that Frank Vanderlip (1864–1937) at National City Bank had indicated that, while the loan could likely be underwritten, he nevertheless felt that the chance of success in the USA was low.

⁸³Diary of Korekiyo Takahashi, 22 April 1904, JNDL: 135.R2.1090.

⁸⁴'Telegram to Baring Magoun & Co., Sent 3 March 1904', BA: PF200187 HC 6.1.31.

News had spread that the opportunity to fund the bonds was emerging in America and a third party had already approached Vanderlip at the National City Bank (on whose board Schiff sat) with terms that included the Japanese railroads as security. Stillman, at the time president of National City Bank, started to broaden the network of possible syndicators in America and, having been shown little interest by Kidder Peabody, contacted the Rockefellers, the New York Life Insurance Company, and Kuhn Loeb to ascertain their views, believing that railroad collateral 'at a fair rate per mile' would attract Schiff. The New York Life Insurance Company did not like the idea of sponsoring the Japanese. They felt that financing Japan would be politically insensitive and economically imprudent. Despite this, Baring, Magoun & Co., remained confident that a £5 million offering in the USA would be feasible as 'there would be a fair chance of attracting the public in spite of the fact that at present their apathy is more marked than ever'.⁸⁵

Revelstoke, finding it harder to generate the interest he had hoped for in the American markets and, despite HSBC Yokohama's assurance that it would 'if possible get Japanese Government instruct Takohashi [sic] on arrival here place matter in the hands of Baring Brothers & Co. Limited and H.&S.B.C.',⁸⁶ was uncomfortable that discussions were not as concrete as he had thought and that his key role was about to be complicated with the introduction of Takahashi as the IJG's direct representative. Taking a step back, Revelstoke instructed Baring, Magoun & Co. that he had 'seen reason to make postponement of business advisable for present' and terminated all discussion with Stillman until 'times are more opportune'.⁸⁷

Stillman and Vanderlip at the National City Bank agreed that postponement of activity was judicious, although they still thought the loan could be organized in the USA—albeit, in their view, without much public support. They agreed to wait for Takahashi to see what impact his role would make. At the core of National City Bank's concurrence with Barings, apart from positive bias towards Russian interests, was a belief that the Japanese would eventually succumb to the might of the Russian

⁸⁵Letter from Hugo Baring to John Lord Revelstoke, 4 March 1904, BA: PF200187 HC 6.1.31.

⁸⁶'Copy of Telegram to Hongkong & Shanghai Banking Corpn. Yokohama, Dated March 4th 1904', from HSBC London, BA: PF200187 HC 6.1.31.

⁸⁷'Telegram to Baring Magoun & Co., Sent 4 March, 1904', BA: PF200187 HC 6.1.31.

forces, even with early gains in the war. This was pessimism that Schiff would never share and was a marked distinction in his decision-making versus that of the National City Bank.⁸⁸

Takahashi first spent time in New York on his way to London to gauge the sentiment of the markets towards the prospect of funding Japan's wartime needs. The New York markets were not supportive. While sympathetic to Japan's plight, the banks were hesitant when it came to providing financial support. They responded to Takahashi's initial approach by informing him that their preference was to attract funds for their own development, rather than sponsoring another country. Besides needing inward foreign investment, the banks preferred to keep their own gold focused on domestic loans.⁸⁹

Cameron was concerned that Takahashi's authority would diminish the position of HSBC in the negotiating process. He worked to find loan terms acceptable to all parties ahead of Takahashi's arrival in London during the first week of March 1904. He continued to push Barings to improve the loan offer it could make to the Japanese government, asking it to agree to an increased price at a minimum of 87%. Cameron's concerns were as much economic and focused on the best interests of HSBC and its future business ties with Japan as they were political. He was aware that exacerbating Russian frustration by conceding to Japan's request for funds was undesirable politically for Barings, but he cautioned Revelstoke that allowing Japan to head towards being 'crushed' solely for lack of funds would inevitably draw Britain into the war to support Japan militarily, which would be a far worse outcome than merely providing financial support.⁹⁰

Revelstoke was responsive to Cameron's concerns and, even though sensitivities to continental powers precluded Barings from participating in the loan, he believed prevailing political concerns were exaggerated. Revelstoke felt that the money markets could not handle a loan to the Japanese, certainly 'not without American help', but had learned that Samuel and Samuel & Co. had approached the Rothschilds to float a 5% loan for Japan at 92.5% secured by the customs revenues. To preserve

⁸⁸'Telegram from Baring Magoun & Co., Received 4 March, 1904', BA: PF200187 HC 6.1.31.

⁸⁹Smethurst, *Takahashi Korekiyo: Japan's Keynes*, p. 143.

⁹⁰Letter from Cameron to Revelstoke, 7 March 1904, BA: PF200187 HC 6.1.31.

the opportunity to remain involved and not see another unrelated house take over the issue, Revelstoke asked HSBC to use its influence to advise Tokyo not to agree to using the customs revenue as security. This would serve to stymie the efforts of Samuel and Samuel while preserving the collateral for later issues.⁹¹

In keeping with Barings' modus operandi of not interfering with other banks' territories,⁹² Gaspard Farrer, while reiterating that Barings had no interest in participating further believing that it would 'do our own credit harm, and that is a matter on which we can take no chances', nevertheless offered assurances to Cameron that, should HSBC elect to move forwards with other parties, Barings would hold no ill will. Barings Magoun asked if it might take up the relationship directly with HSBC in order to stay involved. Revelstoke, acknowledging that the Americans were less vulnerable to the same diplomatic issues, was nonetheless adamant that the name Barings not be associated with assisting the Japanese, no matter which side of the Atlantic, and the idea did not surface again.

By 8 March, Revelstoke had concluded that, although the loans had the 'moral backing' of the English government,⁹³ 'among the highest people... it would be well to preserve a more or less neutral attitude, in spite of the fact that the Japanese are our allies'.⁹⁴ He also took into account that Russia represented the most important European client for Barings, which had deep involvement in financing Russia's railway infrastructure.⁹⁵ However, Barings wanted to remain involved in the process in some way because of the possibility that, while Tokyo was certain to raise at least one loan, which likely would be profitable, it might raise more should the war take a turn against the Japanese. Barings distanced itself from the loans for both national and corporate political reasons. With the path left open for HSBC to seek other parties to work with on the loans, Speyer Brothers seemed a possible replacement for Barings. Barings, Magoun & Co. informed the National City Bank, which remained resolute in 'declining Japan during war',⁹⁶ of the decision that

⁹¹'Proposed Telegram to Yokohama, 7 March, 1904', BA: PF200187 HC 6.1.31.

⁹²Ziegler, *The Sixth Great Power*, p. 310.

⁹³'Japanese Loan', *Wall Street Journal* (10 May 1904), p. 5.

⁹⁴'Extract from Letter from Lord Revelstoke to the Hon. H. Baring Dated 8 March 1904', BA: PF200187 HC 6.1.31.

⁹⁵Ziegler, *The Sixth Great Power*, pp. 245–246.

⁹⁶Telegram from Farrer to Revelstoke, 6 April 1904, BA: PF200187 HC 6.1.31.

Barings had withdrawn and had given HSBC leave to pursue the loans without them.

Having met with sympathetic yet discouraging feedback in New York, Takahashi proceeded on to London despite understanding that the two economies were closely linked and likely to respond similarly to each other. He arrived in London on 1 April 1904 and was welcomed by a pessimistic greeting from Yuki Yamakawa, head of Yokohama Specie Bank in London, regarding the outlook for raising funds. Rumour of his mission had preceded Takahashi's arrival in London, and this had had a deleterious effect on the price of Japanese government bonds trading on the London exchanges.⁹⁷ Tokyo was anxious to disguise Takahashi's real mission. It wanted the markets to believe that Japan could finance the war using domestic loans and taxes and that Takahashi's was simply an 'investigation into the financial conditions of the European and American market during the war'.⁹⁸

One of Takahashi's primary contacts in London was A. A. Shand, Takahashi's former mentor from Tokyo, who introduced Takahashi to senior staff at his own bank, Parr's, as well as at Panmure Gordon, Samuel and Samuel, and HSBC and among the Rothschilds.⁹⁹ Takahashi attempted to reassure hesitant London bankers who were concerned that Japan might be forced to withdraw from the gold standard, despite being aware of just such concerns from his own colleagues at the Bank of Japan.¹⁰⁰ With Japan having adopted the gold standard specifically to be able to raise capital on the London financial markets,¹⁰¹ threat of withdrawal was a critical concern Takahashi had to address.

Takahashi was rightfully disheartened by the response in New York and felt that the likelihood of success would likely be higher in London. This was in part because of the maturity of the London market, its scale (the largest in the world), the close ties London had with Japan, and experience of Japan having raised funds in London before.¹⁰²

⁹⁷Telegram from Arakawa (London) to Komura (Tokyo)', 14 March 1904, JACAR: 3-1238-0334.

⁹⁸Telegram from Komura (Tokyo) to Arakawa (London)', 16 March 1904, JACAR: 3-1238-0334.

⁹⁹Smethurst, 'Korekiyo Takahashi and Japan's Victory', p. 9.

¹⁰⁰Metzler, *Lever of Empire*, p. 46.

¹⁰¹Ibid., p. 3.

¹⁰²Adler, *Jacob H. Schiff*, Vol. 1, p. 214.

Initially, though, Takahashi was to be disappointed again. Despite being Japan's closest ally, there was an unwillingness in England to finance the Japanese war effort, at least not without American support, and even then a proclivity to issue only a small-scale trial issue to assess the market's reaction.¹⁰³ Takahashi's reception in London was sympathetic as it had been in New York but was focused more on seeing New York take the lead than being willing to run the risk of underwriting an issue that might fall flat on the buying market.

In the early part of April 1904, Takahashi found sentiment in London strongly on the side of Russia¹⁰⁴ and the local embassy staff holding out 'no hope for loan'.¹⁰⁵ The markets, he learned, were concerned Japan would come off the gold standard.¹⁰⁶ Takahashi had arrived in London to pick up the negotiation begun by Barings and HSBC, which to Tokyo's distaste included the same onerous terms as had been offered to the government of China. These terms required that Tokyo should first test the market with a small issue of Treasury bills and that a twelve-month exclusivity period be granted to the issuing banks for all further Japanese government foreign bonds.¹⁰⁷

To accommodate London's trepidation, Takahashi agreed with a consortium of HSBC, Parr's Bank and Yokohama Specie Bank on terms for a loan of £10 million to be split into two offerings; however, he was rebuffed by the Japanese government, which wanted a prestigious, newsworthy and impactful first offering. Tokyo also wanted more favourable terms than the original Barings–HSBC proposals and, despite Takahashi's first attempts to deliver, London continued to desire to float a small-scale issue to test the capital markets. Takahashi was unable to reconcile the urgency of his country's needs with the bankers' trepidation without acquiescing to what he deemed to be unacceptable terms.¹⁰⁸

Sir Marcus Samuel (1853–1927) did not give up pushing to get the Japanese loan business, lobbying Takahashi as late as 27 April 1904 but with offers that Takahashi subsequently learned Samuel could not

¹⁰³ Ibid.

¹⁰⁴ Diary of Korekiyo Takahashi, 2 April 1904, JNDL: 135.R2.1099.

¹⁰⁵ Ibid., 2 April 1904, JNDL: 135.R2.1099.

¹⁰⁶ Ibid., 3 April 1904, JNDL: 135.R2.1096.

¹⁰⁷ Smethurst, *Takahashi Korekiyo: Japan's Keynes*, p. 144.

¹⁰⁸ Diary of Korekiyo Takahashi, 30 April 1904, JNDL: 135.R2.1078.

deliver.¹⁰⁹ Despite his futile efforts to provide finance to Japan during the war, on 26 April, Takahashi was still considering multiple structures for the loans, working with Shand and the solicitors, but nothing was as yet acceptable.¹¹⁰ By 30 April, terms were still being negotiated, but there was no agreement. Takahashi remained resolutely opposed to new terms being proposed by the English syndicate banks.¹¹¹ Despite knowing that Tokyo was opposed to a small offering, Takahashi began to feel resigned that the only option would be to open with a £5 million initial issue.¹¹² Even the victory at Yalu on 1 May did not boost Japanese confidence that better conditions could be won for the loans. Existing Japanese government bonds were trading higher as a result of the victory, but ‘the notion of ultimate victory of Russia is still lingering at the bottom of the public mind’.¹¹³

By early May 1904, Schiff had met in person with Revelstoke (who, though he was no longer actively engaged in the negotiations with Tokyo, had maintained Barings’ participation by introducing the American syndicate) to reassure him of his confidence that the first Japanese loan could be underwritten in America. Schiff confirmed that he wanted £5 million of the issue at 86½ net to Tokyo subject to some final due diligence, which was to include a personal meeting with Takahashi and the final sign-off of his partners in New York. On 3 May 1904, six days before the first loan issue, Barings was informed by HSBC that it had arranged with Tokyo for a £10 million loan at 6% for seven years secured by the customs duties at 93%. Schiff, who was prepared to honour the role of Barings as his agent in London, agreed to pay a 0.5% fee for the entire £5 million. In celebrating his coup, Revelstoke communicated with his partner Gaspard Farrer, telling him that he ‘saw Schiff who is anxious to take £5,000,000 loan referred to today’s private cable part of £10,000,000 issue here and American – Schiff very confident – issue here by Hong Kong and Parrs price 86½ net to Japan Government – Barings ½% on £5,000,000 for America introduction’.¹¹⁴

¹⁰⁹Ibid., 27 April 1904, JNDL: 135.R2.1089.

¹¹⁰Ibid., 26 April 1904, JNDL: 135.R2.1082.

¹¹¹Ibid., 30 April 1904, JNDL: 135.R2.1078.

¹¹²Ibid., 2 May 1904, JNDL: 135.R2.1076.

¹¹³‘Telegram from Hayashi (London) to Komura (Tokyo)’, 3 May 1904, JACAR: 3-1238-0025.

¹¹⁴‘Telegram to G. Farrer from Lord Revelstoke, Sent 3 May 1904’, BA: PF200187 HC 6.1.31.

On the evening of 4 May 1904, at the coordination of his friend Arthur Hill, Takahashi had dinner with Schiff. Takahashi's own account of this meeting was that it was serendipitous and that he only 'happened to sit by the side of Mr. Schiff', to whom he was introduced 'simply as an American financier' and who he found to be 'uncommonly interested in the war as well as in the affairs of Japan'.¹¹⁵ In actuality, though, for Schiff it was not the first step but the last that he needed to perform to verify the integrity of the proposition. Among other things, Schiff may have wanted to discuss Japan's military capabilities with Takahashi in person as this would have been one of the only diligence items that Takahashi could have spoken to with more authority than any of Schiff's allies on either side of the Atlantic.¹¹⁶ The two engaged in extensive discussions that evening. Takahashi later said he had been little aware of Schiff's background or knowledge regarding the loans, and they parted amicably.

In the memorandum he provided especially for Adler's book regarding the financing of the war, Takahashi recalls that the very next day his friend at Parr's Bank, A. A. Shand, was approached by Schiff, who had expressed a willingness to underwrite the other 50% of an initial £10 million issue.¹¹⁷ Until then, the English syndicate banks had intimated they would underwrite the issue only if the offering could be staged in two parts, to ensure that the market would respond positively. By taking one half of the issue to the US markets, their exposure to the risk of falling flat on the issue and having to buy up a large unsold portion themselves would be ameliorated. Additionally, the British government was relieved that Schiff had stepped in, providing equal support to Japan from America.¹¹⁸ King Edward VII informed Schiff during an audience on 12 May of his satisfaction that England 'alone was not to supply money to Japan'.¹¹⁹

¹¹⁵Adler, *Jacob H. Schiff*, Vol. 1, p. 214.

¹¹⁶Ibid., p. 131. See also Gutwein, 'Realpolitik or Jewish Solidarity?', pp. 123–138.

¹¹⁷Adler, *Jacob H. Schiff*, Vol. 1, pp. 213–230.

¹¹⁸'Telegram from Hayashi (London) to Komura (Tokyo)', 4 May 1904, JACAR: 31238–0029.

¹¹⁹Diary of Korekiyo Takahashi, 9 May 1904, JNDL: 135.R2.1067–1068.

THE FIRST LOAN ISSUE

In retrospect, it seems that the English syndicate had the capacity to absorb the entire loan. However, this was not clear to the participating banks at the time. Certainly, no American bank other than Kuhn Loeb had enough confidence in Japan to lead a syndicate in America. By putting his name to the offering, Schiff brought his prodigious syndication expertise to the table and with it dramatically changed the market's perception of the loans' viability. Otto Kahn said of this that 'investors [relied] on the integrity and judgment' of Kuhn Loeb on the Japanese bonds because they believed that in taking on the issues Schiff had given 'public notice, so to speak, that he [had] examined into, and satisfied himself as to, their safety and merit',¹²⁰ and because 'issues sponsored by well known bankers have wider and steadier market'.¹²¹

The day following the low-key dinner in London, influential players who had been waiting for Schiff's word proceeded without delay. The American syndicate, including the National City Bank and the National Bank of Commerce, coalesced behind Kuhn Loeb once Schiff signalled his intent. Stillman at the National City Bank reversed his earlier intent not to participate in the loans in a telegram he sent to Revelstoke indicating that he 'would be glad to have participation in underwriting syndicate Japanese loan'.¹²² This prompted Schiff to confirm that 'business can be readily arranged'. Now the decision had been finalized, Schiff proceeded with issuing the bonds. His primary concern (writing from Claridge's and dating the letter 'Wednesday Morning') was that the New York Life Company, 'always the largest taker of investments, may on account of the considerable Russian business these companies do have to abstain'.¹²³ It was important enough to Schiff that Kidder Peabody (which had also previously declined) and New York Life both participate in the offering that he was willing to extend to them 'special consideration', even to the point that they become 'special contractors if so desired'.¹²⁴ Kidder Peabody was among the very few who remained

¹²⁰ Kahn, *The Marketing of American Railroad Securities*, p. 47.

¹²¹ Ibid., p. 50.

¹²² 'Telegram from Jas. Stillman to Lord Revelstoke, Received 4 May, 04', BA: PF200187 HC 6.1.31.

¹²³ Letter from Schiff to Revelstoke, 4 May 1904, BA: PF200187 HC 6.1.31.

¹²⁴ Ibid.

sceptical even after Schiff's lead and only joined the syndicate for the fourth issue.

Schiff acted expediently and efficiently to ensure the success of the issue. Cameron reported to Revelstoke that, while he had intended to attend a meeting with Schiff at the offices of Parr's Bank, when he arrived he had 'found the meeting dispersed' and learned that the prospectus had been negotiated along the lines of prior discussions HSBC had had with Schiff. The revisions, Cameron learned, had already been forwarded to counsel for redrafting. While the exchange rate of \$4.87 to £1 had yet to be ratified by Tokyo through Takahashi, Cameron was expecting the final contract to be signed the next day. The following morning, Schiff met with Revelstoke (who had been briefed by Cameron, who provided drafts of the final prospectus) and the two discussed remaining issues with the prospectus.¹²⁵

Revelstoke could see that Schiff had significant fund-raising capabilities, and the likelihood that the offering would be a success increased dramatically. Revelstoke was concerned that his prior efforts to generate interest from other houses might interfere with the opportunity to take up part of the American offering so he looked for ways to ensure that National City Bank would receive as much of the loan as it wanted. Knowing the influence that Schiff would have in underwriting the loan, Revelstoke asked Stillman at National City Bank to 'do the best possible choke off New York competition', which he was concerned might interfere with the bank's ability to take as large a piece of the offering as it wanted.¹²⁶

On 5 May, Schiff met with Revelstoke and with Cameron of HSBC at Barings' offices on Bishopsgate to negotiate and finalize the details of the loan offering. Schiff ratified by cable that Kuhn Loeb would take a 50% participation for the US market and formally agreed to pay Barings a commission of 0.5% for the introduction. Schiff also agreed to exclusivity terms whereby, in the event of future related offerings by Tokyo, both sides would remain exclusive to the other.¹²⁷ Additionally, Schiff

¹²⁵Letter from Ewen Cameron to Lord Revelstoke, 4 May 1904, BA: PF200187 HC 6.1.31.

¹²⁶'Telegram to Jas. Stillman from Lord Revelstoke, Sent 4 May 1904', BA: PF200187 HC 6.1.31.

¹²⁷The specific term from the draft contract reads as follows, 'The American Bankers agree that they will not for a term of Ten years from the date hereof accept any other Imperial Japanese Government business unless the offer of the same shall be made to them through

agreed that the English syndicate would retain the option to acquire a £1 million share in the American syndicate's portion provided it were given a positive indication to do so by 5 p.m. that same day. At the same time, the Japanese legation in London was pushing Tokyo to expedite formal authorization allowing the American markets to take half of the issue. The legation believed that Tokyo should keep in mind the big-picture benefits of having England and America issue the loans together. Takahashi should be permitted to handle the details and not let them get in the way of a quick decision from Tokyo to approve the current negotiations.¹²⁸

Schiff negotiated the final pricing at 88.5% net to the syndicate, giving Revelstoke cause to exude that a 'great success [is] probable'.¹²⁹ *The Wall Street Journal* agreed, anticipating that demand would be strong for the first loan despite the sheer scale of the offering, because 'it is believed that the very strong popular feeling for Japan in this country will tend to encourage popular purchase of the bonds'.¹³⁰

Schiff, ever practical and keen to commence the business of selling participations in the offering, wasted no time in offering Baring Brothers a participation in the US syndicate. The offer was eagerly taken up by Barings, which agreed to take a £300,000 participation, and contracts were signed immediately following the signing of contracts with the IJG.

The final contracts were signed on 7 May, only four days since Schiff had finished his underwriting at the meeting with Takahashi on terms that had been previously negotiated but not consummated until Schiff's involvement. The banks had agreed the terms, and Schiff had ratified them by bringing in the American market, to equally underwrite a

the English Syndicate and Messrs. Baring Bros. & Co., Limited, jointly or with their consent and the English Syndicate agree that they will not for the like term do any business connected with loans to the Imperial Japanese Government in the United States unless in conjunction with the American bankers. The same undertaking towards the American Bankers shall be obtained from Messrs. Baring Bros. & Co. Limited by the English Syndicate.' 'Memorandum of Conversation Held at 8 Bishopsgate on 5 May 1904, – Present:– Sir Ewen Cameron, Mr. Schiff & Lord Revelstoke', BA: PF200187 HC 6.1.31.

¹²⁸'Telegram from Hayashi (London) to Komura (Tokyo)', 5 May 1904, JACAR: 3–1238–0041.

¹²⁹'Telegram to G. Farrer, New York, from Lord Revelstoke, Sent 6 May, 1904', BA: PF200187 HC 6.1.31.

¹³⁰'Japanese War Loan,' *Wall Street Journal* (7 May 1904), p. 5.

£10 million loan subject to the final terms of an approved prospectus. Bonds were to be offered at 93.5% of face value payable in stages: 5% on application, 15% on allotment, 25% on 13 June 1904, 25% on 11 July 1904 and 23.5% on 15 August 1904.¹³¹

These dates were important as they reflected when Tokyo would receive funds that it could use to cover war expenses. Monies received by the banks were paid to the credit of Tokyo at its account at the Bank of England within fourteen days of receipt or on the due date of such payments, whichever was later. Application and allotment monies were paid to Japan fourteen days after their receipt by the banks. Schiff's syndicate was given an additional seven days to make payments.

The syndicate also agreed that payments could be made in pounds sterling (by the English syndicate) and US gold dollars (by the American syndicate), the latter at an agreed set exchange rate of \$4.87 to £1. The bonds were payable at face value on 5 April 1911 or after 5 April 1907 at the discretion of the Japanese government with six months' notice. The customs receipts of the Japanese government served as security for the loans, with Tokyo agreeing to pay one-twelfth of the interest due to HSBC and Yokohama Specie Bank as representatives of the bondholders in London and Yokohama, respectively.¹³²

Schiff attended a meeting on 9 May, the day the first issue came out, coordinated by A. A. Shand at Parr's Bank for 11:45 a.m., attended by Revelstoke of Barings, Cameron of HSBC, and 'the Japanese Gentleman', presumably Takahashi.¹³³ At the meeting, he signed the final formal contracts bringing in the American syndicate, enabling the issue to proceed on both sides of the Atlantic, and shared the pleasure with the other attendees of learning that demand had outstripped the supply on offer. Demand from the general market was so strong that transactions within the syndicate were reduced to accommodate market pressures, and Barings agreed to reduce its participation¹³⁴ in HSBC's portion by £48,000 from the £250,000 allocation already negotiated, 'in

¹³¹'Imperial Japanese Government 6% Sterling Loan', BA: PF200187 HC 6.1.31.

¹³²'Memorandum of Conversation Held at 8 Bishopsgate Street on 5 May 1904, – Present:– Sir Ewen Cameron, Mr. Schiff & Lord Revelstoke', BA: PF200187 HC 6.1.31.

¹³³Letter from R. W. Whalley to W. B. Gair, 9 May 1904, BA: PF200187 HC 6.1.31.

¹³⁴Letter from Lord Revelstoke to Ewen Cameron, 9 May 1904, BA: PF200187 HC 6.1.31.

order to meet demand that could not well be resisted in the interests of the floatation'.¹³⁵

The final accounting internally at Barings reflected a substantial position in the syndicate as well as a significant profit from the commissions earned through its work bringing in Schiff. Its role remained neutral from a public perspective, which meant that it was insulated from political risks associated with its Russian connections. In total, Barings took on directly £502,000 of the issue including £300,000 from Schiff's share and £202,000 from HSBC.¹³⁶ For its 0.5% commission for its role in bringing about an agreement between Schiff and the English syndicate,¹³⁷ Barings also guaranteed the performance of the American bankers in its 'undertaking to take up and pay for £5,000,000 (Five Million Pounds)'. Schiff and HSBC also agreed to pay Barings a 2% commission on any sales Barings made of the issue to investors, including on the purchases made by Barings itself.¹³⁸

In Tokyo, the imperial ordinance approving the loan was promulgated and the formal confirmation of this passed from the Japanese minister for foreign affairs to the British ambassador in Tokyo, who in turn reported the details of the loan to the foreign secretary, the Lord Lansdowne. The confirmation of the approval of the loan was transmitted from the Foreign Office to HSBC and, in this way, the authenticity of the issue was verified. For Schiff, this was an important conclusion to the confidence he had placed in the syndicate. Not only was the transaction legitimate but also the parties involved were able to execute on the contracts as promised.

As the loan was to be secured by Japan's customs receipts, Tokyo provided information supporting the value of the collateral that showed that the average annual yield of customs receipts for the period 1898/1899 to 1902/1903 was £1,484,612. Furthermore, this number had risen to £1,740,071 for the year 1902–1903 as a result of Japan's efforts to prepare to provide collateral to secure war funding.¹³⁹

¹³⁵Letter from Ewen Cameron to Lord Revelstoke, 9 May 1904, BA: PF200187 HC 6.1.31.

¹³⁶'Telegram from Kuhn Loeb & Co., Received 11 May 1904', to Barings, BA: PF200187 HC 6.1.31.

¹³⁷Letter from Schiff to Barings, 10 May 1904, BA: PF200187 HC 6.1.31.

¹³⁸Letter from Lord Revelstoke to HSBC, 15 May 1904, BA: PF200187 HC 6.1.31.

¹³⁹'Imperial Japanese Government 6% Sterling Loan', HSBC-L.

The issue was a huge success. Within hours of opening subscriptions, Kuhn Loeb wrote to Barings indicating that ‘at the hour of writing – we are just opening subscriptions – we are already overcrowded with applications and the issue has been over-subscribed already in our office alone’.¹⁴⁰ Baron Kaneko, ex-minister of agriculture and commerce in the Japanese government, described the scene at the offices of Kuhn Loeb on the day the first subscriptions were issued:

Outside their doors, waiting the slow coming of business hours, a knot of men had already gathered. Others joined them – every train on the elevated road and every trolley car on Broadway seemed to drop passengers that threaded the chilly, draughty, narrow, downtown streets to the offices of Kuhn, Loeb & Company, increasing the crowd about their doors. Now and then a coupe or carriage stopped to deposit an elderly, clean shaven clubman who meant to put his funds into Japanese securities, or a portfly and flushed manufacturer or retired banker. Men and women swarmed on steps, sidewalk and pavement. Many grasped their subscription blanks, and not a few waited eagerly with ready bank-bills in their hands.¹⁴¹

Interest was not restricted to New York. Demand was also strong in Boston (\$20 million in demand) and Cincinnati (\$6 million).¹⁴²

London was experiencing similar results, which led to some rather unconventional banking practices. Prospectuses and applications were to be released to the public at 4 p.m. at the offices of HSBC on Lombard Street. By 3:30 p.m., the crowd was so large that ‘four bobbies’ had to be stationed at the entrance to maintain order, but the thronging mass pushed them aside, bending railings in their rush to get application forms. HSBC management found that ‘it was necessary to call out all the Rugger players – Scrums were formed on either side of the door and after letting in about fifty... the scrums would converge and hold the crowd until those let in had their applications and gone’.¹⁴³

The younger staff assigned to this task took great pleasure in shoving prospective bank clients out the doors. At 10:30 the following morning

¹⁴⁰Letter from Kuhn Loeb to Baring Brothers, 13 June 1904, BA: PF200187 HC 6.1.31.

¹⁴¹Kentaro Kaneko, ‘American Millions for Japan’s War’, *World’s Work*, Vol. 10, May–October (1905), p. 6126.

¹⁴²Ibid.

¹⁴³Diary of Charles Addis, SOAS: PP MS 14/22 1904.

the bank stopped accepting applications. HSBC prided itself on being the earliest by a day of the English syndicate to send notices of allotments to investors and to send checks for balances of applications not allotted. The enthusiasm of a large contingent of youthful staff who worked on this and other issues so diligently and with an eye to expatriation to Hong Kong and other points east won the bank the epithet the 'Boys' Bank of London'.¹⁴⁴

The following day, the reaction in New York, though not quite as animated as that in London, was similar in proportion and Schiff, though not yet knowing how 'often the loan is over-subscribed',¹⁴⁵ was pleased to see that the issue was 'heavily over-subscribed' and would close earlier than expected.¹⁴⁶ There were even rumours circulated in the press in St. Petersburg that some Japanese government war bonds had traded on the Moscow markets.¹⁴⁷

Schiff immediately started funnelling proceeds from the issue through the agreed channels to Japan.¹⁴⁸ Funds flowed from Kuhn Loeb to London via telegraph and were received immediately in London. Upon their receipt in London, Barings opened an account in the name of Kuhn Loeb to manage these funds and others associated with the Japanese loan. The account was to bear interest until such time as the funds were remitted onwards to the English syndicate, and that interest was retained by Kuhn Loeb as additional profit.

In receipt of a prospectus but not understanding the specifics of the contracts between the syndicate and Tokyo, the *Japan Weekly Mail* newspaper interpreted the terms as being onerous for Tokyo and erroneously stated that the proceeds would not be used to prosecute the war but instead would be held entirely in London in support of Japan's currency. Despite this false conclusion, the *Mail* went on to conclude that the

¹⁴⁴'Extract from letter from Kellogg, New York, dated 1st July, 1949. Japan. 1st Japanese 6% War Loan – 1904 – £10,000,000', HSBC-L.

¹⁴⁵Letter from Kuhn Loeb to Baring Brothers, 13 May 1904, BA: PF200187 HC 6.1.31.

¹⁴⁶'Telegram from Kuhn Loeb & Co., Received 13 May 1904', BA: PF200187 HC 6.1.31.

¹⁴⁷'Telegram from Inouye (Berlin) to Komura (Tokyo)', 13 June 1904, JACAR: 3-1238-0118.

¹⁴⁸Letter from Kuhn Loeb to Baring Brothers, 13 May 1904, BA: PF200187 HC 6.1.31.

result would shore up confidence in Japan's economic stability during wartime and that, although the cost borne by Japan (i.e. the unusually high benefit received by investors at Japan's expense) was great, the strategy was prudent and beneficial for the country.¹⁴⁹

By mid-May, the syndicate was distributing form letters turning away applicants from the issue due to the heavy over-subscription. Schiff had made payment to Barings of the £25,000 commission owed.¹⁵⁰ However, an unusual administrative hurdle began to emerge whereby the New York Stock Exchange Committee refused to accept the work of English bond engravers, finding their standards to be 'deficient in very many respects'. Schiff made it clear to the syndicate that unless the bonds were printed in New York the issue could not proceed. The officers of the New York Stock Exchange, Schiff's offices explained, 'always have refused to accept English Engraving because in their opinion giving insufficient protection – the reason for their present refusal – We think will be difficult to solve question except by engraving here'.¹⁵¹ Tokyo contemplated not listing in New York, continuing to prefer to produce the bonds in London, and asked Kuhn Loeb whether this would cause any difficulties in America. Schiff advised Tokyo that, while it would be highly beneficial to have an official listing in the USA due to the stability the exchange offered, a listing was not 'absolutely necessary'. Schiff made it clear that, if the IJG insisted that the bonds be produced in England, a listing in the USA would have to be abandoned.¹⁵²

K. J. Imanishi from the Yokohama Specie Bank branch in New York visited the offices of Kuhn Loeb to enquire in person as to the reasons for the refusal of the exchange to accept the English engravings of the bonds for use in the USA. As Imanishi also emphasized that the Japanese government was highly desirous of seeing the issue listed on the New York stock exchange, Schiff proposed that the entire issue be engraved in the USA, including the bonds for use in England. The English bonds

¹⁴⁹ *Japan Weekly Mail* (14 May 1904), p. 6.

¹⁵⁰ Letter from Kuhn Loeb to Baring Brothers, 18 May 1904, BA: PF200187 HC 6.1.31.

¹⁵¹ 'Telegram from Kuhn Loeb & Co. New York, Received 20 May 1904', to Barings, BA: PF200187 HC 6.1.31.

¹⁵² 'Telegram from Kuhn Loeb & Co., Received 24 May, 1904', to Barings, BA: PF200187 HC 6.1.31.

could be shipped from the USA for execution in England and would cost virtually the same as engraving in England.¹⁵³

Bids from two engravers whose standards were acceptable to the exchange were received, one from the International Bank Note Company quoting \$24,350 to produce 75,000 bonds with a seven-week delivery schedule and the other from the American Bank Note Company quoting \$27,750 for the same number of bonds (with fourteen coupons attached), with a two-month delivery estimate at a rate of 1500 per day. Finally, it was agreed that all bonds were to be printed in New York with the Japanese consul general (through the Yokohama Specie Bank branch in New York) being responsible for approving the design,¹⁵⁴ and the scrip was admitted to the unofficial list of the London Stock Exchange for trading on 14 June 1904.¹⁵⁵

As this distraction continued, Kuhn Loeb continued to send funds to Tokyo through the English syndicate in the amount of £962,557 (by check) via the offices of Barings. Schiff noticed that a discounted rate of 2% had not been applied to the amount remitted to the English syndicate and was reminded that clause 8 of the contract specified that the American bankers must first make all instalment payments before receiving such discounts and that this was 'universal practice'.¹⁵⁶ The sequence of events demonstrates that, when it came to executing on the business side of matters, Schiff was a highly detail-oriented, precise negotiator. He pushed back on the idea that he should wait until the full instalment payment had been made before receiving the agreed discount and asserted that this had been specifically negotiated and agreed between himself and Revelstoke. The negotiation had centred on the requirement that payments be made within three days of receipt and that the original discount rate had been 3%. The English syndicate did not like this because they believed it to be to their disadvantage. A compromise was agreed that reduced the rate to 2% provided the discount could be taken 'at any time'. Schiff insisted that this point, albeit agreed verbally,

¹⁵³Letter from Kuhn Loeb to Barings, 20 May 1904, BA: PF200187 HC 6.1.31.

¹⁵⁴'Telegram to Messrs Kuhn Loeb & Co. New York 4th June 1904', BA: PF200187 HC 6.1.31.

¹⁵⁵'Copy of Cable Sent to Messrs Kuhn Loeb & Co. New York. 14th June 190 [*sic*]', BA: PF200187 HC 6.1.31.

¹⁵⁶Letter from Baring Brothers to Kuhn Loeb, 22 June 1904, BA: PF200187 HC 6.1.31.

be honoured,¹⁵⁷ but, recognizing that the problem ensued from having transmitted funds more quickly than the English syndicate had anticipated, agreed to a more 'considerate manner'¹⁵⁸ of regulating payments by remitting 'more slowly than we had intended to do, so as not to crowd the Banks against their desire'.¹⁵⁹

The point was accepted immediately in London and the same day Barings forwarded on to Parr's Bank a payment and accounting specifically referencing the 'discount' payment three times on one page. Parr's responded with a receipt that included a sum, 'being the discount on the latter amount at the rate of 2% per annum',¹⁶⁰ and calculated that the amount owed Kuhn Loeb at 2% for a twenty-day period between receipt of payment and the date the instalment was due was £641 17s.

Once the question of the 2% discount had been resolved, Barings backdated the discounted rate on a previously deposited sum of £102,000 to Parr's Bank with confirmation that the amount to be credited was £102,089.50, including the 2% interest for the days ahead of deadline. Shand at Parr's responded with a slightly different number of £102,078.30, a difference of £11 4s. The difference, Shand noted, was accounted for by the fact that the check arrived 'on Saturday at 12:40 p.m., too late to make any use of the money on that day, and we accordingly allow interest from yesterday only'.¹⁶¹ The matter, Shand explained, had been resolved in a meeting with the bank's general manager and Revelstoke the day before.

By the end of May, the bonds had started trading on the open market with strong demand driven largely by the small investors consistently buying into the series. Schiff set a price for Barings in London that was valid until 10 a.m. on Tuesday 3 June in the amount of £50,000 of the New York scrip (i.e. before issuance of the actual bonds themselves), at 95.625%, plus interest from 5 April. Barings, however, had already been

¹⁵⁷Letter from Baring Brothers to Kuhn Loeb, 31 May 1904, BA: PF200187 HC 6.1.31.

¹⁵⁸Letter from Baring Brothers to Kuhn Loeb, 4 June 1904, BA: PF200187 HC 6.1.31.

¹⁵⁹Letter from Kuhn Loeb to Baring Brothers, 24 May 1904, BA: PF200187 HC 6.1.31.

¹⁶⁰Letter from Parr's Bank, HSBC, and Yokohama Specie Bank to Baring Brothers, 24 May 1904, BA: PF200187 HC 6.1.31.

¹⁶¹Letter from A. A. Shand, Parr's Bank, to Baring Brothers, 31 May 1904, BA: PF200187 HC 6.1.31.

shopping for New York scrip and informed Schiff: 'regret we are offered from New York... 1¼% cheaper'.¹⁶²

Schiff could not understand the price quoted to Barings (between 93.50% and 93.75%), insisting that it would 'leave heavy loss',¹⁶³ and emphasized that the Kuhn Loeb price included accrued interest through to 30 June. Schiff's position was that his pricing was competitive and reflected a 'somewhat larger margin, firstly on account of two days intervening, and secondly because we thought that the reported Japanese victory might advance the price'.¹⁶⁴ In the intervening time, demand strengthened dramatically and the price increased substantially. Schiff explained the differences in how the price was calculated in the USA and England. These involved how interest was built into the price. He concluded that, in fact, the price he had quoted was one-sixteenth cheaper than the price Barings' client had indicated it had received. While the explanation could not reverse the failure to conclude the earlier contemplated transaction, Schiff 'thought it right to explain the difference', to alleviate any concerns that Barings may have had that Kuhn Loeb might be trying to take advantage of them.¹⁶⁵

Schiff recognized, however, that an opportunity for arbitrage between the New York and London markets might exist and suggested to Barings that he would be favourably inclined to engage in any arbitrage transactions between the two markets that Barings might like to propose. One possibility, he suggested, in the light of a 'fair margin' between the pricing of the relative scrips, was that of buying scrip in New York and selling it in London, but 'only in case you can borrow and advance English Scrip over there until the delivery of the actual bonds'.¹⁶⁶ Schiff felt that the distinction between the English practice of listing pricing without including interest and the American practice of including interest was confusing and that the arbitrage would be easier once the bonds were accepted by the unlisted department of the New York Stock Exchange,

¹⁶²'Telegram to Kuhn Loeb & Co., Sent 31 May, 1904', from Barings, BA: PF200187 HC 6.1.31.

¹⁶³'Telegram from Kuhn Loeb & Co., Received 31 May, 1904', to Barings, BA: PF200187 HC 6.1.31.

¹⁶⁴Letter from Kuhn Loeb to Baring Brothers, 31 May 1904, BA: PF200187 HC 6.1.31.

¹⁶⁵*Ibid.*

¹⁶⁶Letter from Kuhn Loeb to Baring Brothers, 7 June 1904, BA: PF200187 HC 6.1.31.

where they would be listed without interest, eliminating the difference in pricing customs.

Schiff also noted that pricing on the unlisted department would result in a shift in the exchange rate to \$5 per £1 versus the contracted rate of \$4.87 per £1, resulting in a 'profit to the joint account'.¹⁶⁷ Schiff's proposal for arbitrage was rebuffed by Barings, which was concerned that the margin between the two markets was too small to warrant the effort that would be required.¹⁶⁸

Schiff reflected upon the strength of the American demand for bonds shortly after the first Japanese 6% series was issued, commenting:

Money here [in America] has become so abundant, and such great amounts of capital are seeking secure investment – because of the recession in industry and trade – that 4% bonds suitable for issue in France through the Banque de Paris, i.e., first-class bonds, would be taken up here with alacrity at prices which would not be paid either in France or elsewhere in Europe. The very best 4% bonds are now bringing 104–107 here, and 4% bonds of good, though not of first class, are selling for about par.¹⁶⁹

This demand perhaps goes some way to explaining why the first series of Japanese bonds, priced at better than 6.6% net yield, were so attractive. It also prepared the ground for the second loan issuance sooner than had been anticipated.

THE SECOND LOAN ISSUE

In late August 1904, the Mutual Alliance Trust Company approached the Japanese embassy in Washington with a proposal to fund a \$50 million loan for Japan by forming a syndicate with the Rockefellers.¹⁷⁰ Within a few days, Schiff had learned through Parr's Bank of these rumours and that negotiations had fallen through. Parr's Bank was particularly interested in hearing from Schiff with any news he could share

¹⁶⁷Ibid.

¹⁶⁸Letter to Kuhn Loeb from Baring Brothers, 22 June 1904, BA: PF200187 HC 6.1.31.

¹⁶⁹Letter from Schiff to Noetzlin, 14 July 1904, JSP: Reel 676.

¹⁷⁰Telegram from Takahira (Washington) to Komura (Tokyo), 21 August 1904, JACAR: 3–1238–0169.

regarding similar approaches to Tokyo, particularly while Takahashi remained in England. Parr's preferred not to be taken by surprise in the event news were to reach the bank after it had reached others. Parr's was concerned that as 'money is cheap... naturally the Japanese will desire if possible to get out an unsecured loan',¹⁷¹ suggesting that a 6% second loan, comparable with the first series, would be a minimum standard and telling Schiff that in their view the markets were ready for another issue.¹⁷² In response to Parr's suggestion that Schiff works directly with them, Schiff made it clear that Kuhn Loeb had an exclusive right to future IJG offerings coming from the English syndicate and provided Parr's with a copy of the exclusivity agreement between Kuhn Loeb and Barings.¹⁷³

Schiff was dismissive of the rumours regarding the Mutual Alliance Trust Company, which he told Parr's Bank had no capability of launching such a loan. Schiff had already been approached with the prospect of further Japanese business but, as it had not previously been through official channels, he had rejected it on principle.

Schiff was nonetheless interested in the prospect of a second loan and agreed with Parr's Bank that such a loan might be feasible. The first issue bonds remained in high demand in New York, trading at upwards of 2% premiums from issuing prices despite the continuation of the war.¹⁷⁴ This informed Schiff that demand remained high and gave him confidence that further issues would be supported by the markets. However, he did not think that a second charge on the customs receipts would be sufficient on its own, believing that, with the support of some other substantial collateral, such as that of a lien-free railroad security or something equally as compelling, a future loan would be deemed acceptable by the markets. Even if this were deliverable, Schiff anticipated that pricing would have to be at 6% but at no more than 90% of face value.

¹⁷¹Letter from Parr's Bank to Kuhn Loeb, 17 September 1904, BA: PF200187 HC 6.1.31.

¹⁷²To enhance the confidentiality of the correspondence between his bank and Schiff, Parr's Bank's general manager, R. W. Whalley, proposed the use of code words to add security to the dialogue. 'Durham' was used to mean 'Japanese government' and 'Surrey' meant the English syndicate.

¹⁷³Letter from Kuhn Loeb to Baring Brothers, 27 September 1904, BA: PF200187 HC 6.1.31.

¹⁷⁴'The Bond Market', *Wall Street Journal* (3 September 1904), p. 5.

Barings' concern with a second offering was that the market in England would be disinclined to venture into further Japanese loans at present but might do so were the loans to be 'exceedingly well secured'.¹⁷⁵

By the first week of October, Schiff's confidence in a second issue was building. He wrote to Revelstoke mentioning Parr's Bank's direct approach to him, commenting that 'a good sized loan must be furthering before long, admits of little doubt, the question being what kind of substantial security can Japan offer, after having already pledged the custom revenue'.¹⁷⁶

Substantiating Schiff's prediction, Okuma Shigenobu, leader of the Progressive Party in Japan,¹⁷⁷ declared that there was a likelihood of a longer than expected war and that, should it last two years, it would likely cost Japan \$1 billion. Okuma opined openly about the strength of Russia's resources and declared that great sacrifices would need to be made of the Japanese people if they were to prevail.¹⁷⁸ His comments rattled the markets at least in the USA, where Okuma's comments were picked up by the press, causing a weakening of the 6% first series bond prices and being impactful enough both in America and in Japan to cause the Japanese consul general to contact Schiff to ask for his opinion regarding the impact on generating further loans.¹⁷⁹

Schiff checked directly with Revelstoke, who advised him that a second issue should wait until January, should be structured to represent a complete year's budget and should be secured by both tax revenues and railroad collateral. Schiff asked Revelstoke to take control of the negotiations in London directly with Takahashi, who was aware of Schiff's interest, after which he referred all direct approaches from Parr's to be handled by Barings.¹⁸⁰ Negotiations regarding the second loan started

¹⁷⁵Letter from Revelstoke to Kuhn Loeb, 7 October 1904, BA: PF200187 HC 6.1.31.

¹⁷⁶Letter from Jacob Schiff to Lord Revelstoke, 5 October 1904, BA: PF200187 HC 6.1.31.

¹⁷⁷Incidentally, Okuma was the man who had invited Shand back to Japan following his self-imposed sojourn back to England in the early 1870s.

¹⁷⁸'Cost of War to Japan Will Be \$1,000,000,000', *New York Times* (7 October 1904), <http://query.nytimes.com/mem/archive-free/pdf?res=9C02EEDA113DE633A-25754C0A9669D946597D6CF>, accessed 1 August 2016.

¹⁷⁹'Telegram from J. Schiff, New York to Lord Revelstoke, London, Received 10 October 1904', BA: PF200187 HC 6.1.31.

¹⁸⁰'Telegram from Kuhn Loeb & Co., New York, to Lord Revelstoke, Received 11 October 1904', BA: PF200187 HC 6.1.31.

among the same syndicate as the first, with Parr's and HSBC proposing that a new 6% bond be issued and secured by a second charge on the custom receipts as collateral.

Representing Schiff and in concurrence with him that a second charge on the same security would be weak, Revelstoke suggested combining the issue with the right of bondholders to convert to a 5% gold loan at 90%. He also advised gaining a concession from the IJG not to issue further bonds until the first series was completed, either through maturity or conversion. Until that time, Revelstoke asserted, the first series would continue to hold a priority claim on customs income as collateral, and any other use of the same collateral would be subordinate to that. Revelstoke thought the scale of the second loan should be in the £10–12 million range, not more than £12 million, and should be issued once Japan had scored another notable victory in the war.¹⁸¹ He was concerned that a short-term loan secured in second position on the customs receipts that fell due before the maturity of the first series loans (secured in first position by the same collateral) 'would lead to complications'; however, he suggested that, as long as the loan were of a longer duration of maturity than the first series (he suggested ten years), the structure would work.¹⁸²

Schiff was not in favour of a second charge against the customs revenue as collateral and reverted instead to his preferred option of a charge against the railroads or the tobacco monopoly. This was a concept Barings could not agree with. Schiff deferred to Barings' opinion of market forces in England and expressed a willingness to 'assume whatever you [Revelstoke] determine likely to go in your market will probably also be acceptable here'.¹⁸³ Schiff signalled that he would be willing to take a half share of the offering again, as in the first issue, and accepted the IJG's request that the American proceeds not be transmitted to London but left on deposit with Kuhn Loeb in New York.¹⁸⁴

Despite having deferred to Revelstoke, Schiff remained active in the negotiations. He felt that the pricing would likely be too high on

¹⁸¹'Cablegram to K. L. and Co. 11/10/04', BA: PF200187 HC 6.1.31.

¹⁸²'Telegram to Kuhn Loeb & Co., New York, from Lord Revelstoke, sent 11 October 1904', BA: PF200187 HC 6.1.31.

¹⁸³'Cablegram from K. L. and Co. Received 11/10/04', BA: PF200187 HC 6.1.31.

¹⁸⁴'Telegram to Kuhn Loeb & Co., New York, from Lord Revelstoke, sent 11 October 1904', BA: PF200187 HC 6.1.31.

a ten-year bond, resulting in too low a yield, so he counter-proposed a three-year term for the issue. Barings took the initiative in the negotiation by converting the discussion from a hypothetical dialogue to a specific proposal and directly asked Kuhn Loeb if it were 'prepared to take half' of a £12 million, ten-year loan with an option for the IJG to redeem earlier. Security would be a second charge on customs revenues that would become a first lien once the first series matured or was paid off earlier by the IJG. Barings emphasized that it believed this structure to be marketable in England and pointed to the concurrence of Panmure Gordon, though pricing had yet to be set. Revelstoke reiterated the proposition that the funds would remain in New York, this time to be invested on the American market, possibly by Kuhn Loeb.¹⁸⁵

Schiff agreed to take a half share provided the deal structure was acceptable to Kuhn Loeb, once again 'insisting' on a shorter-term maturity of three or four years with security additional to the second lien on the customs revenues. Schiff wanted, at minimum, the right to contribute to the discussion about where the funds were to be deposited. Revelstoke, clearly understanding this was the intent of the IJG, instructed Kuhn Loeb to 'insist on being sole depositors New York money'.¹⁸⁶ Although the funds were to be used at the discretion of the Japanese government, it was anticipated that much of the proceeds would be spent in America.¹⁸⁷ However, Parr's informed Schiff that Takahashi was not comfortable allowing Kuhn Loeb to determine where the deposits would be made. As he was headed to New York, Schiff would be able to discuss the matter directly with Takahashi.¹⁸⁸

In contradiction to Schiff's position, the English syndicate was happy with the terms on the table and was confident enough to proceed even if Schiff were to use his veto (through the exclusivity arrangements) on a New York component, indicating they believed they could raise the entire £12 million on the English markets alone. They were especially

¹⁸⁵'Cablegram to Kuhn Loeb & Co. 12/10/04', BA: PF200187 HC 6.1.31.

¹⁸⁶'Telegram to Kuhn Loeb & Co., New York, Sent 13 October 1904', BA: PF200187 HC 6.1.31.

¹⁸⁷'Japanese Funds, Deposited', *New York Times* (9 June 1905), <http://query.nytimes.com/mem/archive-free/pdf?res=9A0CE1DB173DE733A2575A-C0A9609C946497D6CF>, accessed 1 August 2016.

¹⁸⁸'Telegram to Kuhn Loeb & Co. from Parr's Bank, Sent 16 October 1904', BA: PF200187 HC 6.1.31.

confident because the IJG appeared less concerned about pricing, and the syndicate believed that that alone would facilitate a positive response of the market to the offering.¹⁸⁹

Schiff's position on the second loan was not as pivotal as it had been on the first. In the case of the first loan, he had catalysed a stalemated negotiation into action. Now that all parties had experienced the success of the first issue, they were ready to move without Schiff. Had Schiff's motivation for financing the war been solely driven by a desire to support Japan as an enemy of Russia, he might have been content to have let the English syndicate take up the entirety of the second issue. But his motivation, as discussed, was as much economic as partisan, and he remained active in the transactions because it was economically prudent to be so.

Furthermore, Schiff's negotiating position was not strong. The idea of issuing a loan with a second lien on collateral that matured before another loan with a first lien on the same collateral, in this case the customs revenues, was not imprudent. Besides, the scale of the customs revenues was sufficient to easily cover the interest charges on both a first series loan and a second series loan with interest charges on the first 6% series totalling £600,000 per annum against £1.8 million in customs revenues for 1903 alone. Plus the IJG had established new taxes that would further increase customs income by a projected £230,000 in the first year of implementation (the new taxes were to be effective immediately) and £500,000 in the second year.¹⁹⁰

The English side of the negotiation believed that 'to mortgage additional security now for such small loan would have very bad effect on credit Japanese Government' and that the IJG would under no circumstances permit additional security—at least not for the second loan. Parr's effectively gave a take-it-or-leave-it option to Schiff, making clear that, even without the American market, the English syndicate intended to proceed and that, besides, the market was strong enough that the margins between secured and unsecured bonds were not significant enough to warrant further effort.¹⁹¹

With an eye to further internationalizing the offering, Schiff suggested opening up the Amsterdam market, proposing the option directly to

¹⁸⁹'Telegram to Kuhn Loeb & Co., New York, Sent 13 October 1904', BA: PF200187 HC 6.1.31.

¹⁹⁰'Telegram to Kuhn Loeb & Co. 13 October 1904', BA: PF200187 HC 6.1.31.

¹⁹¹*Ibid.*

Parr's Bank and asking Barings for its opinion. Barings did not think the idea prudent, Amsterdam being more inclined to support the Russians than the Japanese.¹⁹² Schiff also hesitated in taking a firm position on the question of additional security despite Parr's counter-argument, and, leaving the door open to taking a 50% share of the issue in New York, proposed that 'interim certificates be the same for both markets and subscription in both markets be pooled and allotted pro-rata'. Schiff did not want to miss the opportunity of listing in New York, but he firmly believed the New York market was not likely to look as favourably as the English market might on the form of collateral proposed, so he asked that the English syndicate put its confidence where its arguments were and agree to essentially co-list in both markets—in contrast to the first series, where the loans were contractually distinct and separate.¹⁹³

Schiff's proposition was not possible, however, because stock exchange regulations would not permit it, and, besides, Parr's did not believe that either underwriters or subscribers would buy it. Instead, Schiff was encouraged to accept the formula used in the first series loan, a consensus having been reached in England that included Barings. Time being of the essence, and keen to keep Schiff in the process, the English syndicate agreed to split the difference between its preferred ten-year maturity and Schiff's preference for three or four years, settling on a seven-year term.¹⁹⁴

Revelstoke weighed in forcibly to persuade Schiff to participate on the same terms as the first series, having brought Cassel into the negotiation to leverage further influence upon Schiff. Revelstoke, unequivocal in his confidence, made the point that the first series bonds had not even been listed on the exchange yet, pending delivery of the bonds themselves, and that, once delivered and listed, the market would doubtless demonstrate its confidence in round two.¹⁹⁵ Schiff was swayed by Revelstoke's argument, 'entirely approving' of his position and expressing that he 'much like your consulting Sir E. Cassel'. Schiff agreed to the seven-year maturity and to taking up half of the subscription in New York.¹⁹⁶

¹⁹²'Telegram to Kuhn Loeb & Co., Sent 14 October 1904', BA: PF200187 HC 6.1.31.

¹⁹³'Telegram from Kuhn Loeb & Co. 14th October, 1904', BA: PF200187 HC 6.1.31.

¹⁹⁴'Telegram to Messrs Kuhn Loeb & Co. 14/10/04', BA: PF200187 HC 6.1.31.

¹⁹⁵'Telegram to Kuhn Loeb & Co., Sent 14 October 1904', BA: PF200187 HC 6.1.31.

¹⁹⁶'Telegram from Messrs. Kuhn Loeb & Co. to Parr's Bank, Limited, Received 15 October 1904', BA: PF200187 HC 6.1.31.

Terms at the time in negotiation were that the first series precedent would govern the structure of the second loan and that the pricing on the table was 91.5% of face value to the public and 86.5% to the syndicate. Schiff preferred a purchase price of 85% to include the April coupon and public pricing at 90% to include three months' interest. He asked for a 3% underwriting commission plus a 0.5% stamp fee to match that which he supposed London would receive. Schiff finally agreed to preserve the conditions of the first series and went on to recommend maintaining the same coupon timing at April and October 'to enable use existing plates which will prevent delay and save expense'.¹⁹⁷

Parr's countered by informing Schiff that it had already proposed to Takahashi to list at 91% to the public with a 3.5% commission to the syndicate, which would retain approximately 4.69%. Schiff agreed to this pricing¹⁹⁸ provided the exchange rate adopt parity with that currently in place on the New York Stock Exchange (\$5 to £1) for the first series.¹⁹⁹ Takahashi had baulked at this, Parr's stated, insisting that the IJG would accept nothing less than 90% net. Parr's made the point that, while it was confident that the bond would be successful with the public at 91%, there still remained a negotiation to be concluded with the IJG on the matter of pricing: the deal was not yet done.²⁰⁰

Schiff paused for a moment, now that the exhilaration of the negotiation was drawing to a conclusion and despite the pending haggle over pricing. Writing to Parr's, he asked the bank to convey a message to Takahashi, with whom he had had no further direct contact since the dinner at which they first met. The concern he had was that he might have appeared too focused on the economic terms of the negotiation, rather than the humanitarian; as a man so steeped in human rights and philanthropic efforts, focused largely on bettering the conditions of other humans, he wished to redress that impression. 'Our main desire', he asked Parr's to transmit to Takahashi, 'is to again aid in sustaining Japanese Government which will be [the] surest way to bring this

¹⁹⁷'Telegram from Messrs Kuhn Loeb & Co. Received 17/10/04', BA: PF200187 HC 6.1.31.

¹⁹⁸'Telegram from Kuhn Loeb & Co. to Lord Revelstoke, Received 18 October, 1904', BA: PF200187 HC 6.1.31.

¹⁹⁹'Cablegram from Messrs Kuhn Loeb & Co., 19/10/04', BA: PF200187 HC 6.1.31.

²⁰⁰Ibid.

appalling war to early termination'.²⁰¹ Though Schiff was driven to support Japan for economic reasons, and to see Russia defeated for political reasons, in asking Parr's to convey this message he showed a concern to minimize the human cost and was not interested in prolonged conflict.

The second issue was nonetheless looking likely to be a very profitable venture for Schiff. Underwriters in England were lucky to get a 2% commission, and Schiff was on track to make 3.5% on the spread plus another 1.5% on the coupon, less the 0.5% commission to Barings.²⁰²

With spreads like these, it was inevitable that other banks would begin to compete for the business. Speyer Brothers directly approached HSBC 'demanding ground floor participation' and threatening to outbid the existing syndicate for the whole.²⁰³ Schiff was unperturbed by the interference of Speyer Brothers, which Revelstoke had earlier predicted might want to take the role of Barings, and its 'highwaymen's methods' did not surprise him. As it was not unusual that, once a transaction had been consummated between a bank and a government a bond of loyalty followed that could last for years, Schiff remained aloof to the threat.²⁰⁴

Schiff favoured the idea of becoming an equal member of the syndicate. He no longer wanted to be a subcontractor. This was in part as a defence against Speyers' challenge. Schiff recognized that Speyers' threat was more to the English syndicate than to Schiff's in New York, and he felt that as the 'threat was made in London action upon it should be settled there'.²⁰⁵ He recommended that Cassel should be consulted on how best to handle the situation. The syndicate was resistant to acceding to Speyers' demands in any way either 'as contractors or issuers', a point reinforced by Parr's Bank directly to Schiff, though Parr's still proposed that Takahashi's acquiescence was necessary. Revelstoke, the consummate diplomat, proposed that Speyers be offered £1 million of the issue

²⁰¹'Telegram from J. Schiff to Parr's Bank, Limited, Received 17 October, 1904', BA: PF200187 HC 6.1.31.

²⁰²'Telegram to Kuhn Loeb & Co., New York, Sent 17 October 1904. 1', BA: PF200187 HC 6.1.31.

²⁰³'Telegram to Kuhn Loeb & Co., New York, Sent 17 October 1904. 2', BA: PF200187 HC 6.1.31.

²⁰⁴'Telegram from Kuhn Loeb & Co., to Lord Revelstoke Received 18 October 1904', BA: PF200187 HC 6.1.31.

²⁰⁵'Telegram from Kuhn Loeb & Co., to Lord Revelstoke, Received 18 October 1904', BA: PF200187 HC 6.1.31.

equally split between New York and London, without prior approval by the IJG.²⁰⁶ Ultimately, Speyers confirmed that it would take a £500,000 participation in the second Japanese loan in return for a 0.5% management commission but not before it had already contacted Panmure Gordon with regard to the issue.

Despite Speyers' assertion to Schiff that its directors 'unreservedly have no intention to make a bid or interfere', the challenge in allowing Speyers in at the ground floor (i.e. on the same terms as everyone else) was that Kuhn Loeb was subject to a 0.5% commission to Barings, which would mean Kuhn Loeb would enter the market at a disadvantage to Speyers, which could undercut Kuhn Loeb's downstream syndicators, who would also be charged a commission.²⁰⁷ Revelstoke reported that the syndicate agreed to mirror for Speyers in London whatever terms Kuhn Loeb could negotiate with Speyers in New York, but that Takahashi had insisted on including Speyers at £1 million split equally between the two markets. Schiff responded immediately that he was in agreement to split off £500,000 to Speyers at cost plus a maximum of a 1% commission.²⁰⁸

With less than three weeks to go before the second issue was due to be launched, pricing had yet to be agreed with the IJG. To keep prices strong, Tokyo engaged in acquisitions of its own bonds on the London markets.²⁰⁹ Negotiations on the second issue were awaiting Tokyo's response, and the current negotiations were positioned at a public price of 91%, discounted to 87.5% for the syndicate. While the syndicate believed that at this level the offering would be successful, it had 'in no way committed' to the pricing,²¹⁰ and Revelstoke (supported by Schiff, who reiterated this position) made it clear to Takahashi 'that the

²⁰⁶'Telegram to Kuhn Loeb & Co., New York, Sent 18 October 1904', BA: PF200187 HC 6.1.31.

²⁰⁷'Telegram from Kuhn Loeb & Co., to Lord Revelstoke, Received 19 October 1904', BA: PF200187 HC 6.1.31.

²⁰⁸'Telegram from Kuhn Loeb & Co., New York, to Lord Revelstoke, Received 19 October 1904', BA: PF200187 HC 6.1.31.

²⁰⁹'Telegram from Arakawa (London) to Komura (Tokyo)', 8 September 1904, JACAR: 3-1238-0188.

²¹⁰Letter from R. W. Whalley to Lord Revelstoke, 21 October 1904, BA: PF200187 HC 6.1.31.

Syndicate is not irrevocably bound to any definite bid, for an indefinite period'.²¹¹

Despite Schiff's enthusiasm to get things rolling and his insistence that the syndicate's offer was not an indefinite commitment, the IJG elected to postpone the issue by 'two or three weeks'.²¹² Parr's believed that the markets were unlikely to be much changed in the period and so viewed the delay as inconsequential but asked Schiff for his view on how the American market looked. The IJG was concerned about the proposed delay as it felt it would cause interference with a Japanese internal loan being launched at the same time. Schiff and the syndicate felt confident that pricing they believed was achievable today might not be in two weeks, and advised that the IJG should remain cognizant that deleterious effects might result from the delay. Schiff emphasized that risk was amplified by the unpredictable nature of wartime events, as exemplified by the utter suddenness and surprise of the North Sea outrage, in which some Russian ships mistook British trawlers for Japanese ships and fired upon them, almost causing war between Britain and Russia.²¹³ Schiff did not want the offer to remain valid indefinitely but, absent some unforeseen event, equally did not believe the American market would alter in any meaningful way as a result of the proposed delay.²¹⁴

Fully expecting Tokyo to delay the launch until 7 November at the earliest, the syndicate continued contract wording negotiations and authorship of the prospectus, leaving key terms absent for want of confirmation from Tokyo, despite Takahashi's concurrence in the interim that the terms proposed were acceptable.²¹⁵ On 26 October, Tokyo approved all terms as proposed (91% public and 87.5% to the syndicate plus 'bonus interest' of 1.5% for a £12 million issue) and gave instructions to proceed

²¹¹Letter from Lord Revelstoke to R. W. Whalley, 21 October 1904, BA: PF200187 HC 6.1.31.

²¹²'Telegram from Kuhn Loeb & Co., to Parr's Bank Limited, Sent 22 October 1904', BA: PF200187 HC 6.1.31.

²¹³Letter from Lord Revelstoke to Kuhn Loeb, 25 October 1904, BA: PF200187 HC 6.1.31.

²¹⁴'Telegram from Kuhn Loeb & Co., to Lord Revelstoke, Received 24 October 1904', BA: PF200187 HC 6.1.31.

²¹⁵Letter from Lord Revelstoke to Kuhn Loeb, 25 October 1904, BA: PF200187 HC 6.1.31.

with all haste, even while the political fallout emanating from the North Sea incident continued to reverberate through the markets.

As with the first 6% series, and perhaps to assuage concerns about the sufficiency of the customs receipts, the prospectus for the second issue (which was approved on 8 November by Takahashi) included a specific reference to the actual amount of customs revenues—with the average for the five years to 1899/1900 being ¥15,891,458 and the total for the year 1903/1904 being ¥17,378,302.²¹⁶ For the English syndicate, Barings guaranteed ‘the due performance’ of the American bankers’ commitment of £6,000,000 but did not guarantee any other ‘undertakings, conditions, or terms entered into’.²¹⁷

On 14 November 1904, the second series (6% loans in the amount of \$12 million) was issued equally in London and New York, with Kuhn Loeb and its syndicate taking the New York portion. Once he had become engaged in providing Japan with loans, Schiff remained resolute in his support of the country and its needs despite the second bond issue being a ‘knotty business’.²¹⁸ Expectations had been set so high following the victory at Yalu that the subsequent failure by Japan to mount an immediate and ceaselessly dominant offensive was a disappointment. Consequently, the second offering was met confidently by the financial markets though without quite the enthusiasm felt for the first issue.

Takahashi cited the delay in the fall of Port Arthur as being of particular frustration to foreign observers. Nevertheless, the loan went a long way to building confidence in the markets that Japan’s economic resources had not been exhausted after the first bond issue, and encouraged Japan that it had the support of the most powerful financial markets in the world. Schiff’s reach for subscribers in America on the second issue stretched all the way to San Francisco, where \$1,150,000 of the issue was purchased by 111 subscribers in amounts ranging from \$500 to \$100,000.²¹⁹

The English syndicate banks made efforts to further syndicate the loans to third-party brokerages for a commission to those brokerages of 2%. The agreements were first made verbally and then committed to

²¹⁶ ‘Imperial Japanese Government 6% Sterling Loan Prospectus’, HSBC-L.

²¹⁷ Letter from Baring Brothers to Parr’s Bank, HSBC, and Yokohama Specie Bank, 9 May 1904, BA: BA: PF200187 HC 6.1.31

²¹⁸ Adler, *Jacob H. Schiff*, Vol. 1, p. 218.

²¹⁹ ‘Japanese Loan’, *Wall Street Journal* (17 November 1904), p. 4.

writing with the proviso that, if the three ‘management’ banks (HSBC, Parr’s and Yokohama Specie) were able first to sell the entire issue to the public, the brokerages would be allotted either only a proportion or no share of the loan offering. Brokerages were enjoined not to sell any allocations of the loan until the allotment had taken place. A formal acceptance letter was attached for return to HSBC.²²⁰

The 6% second series was ‘a complete success the loan having been materially oversubscribed’ in America as it was in England.²²¹ Buyers were broadly distributed across each country. The bonds were listed on the Basle and Zurich bourses for the first time, ‘greatly extending the market for Japanese Government bonds on the continent’.²²² In England, the largest participants were Panmure Gordon, Samuel Montagu, Revelstoke personally and Barings corporately. In America, J. P. Morgan participated through Kuhn Loeb in the November 1904 loan and the subsequent two 4.5% loans to the tune of £100,000 in the former and £400,000 and £200,000 in the latter two, respectively.²²³ The English syndicate was over-subscribed more than thirteen times the total available, with nearly 30,000 applications totalling in value over £80 million.²²⁴ Parr’s Bank attracted by far the highest number of applications in England at almost half the total taken.²²⁵

In late November, an anomaly was observed regarding the first series bonds printed in New York that was ‘never known to occur here before’. Parr’s reported that some of the bonds contained ‘serious errors’²²⁶ and that Yokohama Specie Bank had already contacted the banknote company as it considered the company liable for the error. Kuhn Loeb, having distributed a ‘large part’ of the bonds already, was unable to find similar errors in the remainder of the bonds that it still had on hand and presumed that only the three bonds that had been identified were the

²²⁰ ‘Imperial Japanese Government 6 Per Cent. Sterling Loan’, HSBC-L.

²²¹ Letter from Kuhn Loeb to Parr’s Bank, 15 November 1904, HSBC-A.

²²² ‘Telegram from Arakawa (London) to Komura (Tokyo)’, 12 December 1904, JACAR: 3-1238-0294.

²²³ Vincent Carosso, *The Morgans: Private International Bankers, 1854-1913* (Cambridge, MA: Harvard University Press, 1987), p. 527.

²²⁴ ‘Japanese 6% Locan Second Series, Particulars of the Scrip’, HSBC-A.

²²⁵ Ibid.

²²⁶ ‘Telegram to Kuhn Loeb & Co., from Parr’s Bank Limited Sent 28 November 1904’, BA: PF200187 HC 6.1.31.

ones to be faulty. Kuhn Loeb believed that this would not cause a delay in the listing on the stock market, which it anticipated for the following Thursday, and suggested that Parr's return the three bad bonds to Yokohama Specie Bank in New York so that they could be replaced.²²⁷

Joint managers at HSBC, Ewen Cameron and A. M. Townsend, distributed a standard letter to the recipients of the bonds to track down inventory errors produced in the printing of the bonds in New York. The errors were not insignificant as they pertained to inconsistencies throughout the documents relating to the denomination of the bonds. A printed reply letter, with space to list faulty bonds by their number and denomination, was included for recipients to send back to HSBC.²²⁸

The errors found in the first series bonds caused a delay in issuing the £12 million 6% second series bonds. Parr's had identified several errors in the first series. An agreement with Kuhn Loeb had led to changes in content and overall appearance to the second series bonds to ensure that they were distinct from the earlier bond issue that year.²²⁹ The matter having been resolved with the printers, on 2 December 1904 the application to list the bonds on the New York Stock Exchange was granted.

In early 1905, Schiff noted the depth of the bond market demand, writing:

there is a large demand for bonds and other investment securities. We have practically sold out everything we had, and looking back upon the past sixty days, I find that we have placed something like \$150,000,000 in securities, Japanese 6s, Oregon Short Line 4's, Missouri Pacific new 4's, Pennsylvania 3½'s, Illinois Central 3½'s, Baltimore & Ohio 4's, Western Union 4½'s, and other minor issues, and still there appears to be little slackening of the demand.²³⁰

His confidence in the strength not only of the Japanese bonds but also of the market's ability to absorb them remained unabated.

²²⁷'Telegram from Kuhn Loeb & Co. to Parr's Bank Limited Received 29 November 1904', BA: PF200187 HC 6.1.31.

²²⁸'Japanese 6% Loan', HSBC-A.

²²⁹'Defects in the Old Bonds', HSBC-A.

²³⁰Letter from Schiff to Robert Fleming, 26 January 1905, JSP: Reel 688.

THE THIRD LOAN ISSUE

After the closing of the second 6% issue, Takahashi returned to Tokyo, diverting through New York to visit Schiff. It was following the meetings in New York that Takahashi expressed the opinion that Schiff had earlier been motivated by his antipathy for Russia in supporting the Japanese cause but that a broader and deeper foundation for support had developed in Schiff. Schiff expressed to Takahashi a belief that Japan was an industrious nation that was rapidly developing and that offered opportunities for financial gain after the war and into the future.²³¹

After the fall of Port Arthur in early January 1905, and as the decisive battle for Mukden raged, with Japan achieving important gains, the Japanese government and its financial needs became highly sought after by other banks and institutions wishing to capitalize on its successes.²³² However, Japan remained loyal to the banking houses that had demonstrated confidence in its ability to prevail and elected to work with Kuhn Loeb again.²³³

On 10 February 1905, Takahashi received specific instructions from Finance Minister Baron Sone Arasuke (1849–1910) to immediately travel to London to undertake a £30 million loan offering. Under the supervision of the Japanese ambassador in England, Takahashi was again given full authority to raise the money in England and the USA, to represent the IJG in negotiating to conclusion the flotation of the loan, to approve the prospectus, to fix face values for the bonds and to otherwise do whatever was necessary to procure the funding. Each bond

²³¹Adler, *Jacob H. Schiff*, Vol. 1, p. 220.

²³²There were various instances where other banking houses emerged in pursuit of the Japanese business. Kuhn Loeb queried Speyers' interests in joining the syndicate ('Telegram from Kuhn Loeb & Co. to Parr's Bank Limited, Received 10 November 1904', BA: PF200187 HC 6.1.31); Speyers persevered in their direct approaches to the IJG ('Telegram from Kuhn Loeb & Co. to Lord Revelstoke, Received 19 June 1905', BA: PF200187 HC 6.1.31); in a letter to Kuhn Loeb, Parr's asked about an offer made to the IJG by the Mutual Alliance Trust for a £15 million loan ('Letter from Parr's Bank to Kuhn Loeb', 17 September 1904, BA: PF200187 HC 6.1.31); and Marcus Samuel continued to seek opportunities with Takahashi (diary of Korekiyo Takahashi, 16 October 1904, JNDL: 135.R2.0986).

²³³'Telegram from Mr. Takahashi to the Yokohama Specie Bank, Received 23 June 1905', BA: PF200188 HC 6.1.34.

was to have either the seal or signature of the Japanese ambassador in England.²³⁴

Kuhn Loeb again deputized Barings to represent it in negotiations for the third loan issue,²³⁵ and negotiations evolved towards a 4.5% £30 million IJG loan. HSBC wired to its head office that the English syndicate had secured the new loan and that half was to be issued in the USA with 'probably £3,000,000' being underwritten on the continent. The total commission was to be 2% with the price to the syndicate expected to be 85.5% to an issue price of 90%. HSBC's board approved London's request (which anticipated that the loan would be issued the following week) to underwrite £400,000 and to tender for an allotment for the bank of £100,000–£200,000.²³⁶

In addition to the military gains by this time, Japan had demonstrated its economic integrity through two rounds of tax hikes and two issues of domestic exchequer bonds (which had been received with great success), and it could demonstrate several months of stable revenue from its newly formed tobacco monopoly, which it intended to use as collateral for future loans. These factors together with the increasing competition for Japan's business in launching these issues served to put downward pressure on the cost for Japan and upward pressure on the demand, and helped to reassure Schiff that the risks were well contained.

On 24 March 1905, the IJG and the English syndicate came to an agreement. The loan was confirmed as a £30 million issue at 4.5% to be issued in England and the USA. Schiff once again took up half of the issue. The pricing was 90% of face value with six instalments in England—including application and allotment—but only three instalments in the USA totalling \$444.21 per \$487.00 of face value. This amount included accrued interest of \$5.91. Baring Brothers and Ernest Cassel each took £500,000 of Kuhn Loeb's half of the offering. These were strong votes of confidence and, by offsetting the volume Schiff was to handle in America, reduced his risk exposure.²³⁷

The capitulation in the matter of terms on the third issue was matched with only a modest amount of ground given with regard to commissions.

²³⁴'Copies of Proposed Resolutions', RBS: PAB/137.

²³⁵Telegram from HSBC to Parr's Bank, RBS: PAB/137.

²³⁶'New Japanese Government Loan', HSBC-A.

²³⁷'Telegram from Kuhn Loeb & Co. to Lord Revelstoke, Received 24 March 1905', BA: PF200188 HC 6.1.33.

The underwriters were paid a 3.25% commission in the form of a discount. Schiff paid the same to the English syndicate as the English syndicate paid to the Japanese government—£86 15s. per £100 nominal. As the subscription price for the public for these bonds was to be 90%, the remaining £3 5s. per £100 nominal was captured as commission to the underwriters—a commission of 3.61%.²³⁸ In other words, the underwriting banks paid less to Tokyo than they charged to their clients.

The total commission in percentage terms fluctuated only slightly from the initial offering, which from 3.5% had increased to 3.75% for the second issue and dropped to 3.25% for the third issue—where it stayed for the fourth issue. In nominal dollars, however, these transactions were very lucrative for the issuing banks and it is hardly surprising that there was competition for the business. The third issue yielded to the bank syndicate £975,000 in commission compared to a yield of £350,000 for the first issue and £450,000 for the second.

With regard to the third issue, Schiff advised Takahashi that he would agree to any terms that could be negotiated by the Japanese government with the banks in London, freeing Takahashi to engage in the London negotiations completely confident that New York would take up half the allocation as it had done on the previous two occasions. The third issue, the first 4.5% bond, was markedly different from the first two to the extent that it attracted considerable interest from the German banks. With Schiff's agreement to underwrite half of the offering no matter the terms London agreed to, and with Baring Brothers once again providing written guarantee of Schiff's performance,²³⁹ negotiations opened and closed in London in less than five days. This was too quick for any formal inclusion in the issue of the German banks. However, M. M. Warburg acted as an agent for the issuing banks and generated sales in Germany for the first time. Through his close relations, Schiff relied upon the counsel of Max Warburg in Hamburg, among others, to stay abreast of financial affairs in Europe.²⁴⁰ In a letter to Parr's Bank, Max Warburg confirmed a verbal agreement that, in exchange for his bank's participation in the 4.5% issue acting together with HSBC in Germany as agents of the English syndicate, his bank would receive a

²³⁸ 'Agreement', RBS: PAB/135.

²³⁹ Letter from Farrer to the English Syndicate, 24 March 1905, RBS: PAB/135.

²⁴⁰ Adler, *Jacob H. Schiff*, Vol. 1, p. 195.

commission of 0.25% for any amounts allotted to subscriptions it generated and would split the costs of publishing the issue in Germany equally with HSBC.²⁴¹ Subscriptions were accepted through local agents of the English syndicate in Austria-Hungary, Belgium, Germany, Holland and Switzerland. The German market reacted very positively to the bond issue. M. M. Warburg received 1252 applications for a total of £4,121,500, with many coming from small investors, demonstrating to Max Warburg that ‘the Japanese bonds have become a very great favorite with our public’.²⁴²

There were some other significant differences in the third issue as compared to the earlier two that marked a subtle shift towards the greater influence of Schiff and the American markets. In keeping with Schiff’s determination to use collateral other than the customs revenues, tobacco monopoly reserves secured the issue. More specifically, Takahashi received notice from Baron Sone, Japan’s minister of finance, that the 1905/1906 revenue for the tobacco monopoly to be used as security had been estimated at ¥32,011,072. At the exchange rate of 2s. 0.5d. per yen, this was equal to £3,267,796 18s. 8d. (almost \$16 million). This was used in the prospectus for the offering, as actual customs revenues had been used in the second issue, to underscore the value of the collateral.²⁴³

Even having won the tobacco monopoly lien to secure the loan, Schiff expressed uncertainty as to how it would be collected in the event of Japan’s default on the loan repayment. ‘In what manner is it proposed to make lien on Tobacco Monopoly effective?’ he asked. Revelstoke responded sardonically, ‘As to Tobacco Lien, we can only suggest your and our warships.’²⁴⁴ This echoed a similar collection strategy Schiff had heard about from his friend Cassel with regard to Mexican loans in 1903. In an exchange of cables with Cassel in 1903 with regard to loans to the Mexican government secured by customs revenues, Schiff had expressed a concern that Mexico might default and asked of

²⁴¹ Letter from Warburg to Parr’s Bank, 25 March 1905, RBS: PAB/135.

²⁴² Letter from Max Warburg to Lord Revelstoke, 30 March 1905, BA: PF200187 HC 6.1.31.

²⁴³ ‘Imperial Japanese Government 4½% Sterling Loan’, RBS: PAB/254.

²⁴⁴ ‘Telegram from Kuhn Loeb & Co., to Lord Revelstoke, Received 25 March 1905’ and ‘Telegram to Kuhn Loeb & Co. from Lord Revelstoke, Sent 25 March 1905’, BA: PF200188 HC 6.1.33.

Cassel, 'If they don't pay who will collect the customs', to which Cassel responded, 'your marines and ours'.²⁴⁵ As imperious as these suggestions may have sounded, and though they could have had the opposite effect to that intended, it seems that at least in some part they did reassure Schiff that herein lay additional security for the loans, even if perhaps a last resort.²⁴⁶ Writing to James Wilson in August 1905, Schiff said, 'the Japanese foreign war loans are all protected by special and very good security – and any attempt on the part of Japan to deal lightly with this would at once bring down upon her the united action of England, Germany & in all probability of the United States'.²⁴⁷

More importantly, Schiff's desire to be acknowledged as a principal in the primary syndicate was granted. Whereas in the first two issues Kuhn Loeb had separate agreements with the English syndicate in a kind of agency format, in the third issue Kuhn Loeb was included as part of the originating syndicate. Kuhn Loeb then subcontracted to National City Bank and the National Bank of Commerce to form the American syndicate.²⁴⁸

Japan's credit rating was shown to be robust by the enthusiasm with which the bonds were received both in England and in the USA. A celebratory tone met the success in the USA, where the offering was over-subscribed and a sense of shifting influence away from London to New York prevailed. The *New York Times* article of that day is worth repeating as it demonstrates not only the extent of the demand but also the degree to which demand had expanded to small investors:

The American portion of the new Japanese loan was oversubscribed three or four times yesterday at the offices of Kuhn Loeb & Co., 52 William Street. When the office force arrived for work the lower corridor outside

²⁴⁵As quoted in John Kobler, *Otto the Magnificent: The Life of Otto Kahn* (New York: Charles Scribner's Sons, 1988), p. 22.

²⁴⁶'Telegram from Kuhn Loeb & Co., to Lord Revelstoke, Received 25 March 1905' and 'Telegram to Kuhn Loeb & Co. from Lord Revelstoke, Sent 25 March 1905', BA: PF200188 HC 6.1.33.

²⁴⁷Letter from Schiff to Wilson, 29 August 1905, JWP: 1905–1907.

²⁴⁸'Draft Prospectus Cabled to Kuhn Loeb & Co., 15th March 1905', BA: PF200188 HC 6.1.33.

the doors of the banking house was jammed with people so that it was hardly possible to reach the elevators. Outside the portal there was a double line of people extending across William Street and two or three doors up on Pine Street. It wasn't a run on a bank. It was the company of those who wanted to subscribe to the new 4½ per cent. Japanese loan before it should be too late. Members of the Exchange were there to put in their applications in person.

Jammed into line with them were messenger boys with envelopes containing memoranda of the amounts desired and checks for the required deposit: these touched elbows with fashionably dressed women of the Wall Street investor type, and they again with others of more humble costume, who had come with some of their savings, attracted by the popularity of the issue and its high interest return.

The article thus describes the extent to which interest in the Japanese loans was spread across a broad cross section of American society. It continues:

When the subscription taking was fairly under way there was a hustle such as the conservative old banking house has not seen for many a day. 'They fairly tore us to pieces', declared a representative of the firm in the course of the morning. 'Until 11 or 12 o'clock we had not time to breathe'. And this was pretty nearly so in fact, so far as those who were engaged in handling the applications were concerned, for with the flood of money and checks there was a rush of questions of every conceivable nature from the folks who were not in the habit daily of having a part in a \$75,000,000 issue. Some had to be shown where to write in on the application blanks the amount for which they subscribed and very many were worried at seeing their money disappear without getting so much as a receipt for it.

Not only did the Japanese bond issues attract participants from a broad swath of socio-economic backgrounds but also among them were those who had little or no experience of having made such investments previously. Schiff's reputation was at risk so his diligence in ensuring a successful outcome had to be thorough.

To some it was explained that checks were receipts; others whose deposits were in cash were told to take a good long look at the man who gathered in the subscriptions blanks, money attached, so that they might be able to identify him in case of trouble. They didn't understand the ways of the Street, where millions of dollars of money and securities are handled day

after day without other guarantee or contract than the names of the houses in the transactions.²⁴⁹

In America, the third issue attracted considerable demand from French investors, and the syndicate Schiff put together to cover the American side was 'one of the largest in the history of international finance, having upwards of 300 members'²⁵⁰ and extended into Canada. Bids appeared two days before the issue that were already at a 2% premium to the issue price, and demand was widely distributed across the USA, with syndicate members reporting similar rushes to buy in Boston, Canada, Chicago, Cincinnati, Los Angeles, Salt Lake City, and San Francisco.²⁵¹

The November 1904 loan had cost the IJG over 9% overall, but with the stronger pricing of the third loan it was clear that Japan's credit had 'manifestly' improved in the course of only a few months. Schiff was jubilant at how well the third loan issue had gone. Demand for the loan served both his key objectives, the financial and the political. In a letter to Revelstoke, he reflected that

it is a wonderful international show of confidence in the Japanese government and in the cause which represents in this war, and when we remember how in the short space of a few months the eagerness of the Continental money markets for Russian loans has entirely faded away and how not only England and the United States, but also the Continent and even France are competing for allotments in the present loan, we must indeed confess that the history of the world is also the judgment of the world.²⁵²

THE FOURTH LOAN ISSUE

On 27 May, Japan prevailed in the battle for the Sea of Japan, prompting Roosevelt to actively step into test the antagonists for signs of their inclination to terminate hostilities via peace negotiations. Roosevelt had

²⁴⁹'New Japanese Loan Several Times Taken', *New York Times* (30 March 1905), <http://query.nytimes.com/mem/archive-free/pdf?res=9E04E5DB163EE733A-25753C3A9659C946497D6CF>, accessed 1 August 2016.

²⁵⁰'Demand for Japan's Bonds', *New York Times* (28 March 1905), p. 2.

²⁵¹Best, 'Financing a Foreign War', pp. 313–324.

²⁵²Letter from Kuhn Loeb to Lord Revelstoke, 30 March 1905, BA: PF200188 HC 6.1.33.

assumed an increasingly direct role in international diplomacy, particularly with respect to the Far East, taking responsibility away from his Secretary of State John Hay though continuing to consult closely with him on matters concerning the war.²⁵³

Peace negotiations commenced shortly after Japan's naval victory in the Sea of Japan. To consolidate final funding for the war as well as to set the stage for the post-war recovery, the IJG instructed Takahashi to seek another substantial loan. Kuhn Loeb was confident that a second £30 million loan secured by a second lien on the tobacco revenue would be successful.²⁵⁴ The challenge of the fourth loan, primarily felt in the English syndicate, was that it came too close on the heels of the third. The final payments had not yet been made on the third issue and the view was that the market might be concerned about the propriety of Japan's financial calculations.²⁵⁵

In the view of Baron Komura, who headed up Japan's peace talk delegation at Portsmouth, the country needed a strategic investment now that peace talks had commenced in order to facilitate negotiations. There was still a faction within the Russian military that believed Russia could prevail in a war of economic attrition. Should this faction succeed in scuppering the peace talks, Japan's economic needs would be amplified; if the faction did not, Japan could use the funds for post-war reconstruction. Japanese diplomats discussed the impact another loan would have on peace talks. There was concern that attempting to issue another loan would signal to Russia that the situation in Japan was weak. This might embolden Russia to continue the war. Alternatively, it might create the impression that Japan did not want peace.²⁵⁶ After weighing up the options, Tokyo concluded that it was imperative that a fourth issue be brought to the market.²⁵⁷

The Japanese government began to pressure Takahashi to seek another sizeable loan, motivated as it was to demonstrate to the Russians that Japan's economic staying power was not an impediment to

²⁵³ Clymer, *John Hay*, pp. 153, 208.

²⁵⁴ 'Telegram from Kuhn Loeb & Co. to Lord Revelstoke, Received 19 June 1905', BA: PF200188 HC 6.1.34.

²⁵⁵ 'Telegram to Kuhn Loeb & Co., from Lord Revelstoke, Sent 19 June 1905', BA: PF200188 HC 6.1.34.

²⁵⁶ Telegram from Arakawa Miyoji to Komura, 20 June 1905, JACAR: 3-1239-0298.

²⁵⁷ Adler, *Jacob H. Schiff*, Vol. 1, p. 223.

continuing war should Russia not capitulate. Japan was confident that, even if Russia did capitulate and war came to an end with the funds unused, the funds could instead be applied to post-war economic development. This, Japan believed, would in turn help in repaying the considerable loan burden brought about by the war.²⁵⁸

Schiff, in concert with London, felt that the timing was premature for a hurried issue, not least because the first 4.5% bond had been sold for £30 million in part on the basis that this would be sufficient to carry Japan through twelve more months of war—not two months—and that the final instalments of payments on the first 4.5% had not yet even been collected. As early as April 1905, Japan had come to believe that Russia had exhausted its financial resources in further prosecuting the war.²⁵⁹ Baron Komura, minister of foreign affairs and chief plenipotentiary at the peace negotiations in Portsmouth, was intent on raising the capital. Komura believed that by entering peace negotiations he would be in a position of economic advantage that would more likely yield a successful conclusion to such negotiations and the onset of peace, and would also be likely to benefit Japan by placing it in a position of strength against a foe that might otherwise adopt a drawn-out, scorched-earth policy to crush Japanese resolve and resources.²⁶⁰

Komura was more prescient than he could likely have known at the time. Count Witte, Russia's chief plenipotentiary at the Portsmouth peace conference, acknowledged in his memoirs that Russia had 'exhausted all means and had lost credit abroad'. Witte continued that 'there was not the slightest hope of floating either a domestic or a foreign loan. We could continue the war only by resorting to new issues of paper money, that is, by preparing the way for complete financial and consequently economic collapse'.²⁶¹

'It is an open secret', observed Witte, 'that nearly all of Japan's war loans were floated on the American money market, so that America practically financed Japan in her clash with us'.²⁶² Whether it is accurate or not, this very perception speaks to the influence Schiff's role played in bringing

²⁵⁸ Smethurst, *Takahashi Korekiyo: Japan's Keynes*, pp. 176–177.

²⁵⁹ Japanese Cabinet Decision, 8 April 1905, in Kajima, *The Diplomacy of Japan*, p. 229.

²⁶⁰ Smethurst, *Takahashi Korekiyo: Japan's Keynes*, p. 178.

²⁶¹ Yarmolinsky, *The Memoirs of Count Witte*, p. 135.

²⁶² *Ibid.*, p. 140.

the war to a rapid close in favour of the Japanese. The result of Schiff's catalysing effect on the loan issues was a remarkable reversal of fortunes. Russia now faced the same economic consequences it had intended to impose upon Japan through waging a war it believed it could not lose.²⁶³

Schiff came to agree with Takahashi's argument to proceed without delay with the offering, but, concerned that the New York and London markets might be overstretched on their own to re-enter the market so quickly after the first 4.5% issue, recruited Deutsch-Asiatische Bank to lead a team of eleven banks in Germany through M. M. Warburg to together take on one third of the next issue's underwriting.²⁶⁴ Drawing in another European power, and this time one that had previously been more closely allied with Russia, was politically compelling for Tokyo. At the onset of war, in a series of events that may indeed have been a contributing factor leading to the war, Russia had been coerced by the German kaiser to 'drag Russia into Far-Eastern adventures' and thus alleviate Germany's need to protect its own eastern borders.²⁶⁵ By the time of the fourth loan, the political circumstances in Germany had changed. Japan had demonstrated itself to be a world power, and there was a sense in German government and industry that business opportunities with Japan were worth pursuing. Any risks of financing Japan were mitigated by the possibility of the development of future commercial ties. Germany decided that the best way to demonstrate its neutrality would be to provide finance to both sides of the conflict.²⁶⁶ The German government actively encouraged banks to participate in the Japanese loans. This contrasted with the American and English governments, which remained aloof as regarded their own domestic financial institutions.²⁶⁷

Speyer Brothers approached the IJG again offering better terms than the English syndicate to provide the next loan. Schiff continued to view a new bond issuance as premature but felt Kuhn Loeb must 'act very

²⁶³Ziegler, *The Sixth Great Power*, p. 312.

²⁶⁴'Telegram from Kuhn Loeb & Co. to Lord Revelstoke Received 21 June 1905', BA: PF200188 HC 6.1.34.

²⁶⁵Yarmolinsky, *The Memoirs of Count Witte*, p. 105; see also Sherman, 'German-Jewish Bankers', p. 60.

²⁶⁶'Telegram from Inouye (Berlin) to Katsura (Tokyo)', 7 July 1905, JACAR: 3-1239-0317.

²⁶⁷'Telegram from Takahira (Washington) to Komura (Tokyo)', 23 March 1905, JACAR: 3-1239-0095.

cautiously in view of Speyers continued and urgent efforts to get a footing with the Japanese Government'.²⁶⁸ It was therefore a welcome addition to his syndicate that the previously reticent Kidder Peabody decided to reverse course and participate. Writing to Revelstoke, Schiff noted in July 1905 that

Kidder, Peabody & Co have overcome the reluctance which they had to go into Japanese Loans, when at your instance we offered them a participation in the ground floor in the first 6% loan and which they declined. They called upon Mr. Takahashi while he was here recently and expressed a desire to become connected with the Japanese financing, which fact Mr. Takahashi mentioned to us, and because of this and our impression that it would please you, we invited them to become co-issuers in Boston, which they willingly accepted with much advantage to the result.²⁶⁹

Despite the reassurance to the markets that Kuhn Loeb's participation brought, Schiff still wanted to see German participation as a priority. He reassured Takahashi that he would support the issuing of the fourth loan with the proviso that the German banks be given a principal position. This would solidify the political message to be sent to the Russians as well as broaden the market reach while at the same time avoiding exhausting either the English or the American markets.²⁷⁰ To this end Schiff coordinated with Warburg to bring in the Deutsch-Asiatische Bank.²⁷¹ Takahashi was in support of including the German banks, which, though not critical, he believed to be desirable.²⁷²

Schiff was sufficiently convinced of the depth of the German market for the issue that he was prepared to proceed even without the English syndicate, though he preferred that it participate as usual,²⁷³ and worked with Baring Brothers' Lord Revelstoke to lay the groundwork for the issue. Takahashi pressed Tokyo's position and strategy in person, arriving

²⁶⁸ Letter to Revelstoke from Kuhn Loeb, 20 June 1905, BA: PF200188 HC 6.1.34.

²⁶⁹ Letter from Schiff to Revelstoke, 14 July 1905, JSP: Reel 688.

²⁷⁰ Letter from Kuhn Loeb to Revelstoke, 20 June 1905, BA: PF200188 HC 6.1.34.

²⁷¹ 'Telegram from Kuhn Loeb & Co. to Lord Revelstoke Received 21 June 1905', BA: PF200188 HC 6.1.34.

²⁷² 'Telegram from K. Takahashi to Parr's Bank Limited, Received 22 June 1905', BA: PF200188 HC 6.1.34.

²⁷³ Best, 'Financing a Foreign War', p. 317.

in London on 2 July 1905. The second 4.5% issue was agreed upon and formalities decided within a few days, and the three countries equally underwrote the offering, with the German group for the first time issuing the bonds in its own name.²⁷⁴

On 6 July 1905, an agreement was signed for a twenty-year, 4.5% loan for £30 million secured by a second lien on the tobacco revenues. This issue notably included the German banks as an equal third alongside Schiff and the English syndicate, with an exchange rate of 20.45 German reichsmarks to £1 sterling. The pricing was set at 85.5% with an issue price of 90% and an underwriting commission of 2%.²⁷⁵

On the German side, the syndicate contracted through the Deutsch-Asiatische Bank of Berlin. HSBC was familiar with the Deutsch-Asiatische Bank, with which it had first formed an alliance in 1895. This pact between banks of the two great powers had originally been orchestrated through the Rothschilds with a view to ending competition in putting together loans for China.²⁷⁶

The Deutsch-Asiatische Bank's syndicate (the 'Bank Party') included the Bank für Handel und Industrie of Berlin, Bayrusche Hypotheken und Wechsel Bank München, Messrs. Bonn und Busse, Deutsche Bank, Dresdner Bank, National Bank für Deutschland Berlin, Norddeutsche Bank in Hamburg, Messrs. Sal Oppenheim Junior & Co. of Cologne, A. Schaaffhausenscher Bankverein in Berlin, and Mr. Jacob H. Stern of Frankfurt, who took between them £9 million of the £10 million allocation, as well as with Messrs. M. M. Warburg & Co. of Hamburg, the 'Hamburg Bankers', who were allocated £1 million.²⁷⁷

The view taken of the Japanese loans in Germany was particularly favourable. The market anticipated that peace talks would commence soon, and it also expected that a large Russian loan issue would ensue. By pre-empting this likelihood, the German market saw the Japanese issue as being particularly well timed. The loans were perceived to be very low risk as they were guaranteed. There was a sense in the German market that Japan's international credit had appreciated markedly during the

²⁷⁴'Telegram from K. Takahashi to Parr's Bank Ltd. Received 24 June 1905', BA: PF200188 HC 6.1.34.

²⁷⁵'New Japanese Govt. Loan', RBS: PAB/142.

²⁷⁶Ferguson, *The House of Rothschild*, Vol. 2, p. 387.

²⁷⁷'Imperial Japanese Government 4½% Sterling Loan (Second Series)', BA: PF200188 HC 6.1.34.

war. The earlier loan issues had required a 6% face rate to compensate for doubt in Japan's credibility. The 4.5% rate on the fourth issue was itself evidence of Japan's creditworthiness. There was a belief that Japan could even go to market without providing any security for the loan (such as the tobacco monopoly revenues) for only a slight premium at 5%.²⁷⁸

Both the Bank Party and the Hamburg Bankers agreed to pay to the English syndicate a negotiating fee of '10 shillings per cent', or 0.5% of the £10 million, and agreed to exercise their 'best endeavours'²⁷⁹ to have the entire offering listed on the German Stock Exchange. As part of its responsibilities, the Deutsch-Asiatische bank gathered from its subcontracting banks guarantees of performance in proportion to their participating allocations. Baring Brothers again guaranteed the performance of the American bankers in the amount of £10 million.²⁸⁰

The last signature was affixed in Hamburg on a guarantee that had travelled from Berlin (10 July) to München (13 July) and thence to Koeln (14 July), Frankfurt (14 July), and finally Hamburg (17 July), addressed to the three banks in the English syndicate. The guarantee secured the commitment of the Deutsch-Asiatische Bank to the English syndicate to gather guarantees for £9 million from the German Bank Party pertaining to the IJG £30 million loan agreement dated 6 July 1905.

The fourth loan was received very favourably on the continent. Within hours of issuance, the bonds were trading on the Berlin Bourse at a 1% premium to the issue price.²⁸¹ Within a week of issue, it became apparent that it was over-subscribed in Berlin by ten times.²⁸² In the Netherlands, despite the bonds not even having been officially offered in that country, demand exceeded £700,000.²⁸³

²⁷⁸'Telegram from Inouye (Berlin) to Katsura (Tokyo)', 6 July 1905, JACAR: 3-1239-0320.

²⁷⁹'New Japanese Govt. Loan', RBS: PAB/142.

²⁸⁰'Japanese Loan German Guarantees', RBS: PAB/135.

²⁸¹'Telegram from Inouye (Berlin) to Katsura (Tokyo)', 7 July 1905, JACAR: 3-1239-0336.

²⁸²'Telegram from Inouye (Berlin) to Katsura (Tokyo)', 13 July 1905, JACAR: 3-1239-0336.

²⁸³'Telegram from Mitsuhashi (The Hague) to Katsura (Tokyo)', 14 July 1905, JACAR: 3-1239-0336.

The American public continued to be influenced by a highly sympathetic press that emphasized the strength of the Japanese economy despite the war (foreign trade was up 25% over the prior year's first half) and that spoke to the self-sacrifice of the Japanese people. Young boys were reported to be working gratis for farmers away at the front as their contribution (and yielding bumper harvests, 'blessed by Providence'), and copies of letters were being repeated verbatim that expressed men's 'proud honor of dying' for Japan notwithstanding emotional but stoic expressions of love for their wives and children. These noble and proud feelings were contrasted with those of the Russians, for whom 'there is no trace of national sentiment or patriotism'.²⁸⁴ Hardly, any wonder investors flocked to Japanese bonds, where they not only could be rewarded economically with good risk-adjusted returns but also were at the same time supporting a noble cause.

THE SUCCESS OF THE LOANS

Kuhn Loeb's ability to ensure the success of the Japanese issues was in some part predicated on its mastery of the market manipulation tools available to it at the time, its prodigious syndication machine, and its reputation. Before Schiff confirmed his role in the issuing the Japanese bonds, there was little optimism in America that such an offering could be successful. As discussed earlier, no other American bank was willing to take on the offering despite having had the opportunity to do so. They had been approached directly by Takahashi to lead the underwriting syndicates and they had been approached by Schiff to see what they thought of the prospect in America. Despite the opportunity to forge a relationship with a new government client, no bank had taken up the offer. Even the English syndicate was hesitant to issue more than a small £5 million offering to test the waters. They too were fearful that the offering would be undersubscribed and inflict losses on the underwriting banks.

Their concerns were not unfounded. At the onset of the war, the value of Japan's existing bonds dropped precipitously, reflecting general market pessimism about their prospects.²⁸⁵ This was countered by the

²⁸⁴'Japan's Sacrifices', *New York Times* (17 July 1905), <http://query.nytimes.com/mem/archive-free/pdf?res=9D0CE1D9173DE733A25754C1A9619C946497D6CF>, accessed 1 August 2016.

²⁸⁵Smethurst, 'Korekiyo Takahashi and Japan's Victory', p. 4.

pricing of the loans. They offered high, well-collateralized returns that were priced above the usual 4–5% rates that would have been expected of loans to established colonial powers.²⁸⁶

However, by adding the name of Kuhn Loeb to the issues, Schiff changed the market's perception of the risk profile. This important factor brought credibility to the offering in America, where investors based their decisions as much on the reputation of the underwriter as that of the issuer, if not more so. Verifying the creditworthiness of his clients was the foundation upon which Schiff's reputation was built. While political motivations may have sharpened his focus on Japan, the lens through which Schiff examined the opportunity was the extent to which he believed Japan could pay back its debts. He was not about to fritter away his reputation by losing money in pursuit of a political ideal. His counterparts in England certainly were not driven to invest by a passion to protect Jews in Russia, and there is no evidence to support the idea that any of the secondary investors in the issues were either. With Schiff's name on the loans, investors saw them as making sense from a financial perspective.

Roberta Dayer describes this driving principle among investment bankers as she paints a picture of Charles Addis, one of Schiff's counterparts at HSBC in London: 'Investment bankers look at the world through a single lens which does not distinguish political or cultural differences. Whether the applicant for a loan is Chinese, Latin American, Russian, or German, or whether the application is filed by a government or a business, the question is the same—namely, how creditworthy is the applicant?'²⁸⁷ By putting his name to the loans, Schiff signalled that he had measured Japan's creditworthiness comprehensively. Investors who previously had doubted the credit now had the confidence to proceed.

Schiff understood that the scale of the offering was beyond anything he had handled before and unusually large for the American market in general, and particularly for a foreign government borrower. Recognizing that the usual syndicate members might not be sufficient to take on the entirety of the offering, he employed the unusual step of ensuring that individual investors at the retail level were given greater priority than they would normally be afforded. This served two purposes:

²⁸⁶Ibid., p. 6.

²⁸⁷Roberta A. Dayer, *Finance and Empire: Sir Charles Addis, 1861–1945* (New York: St. Martin's Press, 1988), p. xxi.

it dramatically enhanced the demand for the bonds by spreading distribution to as wide a net as possible, and at the same time, it all but guaranteed that the offering would be profitable for all syndicate members, substantially reducing the risk exposure for those members at the top of the syndicate hierarchy.

The combined impact of these forces contributed to the success of the offerings and the almost immediate compression of yields in subsequent offerings.

THE JAPAN DEAL IN THE CONTEXT OF SCHIFF'S OVERALL BUSINESS

It is worth putting the financing of the war into perspective in relation to Schiff's workload to avoid the impression that these deals dominated his activities at the time. Schiff's multi-tasking and productivity were prodigious, and financing the Japanese war effort was by no means the only thing occupying his days, as he integrated other undertakings simultaneously. Among other ventures, Schiff financed the American Smelting and Refining Company in May 1905 with a \$25 million offering. He financed the Pennsylvania Railroad, which was to generate some half a billion dollars in total business for Kuhn Loeb. And he was distracted with accusations of conflicts of interest regarding his sale of stock to the Equitable Life Assurance Society, of which he was a director.²⁸⁸

The Equitable controlled over \$400 million in assets at the time, yet it was a company that was structured along the lines of 'old' capital to the extent that there were shares of stock worth only \$100,000, of which a controlling interest of \$51,000 in stock had passed to the then 27-year-old heir of the Society, James Hazen Hyde (1876–1959), from his father, the founder, Henry Baldwin Hyde (1834–1899).²⁸⁹ The Society had suffered some internal wrangling as its President, James W. Alexander (1839–1915), had wanted to take control away from Hyde by transferring voting rights and thus control of the Society to its policyholders. Schiff was not unsympathetic to Alexander's intentions because he also considered that the control of so large an organization

²⁸⁸'Schiff and Coolidge Quit the Equitable', *New York Times* (6 June 1905), <http://query.nytimes.com/mem/archive-free/pdf?res=9401E4DB173DE733A-25755C0A9609C946497D6CF>, accessed 1 August 2016.

²⁸⁹Adler, *Jacob H. Schiff*, Vol. 1, p. 185.

by someone so young, and on the basis of so little stock, was imprudent. He advised Hyde that mutualization was inevitable but cautioned that a commonly developing practice was that of issuing proxies. He expressed concern that proxies could ultimately end up leaving the president of the society in a position of excessive authority. This result would simply mean a shift in control of the Society to Alexander, which would be as detrimental to the other shareholders and to the Society itself as the complete control Hyde currently held.

Schiff had sold equities—and Japanese bonds—to the Equitable while also being one of its directors. It was not an uncommon practice for Schiff to sell to an entity for which he also had a fiduciary buy-side responsibility, and consequently, he found himself in the awkward, and potentially conflicted, position of being both a buyer and a seller simultaneously.

In the case of the Equitable, the conflict would likely not have become an issue for him or for Kuhn Loeb had he not sided with Hyde in the dispute with Alexander. The latter launched attacks on the integrity of Schiff and Kuhn Loeb based on the premise that they had traded equities and bonds despite the conflict of interest. The accusations were, Schiff argued, baseless. Acquisition decisions at the Equitable were authorized solely by the executive committee, of which Schiff was not a member and which he actively avoided precisely to avoid charges of conflict in this trading with the Society. There were also precedents where Schiff had acted similarly in other Societies and where he had effectively recused himself from the decision-making buy side of the trades.²⁹⁰ Nonetheless, it was a practice that in later years would come under broader scrutiny, leading to the eventual termination by Schiff of such practices.

In early June 1905, Schiff attempted to resolve the conflict by terminating his representation of either side. He advised that both Hyde and Alexander agree instead to the appointment of a board chairman who would be empowered with full authority over the Society, and that neither continue to pursue control themselves. The proposition was rebuffed and so Schiff resigned from the board of the Society.²⁹¹

²⁹⁰ Adler, *Jacob H. Schiff*, Vol. 1, p. 177.

²⁹¹ Letter from Schiff to James W. Alexander, 5 June 1905, as quoted in Adler, *Jacob H. Schiff*, Vol. 1, p. 188.

At the same time as having to deal with challenges to his integrity by Alexander and his subordinates, Schiff had to face the unwelcome scrutiny of the New York state superintendent of insurance, Francis Hendricks (1834–1920), who was conducting his own investigation and who had called Schiff to act as a witness. This investigation eventually snowballed into the broader Armstrong Investigation.²⁹² These were hearings that were tasked with investigating alleged abuses by insurance companies and were conducted by a joint committee of the senate and assembly of the state of New York. Ultimately they resulted in reforms to the industry that prioritized policyholder rights and placed restrictions on business practices in an attempt to eliminate the risk of conflicts of interest brought about by self-dealing.²⁹³ Schiff maintained that at all times his integrity had remained intact. Even on the occasions when Kuhn Loeb had benefited from trading with the Equitable, the Equitable had also always benefited.²⁹⁴

Hendricks produced a report on his investigative findings that seemed to imply some impropriety. Again the implication was that Schiff had acted in conflicted interest while on the board of the Equitable. Schiff had, it was alleged, inflicted a loss to the Equitable and by the same stroke gained a profit for Kuhn Loeb by permitting the society to sell back to Kuhn Loeb bonds at a loss of 2.5% that it had only recently acquired from it. In a letter to Hendricks following the hearings, Schiff sought to correct Hendricks' misinterpretation of the evidence he had earlier presented:

Japanese bonds purchased by the Equitable from Kuhn, Loeb & Co. were later resold by the Society to us at a loss of 2½%. As was explained in the testimony which I gave before you, these Japanese bonds, which were payable in Pounds Sterling, were originally purchased by the Equitable at the rate of \$4.88 to the pound and were resold at \$5. to the pound, with the result that they were sold, not at a loss [to them], but at precisely the price

²⁹²Schiff was called to testify and his entire corpus of evidence is recorded in *Testimony Taken before the Joint Committee of the State of New York*, Vol. 1, pp. 1000–1050.

²⁹³'The Armstrong Report Comes Out', *New York Times* (23 February 1906), <http://query.nytimes.com/mem/archive-free/pdf?res=940CE4DC1531E733A-25750C2A9649C946797D6CF>, accessed 1 August 2016.

²⁹⁴Cohen, *Jacob H. Schiff*, p. 27.

paid for them by the Society which in the meantime had realized interest upon them at the rate of about 5½% per annum.²⁹⁵

Nonetheless, the investigation was time-consuming and an unnecessary distraction for Schiff, who found his integrity and honesty challenged in a public and highly visible forum.

The Pennsylvania Railroad financing, for its complexity, political sensitivity and economic scale, presented a different challenge to Schiff coinciding, as it did, with the Japanese bond issues. In October 1902, so confident were Pennsylvania's managers from their experience of raising capital through intermediaries, and so strong was their stock being traded, that, to generate an additional \$75 million (at face value) to finance tunnel developments in New York, they decided to forgo the benefits of engaging advisers and make the offering directly to their shareholders themselves. The inexperienced directors of Pennsylvania watched as their stock steadily declined in value before deciding that a floor needed to be set. Schiff, unperturbed by Pennsylvania's go-it-alone strategy, brought Kuhn Loeb in together with Speyer & Co. (which later would try to circumvent Schiff's relationship with the IJG) and set the floor by agreeing to purchase all stock not acquired on the open market.²⁹⁶

In early 1904, it became apparent that Pennsylvania would need another \$50 million in funding. Schiff was conscious of the demands that would be placed on the market by the Japanese bond offerings. He determined that, while a stock offering was desirable for the Pennsylvania, it would be better to wait a year and instead provide interim financing. This Schiff successfully arranged for personally before his departure for Europe in February 1904. The result, he noted in a letter to Alexander Cassatt (1839–1906), the railroad's president, on 10 February 1904, was successful, though its reception by the markets was in part tempered by the outbreak of war on the Korean Peninsula.²⁹⁷

In early 1905, at the height of the war, Cassatt returned to Kuhn Loeb to raise an additional \$100 million for the Pennsylvania. Kuhn

²⁹⁵Letter from Schiff to Hendricks, 25 July 1905, JSP: Reel 676. See also testimony of Jacob H. Schiff in *Testimony Taken before the Joint Committee of the State of New York*, Vol. 1, pp. 1049–1050; emphasis in the original.

²⁹⁶Adler, *Jacob H. Schiff*, Vol. 1, p. 76.

²⁹⁷*Ibid.*, p. 77.

Loeb elected to present the securities at 3.5% in the form of bonds convertible into common stock. This structure was considered a ‘derivative’ at the time and, while somewhat speculative, was becoming increasingly popular. To assuage the market’s indifference to the nature of the offering, therefore, Schiff used a creative financial structure in an attempt to entice buyers. The attempt was unsuccessful and in May of that year he wrote to his son, Mortimer, indicating that the underwriting syndicate was likely to take the larger share of the issue and would have to wait for the markets to strengthen to be able to liquidate its position.²⁹⁸

Japan loomed very large for Jacob Schiff’s business interests. It represented the high point of his career, most especially in the international arena, against which other achievements were measured. For Japan, it marked emergence into the international community as a formidable world power. After the Russo-Japanese War, Japan’s growth was rapid as it evolved into an imperial power. For Schiff, the period after the war was a return to business as usual.

²⁹⁸Ibid., p. 78.



Impact and Conclusions

In 1904, for the first and only time, Jacob Schiff combined his business life and his Jewish life in order to make a prudent financial investment that at the same time had strong political overtones. Though the English syndicate had the capacity to absorb the whole loan, Schiff broke the stalemate in which it found itself in negotiations with the Japanese government and enabled the finance of Japan's war against Russia.¹ The effects of his role earned him the epithet 'Japan's banker',² confirming Charles Geisst's notion that 'if any of the German émigrés could lay title to the term "American Rothschild", it was Schiff'.³ His actions resonate to this day with warm welcomes always afforded to executives from the American Jewish Committee (an organization Schiff co-founded) when they visit Tokyo.⁴

Aided by Schiff, triumph over Russia propelled Japan to superpower status and won it the acknowledgement of the rest of the developed world. This was most overtly seen in Japan's 1910 annexation of the Korean Peninsula, which went entirely unopposed by Western nations. The combination of Japan's elevation to such a status and the perceived

¹ Kranzler, 'The Japanese Ideology of Antisemitism and the Holocaust', p. 82.

² Best, 'Ideas Without Capital', p. 467.

³ Geisst, *The Last Partnerships*, p. 57.

⁴ Personal interview with Dr Neil Sandberg, American Jewish Committee West Coast President, at the Asia and Pacific Rim Institute, Los Angeles, September 2007.

financing of that elevation not by Jacob Schiff necessarily as an American but as a Jew created what was probably the first visible and meaningful introduction to Jews that the Japanese had yet encountered. The Rothschilds' denial of financial support to Japan was premised on sectarian reasoning. They acted as they did based on a conviction that they were giving primary consideration to Jewish concerns.⁵ While disagreements lingered between the two Jewish houses—brought about by their mutually exclusive interpretations of how best to solve the same problem of Jews in Russia—Schiff eventually went to Japan to a hero's welcome and was given among the greatest of honours: to be invited to meet with the emperor.⁶

While the war was a success for Japan, E. H. Norman, believing that 'the Treaty of Portsmouth signalized the entry of Japan into the ranks of the Great Powers',⁷ argued that the war was in many ways not a success for Schiff, at least in the sense of his aspirations and hopes. The economic success brought by Japan's triumph against Russia was countered by the almost immediate wave of pogroms that followed the failed revolution of 1905. Hundreds of pogroms occurred in the last quarter of 1905, and hundreds of Jews were killed, thousands were injured, and millions of rubles of property damage were sustained.⁸ Schiff also experienced disappointment in terms of business opportunities, which after the war did not develop in Japan for him at the level he would have liked. The American market was still youthful in its foreign investments and the market less willing to embark on such ventures. The closest Schiff was to get was a portion of the Tokyo City loan of 1912.⁹

For Japan, however, an important result of Schiff's actions during the war was the cascade of loans that followed the finance Schiff had brought to the war effort, which capitalized on the credibility Japan won in the markets through its military and economic strength. Schiff's

⁵Richard J. Smethurst, 'Takahashi Korekiyo, the Rothschilds and the Russo-Japanese War, 1904–1907', www.rothschildarchive.org/ib/articles/AR2006Japan.pdf, accessed 27 June 2010, p. 22.

⁶Cohen, *Jacob H. Schiff*, p. 34.

⁷Dower (ed.), *Origins of the Modern Japanese State: Selected Writings of E. H. Norman*, p. 314.

⁸Klier and Lambroza (eds.), *Pogroms*.

⁹Adler, *Jacob H. Schiff*, Vol. 1, p. 229.

successful institutional-level government finance provided a roadmap for lower-level, provincial and private interests to follow suit. Having been a co-author of the war bond issues together with Schiff, HSBC was a primary beneficiary of the post-war boom in this provincial and private financing. Together with other banks including M. Samuel & Co., Chartered Bank of India, Industrial Bank of Japan, N. M. Rothschild & Sons (London), de Rothschilds Freres (Paris) and increasingly other banks as time progressed, HSBC provided finance to governmental, municipalities and non-governmental clients throughout Japan.¹⁰ These included loans to the IJG (4% loan, 1905); the Kansai Railway Company, Osaka (1905); the IJG again (4%, 1905); the Hokkaido Colliery and Railway Company (1906); the city of Tokyo (1906); the IJG for a third time (5%, 1907); the South Manchurian Railway (1907); the Industrial Bank of Japan (1908); the South Manchurian Railway (1908); the city of Osaka (1909); the Yokohama City Gas Works (1909); and the city of Yokohama (1909).

It is noteworthy that over the period of its first loan to Japan in 1899 to its last pre-World War II loan in 1930, HSBC took part in floating loans to the IJG or to cities and non-governmental organizations in an amount in excess of £250 million of face value, which was considerably more than it had loaned in China.¹¹ Furthermore, the loans issued by HSBC with Japan in the twenty-five years following the Russo-Japanese War measured over twenty times those issued in the twenty-five years before and during the war.

The impact of Schiff's intervention in breaking the stalemate in negotiations was multi-faceted. At the most basic level, it enabled Japan to raise money to finance its war effort against Russia and in so doing helped the country to prevail in that war. Other consequences included the development of mutually advantageous Japanese-Jewish relations, the internationalization of Japan's credit markets, the beginning of the shift of world financial hegemony from London to New York, the creation of new business opportunities (though these were of limited scope for Schiff himself) and the propulsion of Japan into an age of colonial imperialism.

¹⁰ 'Loans Issued by Hongkong & Shanghai Banking Corporation & Others in London, also, Other Eastern Loans Dealt in, on, the London Stock Exchange', HSBC-A.

¹¹ 'Japanese Loans', HSBC-A.

JAPANESE–JEWISH RELATIONS

Schiff's actions in supporting Japan's Russian exploits in 1904 created an early defining moment in the history of the relationship between the Japanese and the Jews. While evidence of the impact is anecdotal, it is consistent in its tone. It often references Schiff directly. In some circumstances, it persists to this day. Lewis Strauss (1896–1974), the financier and later chairman of the Atomic Energy Commission, reportedly said following Schiff's death that 'no Japanese official of any consequence came to New York without taking the long ride to Salem Fields Cemetery, to make a respectful and ceremonial bow at the grave of Jacob Schiff'.¹² Though likely he was exaggerating, his observation may also have contained a kernel of truth.

One of the most telling examples is drawn from 1941, during World War II, as Japan debated how to react to German aggression against Jews. In their book *Jews in the Japanese Mind*, David Goodman and Masanori Miyazawa examine the manner in which antisemitic stereotypes, such as that of the domination of world financial markets, were received in Japan. One example they point to is that of the 'self-styled "Jewish specialist"', Koyama Takeo. Koyama specifically referred to Schiff's contribution to Japan during the Russo-Japanese War as well as to the significance of Jewish traders' and businessmen's help in opening Japan's exports to broad international markets. According to Goodman and Miyazawa, Koyama concluded that Japan was in the debt of Jews and should therefore adopt policies that co-opted Jewish influence rather than attempting to eradicate it as the Nazis were insisting.¹³

A similar reaction to stereotypes of Jews (referring directly to Schiff) is commented on by historian Ben-Ami Shillony. In his book *The Jews and the Japanese: The Successful Outsiders*, Shillony discusses the view of messianic Japanese in 1933. Here, there was a sense of obligation to repay the Jews as a result of the kindnesses shown them by Schiff in 1904. Shillony discusses pre-World War II Japan as the country started to struggle with reconciling international antisemitism with its own direct experience of Jews. In this regard, he points to a Japanese translator of the *Protocols of the Elders of Zion*, Yasue Norihiro (1886–1950). Yasue was 'a pragmatic military man who became the [Japanese] army's expert

¹² Boyle, 'The Drought–Walsh Mission to Japan', pp. 141–161.

¹³ Goodman and Miyazawa, *Jews in the Japanese Mind*, pp. 124–125.

on Jewish affairs'. Yasue mentioned that Schiff served as an example of a Jew who had come to Japan's aid, albeit primarily, as Yasue believed, through animus to Russia rather than fondness for Japan. Shillony also finds evidence as late as 1941, at the onset of the Pacific War, of overt references by Japanese publishing company Chuō Koronsha to a debt of gratitude towards Jews because 'Japan should not forget the financial support Jacob Schiff had extended to it during the difficult time of the Russo-Japanese War'; this was held up as a reason why Japan should befriend Jews, not alienate them.¹⁴

Indeed, Shillony, as well as Marvin Tokayer and Mary Swartz, points to an overture by Japan to the Jews of America to provide a place of refuge in Manchuria for Europe's Jews in the prelude to World War II. This approach came with specific references such as 'Japan still remembers the financial help of Jacob Schiff'. Tokayer and Swartz describe how, in the late 1930s, 'a secret policy was devised in the highest councils of the Japanese government [that] could have saved a million Jews from Hitler's Holocaust'. Japan was aware that its own financial acumen was lacking in its colonial expansionist endeavours, and in a strategy to address this point and to attempt to create a territorial buffer in Manchuria, Japan thought to attract Jews to colonize the region. The strategy was specifically focused on manipulating US and British foreign policy towards Japan by co-opting Jewish power during the war. It was designed to generate inward foreign investment to Manchuria driven by attracting money from Jews worldwide.¹⁵ Named the Fugu Plan, after which Tokayer and Swartz titled their book, the plan was based on 'enrolling the talents and skills of European Jewry, in the building of Japan's twentieth-century empire'.¹⁶

Manchuria was an unlikely refuge for Jews. It was only considered because it was under Japanese control as a result of the Russo-Japanese War and consequently was linked with Schiff. The idea was to actively employ philo-Semitic policies to attract some 50,000 German Jews to migrate there.¹⁷ Once in place, Jewish influence could then be harnessed

¹⁴Shillony, *The Jews and the Japanese*, p. 178.

¹⁵Marvin Tokayer and Mary Swartz, *The Fugu Plan* (Jerusalem: Paddington Press, 2004), p. 52.

¹⁶*Ibid.*, p. ix.

¹⁷James R. Ross, *Escape to Shanghai: A Jewish Community in China* (New York: Free Press, 1994), p. 141.

to leverage foreign governments' foreign policy regarding Japan as well as to generate financial inflow from the world's Jewish communities through their suspected control over world finance. Tokayer and Swartz explain how, 'for an entire victorious populace of Japan, "Jew" became synonymous with access to, and control of, vast sums of money' because of Schiff's actions during the Russo-Japanese War. As late as 1939, Tokayer and Swartz say, specific references were made to Schiff as an example of how to effectively manage financial requirements during times of war.¹⁸

The name 'Fugu' derives from the Japanese word for the puffer fish, which, though edible, can under certain circumstances be poisonous. According to Tokayer and Swartz, the Jews were seen similarly by the Japanese—useful, but to be treated with care. Tokayer and Swartz's contribution is useful in the context of this book because the authors premise their argument on the idea that what Jacob Schiff did for Japan created a Jewish stereotype for the Japanese. As a result, Jews were assumed by the Japanese to have had 'the capital and financial skills' that they themselves lacked.¹⁹

Japan's rejection of antisemitism was visible at the highest levels of government. Japan's Foreign Minister Arita Hachiro (1875–1965) announced that Japan would not discriminate against Jews. In September 1940, after signing the Tripartite Pact with Germany and Italy, Arita's successor as foreign minister, Matsuoka Yosuke (1880–1946), indicated that 'antisemitism will never be adopted by Japan. True, I concluded a treaty with Hitler, but I never promised him to be an anti-Semite. And this is not my personal opinion, but it is a principle of the entire Japanese empire'.²⁰

Tragically, American Jewish myopia at the time prevented these overtures from being realized. While it seems an incredible missed opportunity, there were examples where Japanese nationals directly aided in saving Jews during World War II. Sugihara Sempo (1900–1986) is perhaps the best known of these. As the Japanese consul in Kaunas, Lithuania, he issued thousands of transit visas to Jews from Poland and Lithuania. Technically, the visas were to provide passage to a Dutch

¹⁸Tokayer and Swartz, *The Fugu Plan*, p. 9.

¹⁹Ibid., p. ix.

²⁰Shillony, *The Jews and the Japanese*, p. 184.

colony in the Caribbean, but, as they also allowed for transit through Japan, with no limit on the duration of stay, they resulted in several thousand refugees finding themselves in the safe haven of Kobe.²¹

In providing a detailed analysis of Japanese–Jewish relations during World War II, Pamela Sakamoto points to the nuance that derived from Schiff’s ‘legendary’ role during the Russo-Japanese War, which served to morph the stereotype of the ‘greedy Jew’ into a more malleable ‘wealthy Jew’ in the Japan of the 1930s. While there was a prevailing narrative of the Jew as the enemy, Sakamoto talks of the idea that ‘using Jews was a compelling argument’.²² Schiff, she says, served as evidence of Jewish financial power. Japan believed it possible to benefit again from Jewish influence but in practice found it difficult. The Jews who made it to Japan or Manchuria were not influential financiers but penniless refugees. Incidents of apparent Japanese antisemitism, such as support for white Russians in Manchukuo and the search of synagogues for armaments in Harbin, served to set Jewish establishment opinions against the Japanese. The Japanese were unable to find a direct use for Jews but did not persecute them. Perhaps, the Jewish community failed to fully appreciate the extent to which Japan could have been an ally during the war.²³

Cheryl Silverman has studied the experience of Jewish émigrés to Japan and Japanese-occupied territories and concludes that ‘conceptions of Jews found in Japanese media seem to contrast sharply with and to have little bearing on the recounted experiences of the Jewish émigrés in Japan’. In other words, consistent with the spirit of what Arita and his successor said, while antisemitism did emerge in Japan and while it may sound like its Western counterpart, in reality it has little real impact on the way Japan treats or views Jews. Silverman concludes that Japanese antisemitism has ‘all the trappings, but little of the spirit of [Western] antisemitism’.²⁴ David Goodman and Masanori Miyazawa believe that Japan was ‘pragmatic’ in its handling of Jews²⁵ and that ‘antisemitism

²¹ Hillel Levine, *In Search of Sugihara: The Elusive Japanese Diplomat Who Risked His Life to Rescue 10,000 Jews from the Holocaust* (New York: Free Press, 1996).

²² Pamela R. Sakamoto, *Japanese Diplomats and Jewish Refugees* (Westport: Praeger, 1998), p. 17.

²³ *Ibid.*, p. 19.

²⁴ Cheryl A. Silverman, ‘Jewish Emigres and Popular Images of Jews in Japan’ (PhD dissertation, Columbia University, 1989), pp. 259–260.

²⁵ Goodman and Miyazawa, *Jews in the Japanese Mind*, p. 114.

was not used to persecute Jews, nor was it by any means central to Japan's wartime ideology'.²⁶ Finally, in a paper produced for the Pacific Rim Institute of the American Jewish Committee, Jennifer Golub observes that there have been in Japan 'virtually no attacks against Jews or Jewish institutions'.²⁷

What Silverman portrays as muted antisemitism did grow in Japan, and by 1923, 'the most popular Judeophobic vehicle in Taisho Japan' was a book based on a series of speeches given to the Japanese government's upper house that claimed the *Protocols of the Elders of Zion* had accurately predicted the Russo-Japanese War and the subsequent 1905 failed revolution and that this stood as a measure of the authenticity of the antisemitic narrative.²⁸ These voices were countered, however, in March 1929, when Heibonsha, a well-respected publishing house, staged a prestigious roundtable to discuss 'the Jewish Problem'. During this event, some of the participants specifically identified Schiff's support of Japan during the Russo-Japanese War, asserting that talk of 'secret [Jewish] designs against Japan is but hateful rumors' and saying that 'there is no reason to fear the Jews who are a good people... [Jacob Schiff] assisted Japan in getting international loans in the Russo-Japanese War and was decorated by the Emperor Meiji'.²⁹

Jacob Kovalio says that the first antisemitic references to Jewish financial power in Japan did not occur until 1918, when they appeared in Shibata Hisao's work *The Global Power of the Jews: Beware the Invisible Empire!* This book erroneously blames American Jewish financiers for having brokered the Anglo-Japan Alliance of 1902. Kovalio explains that, rather than seeing financial help to Japan as positive, Shibata blames Jewish financiers for having turned Russia into Japan's enemy.³⁰ Importantly, Shibata never mentions Schiff, despite his economic contribution to Japan, but instead identifies the Rothschilds, Cassel and the Sassoons as the focal point of his antisemitic invective. In his description of the development of Japanese antisemitism, Kovalio also points to Dr. Miyake Yujiro (1860–1945), who saw the Jews as a 'problematic race'

²⁶Ibid., pp. 106–107.

²⁷Jennifer Golub, *Japanese Attitudes Towards Jews* (Los Angeles: Pacific Rim Institute, American Jewish Committee, 1992), p. 5.

²⁸Kovalio, *The Russian Protocols of Zion in Japan*, p. 30.

²⁹Ibid., p. 55.

³⁰Ibid., p. 18.

and who also took up the Rothschilds as captains of all things symptomatic of Jewish economic conspiracies. In antisemitic themes, it seems that, although the Rothschilds were not the primary agents of support for Japan during its hour of need, their power overwhelmed the influence of Schiff when it came to placing the blame for perceived Jewish financial subterfuge.³¹ In fact, it would be difficult to find any other Jewish entity that outpaced the Rothschilds as the subject of antisemitic diatribes.³²

James R. Ross, in analysing the Jewish community under Japanese-occupied Shanghai, explains that Japan specifically reciprocated Schiff's financing of the Russo-Japanese War by being 'among the early supporters of the Balfour Declaration and endorsing a Jewish home in Palestine during the debates at the League of Nations'.³³ John de Boer, in his Ph.D. dissertation examining the origins of Japan's relations with Israel, alludes to the same phenomena occurring in 1953. Though de Boer does not mention Schiff, he finds an example where the Rothschilds, as Jews, were recognized (erroneously) as having aided Japan during the Russo-Japanese War.³⁴

Even as late as the 1990s, Jacob Schiff's name and deeds were remembered in conferences between members of the American Jewish Committee and their Japanese counterparts in Tokyo. The American Jewish Committee is an organization with a focus on human rights that was co-founded by Jacob Schiff in 1906. During the early 1990s, the committee had approached the Japanese government in its attempts to break the Arab boycott that was being observed by some Japanese companies. Schiff's name came up as a founder of the committee and an early friend of Japan. These recollections helped in opening doors for the committee's representatives to the highest levels of government and consequently went some way towards the breaking of the boycott.³⁵

In what little commentary there is about the impact of Schiff on the impression of Jews held by the Japanese, there is uniform agreement not

³¹Ibid., p. 22.

³²Ferguson, *The House of Rothschild*, Vol. 2, pp. 260–283.

³³Ross, *Escape to Shanghai*, p. 141.

³⁴John de Boer, 'Israel's Foreign Policy Towards Japan Between 1952–1956: A Study Based on Israel's Archives' (PhD dissertation, University of Tokyo, 2002), p. 64.

³⁵Personal interview with Dr Neil Sandberg, American Jewish Committee West Coast President, at the Asia and Pacific Rim Institute, Los Angeles, September 2007.

only that Schiff's role may have been the most significant of all Jewish–Japanese contacts in defining relations between the two peoples but also that the impact of Schiff's actions extended as far as World War II in mitigating Japan's treatment of Jews despite its being an ally of Nazi Germany. David Goodman and Masanori Miyazawa describe Schiff as having been 'the most influential' of 'a handful of individual Jews [to] have exercised direct influence on Japanese attitudes'. Goodman and Miyazawa continue that Schiff's 'fame lent a degree of credibility to the myth of Jewish control over the world economy, but it also influenced Japanese policymakers during World War II, who remembered Japan's debt to Schiff and resisted Nazi pressure to harm the Jews under their control'.³⁶

A defining moment in Japanese–Jewish relations was the Five Ministers' Conference of December 1938, which articulated Japanese policy towards Jews in the context of Japan's alliance with Nazi Germany and Italy. The statement specifically notes that 'Germany's extreme policies of expulsion toward the Jews are contrary to the [Japanese] Empire's longstanding spirit of human equality'. It went on to establish a policy aimed towards 'using the [Jewish] refugee problem to Japan's benefit in its relations with the United States: since American politics, finances and media are under the influence of Jewish power it is important for the Jews not to interpret the anti-communist alliance with Germany to mean that Japan is a totalitarian antisemitic nation'. It continued by saying, 'this is a great opportunity for Japan to use the Jewish refugee problem [and the equitable treatment of Jews under its jurisdiction] to its benefit'.³⁷ Takahashi Korekiyo, a close ally of Schiff during the war, had remained in senior political positions, primarily as finance minister, until his assassination in 1936. John Dower describes the continuity of leadership in Japan and how this was reflected in policy decisions.³⁸ Though Takahashi was not present at the Five Ministers' Conference, his reputation and the respect in which he was held may well have in part influenced the policies the conference adopted.

Finally, in analysing the place of Jews in American society, Benjamin Ginsberg correlates Jewish survival and prosperity with the relationship

³⁶ Goodman and Miyazawa, *Jews in the Japanese Mind*, p. 9.

³⁷ Kovalio, *The Russian Protocols of Zion in Japan*, p. 91.

³⁸ John W. Dower, 'The Useful War', *Daedalus*, Vol. 119, No. 3 (1990).

Jews have with the state. Jews, he concludes, seek solace from the state in response to prejudice they experience around them in society, but this bond can sometimes become distorted, with governments turning on Jews whenever it is expedient to do so. Ginsberg's analysis focuses exclusively on the relationship Jews have with their domestic governments and neighbours, but his argument extends as well to the relationship between Schiff and Japan. Having been advised to seek out 'Jewish bankers', Japan's ambassadors were always conscious of Schiff's Judaism, and the country has demonstrated consistency in its appreciation ever since. In Ginsberg's terms, Schiff sought out in Japan a governmental ally for the protection of Jews, primarily for Russian Jews, but secondarily also for American Jews. What contrasts the services that Schiff provided to Japan with Ginsberg's Jews who provide services to their own governments is that, in the case of Japan, Schiff was providing service to a foreign nation. The service was discreet, specific and left behind only goodwill stripped of the sense of obligation that breeds resentment of host governments in Ginsberg's paradigm.³⁹

INTERNATIONALIZATION OF JAPAN'S CREDIT MARKETS

On 9 March 1907, both the May 1904 6% sterling loan of total £10 million and the November 1904 6% £12 million (second series) loans were partially paid off with a conversion loan, and the balance was fully paid off in cash on 10 September that same year.⁴⁰ It was only in this post-war era that the Rothschilds finally came to the table. There was some initial animus among the family. The London branch had not wanted to participate. They resented not having been invited during the earlier successful wartime offerings. Then, as a condition of participation, they wanted to lead the proposed syndicate in lieu of Parr's. To further complicate matters, Paris was expressing frustration that the proposed loan was simply going to be retiring earlier British and American 6% loans. Once resolutions satisfactory to all Rothschild factions had been found, they took £12 million in France (the whole offering there), with the other half being split between Schiff in New York, the original English syndicate, and M. M. Warburg and the Deutsch-Asiatische Bank in Germany. Schiff

³⁹ Ginsberg, *The Fatal Embrace*, p. 13.

⁴⁰ 'Japanese 6% Sterling Loan of 1904, Paid Off September 1907', HSBC-A.

was disappointed with the modest scale of the allocation he received, believing he deserved more, but consented in response to an appeal from Takahashi.⁴¹

Thanks to the success of the loan issues in Europe and America, and in part demonstrated by the emergence of the Rothschilds in the syndicates, Japan's credit in international markets had increased and the country's ability to raise capital was enhanced. In the first 4.5% loan of 1905, for example, Schiff's English syndicate partners found buyers through their offices in Bangkok, Bombay, Calcutta, Hong Kong, Kobe, Lyon, Manila, New York, Penang, Rangoon, Saigon, San Francisco, Singapore, Yokohama and elsewhere, with clients, staff, and friends and family from the bank's branches applying for over £1.25 million of the issue.⁴² Indeed, sales of the first 4.5% loan of 1905 (the third war issue that Schiff had triggered) tell an extraordinary story of how widespread was the international appeal by this time of the Japanese bonds, reflecting the degree to which Japan had been able to establish itself as a creditworthy nation of international status. The banks brokering the loan and receiving commissions included the Adelaide Bank, the Anglo-Austrian Bank, the Anglo-Californian Bank, the Anglo-Egyptian Bank, the Bank of British West Africa, the Bank of Montreal, the Bank of New Zealand, the Bank of Scotland, Credit Lyonnais, Deutsche Bank, Dresdner Bank, the Imperial Ottoman Bank, the Imperial Bank of Persia, the National Bank of Egypt (incidentally founded by Ernest Cassel), the National Bank of India and Swiss Bankverein.⁴³

As early as mid-August 1905, Japan's international creditworthiness was climbing, with the first 6% bonds trading at 103.75% and the 6% second series trading at 103% (substantially compressing returns for investors and putting Japan's credit on less colonial terms); at the same time, the first 4.5% loans were trading at 92.75% and the second at 91.5%. Brokers selling IJG internal exchequer bonds were confidently proclaiming that 'the credit of Japan has during the last 18 months been established on a sound basis and the charge on the general revenue of the

⁴¹ Smethurst, 'Takahashi Korekiyo, the Rothschilds'.

⁴² 'Japanese 4% 1905 1st Issue Underwriting', HSBC-A.

⁴³ 'Japanese 4% Sterling Loan 1905, Brokerage', HSBC-A.

country affords ample security' and that Japan's securities have a 'vast International market'.⁴⁴

While Schiff had most famously brought Japanese bonds to the attention of a wide swath of the American market, initially through the offices of HSBC and the other English syndicate partners and subsequently through post-war participations by the Rothschilds, he had also enabled other markets around the world to gain a taste of Japanese creditability. This internationalization of Japan's credit markets also extended to smaller regional Japanese government entities and private companies. They learned how to enter the international financial markets, having witnessed the actions of their government during the war, and began to emulate the same processes on a lesser scale. Applications for loans from non-governmental agencies in Japan that started to filter through to the markets and banks, notably HSBC, were presented for the first time to start floating loans in Japanese yen for smaller, non-governmental loans such as those for railways and other issues. While these loans were originated through syndicate partners with which Schiff had exclusive rights to representation in America, as none of them were funded through the American markets, there was no role for Schiff to play. Furthermore, Schiff's historical role had been to catalyse Japanese overseas bond financing, not to dominate it. By the time the war was over, Japanese industry had learned how to seek funding overseas and overseas investors had become comfortable in investing in Japan, and this led to intense competition among banks to capture Japanese business.

Schiff's syndicate partner bank, HSBC, found itself having to adapt to the new environment to capitalize on its position. The bank pondered whether or not it should prefer yen-denominated loans or only sterling,⁴⁵ concluding that, while it was true that the bank might prefer to be associated with sterling loans only, 'individual investors can decide for themselves' about the credit of the Japanese currency now that it had become 'widely known'. The prevailing view was that to avoid flotation in yen would be to miss out on business opportunities likely picked up willingly by other banks.⁴⁶

⁴⁴'Imperial Japanese Government 6% Internal Exchequer Bonds—5th Series', HSBC-A.

⁴⁵'New Japanese Govt Loans, 21 November, 1905', HSBC-A.

⁴⁶'Japanese Loans, 26 September 1905', HSBC-A.

The financing of the war enabled Japan to enter a new phase of growth where relatively small entities could reach into the international credit markets on the basis of the credit of the nation, which had been established during the war. While there may have been other believers, it was Schiff who put the original loans together and who had the power and willingness to facilitate the war finance.

SHIFT FROM LONDON TO NEW YORK

Although historians view the London Stock Exchange as having been the world's primary financial market until the beginning of World War I, arguing that the New York Stock Exchange subsequently began to replace it as the world became increasingly internationalized,⁴⁷ the antecedents of that shift may be seen as originating ten years earlier, signalled in part by Schiff's bold investment in Japan.

An article written in *The Annalist* in 1920 says that Schiff's role was to contribute 'greatly to America's financial prestige in the Far East and Europe', showing that America had both 'bankers and investors', and concludes that the financing of the Russo-Japanese War 'was the real beginning of America's participation in world finance'.⁴⁸ The century leading up to 1914 was a period that seems to be exemplified by the dominance of the Rothschilds and the European markets, particularly London; after 1914, both started to see their respective influence decline.⁴⁹ The prominence of New York as a major market for international finance had started in a shift from Europe to the USA at the beginning of the twentieth century. This shift was marked most notably by the ignominious 1900 issue of £60 million by the British government in consols to finance the South African War. Significantly, the issue was the first time in over a century that the British government had sought financing from overseas for a war waged within its own empire.⁵⁰ J. P. Morgan took a £10-million piece of the so-called khaki loans to float in the USA at an irksome commission of twice that which the English

⁴⁷Ranald C. Michie, *The London and New York Stock Exchanges, 1850-1914* (London: Allen & Unwin, 1987), p. xv.

⁴⁸Jacob H. Schiff: 'The Pioneer of American Foreign Financing', pp. 452-454.

⁴⁹Ferguson, *The House of Rothschild*, Vol. 1, pp. 1-31.

⁵⁰*Ibid.*, Vol. 2, p. 367.

banks, including Rothschild, were able to negotiate. This was ‘a first step foreshadowing the shift of international financial primacy from London to New York’,⁵¹ which would be ‘a feature of the new century’.⁵² The distinction, of course, between J. P. Morgan’s groundbreaking khaki loans and Schiff’s loans to Japan was that J. P. Morgan was lending to the single strongest creditor nation in the world, Britain, whereas Schiff’s course-defining loans were to a nation that was as yet almost completely unproven. Morgan hinted at the trend; Schiff defined it.⁵³

The *Wall Street Journal* saw the Japanese loans of 1904–1905 as marking the genesis of a new trend of foreign bond issues on the New York markets, with Kuhn Loeb’s Japanese bonds the ‘feature of the year’. The *Journal* continued that ‘New York has taken its first big step toward the position of an international market’.⁵⁴ Checkland and Tamaki echo this idea, commenting that Schiff ‘emphasized the availability of money markets other than London and so did perhaps weaken the position of London as the world’s top money market’.⁵⁵ Leslie Hannah also points to this dynamic, acknowledging that, while New York was in a catch-up phase with London in the pre-1914 war environment, structural impediments in London’s market contributed to New York’s rapid advancement.⁵⁶ Though Hannah does not specifically mention Schiff, it was his freedom from the political impediments that hampered the English syndicate that enabled him to act with the decisiveness he did, demonstrating the greater flexibility of the New York market, and catalysing the shift from London.

Edward Miller also sees Schiff’s 1904–1905 Japanese loans as marking the beginning of a shift away from the influence of Europe towards New York’s financial markets. He comments that ‘Japan’s war loans marked the coming of age of Wall Street in global finance’, and, quoting

⁵¹ Metzler, *Lever of Empire*, p. 35.

⁵² Ferguson, *The House of Rothschild*, Vol. 2, p. 367.

⁵³ See ‘Jacob H. Schiff: The Pioneer of American Foreign Financing’. See also Chernow, *The House of Morgan*, in which the author refers to ‘the mounting ascendancy of the House of Morgan over the House of Rothschild’, p. 99.

⁵⁴ ‘The Bond Market’, *Wall Street Journal* (3 July 1905), p. 5.

⁵⁵ Checkland and Tamaki, ‘Alexander Allan Shand’, p. 76.

⁵⁶ Leslie Hannah, ‘J. P. Morgan in London and New York Before 1914’, *Business History Review*, Vol. 85 (2011), pp. 113–150.

Kaneko Kentaro, signalled a 'triumphant entrance of the United States as a world power into international finance'.⁵⁷ While he errs in believing Schiff invested on the basis of the dinner conversation with Takahashi, he nevertheless recognizes that Schiff 'astutely assessed both the military odds and American investors' appetite for good securities paying generous yields'—that is, that Schiff knew he could sell the bonds and that his motive to punish the tsar was not necessarily the only factor driving him. The core of Miller's thesis is that the American markets knew nothing of Japan and that they had experience of only relatively minor foreign investments, being a net importer of capital, that were made 'under the wing of U.S. diplomacy and gunboats'.⁵⁸

Diplomatic historian Emily Rosenberg analyses an American foreign policy move specifically engineered to aligning world financial power on New York and away from London through the creation of a gold-backed dollar bloc. Supported by Roosevelt and driven by Charles Conant (1861–1915), Jeremiah Jenks (1856–1929) and Edwin Kemmerer (1875–1945), the process involved imposing an American gold currency for external payments on countries America wished to draw into its sphere of influence.⁵⁹ Rosenberg explains that this economic diplomacy commenced in 1900 with the Gold Standard Act but that 'the basis for America's global preeminence' was 'spearheaded by the efforts of private citizens' undirected by government. Schiff's loans, she says, were his and not interwoven into any specific government policy but, being as prestigious as they were, helped to create the momentum the government would capitalize on as it extended policy to the more calculated and invasive 'dollar diplomacy'.⁶⁰ Schiff's loans, Rosenberg explains, occurred right at the beginning of this process, 'largely detached from the political concerns and process of the U.S. government', but they 'whetted bankers' appetites for more foreign business and convinced the U.S. bond-buying public that foreign issues could be viable

⁵⁷Edward S. Miller, 'Japan's Other Victory: Overseas Financing of the Russo-Japanese War', in David Wolff, Steven G. Marks, Bruce W. Menning, David S. van der Oye, John W. Steinberg, and Yokote Shinji (eds.), *The Russo-Japanese War in Global Perspective: World War Zero* (Leiden: Brill, 2007), p. 478.

⁵⁸Ibid., p. 470.

⁵⁹Metzler, *Lever of Empire*, p. 44.

⁶⁰Emily S. Rosenberg, *Spreading the American Dream: American Economic and Cultural Expansion, 1890–1945* (New York: Hill and Wang, 1982), p. 15.

investments'.⁶¹ By financing Japan, Schiff indirectly facilitated the implementation of American policy and, complementary to it, contributed to the foundation upon which the shift from Europe's to New York's financial markets rested.

Sidney Pollard credits myopic inward investment in the anachronistic pursuit of empire with causing a decline in London alongside the rise in America⁶² and is echoed in this position by Clarence Davis, who discusses the argument that British firms were completely dependent on national foreign policy for their decision-making.⁶³ For Mira Wilkins, Japan was different. Japan, she says, engaged in policies that pursued the greatest productivity sought by business and exceeded its Asian rivals in industrialization and development as a consequence.⁶⁴ Ranald Michie informs us that the sheer scale of banking could force change.⁶⁵ Michie's argument is that sizeable financial institutions could actively shape macro-economic conditions to suit their own strategic preferences. Kuhn Loeb might fit into Michie's definition of a financial institution powerful enough to influence change. The changes Kuhn Loeb brought about in financing Japan during the war, although implemented by the institution, were the strategy and vision of Jacob Schiff, the individual.

Indeed, Schiff's actions can be overlaid onto these historians' theories in a way that is revealing. For Pollard and Davis, Schiff was focused on his own foreign policy, untethered as he was from any overriding American domestic policy; for Wilkins, Japan's uniqueness among non-colonial powers in the strength of its industrialization provided evidence to Schiff of the country's creditworthiness as he underwrote the investment risks; and for Michie, the scale of Schiff's financial impact through Kuhn Loeb was sufficient to win the war for Japan, accelerating the country's growth trajectory. In short, Schiff's decision to lend to

⁶¹Rosenberg, *Financial Missionaries to the World*, p. 5.

⁶²Sidney Pollard, 'Capital Exports, 1870–1914: Harmful or Beneficial?', *Economic History Review*, New Series, Vol. 38, No. 4 (1985), p. 513.

⁶³Clarence B. Davis, 'Financing Imperialism: British and American Bankers as Vectors of Imperial Expansion in China, 1908–1920', *Business History Review*, Vol. 56, No. 2 (1982), p. 236.

⁶⁴Mira Wilkins, 'Japanese Multinationals in the United States: Continuity and Change, 1879–1990', *Business History Review*, Vol. 64, No. 4 (1990), pp. 587–588.

⁶⁵Ranald C. Michie, 'The London and New York Stock Exchanges, 1850–1914', *Journal of Economic History*, Vol. 46, No. 1 (1986), p. 172.

Japan during the war provides support for all of these theories that a shift from London to New York markets was underway as early as 1904.

The trend continued apace and within only nine years of the Russo-Japanese War. British hegemony in the capital markets was substantially on the wane, with the nation's growth rate steadily declining; within fifteen years, the USA had supplanted England as the largest exporter of capital.⁶⁶ By bringing the Japanese loans to America, which caused a sudden shift in the inevitable continental drift between the London and New York markets, Schiff tectonically altered the topography of both markets. Britain's role in financing Japan, not only during the Russo-Japanese War but also in the entire pre-World War I era, amounted to over half of Japan's foreign borrowings and complemented the Anglo-Japanese Alliance of 1902.⁶⁷ While benefiting the foreign policy interests of a nation was a promising means for a bank of winning governmental support in both England and America, being assured of it in England was more the imperative. British banks, run as they were by an aristocracy intertwined with the country's government, were influenced in their lending by foreign policy more than were their American counterparts.⁶⁸ This dynamic was less present in America because lending practices were driven to a greater degree by free market forces than by government policy.⁶⁹

In the period 1871–1913, relative savings rates in Britain and America were about the same, at 11–15% of GNP, but inward investment at 12% in America outstripped that of Britain, with only 7% of GNP. Relatively speaking, therefore, Britain was exporting its capital while America was using it at home.⁷⁰ By comparison, Britain was burdened by a gradual diminishment of inward investment in favour of foreign investment brought about by a colonial foreign policy. American growth, on the other hand, was proportionally more influenced by inward investment

⁶⁶Lance E. Davis and Robert J. Cull, *International Capital Markets and American Economic Growth 1820–1914* (Cambridge: Cambridge University Press, 1994), p. 1.

⁶⁷Herbert Feis, *Europe: The World's Banker 1870–1914* (New York: W. W. Norton, 1965), p. 422.

⁶⁸Davis, 'Financing Imperialism', p. 236.

⁶⁹Hugh Patrick, 'Japan, 1868–1914', in Rondo Cameron, *Banking in the Early Stages of Industrialization: A Study in Comparative Economic History* (New York: Oxford University Press, 1967), p. 288.

⁷⁰Pollard, 'Capital Exports', pp. 489–514.

and opportunistically motivated foreign investment, such as Schiff's precursor investment in Japan. What makes Schiff's visionary investment in Japan particularly important is that he *was* anomalous to so many trends at the time. His role as a provider of American imperial capital to Japan fulfils Mark Metzler's theory that excess capital seeks imperialistic outlets⁷¹—except that, while America was only on the pathway to having excess capital, Schiff acted with the insight that this likelihood was inevitable.

Britain's investment infrastructure was slowing the country's growth whereas Schiff, who personally bonded with Japan and its people according to his own agenda, epitomized America's pioneering spirit and economic expansion. There was no dominating American foreign policy that drove Schiff to Japan. On the contrary, protecting the Jews of Russia was Schiff's personal foreign policy and one from which the Roosevelt administration had actively shied away. Schiff's actions in financing Japan were powerful enough to force change in America, Japan and England⁷² and to herald the movement to US capital markets.

Schiff himself started to invest increasingly in the securities of foreign governments, though before the Russo-Japanese War this tended to be with a focus on a much smaller scale in Canada and Mexico.⁷³ Toshio Suzuki acknowledges that financing the Russo-Japanese War was one of the most significant events in Schiff's life to that point in time and concludes that 'it is fair to say that this loan issue altered the contemporary structure of the international loan issue markets, over-centralized as they were on Europe, and assisted in New York's rise'.⁷⁴

PATTERNS OF TRADE

The argument for a shift in market influence from London to New York is reinforced by Japan's patterns of trade in this period. Europe in general was consistently sending less to Japan as a percentage of Japan's imports, and North America was sending more. Schiff understood these trends. He saw it in the 1870s when American imports to Japan were

⁷¹Metzler, *Lever of Empire*, p. 49.

⁷²See discussion in Michie, 'The London and New York Stock Exchanges, 1850–1914'.

⁷³Adler, *Jacob H. Schiff*, Vol. 1, p. 197.

⁷⁴Suzuki, *Japanese Government Loan Issues*, p. 100.

insignificant, and, while trade with Japan was growing only slowly in the pre-war years, Schiff had always believed there would be opportunities for him and for America. While the Russo-Japanese War saw a momentary reversal of the trends, Schiff's intervention was consistent with the shift from Europe to America, and within ten years of the war, America's imports to Japan outstripped Europe's for the first time.

It is well known that, lacking its own natural resources, Japan was forced to import raw goods from overseas. To support that growth, it had to export to pay for the imports, becoming at the same time increasingly reliant on trade with America rather than on trade with Europe. Customs duties were used to guarantee war loans, so strategically Japan was in harmony with its trading allies, particularly America, where trade was increasing.

Mira Wilkins identifies three key factors in Japan's unique pace of industrialization as compared to that of other non-Western powers in the late nineteenth and early twentieth centuries: rapid growth of the textile industry, economic growth and war.⁷⁵ She disagrees with the widely held assumption that Japan did not industrialize until the 1950s. Although the extent to which Schiff anticipated developing further financing opportunities with Japan never materialized for Kuhn Loeb, his financing of the war was an important link in that chain of growth for Japan that might otherwise have been broken had Russia prevailed.

The impact of the war had other far-reaching implications for Japan's trade-based industrialization trajectory. It contributed to Japan being the earliest of the non-Western nations to achieve 'sustained industrialization and economic growth'.⁷⁶ Schiff's role was pivotal. Had he not financed the war and had Russia prevailed, Japan's influence in China would have been dramatically depleted, as it would also have done had Japan been encompassed within a Russian economic sphere of influence.⁷⁷ Instead,

⁷⁵Mira Wilkins, 'Japanese Multinational Enterprise Before 1914', *Business History Review*, Vol. 60, No. 2 (1986), p. 588.

⁷⁶Rondo Cameron, *Banking in the Early Stages of Industrialization: A Study in Comparative Economic History* (New York: Oxford University Press, 1967), p. 239.

⁷⁷Roberta A. Dayer, *Finance and Empire: Sir Charles Addis 1861-1945* (New York: St. Martin's Press, 1988), p. 39. What differentiates a sphere of influence from a colony is that in the former a country's sovereignty remains intact while its economic fortunes shift to a foreign power whereas in the latter both sovereignty and economic determination shift to the foreign power.

by 1914, 72% of Japan's foreign direct investment was consumed in China,⁷⁸ including substantial investments in the South Manchurian Railway, which occurred shortly after the end of the war in 1906,⁷⁹ and over 32%, as measured by tonnage, of all foreign ships conducting trade at Chinese ports were Japanese.⁸⁰ Wilkins cites the development of the South Manchurian Railway as a key example of Japan's accelerated industrial development.⁸¹ This is an example that would not have manifested had Schiff not financed Japan's elimination of Russia from that equation.

EASTERN TRADE

Mark Metzler describes the five-year pre-war period to 1900 as being the 'threshold of Japan's industrial revolution' at the same time as 'the United States emerged as a trans-Pacific empire'.⁸² When the opportunity to finance Japan during the war emerged, Schiff was predisposed to believe that, in the context of a post-war victorious Japan, future business would develop for him in Japan's domestic railroad infrastructure development as well as in the development of its railroad networks in its territories in China and Korea. As his ambitions had grown, his interests had increasingly drawn him towards the Far East and, aligning with E. H. Harriman, to the possibility of trans-global transportation routes combining shipping lines that connected railroads on the North American continent to Asia.⁸³

Harriman's vision, stemming from a constant search for efficiency, was for an extension of the railroad industry's trajectory towards internationalization. The key to this lay in ensuring that trains returning from delivering goods were as laden as they had been on their outward journey. The problem was that trains from the Pacific Northwest delivering lumber eastward were returning empty. Attracting demand in Asia would

⁷⁸Bank of Japan data, as reported in Wilkins, 'Japanese Multinational Enterprise Before 1914', p. 209.

⁷⁹Wilkins, 'Japanese Multinational Enterprise Before 1914', p. 208.

⁸⁰Ibid., p. 217.

⁸¹Ibid., p. 228.

⁸²Metzler, *Lever of Empire*, p. 12.

⁸³Letter from Schiff to James Alexander (President of the Equitable Life Assurance Society), 5 June 1905, as quoted in Adler, *Jacob H. Schiff*, Vol. 1, p. 188.

draw American exports westwards and fill the trains in both directions, alleviating this problem. In this way, Emily Rosenberg says, the railroad barons highlighted 'the connection between internal transportation and expansionist impulses', underscoring the importance of the private (versus governmental) impetus of international expansion and showing that the 'railroad builders... were the advance agents and the propagandists for America's new commercial might'.⁸⁴

Of course, facilitating this might were the financiers, including Schiff. The overt use of private loans to fund political ends internationally became a controversial policy as America in the 1920s expanded its spheres of influence through increasingly aggressive adoption of dollar diplomacy. But, when Schiff first used it in financing his own foreign policy in Japan, his government discovered a new form of expansion it had only just begun to invent.

Opportunities for trade with China through its key ports also attracted Schiff. The USA had identified these as routes to prosperity and negotiated with China, against the intimidating pressure exerted by Russia, to open up avenues to the Chinese market. Treaties were negotiated but not signed because of the outbreak of the war, but Schiff eyed them as future lending opportunities for Kuhn Loeb through his Japanese connections.⁸⁵

These were not to develop as he intended. Japanese business became increasingly self-sufficient and insular even as it expanded outward. In Korea, various Japanese industry groups established associations that were designed to minimize competition among the members in order to drive out competition from non-Japanese companies. For example, the Industrial Bank of Japan, which became increasingly influential after the war, was set up in 1902 specifically to provide liquidity to fund the newly developing markets in Korea and Manchuria.⁸⁶

There was also a particularly strong savings rate in Japan, mitigating the need for inward investment. The number of depositors holding postal savings increased from 1.9 million in 1900 to over 11 million in

⁸⁴Rosenberg, *Spreading the American Dream*, pp. 16–17.

⁸⁵Kenton Clymer, *John Hay, The Gentleman as Diplomat* (Ann Arbor: University of Michigan Press, 1975), p. 152.

⁸⁶Tamaki, *Japanese Banking*, p. xiv.

1910 and doubled again to 23 million by 1920. In the five years following the war, the Japanese arguably became the greatest savers in the world, and these funds were used towards financing Japan's imperial expansion into its newly won territories.⁸⁷ Japanese banks benefited directly from the new colonial activity and were the default institutions for trade finance, capturing all of Korea's increasing customs revenues for depository purposes while homeland customs revenues were used to pay off the foreign war loans.⁸⁸ These deposits provided the finance that industry needed to develop trade and limited the need for overseas capital. That said, larger infrastructure projects still depended on 'recycled' foreign capital as domestic resources remained unable or unwilling to support such ventures.

POLITICAL IMPACT

In addition to having an important role in the war and reflecting the significance of Schiff's actions, finance played a crucial part in the eventual peace negotiations and the role in those negotiations of the US government, or more specifically of President Theodore Roosevelt. Negotiations during the peace talks pivoted on financial factors as much as on military ones and were primarily driven by Japan's demand for financial remuneration for the war from Russia (the indemnity) and Russia's absolute refusal to entertain such compensation.⁸⁹

Japan's confidence in continuing war was in part based on military preparedness. In addition, on 11 May 1905, Japanese diplomats indicated to Roosevelt as part of the prelude to peace negotiations that the country had 'the sources of revenue and credit' to persevere with the war if necessary.⁹⁰ Roosevelt was of the belief that Russia was suffering from financial hardships. While assuming that Japan's position was strong, he advised Japan not to persevere with war in the hopes of gaining an indemnity. Rather, Roosevelt counselled, Japan should accept

⁸⁷ Ishii, 'The Role of Banking in Japan', pp. 402–403.

⁸⁸ Duus, 'Economic Dimensions of Meiji Imperialism', p. 154.

⁸⁹ Akagi, *Japan's Foreign Relations*, p. 247.

⁹⁰ Instructions from the IJG to Takahira for a Meeting with Roosevelt, 11 May 1905, as Quoted in Kajima, *The Diplomacy of Japan*, p. 217.

peace without an indemnity, thereby 'producing a saving in her military expenditures almost equivalent to the indemnity Japan may demand'.⁹¹

Schiff also had a subtle role in the peace talks. He advised the Japanese delegation at Portsmouth that financial support for Japan in the event the war continued would be difficult if not impossible and that rates could be driven up to prohibitive levels.⁹² Schiff suggested that, in lieu of further loans, Japan could use its gold reserves or even withdraw from the gold standard. While none of these were realistic solutions, they underscored the point Schiff was making: that capitulation to indemnity demands, as unpalatable as it might seem to Tokyo, was the only option. In this sense, Schiff, who entered the war after it had started, was in part instrumental in seeing it brought to an end.

Although American diplomacy was successful and Roosevelt won the Nobel Peace Prize for his orchestration of the peace talks, little impact was felt on the condition of Russia's Jews, contrary to Schiff's hopes. In taking up the case of the earlier pogroms, the US administration had primarily been motivated by appeasing Schiff as a powerful financier capable of influencing Jewish voters in an election year; they had been less interested in addressing human rights issues facing a few Jews in Russia. Even then the administration had not taken up a formal position on the matter. Secretary of State Hay had deflected Schiff's lobbying by eloquently expressing indignation that he (Hay) should be the subject of negative opinion for something quite outside his control: 'I feel precisely as you do in regard to it', he told Schiff, 'but you are free to express your feelings and I am not... What possible advantage would it be to the United States and what possible advantage to the Jews of Russia, if we should make a protest against these fiendish cruelties and be told it was none of our business?'⁹³ While Hay's words and the administration's avoidance of taking any meaningful action may have made sense from a diplomatic perspective, Schiff was not a man to be thwarted in seeing through a goal about which he was passionate.

Schiff's strategy emulated that of the most powerful of the European banking houses, most particularly the Rothschilds', supposedly the king-makers and controllers of the fates of nations. If he could not influence

⁹¹ *Nihon Gaiko Bunsho*, Vol. title: *Nichiro Senso*, Bk. 5, No. 208, in Kajima, *The Diplomacy of Japan*, p. 219.

⁹² White, *The Diplomacy of the Russo-Japanese War*, p. 289.

⁹³ Dennett, *John Hay*, p. 398.

his own country's government to take proactive steps to defend the rights and lives of Jews, he would take on this burden himself and one way or another use his power and influence to effect change.

The problem for the administration, though, was that Japan's defeat of Russia had not bred a close ally as much as it had created a potential foe in the Far East that might threaten the open door policies so important to America and England.⁹⁴ This was not a prediction Schiff agreed with.⁹⁵ The first indication of this threat, however, emerged as early as 1906. Both American and British businessmen complained to their respective governments that Japan was preventing trade in Manchuria. The Japanese government contended that the disruption in trade was solely due to the withdrawal of troops and materiel. As these issues subsided once Japanese military evacuation was complete, conflicting definitions of 'open door' policy regarding management of the South Manchurian Railway created new distrust between the powers.⁹⁶

Additionally, to Schiff's consternation as it further diverted American diplomacy's attention from human rights issues pertaining to the Russian Jews, relations between Japan and Russia thawed very quickly, and a secret agreement was signed between the two nations less than eighteen months after the end of the war. This effectively split Manchuria into distinct Japanese and Russian spheres of influence.⁹⁷ Consistent with Henry Feingold's view that Jewish issues have always taken a back seat to national issues, to offset Japan's troublesome developments in Manchuria, the problem of antisemitism in Russia was further downgraded.⁹⁸ Broader geopolitical concerns, and ultimately World War I itself, which changed everything, overwhelmed the Jewish community's lobbying efforts for sanctions against Russia to alleviate the struggles of Russian Jewry, and pogroms continued sporadically for another twenty years after the Russo-Japanese War.

⁹⁴See Thomas F. Millard, 'The Financial Prospects of Japan', *Scribner's*, Vol. 38, No. 3 (1905), pp. 369–379.

⁹⁵Letter from Schiff to Wilson, 29 August 1905, JWP: 1905–1907.

⁹⁶Tyler Dennett, *Roosevelt and the Russo-Japanese War: A Critical Study of American Policy in Eastern Asia in 1902–5, Based Primarily Upon the Private Papers of Theodore Roosevelt* (Gloucester: Doubleday, 1959), pp. 314–325. See also Kajima, *The Emergence of Japan as a World Power*, pp. 344–345.

⁹⁷Esthus, *Theodore Roosevelt and Japan*, pp. 255–256. See also Metzler, *Lever of Empire*, p. 57.

⁹⁸Feingold, *A Midrash on American Jewish History*, p. 200.

JAPANESE IMPERIALISM

After the war, James Wilson, with whom Schiff had first discovered the opportunities of Japan, had an early and prescient view of the circumstances emanating from Japan's defeat of Russia. Wilson foresaw a waning of American influence in Asia and Japan as the greatest threat of the countries of that region.⁹⁹ Schiff saw otherwise, believing that Japan's industriousness, integrity, humility and thirst for learning would overcome the internal pressures for a greater dominance of the military and provide a benevolent rule over Korea, with trade and commerce opportunities developing for all as a result of Japan's expansion.¹⁰⁰

However, one of the most important short-term results of the Russo-Japanese War and resulting peace treaty was that Korea ceded control over its own foreign relations to Japan.¹⁰¹ This development ultimately led to Japan's annexation and brutal occupation of Korea within only a few years. Perhaps, it is because of the subsequent historiographical focus on Japan's culpability for its post-war actions that the 'credit' to Schiff for having catalysed the financing of the war has been lost.

In a volume of essays edited by Harry Wray and Hilary Conroy,¹⁰² several scholars assert that the war marked a shift from defensive and passive foreign policy to an imperialistic, expansionist pathology for Japan. Bonnie Oh, in making a case that Japan had engaged in long-range plans to mimic Western nations' imperialism, concludes that 'Japan fulfilled most of the goals of Meiji foreign policy' to become 'an empire and a world power' as a result of the war.¹⁰³ Ann Harrington agrees with Oh in believing that Japan became identified as one of the world's major powers as a result of the war.¹⁰⁴ Hilary Conroy extends this idea of maturation in foreign policy and sees the war as having been a turning point in

⁹⁹Best, 'Ideas Without Capital', p. 468.

¹⁰⁰Schiff, 'Japan After the War', pp. 161–168.

¹⁰¹Kajima, *The Diplomacy of Japan*, p. 166.

¹⁰²Harry Wray and Hilary Conroy (eds.), *Japan Examined: Perspectives on Modern Japanese History* (Honolulu: University of Hawaii Press, 1983).

¹⁰³Bonnie B. Oh, 'Meiji Imperialism: Planned or Unplanned', in Harry Wray and Hilary Conroy (eds.), *Japan Examined: Perspectives on Modern Japanese History* (Honolulu: University of Hawaii Press, 1983), p. 130.

¹⁰⁴Ann Harrington, 'Meiji Imperialism: 'Not Based on Preordained Design'', in Harry Wray and Hilary Conroy (eds.), *Japan Examined: Perspectives on Modern Japanese History* (Honolulu: University of Hawaii Press, 1983), pp. 131–135.

Japan's history, shifting policy from purely defensive to more proactively imperialistic. Japan, she says, emerged with an emboldened desire for independence and a hunger for expansion following the Russo-Japanese War.¹⁰⁵

Japan's development strategy until the war had been geared towards becoming an equal alongside the imperialistic nations of the West. Once Japan took unchallenged control of Korea and Manchuria following the war, a fundamental shift occurred on several levels that changed Japan's historical trajectory. Though Japan had the subsequent option to represent the Asian 'victims' of Western imperialism, some academics assert that the war led instead to an inevitable replication of the same imperialism that ultimately precipitated the country's belligerence during World War II and its eventual defeat.¹⁰⁶ For better or worse, but certainly not in the direction he had intended, Schiff helped Japan to transform. As the transformation was incongruent with the moral grounds that premised Schiff's motivation, his role has gone under-examined.

Had Japan lost the war with Russia, the marginal gains in territorial influence it had acquired during the Sino-Japanese War would likely have been lost and it certainly would have gained no new territory. Instead, the Russo-Japanese War served as an impetus for Japan's industrialization, with victory in the war serving to make Japan 'an imperialist nation with colonial expansion geared to the needs of her growing industries'.¹⁰⁷ Territorially, economically, militarily and geopolitically, the war had established Japan on a par with Western nations.

Johannes Hirschmeier and Tsunehiko Yui conclude that 'through the victory over Russia in 1905 Japan finally realized her dream of becoming an imperialist nation, a colonial power with vastly expanded markets' and identify three key effects on Japanese industry: firstly, customs receipts grew beyond what was needed to service the country's debt, stimulating internal growth; secondly, a vast colonial market emerged for Japan

¹⁰⁵Hilary Conroy, *The Japanese Seizure of Korea 1868–1910: A Study of Realism and Idealism in International Relations* (Philadelphia: University of Pennsylvania Press, 1960), p. 493n.

¹⁰⁶Peter Duus, 'The Takeoff Point of Japanese Imperialism', in Harry Wray and Hilary Conroy (eds.), *Japan Examined: Perspectives on Modern Japanese History* (Honolulu: University of Hawaii Press, 1983), p. 153.

¹⁰⁷Johannes Hirschmeier and Tsunehiko Yui, *The Development of Japanese Business 1600–1980* (London: Allen & Unwin, 1981), p. 146.

to trade with; and thirdly, the development of heavy industry was particularly focused on acquiring equal military prowess to that of Western nations. After the war, Japan started constructing its own 10,000-tonne battleships, which were equal in size and calibre to any of those of the Western peers, and within ten years, Japanese shipbuilding had developed to the point of being equivalent to that of Western nations in terms both of scale and calibre.¹⁰⁸

Peter Duus concludes that Japan's 'position in the Far East was substantially altered as a result' of prevailing during the Russo-Japanese War, securing the country a sphere of influence it had not previously enjoyed and spurring the country on to an inevitable course of simultaneous expansion and defence of acquired territories. Japan became driven, Duus argues, for domination in Asia, wanting the kind of imperialistic power built by the Western states from which Japan had learned, and the Russo-Japanese War was the turning point in this dynamic. Duus says that the war established Japan 'as the peer of the other imperialist powers in East Asia'.¹⁰⁹ Indeed, Morinosuke Kajima notes that 'after the Russo-Japanese War, the political situation in the Far East underwent a considerable change', and he goes on to state that, as a result of the war, 'Britain felt no need to fear Russia for some time in future'. England remained concerned lest Russia join forces with Germany to penetrate the north Indian frontiers, and so shored up its agreement with Japan in the renewal of the Anglo-Japanese Alliance in 1905, including that region as one of mutual interest.¹¹⁰

But the balance of power shifted—though not in a manner foreseen by anyone. England had acquired a strong ally in Japan and was left to focus on matters in Europe; confident Japan would protect its ally's interests in Asia. What England had not predicted was that, in the event of war in Europe, Japan would be unchained from obligations to England and seek its own direction in Asia. As Maurice Collis comments, 'this cardinal fact governed the history of the Far East for the next forty years'.¹¹¹ Charles Addis of HSBC, whose work was consistently a process of balancing British political whims with his banking responsibilities,

¹⁰⁸ Ibid., pp. 147–148.

¹⁰⁹ Duus, 'The Takeoff Point of Japanese Imperialism', p. 154

¹¹⁰ Kajima, *The Diplomacy of Japan*, p. 402.

¹¹¹ Collins, *Wayfoong*, p. 116.

took an altogether bleaker view of England's relations with Japan, feeling that, in the alliance with Japan, 'England virtually let loose the dogs of war and it was England who finally chained them up'. Addis believed that England was 'fully alive to [the] danger of [a] too powerful Japan' but was mistakenly calmed by the idea that the burden to Japan of meeting its financial obligations after the war would keep the country subdued for years.¹¹²

Roy Akagi, writing about similar phenomena, describes the newly forming alliances developing around the Russo-Japanese War as presaging World War I. Akagi speculates that Japan's successful alliances (both formal and informal) with Britain and America 'delayed the World War for ten years by preventing the other Powers from participating in the Russo-Japanese War although the complications of European politics justified such action'. By remaining aloof though threatening intervention, Britain and America enforced neutrality on the other interested powers and left Japan alone to deal with Russia. Akagi describes the Russo-Japanese War as 'one of the great decisive wars in world history. For Japan it was an adventure of the first magnitude, a veritable life-and-death struggle'.¹¹³ He goes on to say that the war 'established Japan's undisputed position among the Powers in the Far East' and 'ushered in a new age in Japan's relations with the world', taking on 'semi-sacred' status in Japan for the great loss (120,000 Japanese lives) and lack of indemnity, but propelling Japan into strongholds in Korea and Manchuria.¹¹⁴

Schiff anticipated that Japan would rise to become a beacon of human rights for the world with the help of his actions. Yet he could not foretell that the result would send Japan in a completely different direction for almost half a century, dropping a fog of collective oversight on historians who have failed to notice the genesis of Japan's entry onto the

¹¹²Dayer, *Finance and Empire*, p. 53. See also Hunter, 'The Limits of Financial Power', pp. 139–165. Hunter suggests that, apart from the direct economic benefit from the war loans themselves, Schiff's broader ambitions from his involvement in the war were thwarted. Hunter says that financing can have only a limited impact on foreign powers. She points to the unexpected result that Japan superseded Russia as an unwelcome competitor in northeast Asia rather than becoming an ally to the nations that provided it with loans during the war.

¹¹³Akagi, *Japan's Foreign Relations*, p. 241.

¹¹⁴*Ibid.*, p. 240.

world stage and the noble aspirations that accompanied its emergence. John Dower writes about the extent to which Japan has been the subject of racial prejudice as well as how Japan has created its own stereotypes. This apparently pervasive theme may have added another layer of misunderstanding to the retrospective view of Japan, and it perhaps further explains the lack of examination of the role Schiff played in the early days of Japan's emergence as a world power.¹¹⁵

¹¹⁵John W. Dower, *Japan in War and Peace: Selected Essays* (New York: New Press, 1993), pp. 257–285.

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